New Issue/Book-Entry-Only

Ratings: Moody's: Aa1
S&P: AA+
(See "RATINGS" herein)

$38,125,000
CITY OF ASHEVILLE, NORTH CAROLINA
Water System Revenue Refunding Bonds
Series 2021
(Green Bonds)

Dated: Date of Delivery **Due: August 1, as shown on the inside cover**

This Official Statement has been prepared by the North Carolina Local Government Commission and the City of Asheville, North Carolina (the "City") to provide information in connection with the sale and issuance of the bonds offered hereby (the "2021 Bonds"). Selected information is presented on this cover page for convenience of the user. To make an informed decision regarding the purchase of the 2021 Bonds, prospective investors should read this Official Statement in its entirety. Unless indicated, capitalized terms used on this cover page have the meanings given in this Official Statement.

Security:	The 2021 Bonds will be special obligations of the City secured by and payable from the Net Revenues of the City's Water System and, under certain circumstances, the proceeds of the 2021 Bonds, investment earnings and certain net insurance and other proceeds. **The credit and taxing power of the City is not pledged for payment of the 2021 Bonds, and no owner of the 2021 Bonds has the right to compel the exercise of the taxing power of the City or the forfeiture of any of its property in connection with any default thereon or to apply any funds other than the Net Revenues for the payment of the 2021 Bonds.** See "SECURITY AND SOURCES OF PAYMENT FOR THE 2021 BONDS" herein.
Tax Treatment:	In the opinion of Parker Poe Adams & Bernstein LLP, Bond Counsel, under existing law, (1) assuming compliance by the City with certain requirements of the Internal Revenue Code of 1986, as amended (the "Code"), interest on the 2021 Bonds (a) is excludable from gross income for federal income tax purposes, and (b) is not an item of tax preference for purposes of the federal alternative minimum tax, and (2) interest on the 2021 Bonds is exempt from State of North Carolina income taxation. See "TAX TREATMENT" herein.
Redemption:	The 2021 Bonds are subject to optional and mandatory sinking fund redemption as described herein.
Purpose:	The 2021 Bonds are being issued for the purpose of providing funds, together with other available funds, (1) to refund the City's Water System Revenue Bond Anticipation Note, Series 2018 (the "Bond Anticipation Note"), the proceeds of which were used to finance the costs of extensions, additions and capital improvements to, or the acquisition, renewal or replacement of capital assets of, or purchasing and installing new equipment for the water system owned by the City and (2) to pay the costs of issuing the 2021 Bonds. The 2021 Bonds constitute Green Bonds within the framework of the Green Bond Principles as more particularly described in "THE PLAN OF FINANCE – Green Project" herein.
Amendment of Original Indenture:	The City has proposed to amend and restate the Original Indenture (as defined herein) under which the City's Water System Bonds are issued as described herein. By their purchase of the 2021 Bonds, the initial beneficial owners of the 2021 Bonds consent to the amendments to the Original Indenture that may require bondholder consent.
Interest Payment Date:	February 1 and August 1, commencing February 1, 2022.
Denominations:	$5,000 or any integral multiple thereof. The 2021 Bonds initially will be issued as fully registered bonds and when delivered will be registered in the name of Cede & Co., as registered owner and nominee for The Depository Trust Company, New York, New York. See Appendix F hereto.
Expected Closing:	September 30, 2021.
Bond Counsel:	Parker Poe Adams & Bernstein LLP, Charlotte, North Carolina.
City Attorney:	Brad Branham, Esq., Asheville, North Carolina.
Underwriter's Counsel:	Womble Bond Dickinson (US) LLP, Raleigh, North Carolina.
Financial Advisor:	DEC Associates, Inc., Charlotte, North Carolina.

BofA Securities

September 16, 2021

MATURITY SCHEDULE

$22,075,000 Serial 2021 Bonds

Due August 1	Principal Amount	Interest Rate	Yield	CUSIP®*
2022	$ 715,000	5.000%	0.100%	044074 EA6
2023	755,000	5.000	0.130	044074 EB4
2024	790,000	5.000	0.190	044074 EC2
2025	835,000	5.000	0.310	044074 ED0
2026	875,000	5.000	0.430	044074 EE8
2027	920,000	5.000	0.570	044074 EF5
2028	970,000	5.000	0.700	044074 EG3
2029	1,020,000	5.000	0.810	044074 EH1
2030	1,070,000	5.000	0.900	044074 EJ7
2031	1,125,000	5.000	0.990	044074 EK4
2032	1,180,000	5.000	1.060[C]	044074 EL2
2033	1,220,000	1.625	1.630	044074 EM0
2034	1,240,000	1.625	1.710	044074 EN8
2035	1,265,000	1.750	1.770	044074 EP3
2036	1,285,000	1.750	1.820	044074 EQ1
2037	1,310,000	1.875	1.890	044074 ER9
2038	1,335,000	2.000	1.930[C]	044074 ES7
2039	1,360,000	2.000	1.950[C]	044074 ET5
2040	1,390,000	2.000	2.000	044074 EU2
2041	1,415,000	2.000	2.030	044074 EV0

$7,575,000 2.250% Term Bonds maturing August 1, 2046; Yield 2.280%; CUSIP 044074 EW8*
$8,475,000 2.250% Term Bonds maturing August 1, 2051; Yield 2.380%; CUSIP 044074 EX6*

[C] Yield to August 1, 2031 call date at 100%.

* CUSIP® is a registered trademark of the American Bankers Association. CUSIP Global Services is managed on behalf of the American Bankers Association by S&P Capital IQ. Copyright©2021 CUSIP Global Services. All rights reserved. CUSIP data herein is provided by S&P Capital IQ, a division of McGraw Hill Financial, Inc. The CUSIP data herein is provided solely for the convenience of reference only, and neither the City nor the Underwriter takes responsibility for the accuracy of such data.

No dealer, broker, salesman or other person has been authorized to give any information or to make any representation other than as contained in this Official Statement, and if given or made, such other information or representation must not be relied upon. This Official Statement does not constitute an offer to sell or the solicitation of any offer to buy, nor shall there be any sale of the 2021 Bonds by any person in any jurisdiction in which it is not lawful for such person to make such offer, solicitation or sale. The information set forth herein has been obtained from the Corporation, the City and other sources that are deemed to be reliable.

The electronic distribution of this Official Statement does not constitute an offer to sell or the solicitation of an offer to buy the 2021 Bonds described herein to the residents of any particular state and is not specifically directed to the residents of any particular state. The 2021 Bonds shall not be offered or sold in any state unless and until they are either registered pursuant to the laws of such state, or qualified pursuant to an appropriate exemption from registration in such state.

The information set forth herein has been obtained from sources which are believed to be reliable and is in form deemed final by the City for the purpose of Rule 15c2-12 under the Securities Exchange Act of 1934, as amended (except for certain information permitted to be omitted under Rule 15c2-12(b)(1)).

None of the 2021 Bonds, the General Indenture, as hereinafter defined, or the Series Indenture, as hereinafter defined, have been registered or qualified with the Securities and Exchange Commission by reason of the provisions of Section 3(a)(2) of the Securities Act of 1933, as amended. The registration or qualification of the 2021 Bonds, the General Indenture and the Series Indenture in accordance with applicable provisions of securities laws of the states in which the 2021 Bonds, the General Indenture and the Series Indenture have been registered or qualified, and the exemption from registration or qualification in other states, shall not be regarded as a recommendation thereof.

In making an investment decision, investors must rely on their own examination of the terms of the offering, including the merits and risks involved. These securities have not been recommended by any federal or state securities commission or regulatory authority. Furthermore, the foregoing authorities have not confirmed the accuracy or determined the adequacy of this document. Any representation to the contrary is a criminal offense.

All quotations from and summaries and explanations of laws and documents herein do not purport to be complete, and reference is made to such laws and documents for full and complete statements of their provisions. Any statements made in this Official Statement involving estimates or matters of opinion, whether or not expressly so stated, are intended merely as estimates or opinions and not as representations of fact. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale of the 2021 Bonds shall under any circumstances create any implication that there has been no change in the affairs of the City since the date hereof.

References to website addresses presented herein are for informational purposes only and may be in the form of a hyperlink solely for the reader's convenience. Unless specified otherwise, such websites and the information or hyperlinks contained therein are not incorporated into, and are not part of, this Official Statement for purposes of, and as that term is defined in, Rule 15c2-12 ("Rule 15c2-12") promulgated by the Securities and Exchange Commission.

The Underwriter has provided the following sentence for inclusion in this Official Statement: The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

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State of North Carolina
Department of State Treasurer

DALE R. FOLWELL
Treasurer

State and Local Government Finance Division
and the Local Government Commission

SHARON EDMUNDSON
Deputy Treasurer

$38,125,000
CITY OF ASHEVILLE, NORTH CAROLINA
Water System Revenue Refunding Bonds,
Series 2021

INTRODUCTION

This Official Statement, including the cover page and the Appendices, is intended to furnish information in connection with the issuance by the City of Asheville, North Carolina (the "City"), of $38,125,000 aggregate principal amount of its Water System Revenue Refunding Bonds, Series 2021 (the "2021 Bonds").

The 2021 Bonds are being issued pursuant to the laws of the State of North Carolina (the "State"), including the State and Local Government Revenue Bond Act, as amended (the "Act"). Capitalized terms used herein, unless otherwise defined herein, shall have the same meaning set forth in the Indenture (as defined below). The complete General Indenture (as defined below) is set forth in Appendix C hereto.

The City owns and currently operates a water system (the "Water System") which provides water resources for the City, Buncombe County, North Carolina (the "County") and a portion of Henderson County, North Carolina.

The 2021 Bonds are being issued by the City for the purpose of providing funds, together with other funds, (1) to refund the City's Water System Revenue Bond Anticipation Note, Series 2018 (the "Bond Anticipation Note"), the proceeds of which were used to finance the costs of extensions, additions and capital improvements to, or the acquisition, renewal or replacement of capital assets of, or purchasing and installing new equipment for the water system owned by the City, and (2) to pay the costs of issuing the 2021 Bonds. Bank of America, N.A., an affiliate of the Underwriter, is the current holder of the Bond Anticipation Note.

The 2021 Bonds will be issued and secured pursuant to the Act and by a bond order and resolution adopted by the City Council of the City and pursuant to (1) an Amended and Restated General Trust Indenture, dated as of September 1, 2021 (as amended, the "General Indenture"), amending and restating the General Trust Indenture, dated as of December 1, 2005 (the "Original Indenture"), each between the City and The Bank of New York Mellon Trust Company, N.A., (f/k/a The Bank of New York Trust Company, N.A.) as trustee (the "Trustee"), and (2) a Series Indenture, Number 5, dated as of September 1, 2021 (the "Series Indenture"), between the City and the Trustee. The General Indenture and the Series Indenture are sometimes collectively referred to herein as the "Indenture." The Indenture requires the City to make payments sufficient to pay principal of, premium, if any, and interest on the 2021 Bonds to the Trustee as the same become due and payable in accordance with their terms and provisions and the terms and provisions of the Indenture. Pursuant to the Indenture, the City has pledged to the Trustee the Net Revenues from the operation of the Water System for the benefit of the Owners of the 2021 Bonds.

The pledge of Net Revenues securing the 2021 Bonds is on parity with the pledge securing the City's outstanding Water System Revenue Refunding Bonds, Series 2015, which are currently outstanding in the principal amount of $32,500,000 (the "Existing Bonds"). The Bond Anticipation Note will be redeemed in whole on the issuance date of the 2021 Bonds and will no longer be outstanding. Additional Bonds secured as to the lien on Net Revenues on a parity basis with the Existing Bonds and the 2021 Bonds may be issued on terms as provided in the Indenture. The Existing Bonds, the 2021 Bonds and any Additional Bonds are hereinafter referred to collectively as the "Bonds." The City also has two outstanding loans from the State (the "State Loans") payable from and secured by revenues of the Water System which, as of the date of this Official Statement, have an outstanding balance of $159,777. The State Loans constitute Subordinate Indebtedness pursuant to the Indenture. For more information on the debt service requirements on the State Loans, see "WATER SYSTEM DEBT SERVICE REQUIREMENTS" herein.

A brief description of the 2021 Bonds is included herein. Such description and information does not purport to be comprehensive or definitive. All statements made herein with respect to the Indenture and the 2021 Bonds are qualified in their entirety by reference to such documents and, in particular, statements made herein regarding 2021 Bonds are qualified in their entirety by reference to the forms thereof included in the Indenture and the information with respect thereto included in the aforementioned documents, copies of which are available for inspection at the designated corporate trust office of the Trustee, 4655 Salisbury Road, Suite 300, Jacksonville, Florida 32256, Attention: Corporate Trust Carolinas Unit. Copies of annual financial statements of the City are available upon request from the Finance Director of the City, Tony McDowell, City of Asheville, P.O. Box 7148, Asheville, North Carolina 28802.

The City has undertaken in the Series Indenture to assist the Underwriter in complying with the provisions of Rule 15c2-12 (the "Rule"), promulgated by the Securities and Exchange Commission (the "SEC") and as in effect on the date hereof, by providing annual financial information and material event notices required by the Rule. See "CONTINUING DISCLOSURE."

BofA Securities, Inc. (the "Underwriter") is underwriting the 2021 Bonds. Parker Poe Adams & Bernstein LLP, Charlotte, North Carolina, is serving as Bond Counsel, Womble Bond Dickinson (US) LLP, North Carolina is serving as counsel to the Underwriter, and the City is represented by Brad Branham, Esquire, City Attorney. The Bank of New York Mellon Trust Company, N.A., Jacksonville, Florida, is serving as Trustee under the Indenture. The City's general purpose financial statements for the year ended June 30, 2020 have been audited by its independent auditors. See Appendix B.

In connection with the issuance of the 2021 Bonds, the City has proposed to amend and restate the Original Indenture in the form of the General Indenture. See "SUMMARY OF THE AMENDMENTS TO THE GENERAL TRUST INDENTURE" in Appendix C for a summary of the amendments to the existing Original Indenture to be effected by the General Indenture. Appendix C also includes a complete copy of the General Indenture compared against the Original Indenture to highlight the amendments.

In order to become effective, the amendments to the existing Original Indenture require the consent of the owners of not less than a majority in aggregate principal amount of the Bonds then outstanding under the Original Indenture. By their purchase of the 2021 Bonds, the initial beneficial owners of the 2021 Bonds consent to the execution and delivery of the General Indenture, which will be deemed to be their written consent to the amendments as required by the Original Indenture. On the issuance date of the 2021 Bonds, the proposed amendments will take effect and the General Indenture will be executed and delivered by the City and the Trustee with the issuance of the 2021 Bonds.

The provisions of the General Indenture summarized in the Official Statement reflect the amendment and restatement of the Original Indenture. See "AMENDMENT AND RESTATEMENT OF GENERAL TRUST INDENTURE" herein.

THE 2021 BONDS

General

The 2021 Bonds will be dated the date of their issuance, will be issued in denominations of $5,000 or integral multiples thereof, and will bear interest from their date, payable semi-annually on each February 1 and August 1, commencing February 1, 2022, at the rates and will mature on the dates and in the amounts set forth on the cover of this Official Statement.

Authorization

The 2021 Bonds will be issued pursuant to the Act and by a bond order and resolution adopted by the City Council of the City on August 24, 2021, and in accordance with the General Indenture and the Series Indenture.

The issuance of the 2021 Bonds received the required approval of the North Carolina Local Government Commission (the "LGC") on September 14, 2021. The LGC is a division of the State Treasurer's office charged with general oversight of local government finance in North Carolina. Its approval is required for substantially all bond issues and substantially all other local government financing arrangements in North Carolina. In determining whether to allow bonds to be issued under the Act, the LGC has been given broad discretion to consider the need for and feasibility of the projects to be financed and the local government's general compliance with State budget and finance laws. Under the Act, the LGC is also responsible, with the issuing unit's approval, for selling bonds issued pursuant to the Act. See Appendix D for additional information on the LGC and its powers and duties.

Book-Entry System

The 2021 Bonds will be delivered in book-entry form only, without physical delivery of definitive 2021 Bonds. Payments to beneficial owners of the 2021 Bonds will be made by the Trustee through The Depository Trust Company, New York, New York ("DTC") and its participants. See Appendix F hereto.

Optional Redemption

The 2021 Bonds maturing on or before August 1, 2031, are not subject to call and redemption prior to maturity. The 2021 Bonds maturing on and after August 1, 2032 may be redeemed prior to their maturities, at the option of the City, from any funds that may be available for such purpose, either in whole or in part on any date on or after August 1, 2031 at the redemption price of 100% of the principal amount thereof without premium.

Mandatory Sinking Fund Redemption of the 2021 Bonds

The 2021 Bonds maturing on August 1, 2046 are subject to mandatory sinking fund redemption before their scheduled maturity (the "2046 Term Bonds"), on August 1 of each year, commencing August 1, 2042, without premium, at the redemption price equal to 100% of the principal amount thereof being redeemed in the principal amounts and in the years as follows:

Year	Principal Amount
2042	$1,445,000
2043	1,480,000
2044	1,515,000
2045	1,550,000
2046*	1,585,000

* Maturity

The 2021 Bonds maturing on August 1, 2051 are subject to mandatory sinking fund redemption before their scheduled maturity (collectively with the 2051 Term Bonds, the "Term Bonds"), on August 1 of each year, commencing August 1, 2047, without premium, at the redemption price equal to 100% of the principal amount thereof being redeemed in the principal amounts and in the years as follows:

Year	Principal Amount
2047	$1,620,000
2048	1,655,000
2049	1,695,000
2050	1,735,000
2051*	1,770,000

* Maturity

At its option, to be exercised on or before the 45th day next preceding any mandatory redemption date, the City may (a) deliver to the Trustee for cancellation, the Term Bonds or portions thereof (in Authorized Denominations) in any aggregate principal amount desired, or (b) receive a credit in respect of its mandatory redemption obligation for the Term Bonds (in Authorized Denominations) which prior to said date have been purchased or redeemed (otherwise than through mandatory redemption under this Section) and cancelled by the Trustee and not theretofore applied as a credit against any mandatory redemption obligation. Each such Term Bond or portion thereof so delivered or previously purchased or redeemed and cancelled by the Trustee shall be credited by the Trustee at 100% of the principal amount thereof against the obligation of the City to redeem the Term Bonds on such mandatory redemption date, and any excess over such amount shall be credited against future mandatory redemption obligations in chronological order (or in such other manner as the City shall give written notice to the Trustee), and the principal amount of the Term Bonds so to be redeemed shall be accordingly reduced.

The City will on or before the 45th day next preceding each such mandatory redemption date furnish the Trustee with its certificate indicating whether or not and to what extent the provisions of (a) and (b) of the preceding paragraph are to be availed of with respect to such mandatory redemption payment.

Notice of Redemption

The Trustee shall cause notice of the call for any redemption identifying the 2021 Bonds to be redeemed to be sent not less than thirty (30) days nor more than sixty (60) days prior to the redemption date, (a) by first class mail or electronic transmission, to the LGC, (b) to DTC or its nominee by mail at the address provided to the Trustee by DTC or as otherwise permitted by DTC's rules and procedures, or (c) if DTC or its nominee is no longer the Owner of the 2021 Bonds, by first class mail, to the then registered owner of each 2021 Bond to be redeemed at his address as it appears on the registration books of the Registrar if the 2021 Bonds are not held under a book-entry system and (d) to the Municipal Rulemaking Securities Board (the "MSRB") in an electronic format as prescribed by the MSRB.

Neither the failure to mail the notice nor any defect in any notice mailed will affect the sufficiency of the proceeding for the redemption of any 2021 Bonds as to which no such defect or failure occurred. Such notice must (1) specify the 2021 Bonds to be redeemed, the redemption date, the redemption price and the place or places where amounts due on such redemption must be payable and if less than all of the 2021 Bonds are to be redeemed, the portions of the 2021 Bonds to be redeemed, (2) if sufficient moneys are not then on deposit in the Debt Service Fund to pay the full redemption price of the 2021 Bonds, except in regard to mandatory sinking fund redemption, state that the proposed redemption is conditional on there being sufficient moneys on deposit in the Debt Service Fund to pay the redemption price of the 2021 Bonds called for redemption, and (3) state that on the redemption date, the 2021 Bonds to be redeemed will cease to bear interest.

The City may revoke any redemption for which notice has been given on written instruction to the Trustee delivered in sufficient time for the Trustee to give notice thereof to the persons to whom and in the manner in which the notice of redemption was given.

If money is on deposit in the Debt Service Fund to pay the redemption price of the 2021 Bonds called for redemption on a redemption date, the 2021 Bonds or portions thereof thus called and provided for as hereinabove specified will not bear interest after the date set for redemption and will not be considered to be Outstanding or to have any other rights under the Indenture other than the right to receive payment.

Selection of 2021 Bonds to be Redeemed

In the case of any partial redemption of 2021 Bonds, the City will select the maturity or maturities of the 2021 Bonds to be redeemed, if necessary, and DTC will select the 2021 Bonds within the same maturity pursuant to its rules and procedures, or, if the book-entry system with DTC or any other security depository has been discontinued, the Trustee will select the 2021 Bonds to be redeemed by lot in such manner as the Trustee in its discretion may deem proper. Each Authorized Denomination of principal amount represented by a 2021 Bond will be considered a separate 2021 Bond for purposes of selecting the 2021 Bonds to be redeemed.

SECURITY AND SOURCES OF PAYMENT FOR THE 2021 BONDS

General

The 2021 Bonds are payable solely from and secured by a lien upon and pledge of the Net Revenues from the operation of the Water System and certain money and securities held in certain funds and accounts created by the Indenture. Net Revenues for any period shall mean the excess, if any, of Revenues for such period over the Current Expenses for such period. "Revenues," "Net Revenues" and "Current Expenses" are defined in the General Indenture set forth in Appendix C hereto.

The lien of the 2021 Bonds will be *pari passu* with that securing the Existing Bonds and any hereafter issued Additional Bonds.

The pledge of the Net Revenues does not constitute a lien upon the Water System or any part thereof or any other property of the City. The credit and taxing power of the City is not pledged for payment of the 2021 Bonds, and no owner of the 2021 Bonds has the right to compel the exercise of the taxing power of the City or the forfeiture of any of its property in connection with any default thereon or to apply any funds other than the Net Revenues for the payment of the 2021 Bonds.

Funds and Accounts Held Under General Indenture

The General Indenture establishes several separate funds and accounts for the custody and application of the proceeds of Bonds and other funds. The Debt Service Fund, the Construction Fund, the Reserve Fund and the Rebate Fund will be held by the Trustee. The Debt Service Fund and the Construction Fund may be held by the Trustee or another financial institution having trust powers with the approval of the City and the North Carolina Local Government Commission. The Revenue Fund, the Water Operations Fund, the Water Major Capital Improvements Fund and the Surplus Account will be held by the City.

If the City fails to meet the Rate Covenant (as described below) and any Revenues continue to be insufficient to meet the Rate Covenant by the following fiscal year beginning July 1 twelve months after the beginning of the fiscal year during which the City failed to meet such Rate Covenant, the Trustee may in its sole discretion take possession of any moneys in the Revenue Fund and administer the application thereof or a majority of the registered Owners of the Bonds may instruct the Trustee to require that an Event of Default under the Indenture has occurred and require the Trustee to take possession of any moneys in the Revenue Fund. If the Trustee does so, it may disburse money in the Revenue Fund in such manner as it may determine. If the City fails to meet the Rate Covenant and Revenues continue to be insufficient to meet the Rate Covenant by the end of the second fiscal year beginning July 1 twenty-four months after the beginning of the fiscal year during which the City failed to meet such Rate Covenant, the Trustee shall take possession of any moneys in the Revenue Fund and administer the application thereof and a majority of the registered Owners of the Bonds may instruct the Trustee to require that an Event of Default under the Indenture has occurred.

The 2021 Bonds will <u>not</u> be secured by the Reserve Fund.

CERTAIN PROVISIONS OF THE GENERAL INDENTURE

Revenues

In the Indenture, the City has covenanted to cause all Revenues to be deposited in the Revenue Fund. There will also be deposited in the Revenue Fund any other amounts required to be deposited therein pursuant to the Indenture or any supplemental indenture and any other amounts the City may elect to deposit therein from sources other than the Fund and Accounts described herein. All amounts collected by the City that do not constitute Revenues, which have been deposited in the Revenue Fund, may be paid out of the Revenue Fund in the amounts and at the times determined by the City Representative.

The City will cause disbursements to be made from the Revenue Fund to the Water Operation Fund at such times as may be required to pay Current Expenses as shown on the Annual Budget for the current Fiscal Year. The City will cause disbursements to be made from the Revenue Fund on or before the 20th day of each month from moneys on hand as of the last day of the preceding month in the following order of priority:

> FIRST: To the Trustee for deposit in the Debt Service Fund, on or before the 25th day of the month preceding each Interest Payment Date, an amount such that (after taking into consideration amounts then on deposit in the Debt Service Fund allocated to pay Interest due with respect to the Bonds), there will be in the Debt Service Fund an amount equal to the Interest due on the next Interest Payment Date;

SECOND: To the Trustee for deposit in the Debt Service Fund, on or before the 25th day of the month preceding each Principal Payment Date, an amount such that (after taking into consideration amounts then on deposit in the Debt Service Fund allocated to pay principal due with respect to the Bonds), there will be in the Debt Service Fund an amount equal to the Principal Installment due on the next Principal Payment Date;

THIRD: To the provider of any Qualified Reserve Fund Substitute in satisfaction of the then current obligations of the City incurred in connection therewith;

FOURTH: To the Trustee for deposit in the Reserve Fund (i) the amount necessary for the balance therein to equal the Reserve Requirement, but if the Revenues are insufficient therefor, to each account of the Reserve Fund pro rata or (ii) if the Reserve Fund is less than 90% of the Reserve Requirement as a result of a valuation of investments therein, the amount necessary for the balance therein to equal the Reserve Requirements; but the City is not required to transfer in any month more than an amount such that if the same amount were deposited in equal monthly installments over the subsequent 11 months, the Reserve Fund would equal the Reserve Requirement;

FIFTH: To the Debt Service Fund, the amount necessary to make up any deficiency therein in accordance with the priorities established in the Indenture;

SIXTH: To the Persons entitled to payment of any principal, premium, if any, or interest on any Subordinate Indebtedness, an amount equal to the principal, premium or interest then due and owing;

SEVENTH: To the paying agent or directly to the registered owners of General Obligation Indebtedness in an amount necessary to pay when due the principal of, premium, if any, and interest on the General Obligation Indebtedness;

EIGHTH: To the Persons entitled to payment with respect to any Other Indebtedness, an amount equal to the payment then due and owing;

NINTH: To the Water Major Capital Improvements Fund, 1/12th of the amount, if any, shown in the Annual Budget; and

TENTH: To the Surplus Account, the balance remaining after the transfers described in FIRST through NINTH above.

Moneys held in the Surplus Account shall be applied in the following order of priority: (1) first, to pay a termination payment under a derivative agreement; (2) second, to pay Current Expenses; (3) third, to pay for any other purpose related to the Water System from time to time authorized by the City; and (4) fourth, to pay for any lawful purpose from time to time authorized by the City. Notwithstanding the provisions of the Indenture described above, there are additional statutory limitations on the City's use of certain amounts derived from Revenues. See "THE WATER SYSTEM – Billing and Water Rates" herein.

Rate Covenant

Under the General Indenture, it has been covenanted that before the commencement of each Fiscal Year, the City will fix, establish or maintain or cause to be fixed, established and maintained such rates and charges for the provision of services of the Water System, and revise or cause to be revised the

same, as necessary, as will produce Revenues from the Water System at least equal in such Fiscal Year to the total of (a) the Current Expenses for the Water System budgeted for such Fiscal Year, as may be amended from time to time, plus (b) 120% of (1.20 times) the Principal and Interest Requirements on the Bonds attributable to the Water System to become due during that Fiscal Year plus (c) 100% of (1.00 times) the Principal and Interest Requirements for Subordinated Indebtedness due in such Fiscal Year, plus (d) 100% of (1.00 times) the Principal and Interest Requirements for General Obligation Indebtedness to become due in such Fiscal Year plus (e) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness to become due in such Fiscal Year plus (f) 100% of (1.00 times) the amount required to reimburse the provider of a Qualified Reserve Fund Substitute for any amounts owing thereunder; but no less than an amount sufficient to produce Revenues in such Fiscal Year at least equal to 100% of (1.00 times) the amount necessary to fully fund accounts and funds described under "Revenues" above.

Issuance of Additional Bonds

The City has covenanted not to issue any other obligations payable from the Revenues and having a priority to the lien of the Bonds issued pursuant to the Indenture, nor will the City voluntarily create or cause to be or suffer to be created any debt, lien, pledge, assignment, encumbrance or any other charge having a priority to the lien of the Bonds issued pursuant to the Indenture. In addition, the City has covenanted not to issue any other obligations payable from the Revenues and being on a parity with the lien of the Bonds, nor will the City voluntarily create or cause to be or suffer to be created any debt, lien, pledge, assignment, encumbrance or any other charge on a parity with the lien of the Bonds, other than on the conditions and in the manner provided in the General Indenture.

If the City has issued a Series of Bonds, the proceeds of which were used to acquire or construct any portion of the Water System and such proceeds are insufficient to pay the Costs of Construction, the City may issue a Series of Bonds (the "Completion Bonds") in an amount equal to (a) the insufficiency, (b) any required deposit to the Reserve Fund with respect to such Series and (c) the Costs of Issuance related thereto. Before the issuance of any Completion Bonds under this paragraph, the City shall deliver to the Trustee a Certificate of a Consulting Engineer stating that the proceeds from the Completion Bonds together with other available funds will be sufficient to pay the Costs of Construction of the portion of the Water System for which such Completion Bonds are being issued.

No Series of Bonds, other than Completion Bonds and refunding bonds that meet certain other requirements of the Indenture, may be issued unless either:

(1) the Net Revenues for the most recent Fiscal Year for which audited financial statements are available, adjusted in the manner hereinafter provided, were at least equal to (i) 120% of (1.20 times) the maximum Principal and Interest Requirements, including the Series of Bonds to be issued, (ii) 100% of (1.00) times the Principal and Interest Requirements for Subordinate Indebtedness in that Fiscal Year, (iii) 100% of (1.00 times) the Principal and Interest Requirement for General Obligation Indebtedness in that Fiscal Year, and (iv) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness in that Fiscal Year; or

(2) (i) the Net Revenues for the most recent Fiscal Year for which audited financial statements are available were at least equal to (A) 120% (1.20 times) the Principal and Interest Requirements on the Bonds for such Fiscal Year, excluding the Series of Bonds to be issued, (B) 100% of (1.00 times) the Principal and Interest Requirements for Subordinate Indebtedness in such Fiscal Year, (C) 100% of (1.00) times the Principal and Interest Requirements for General Obligation Indebtedness in such Fiscal Year and (D) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness in such Fiscal Year; and

(ii) the Net Revenues, as projected by a report of a Financial Consultant filed with the Trustee, for the first two Fiscal Years following (A) the date capitalized interest, if any, provided from the proceeds of the proposed Series of Bonds is expended in the case of the acquisition of assets for or construction of improvements to the Water System or (B) the date the proposed Series of Bonds is incurred in any other case, are at least equal to (I) 120% of (1.20 times) the Principal and Interest Requirements on the Bonds, including the Series of Bonds to be issued, for such Fiscal Years, (II) 100% of (1.00 times) the Principal and Interest Requirements for Subordinate Indebtedness to become due in such Fiscal Years, (III) 100% of (1.00 times) the Principal and Interest Requirements for General Obligation Indebtedness to become due in such Fiscal Years and (IV) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness to become due in such Fiscal Years; and

(3) no Event of Default under the Indenture has occurred and is continuing.

The General Indenture provides that any calculations described in this Section may exclude any Bonds or other applicable indebtedness to be refunded by the proposed Additional Bonds.

Other Covenants

Insurance. The City will carry or cause to be carried such insurance with a reputable insurance carrier or carriers, such as is maintained or carried by similar municipal systems as the Water System, including, public liability insurance against loss or damage by fire, explosion, hurricane, flood, cyclone, occupancy or other hazards and risks, and said property loss and damage insurance will at all times be in an amount sufficient to indemnify in amounts sufficient to repair the Water System for loss, but not less than the principal amount of the Bonds Outstanding, to the extent that such insurance is obtainable.

The City may provide for and maintain the insurance partially or wholly by means of an adequate self-insurance fund maintained by the City. Reserves for a self-insurance fund will be determined by using actuarial principles and the portion allocable to the Water System will be payable from Revenues as a Current Expense. Any self-insurance fund will be reviewed annually by the City's risk manager or an Independent Insurance Consultant. The Trustee may rely on a letter of the City's risk manager or an Independent Insurance Consultant (dated as of the first day of the fiscal year) as to the adequacy of any self-insurance fund as measured against standards in the industry for the risks being assumed.

Construction; Maintenance. The City will complete or cause to be completed the additions, extensions and improvements of the Water System provided for in the Indenture in accordance with plans and specifications approved by a Consulting Engineer and in an economical and efficient manner with all practicable dispatch and thereafter will maintain or cause to be maintained the Water System in good condition and will continuously operate or cause to be operated the same in an efficient manner and at a reasonable cost as a municipal revenue-producing enterprise.

Enforceability of Remedies

The actual realization of amounts to be derived upon the enforcement of any pledge or security interest securing the 2021 Bonds will depend upon the exercise of various remedies set forth in the Indenture. These remedies may, in many respects, require judicial action of a nature which is often subject to discretion and delay and specific remedies which may not be readily available or may be limited. For example, a court may decide not to order the specific performance of a covenant contained in the Indenture. The various legal opinions to be delivered concurrently with the delivery of the 2021 Bonds will be qualified as to the enforceability of various legal instruments by limitations imposed by

State and federal laws, rulings, and decisions affecting remedies and by bankruptcy, reorganization or laws affecting the enforcement of creditors' rights generally.

AMENDMENT AND RESTATEMENT OF GENERAL TRUST INDENTURE

In connection with the issuance of the 2021 Bonds, the City has proposed certain amendments to the Original Indenture, all of which will be set forth in the General Indenture by and between the City and the Trustee. In order to become effective, the amendments to the existing Original Indenture require the consent of the owners of not less than a majority in aggregate principal amount of the Bonds then outstanding under the Original Indenture. By their purchase of the 2021 Bonds, the initial beneficial owners of the 2021 Bonds consent to the execution and delivery of the General Indenture, which will be deemed to be their written consent to the amendments as required by the Original Indenture. On the issuance date of the 2021 Bonds, the proposed amendments will take effect and the General Indenture will be executed and delivered by the City and the Trustee with the issuance of the 2021 Bonds.

Appendix C includes a summary of the amendments to the existing Original Indenture to be effected by the General Indenture. Appendix C also includes a complete copy of the General Indenture compared against the Original Indenture to highlight the amendments being effected by the General Indenture to which the beneficial owners of the 2021 Bonds consent by their initial purchase of the 2021 Bonds. Additionally, the provisions of the General Indenture summarized in the front part of this Official Statement reflect the amendment and restatement of the Original Indenture.

THE PLAN OF FINANCE

General

The proceeds of the 2021 Bonds, together with other available funds of the City, will be used to refund all of the Bond Anticipation Note and pay the fees and expenses incurred in connection with the sale and issuance of the 2021 Bonds. The Bond Anticipation Note, which is held by Bank of America, N.A., an affiliate of the Underwriter, will be redeemed on or about the date of issuance of the 2021 Bonds.

The proceeds of the Bond Anticipation Note were used to finance the costs of the North Fork Dam project. The North Fork Treatment Plant, which serves as the City's primary water source, was constructed in 1978 at the Burnett Reservoir. The related North Fork Dam and its associated saddle dam were originally constructed in 1955. The North Fork Dam project includes raising the main and saddle dams by four feet, the addition of spillway capacity, structural upgrades to the conduit running through the main dam, and seismic upgrades for both the main dam and saddle dam. Prior to the project, the existing spillway was significantly undersized against storm levels. The excavated material, in excess of 250,000 cubic yards, was used for buttressing the main dam and saddle dam against earthquake standards. With the North Fork Dam project, the City has taken proactive measures to ensure its water source and infrastructure are protected.

Construction on the project started in December 2017, and the project is now considered substantially complete.

Green Project

The City has deemed the North Fork Dam project (the "Green Project") to serve an environmental benefit within the framework of the Green Bond Principles, a set of voluntary process guidelines developed by a consortium of investment banks, issuers and investors relating to the issuance of obligations that finance or refinance projects that serve environmentally beneficial purposes. Specifically, the City has deemed the Green Project to serve as a sustainable water management project which provides sustainable infrastructure for clean water. The Green Project mitigates physical risks to the City's primary water supply. The improvements prevent uncontrolled flooding in the event of extreme weather as well as earth buttressing to reinforce the main dam and saddle dam for seismic stability.

The purpose of designating the 2021 Bonds as "Green Bonds" is to allow investors to invest directly in bonds which finance or refinance environmentally-sustainable projects. Construction of the Green Project has been completed. The proceeds of the Bond Anticipation Note were used to pay the costs of the Green Project. All of the proceeds have been expended, and the proceeds of the 2021 Bonds will be used to redeem the Bond Anticipation Note on the issuance date of the 2021 Bonds. Because the 2021 Bonds are refinancing the Bond Anticipation Note and the proceeds of the Bond Anticipation Note have already been spent to complete the Green Project, the City has fulfilled its reporting requirements for the 2021 Bonds. On a voluntary basis, the City may post periodic updates on its website, http://www.ashevillenc.gov, regarding the City's environmental sustainability efforts.

The holders of the 2021 Bonds do not assume any specific risk related to the Green Project. The terms "Green Project" and "Green Bonds" are neither defined in, nor related to the Indenture or the Series Indenture, and their use in this Official Statement is for identification purposes only and is not intended to provide or to imply that any holder of the 2021 Bonds is entitled to any additional security other than as provided in the Indenture. The Indenture does not include any covenants of the City to comply with the Green Bond Principles, and any failure to comply with such principles shall not constitute an Event of Default under the Indenture.

ESTIMATED SOURCES AND USES OF FUNDS

The proceeds to be received from the sale of the 2021 Bonds will be applied as shown below:

Sources	
Par amount of 2021 Bonds	$38,125,000
Net Original Issue Premium	2,306,180
TOTAL SOURCES OF FUNDS	$40,431,180
Uses	
Refunding of Bond Anticipation Note	$40,000,000
Costs of Issuance*	431,180
TOTAL USES OF FUNDS	$40,431,180

* Includes underwriter's discount, attorneys' fees, rating agency and financial advisor fees and other miscellaneous costs of issuance.

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WATER SYSTEM DEBT SERVICE REQUIREMENTS

The following table sets forth, for each fiscal year ending June 30, the amounts required in such fiscal year for the payment of the principal of and interest on (1) the Existing Bonds, (2) the 2021 Bonds and (3) all other obligations of the City payable from Net Revenues of the Water System, including the State Loans which constitute Subordinate Indebtedness.

Fiscal Year Ending June 30,	Existing Bonds[1, 2]	Subordinate Indebtedness[1]	2021 Bonds Principal	2021 Bonds Interest	Total[4]
2022[3]	$5,323,588	$9,910		$ 367,382	$5,700,880
2023	5,318,338	9,910	$ 715,000	1,075,163	7,118,411
2024	5,314,838	9,910	755,000	1,038,413	7,118,161
2025	5,306,213	9,910	790,000	999,788	7,105,911
2026	5,306,838	9,910	835,000	959,163	7,110,911
2027	2,483,338	9,910	875,000	916,413	4,284,661
2028	2,478,963	9,910	920,000	871,538	4,280,411
2029	2,480,488	9,910	970,000	824,288	4,284,686
2030	2,478,434	9,910	1,020,000	774,538	4,282,882
2031	2,481,931	9,910	1,070,000	722,288	4,284,129
2032	2,480,141		1,125,000	667,413	4,272,554
2033	2,482,700		1,180,000	609,788	4,272,488
2034			1,220,000	570,375	1,790,375
2035			1,240,000	550,388	1,790,388
2036			1,265,000	529,244	1,794,244
2037			1,285,000	506,931	1,791,931
2038			1,310,000	483,406	1,793,406
2039			1,335,000	457,775	1,792,775
2040			1,360,000	430,825	1,790,825
2041			1,390,000	403,325	1,793,325
2042			1,415,000	375,275	1,790,275
2043			1,445,000	344,869	1,789,869
2044			1,480,000	311,963	1,791,963
2045			1,515,000	278,269	1,793,269
2046			1,550,000	243,788	1,793,788
2047			1,585,000	208,519	1,793,519
2048			1,620,000	172,463	1,792,463
2049			1,655,000	135,619	1,790,619
2050			1,695,000	97,931	1,792,931
2051			1,735,000	59,344	1,794,344
2052			1,770,000	19,913	1,789,913
Total[4]	$43,935,810	$99,100	$38,125,000	$16,006,388	$98,166,307

[1] Includes principal and interest.
[2] Excludes debt service on the Bond Anticipation Note.
[3] Reflects debt service for the whole fiscal year.
[4] Totals may not foot due to rounding.

THE WATER SYSTEM

General Information

The City owns the Water System and is the entity responsible for managing the Water System and for issuing debt obligations for the Water System's capital needs. Prior to June 30, 2005, the Water System was administered by a joint agency created by agreement of the City, the County and certain water and sewer districts.

See Appendix A hereto for certain information regarding the City.

Organization and Operation

The City operates under the council-manager form of government. Policy-making and legislative authority are vested in a governing Council consisting of the Mayor and six other members. The Council is responsible for the budget approval and appointing the City Manager, City Attorney and City Clerk. The City Manager is responsible for implementing Council policies, City ordinances and managing daily operations and appointing department directors.

The City of Asheville Water Resources Department (the "Department") is run by the Director, who is administratively responsible to the City Manager. Water revenues and expenditures are accounted for by the City through its Water Enterprise Funds. The annual budget for the Department is prepared by the City (specifically, the Director and other City staff) and presented to the City Council for consideration and approval by June 30th of each fiscal year. The adopted budget or any part thereof may be amended upon recommendation by the Director or City Manager and upon review, consideration and approval of City Council.

The professional backgrounds of certain management officials of the City and the Department follow:

Debra Campbell, City Manager. Ms. Campbell has served as the City Manager since December 2018. In this role, she is responsible for advancing policies and priorities established by the Mayor and City Council by supporting the work of 16 City departments with over 1,200 full time employees. Ms. Campbell formerly served as an Assistant City Manager of the City of Charlotte. In this role, she provided technical and managerial support to numerous departments which included the Planning, Design and Development Department, Housing and Neighborhood Services Department, Charlotte Area Transit Department, Economic Development and the Charlotte Aviation Department. Prior to becoming an Assistant City Manager, Ms. Campbell also served in the role of Planning Director for over a decade as the director of the then Charlotte Mecklenburg Planning Department. She has more than 35 years of experience in the fields of City Management and Administration, Urban Planning, Transportation/Land Use Integration, Transit Station Area Planning & Development, Neighborhood and Business Corridor Revitalization, Housing and Community Development. Ms. Campbell is a graduate of Middle Tennessee State University where she received a masters in public administration in 1980 and a bachelor of science in urban planning in 1978.

Tony McDowell, Finance Director. Mr. McDowell became the City's Finance Director in April 2021. Mr. McDowell has been with the City for over 22 years, starting as a budget analyst in 1998. He was promoted to Budget Manager in 2006 and was responsible for preparing and administering the City's annual operating budget and 5-year capital improvements program. He became the City's Assistant Finance Director in 2018. As Assistant Finance Director, his duties focused on financial reporting and budget forecasting. During Mr. McDowell's tenure with the City, he also worked in various other roles

within the Finance Department, including leading the Financial Reporting team for two years and serving as interim payroll and accounts payable manager. Mr. McDowell has a bachelor of arts degree in economics and political science from UNC Chapel Hill. He is a member of the North Carolina Local Government Finance Officers Association and North Carolina Local Government Budgeting Association, where he formerly served as a board member.

David Melton, Director of the Water Resources Department. Mr. Melton is the Director of the Water Resources Department and has been with the City for five years. He has over 26 years of experience in the drinking water industry. He has a North Carolina Water Distribution (A) certification and South Carolina Water Distribution (A) certification. In South Carolina, he is also a licensed Water Treatment Operator (A). Mr. Melton is the NCWaterWarn Vice-Chair, a member of the American Water Works Association - NCAWWA/WEA Endowment Committee, and the Membership Committee Regional Leader - NC Water Resources Directors Roundtable. Mr. Melton has a bachelor of arts in business administration from Anderson University.

Leslie Carreiro, Water Production Division Manager. Ms. Carreiro is the Water Production Division Manager and has been with the City for 30 years. Ms. Carreiro has an (A) certification for North Carolina Surface Water Treatment Operator, a (C) certification for North Carolina Distribution Maintenance Operator, is a North Carolina Wastewater Grade 1 Biological Water Pollution Systems Operator and has a North Carolina Wastewater Physical/Chemical certification. Her professional memberships include the North Carolina Water Operators Association (NCWOA) and North Carolina American Water Works Association / Water Environment Association. She has been on the Executive Board for NCWOA since 2005 and is currently serving as Treasurer. Ms. Carreiro has a bachelor of arts in chemistry from Warren Wilson College.

Timothy Burdine, Jr., Water Maintenance Division Manager. Mr. Burdine is the Water Maintenance Division Manager and has been with the City for 19 years. Mr. Burdine has an associate of applied science degree in business administration from Southwestern Community College, has a Water Distribution Certification (A), an Operator in Responsible Charge (ORC) certification, a Backflow and Cross Connection Control Certification / Exam Proctor, a Meter Technician Certification, is a North Carolina (AWWA/WEA) American Water Works Association / Water Environment Association Member, and is a NCWaterWarn Member.

Chad Pierce, Engineering Services Manager. Mr. Pierce is the Engineering Services Manager and has been with the City for 19 years. Mr. Pierce has a bachelor of science degree in civil engineering from Tennessee Tech University and has a North Carolina Professional Engineer License.

The Department has approximately 146 staff members.

General Description

The major water supply for the Asheville/Buncombe/Henderson County area is the City's watershed, which is comprised of 22,000 acres of mountainous forestland. It is one of the largest municipally-owned watersheds in the United States. The Burnett Reservoir, the larger of two impoundment reservoirs, stores 6 billion gallons of water. It has a surface area of 355 acres with over five miles of shoreline. Bee Tree Lake, the other impoundment reservoir, stores 520 million gallons of water and has a surface area of 55 acres.

The North Fork Treatment Plant was constructed in 1978 at the Burnett Reservoir. In 1993, the plant was upgraded and expanded from a treatment capacity of 22 MGD to 31 MGD. The maximum safe yield of the North Fork Reservoir is 24.5 MGD, one of the largest in North Carolina. "Maximum safe

yield" generally means the quantity of water that can be provided continuously during the worst historic drought. The City has taken proactive measures to ensure its water source and infrastructure are protected. Recent modifications at the North Fork Reservoir include raising the main dam by four feet, improvements to the principal spillway, the addition of an auxiliary spillway, modifications to the raw water piping through the dam and to the water treatment plant and earth buttressing to reinforce the main dam and saddle dam for seismic stability. These improvements were financed with the proceeds of the Bond Anticipation Note to be refinanced with the proceeds of the 2021 Bonds.

The William DeBruhl Treatment Plant was constructed in 1986 at Bee Tree Lake with a treatment capacity of 5 MGD. The DeBruhl Treatment Plant was completely refurbished in 2008. The maximum safe yield of the reservoir is 3.3 MGD.

Additional water supply outside of the City's watershed is available from an intake on the Mills River south of the City in Henderson County. The Mills River Treatment Plant was constructed in 1999 at the confluence of the Mills River and French Broad River and has a treatment capacity of 7.5 MGD. The Mills River Treatment Plant is built to allow for modular expansion up to a future capacity of 20-30 MGD on the current site of 327 acres. The maximum safe yield of the Mills River source is limited by treatment capacity and is currently 7.5 MGD.

After treatment, water is stored in 34 reservoirs or tanks throughout the distribution system, which range in capacity from ten thousand to five million gallons of water for a total storage capacity of 26.3 million gallons. The combined safe yield of all three water sources is 35.3 MGD. The total treatment capacity of the plants is 43.5 MGD. Current average consumption is approximately 21.09 MGD (less than one-half treatment capacity) with 24.53 MGD as the highest single day of finished production. The total finished water flow in the fiscal year ended June 30, 2020 was 7.896 billion gallons for all plants.

Considering population trends and assuming a normal level of maintenance as well as regular long term capital improvements (see "Capital Improvement Plan" hereafter in this section), the City estimates the Water System's existing capacity will be adequate for its current service area for at least the next 30 years. However, expansion of the service area with the related addition of new water customers may require an increase in capacity before the end of that period. See "Competition and Expansion" below in this section.

Billing and Water Rates

City staff recommends the rates to be charged for water service, which must then be approved by the City Council. The City's user charge structure for water service includes (i) an administrative base charge that recovers direct billing and collection cost and (ii) volume charges based on the cost of providing service to different classes of customers. There is no variation in water rates between City customers located inside and outside of the corporate limits of the City. Residential single-family, multi-family and small commercial customers receive bills for water services every two months. Large commercial, manufacturing and wholesale customers are billed monthly. Water Revenues are accounted for by the City through its Water Resources Fund.

In addition to its regular base and volumetric charges, the City commenced charging a CIP Fee in 2007. The CIP Fee (sometimes referred to as the Capital Fee) was a monthly fee collected for water system repair, refurbishment and improvements. The actual charge for the fee was based on a flat fee for single-family residential customers for domestic use and a fee based on meter size for multi-family residential, irrigation, commercial and manufacturing customers. In 2018, the City was named in two class action lawsuits challenging the imposition and past collection of the CIP Fee. The claims in the

lawsuits were primarily based on the North Carolina Supreme Court's 2016 decision in Quality Built Homes, Inc. v. Town of Carthage, which invalidated the defendant Town's water-sewer impact fee based on the grounds that the Town did not have legislative authority to impose such a fee. In 2020, the City settled these lawsuits with the plaintiffs without any admission of liability by the City. As part of the settlement, the City was required to pay approximately $1,850,000.

The terms of the settlement agreement also require the City to discontinue charging the CIP Fee commencing with the fiscal year beginning July 1, 2020. For the prior fiscal year ended June 30, 2020, the last year in which the CIP Fee was collected, the CIP Fee revenue totaled approximately $7,100,000. Upon entering into the settlement, the City began working with its financial and water rate consultants to develop a plan to recover the revenue it would forego from discontinuing the CIP Fee through adjustments to the base charge and the volumetric rates to be implemented commencing with the fiscal year ending June 30, 2022. The City's water rate consultant has developed a multi-year model with recommended rate increases through 2027. The rate model was presented to City Council during the FY 2021-22 budget process, and the City Council adopted the first year of those recommended rate adjustments in May 2021 for the fiscal year ending June 30, 2022. Future rate adjustments would be subject to City Council approval during the annual budget process.

For the fiscal year ending June 30, 2022, the City increased the volumetric rates for all customer classes except wholesale customers by approximately 6%, and changed the base fee from a uniform bimonthly charge of $6.34 per bill to a bimonthly charge based on meter size. The City's budget for the fiscal year ended June 30, 2022 anticipated that these changes would generate approximately $3,500,000 in revenues for such fiscal year.

The water rates for consumption for the fiscal year ending June 30, 2022[1] are as follows:

Base Charge:

Meter Size (Inches)	Bi-Monthly Fixed Base Charge[1]
5/8	$ 9.78
3/4	14.05
1	22.58
1½	43.90
2	69.49
3	137.73
4	214.50
6	427.75
8	683.65
10	1,792.55

[1] Some commercial and manufacturing customers are billed monthly rather than bimonthly. Beginning in July 2022, these customers will be billed half the bimonthly base charge, plus a small fee to cover the administrative cost of more frequent billing.

Volume Charge (per CCF):
- Single-Family $4.47
- Irrigation $5.53
- Multi-Family $3.93
- Commercial:
  - 0-1000 CCF (monthly) $3.78
  - Above 1000 CCF (monthly) $2.35

Manufacturer:
- 0-1000 CCF (monthly) $3.78
- Above 1000 CCF (monthly) $2.15

Wholesale Charges:
- Consumption (per CCF)..... $1.23
- Capacity Charge..... $184.00 per 10,000 gallons/day

Currently, the average bi-monthly bill (17 CCF) for a residential single-family customer is $90.24.

[1] The fee schedule is adopted as part of the annual budgeting process prior to the commencement of a given fiscal year. Any water rate changes for such fiscal year take effect with the September billing cycle.

The City also charges fixed system development fees and tap fees for new meters as well as other routine customer service fees.

The City and the Water System are subject to certain statutory limitations enacted by the North Carolina General Assembly which directly impact the City's operation of the Water System. The provisions thereof require that: (a) the City provide water to users in the County if capacity exists, (b) rates for water customers outside of the City not exceed the rates for comparable customers in the City, (c) revenues of the Water System available after payment of expenses not be transferred for any City purpose not related to the Water System and (d) water line extensions are required if capacity exists.

Other Water System Statistics

The following table displays the number of accounts for the Water System for the past five years.

Water System Customers
Fiscal Year Ended June 30,

	2017	2018	2019	2020	2021
Single Family Residential	49,858	50,393	50,583	50,895	51,680
Multi-Family Residential	1,503	1,681	1,722	1,694	1,710
Commercial/Industrial	5,212	5,315	5,685	5,620	5,628
Total	56,573	57,389	57,990	58,209	59,018

The 15 largest customers by revenues of the Water System for the fiscal year ended June 30, 2020 included seven governmental agencies and two hospitals. These 15 customers represent 6.90% of total water operating revenues. For such fiscal year, no one customer accounted for more than 0.97% of the total water operating revenue.

Historical Demand

	Fiscal Year Ended June 30,				
	2017	**2018**	**2019**	**2020**	**2021**
Residential - Single Family					
Total Number of Accounts	49,858	50,393	50,583	50,895	51,680
Total Number of Bills	301,459	304,791	314,001	312,988	317,269
Annual Usage Volume (CCF)	2,933,571	2,823,451	2,030,142	2,097,256	2,883,271
Residential – Multi-Family					
Total Number of Accounts	1,503	1,681	1,722	1,694	1,710
Total Number of Bills	9,136	10,049	10,538	10,451	10,945
Annual Usage Volume (CCF)	1,044,508	1,112,452	846,855	897,179	1,255,026
Non-Residential					
Total Number of Accounts	5,212	5,315	5,685	5,620	5,628
Total Number of Bills	31,803	32,852	33,678	34,779	30,288
Annual Usage Volume (CCF)	3,380,859	3,238,271	2,446,214	2,327,092	2,902,659

Regulation and Certification

North Carolina municipalities such as the City are statutorily empowered to construct and operate water systems and have the right to set the rates for such services and revise such rates from time to time. Municipalities by statute also have the right to extend water services outside of their corporate limits within reasonable limitations established by the North Carolina General Assembly and State courts.

The City is subject to regulation by federal and State authorities with respect to water quality. All new capital projects are designed to comply with environmental criteria and standards as promulgated by the United States Environmental Protection Agency and the North Carolina Department of Environment and Natural Resources (the "DENR"). Necessary measures are being taken in an effort to ensure that the maximum contaminant levels for treated drinking water and the North Carolina Division of Water Resources standards for rivers and streams are met.

The Department has held an ISO 14001 certification for 15 years. The ISO 14001 registration has been an important part of the Department's commitment to the environmental aspects of its operations on a daily basis. All employees in the Department are trained on the ISO 14001 standard which includes four core values to the program: Continuous Improvement, Communication, Compliance, and Commitment to Prevent Pollution

Competition and Expansion

There is currently no significant competition inside the City's corporate limits for new water customers. As of June 30, 2021, the existing water service is provided to 59,048 accounts and currently serves in excess of 124,000 people or approximately 47.47% of the 2019 estimated population of the County. In addition to serving the City and the County, the Water System also serves a portion of Henderson County. The remaining population is served by: three municipal water systems in the Towns of Woodfin, Biltmore Forest, and Black Mountain; a private utility, Carolina Water; and private wells. The watershed, treatment plants, 1,674 miles of transmission and service lines, pumping stations and reservoir storage system combine to make the system one of the largest in North Carolina. The stated goal of the City is to provide water services to 80% of the County's population by the year 2040, with the other systems in the County continuing to operate independently of the City.

Capital Improvement Program

The Capital Improvement Program (the "CIP") is a five-year financing program intended to fund infrastructure improvements, facility construction and improvement, and the acquisition of equipment. The CIP is updated annually in accordance with guidance from the City Council, public comment, and input from City staff. The CIP for the Department for fiscal years 2022-2026 includes a $20 million meter replacement project, replacement of small waterlines, water treatment plant projects, meter and vault repair, large waterline projects, pump station and storage tank projects, system enhancement projects, improvements to the Fairview service area, and projects mandated by the North Carolina Department of Transportation.

The City intends to finance the current CIP through various sources, including pay-go funding from operating revenues and debt financing. The five-year CIP for the Water System provides for $57.6 million in pay-go project expenses along with $20 million in new debt before factoring in existing debt maturity. The prior five-year period (2017-2021) had project expenses totaling approximately $90.5 million. For the $20 million of new debt, the City plans to utilize the same structure it is using with the Bond Anticipation Note and the 2021 Bonds. The City would issue a draw-down bond anticipation note to be drawn on during the acquisition period with the note to be refinanced with a subsequent long-term fixed rate offering. At present, the City anticipates entering into the bond anticipation note arrangement late in the fiscal year ending June 30, 2022 or early in the fiscal year ending June 30, 2023.

Historical Operating Data

Selected information on the financial performance of the Water System for the fiscal years ended June 30, 2017 to 2020 is presented below. Information for the fiscal year ended June 30, 2020 should be read in conjunction with the audited financial statements and notes thereto in Appendix B.

	Fiscal Year Ended June 30, (in thousands)			
	2017	2018	2019	2020
Operating revenues	$38,659	$39,204	$39,517	$40,167
Operation and Maintenance Expense	(19,209)	(19,907)	(21,378)	(22,634)
Operating Income Before Depreciation	19,450	19,297	18,139	17,533
Depreciation	(6,932)	(7,164)	(6,675)	(6,009)
Operating Income	$12,518	$12,133	$11,464	$11,524
Non-Operating Revenues/Expenses:				
Investment Income	$ 206	$ 552	$ 1,661	$ 1,511
Non-operating Income/Expenses	104	(48)	(16)	(1,943)
Bond Interest Expense	(1,330)	(832)	(1,889)	(2,487)
Net Income	$11,498	$11,805	$11,220	$8,605
Adjustment to Net Income:				
Depreciation	$6,932	$7,164	$6,675	$6,009
Non-operating Expenses	1,330	832	1,889	2,487
Net Revenues	$19,760	$19,801	$19,784	$17,101
Debt Service on Senior Lien Indebtedness[1]	$5,358	$5,359	$5,513	$5,691
Debt Service Coverage Ratio for Senior Lien Indebtedness	3.69	3.69	3.59	3.00
Debt Service on Subordinate Indebtedness[2]	$165	$10	$10	$10
Debt Service on all Indebtedness	$5,523	$5,369	$5,523	$5,701
Debt Service Coverage Ratio for all Indebtedness[3]	3.58	3.69	3.58	3.00

[1] Includes debt service on Existing Bonds.

[2] Includes debt service on State Loans.

[3] As described in "CERTAIN PROVISIONS OF THE GENERAL INDENTURE – Rate Covenant" herein, the rate covenant requires the City to maintain, in each Fiscal Year, Revenues at least equal to the total of Current Expenses for such year plus 120% of the debt service requirements on the Bonds plus 100% of the debt service requirements on the City's Subordinate Indebtedness, General Obligation Indebtedness and Other Indebtedness. At present, the City has no General Obligation Indebtedness or Other Indebtedness. Based on the information set forth in the table above, the City satisfied its rate covenant requirements in each such Fiscal Year.

As discussed above under "Billing and Water Rates" above, the City discontinued charging the CIP Fee with the end of the fiscal year ended June 30, 2020. Thus, CIP Fees were not charged in the fiscal year ended June 30, 2021. Unaudited year-end financial results reflect $31,780,792 of total operating revenues and $21,997,293 of total operation and maintenance expenses for the fiscal year ended

June 30, 2021. These unaudited results produce net revenues available for debt service for the fiscal year ended June 30, 2021 of $9,783,499.

Commencing with the fiscal year ending June 30, 2022, the City began implementing its plan for annual adjustments to the base and volumetric fees to offset the loss in revenue from no longer charging the CIP Fee. The following table provides certain information regarding the impact of the loss of the CIP Fee revenue, the implementation of the adjustments to the base and volumetric fees and the issuance of the 2021 Bonds on the audited results for the fiscal year ended June 30, 2020, the unaudited results for the fiscal year ended June 30, 2021 and the budgeted results for the fiscal year ending June 30, 2022.

	Fiscal Year Ended June 30, (in thousands)		
	Actual	Unaudited	Budgeted
	2020	2021	2022
Net Revenues[1]	$17,101	$9,784	$11,221
Debt Service on Senior Lien Indebtedness[2]	$5,691	$5,323	$5,854
Debt Service Coverage Ratio for Senior Lien Indebtedness	3.00	1.84	1.92
Debt Service on Subordinate Indebtedness[3]	$10	$10	$10
Debt Service on all Indebtedness	$5,701	$5,333	$5,864
Debt Service Coverage Ratio for all Indebtedness	3.00	1.83	1.91
Pro-Forma Debt Service Coverage Ratio for all Indebtedness (Less CIP Fees)[4]	1.75	N/A	N/A
Pro-Forma Debt Service Coverage Ratio for all Indebtedness (Less CIP Fees and using MADS)[5]	1.40	1.37	1.58

[1] Net Revenues for the fiscal year ended June 30, 2020, the last year in which CIP Fees were charged, includes approximately $7,100,000 of CIP Fees. The budgeted Net Revenues for the fiscal year ending June 30, 2022 reflect increases to base and volumetric rates as described in "Billing and Water Rates."

[2] Includes debt service on Existing Bonds in the given year.

[3] Includes debt service on State Loans in the given year.

[4] This calculation utilizes a Net Revenues amount of $10,000,000 (which excludes approximately $7,100,000 of CIP Fees) and the actual debt service requirements for the fiscal year ended June 30, 2020.

[5] This calculation (a) utilizes a Net Revenues amount of $10,000,000 (which excludes approximately $7,100,000 of CIP Fees) for the fiscal year ended June 30, 2020, (b) utilizes the unaudited Net Revenues amount of $9,783,499 for the fiscal year ended June 30, 2021 which include no CIP Fees, (c) utilizes the budgeted Net Revenues amount of $11,220,721 for the fiscal year ending June 30, 2022 which include no CIP Fees but take into account the above-described adjustments to the base and volumetric charges and (d) utilizes a maximum annual debt service amount of $7,118,411 in calculating the coverage ratio. Such maximum annual debt service amount takes into account debt service on the Existing Bonds and the 2021 Bonds.

Management Discussion and Matters in Contention

Management Discussion of Operations. As discussed above, after the CIP Fee was discontinued at the end of the fiscal year ended June 30, 2020, City staff engaged with its water rate consultant to develop a long-term plan to recover the revenue loss from the CIP Fee. City Council approved a water rate increase to go into effect for the fiscal year ending June 30, 2022. Even with the rate increase, cumulative water rates for the fiscal year ending June 30, 2022 are still 3.2% lower than the fiscal year ended June 30, 2020 (last year of the CIP Fee) for the average residential household. Water rate charges, along with other water operating revenues, are expected to generate $35.8 million in revenue in the fiscal year ending June 30, 2022. The budget for the fiscal year ending June 30, 2022 includes continued pay-go funding for the Water Fund's multi-year capital improvement program. The budget also includes approximately $900,000 in funding in the Water Fund to implement the recommendations of a recently completed compensation study. Otherwise, the budget reflects a continuation of existing programs and services.

Matters in Contention. The City is not a party to any litigation, the outcome of which, in the opinion of the City Attorney, would materially affect the City's ability to meet its obligations with respect to the Bonds.

Recent Developments Related to COVID-19 Pandemic

General. In response to the global pandemic following the outbreak of COVID-19, a respiratory disease caused by a new strain of coronavirus, Governor Roy Cooper declared a state of emergency for the State on March 10, 2020. Efforts to manage the pandemic have included many extraordinary measures, including travel restrictions, voluntary and mandatory quarantines, event postponement and cancellations, voluntary and mandatory work from home arrangements, and facility closures. The County and the City followed soon thereafter, both declaring States of Emergency on March 12, 2020.

Customer Impact. In light of the pandemic, the City suspended non-payment utility shut-offs on March 13, 2020, ahead of the Governor's Executive Order 124 officially suspending utility non-payment shut-offs in the State. The Executive Order expired on July 28, 2020, and the City briefly resumed utility non-payment shut-offs for customers in arrears beginning after August 18, 2020. The suspension of non-payment shut-offs was later extended to February 18, 2021. Public outreach was undertaken to promote payment plans and other options for customers with accounts in arrears.

Revenues. Due to the measures outlined above to minimize utility service disruptions during the pandemic, revenues from delinquency and reconnection fees were down slightly. Despite this trend, overall revenues for the Water Resources Fund were consistent with prior years.

Expenditures. The City implemented various measures during the pandemic to limit expenditures, including a hiring freeze that began during the fiscal year ended June 30, 2020 and extended through the first half of the next fiscal year. Operating budgets were also kept flat for the fiscal year ended June 30, 2021. As a results of these efforts, revenues for the fiscal year ended June 20, 2020 exceeded operating expenditures and a similar result is expected for the fiscal year ended June 20, 2021.

City leadership and staff have adjusted budget projections for the fiscal year ending June 30, 2022 and will continue to evaluate these projections throughout the fiscal year as new information becomes available. While the economic effects of the COVID-19 pandemic have thus far not proven as severe as initially forecasted, there is ongoing uncertainty around future actions governmental authorities or other institutions may take to contain or mitigate the impact.

FINANCIAL INFORMATION

The financial statements of the City have been audited by certified public accountants through the fiscal year ended June 30, 2020. Copies of these financial statements containing the unqualified report of the independent certified public accountants are available in the office of the Finance Director of the City, Tony McDowell, City of Asheville, P.O. Box 7148, Asheville, North Carolina 28802.

The financial statements attached as Appendix B hereto are the General Purpose Financial Statements of the City and the notes thereto, lifted from the audited financial statements of the City for the fiscal year ended June 30, 2020.

LEGAL MATTERS

Certain legal matters relating to the authorization and validity of the 2021 Bonds are subject to the approving opinion of Parker Poe Adams & Bernstein LLP, Charlotte, North Carolina, Bond Counsel, which will be furnished upon delivery of the 2021 Bonds. Certain legal matters will be passed upon for the City of Asheville by Brad Branham, Esquire, City Attorney, and by Womble Bond Dickinson (US) LLP, North Carolina, as counsel to the Underwriter, none of whom will pass upon the validity of the 2021 Bonds.

Parker Poe Adams & Bernstein LLP serves as Bond Counsel for the City and it has represented or is representing the Underwriter as counsel in other financing transactions. Neither the City nor the Underwriter have conditioned the future employment of Parker Poe Adams & Bernstein LLP in connection with any proposed financings for the City or for the Underwriter on the successful execution and delivery of the 2021 Bonds.

TAX TREATMENT

General

On the date of issuance of the 2021 Bonds, Parker Poe Adams & Bernstein LLP ("Bond Counsel"), will render an opinion that, under existing law (1) assuming compliance by the City with certain provisions of the Internal Revenue Code of 1986, as amended (the "Code"), interest on the 2021 Bonds (a) is excludable from gross income for federal income tax purposes, and (b) is not an item of tax preference for purposes of the federal alternative minimum tax, and (2) interest on the 2021 Bonds is exempt from State of North Carolina income taxation.

The Code imposes various restrictions, conditions and requirements relating to the exclusion of interest on obligations, such as the 2021 Bonds, from gross income for federal income tax purposes, including, but not limited to, the requirement that the City rebate certain excess earnings on proceeds and amounts treated as proceeds of the 2021 Bonds to the United States Treasury, restrictions on the investment of such proceeds and other amounts, and restrictions on the ownership and use of the facilities financed or refinanced with proceeds of the 2021 Bonds. The foregoing is not intended to be an exhaustive listing of the post-issuance tax compliance requirements of the Code, but is illustrative of the requirements that must be satisfied by the City subsequent to issuance of the 2021 Bonds to maintain the excludability of the interest on the 2021 Bonds from gross income for federal income tax purposes. Bond Counsel's opinion is given in reliance on certifications by representatives of the City as to certain facts material to the opinion and the requirements of the Code.

The City has covenanted to comply with all requirements of the Code that must be satisfied subsequent to the issuance of the 2021 Bonds in order that the interest on the 2021 Bonds be, or continue to be, excludable from gross income for federal income tax purposes. The opinion of Bond Counsel assumes compliance by the City with such covenants, and Bond Counsel has not been retained to monitor compliance by the City with such covenants subsequent to the date of issuance of the 2021 Bonds. Failure to comply with certain of such requirements may cause the interest on the 2021 Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the 2021 Bonds. No other opinion is expressed by Bond Counsel regarding the federal tax consequences of the ownership of or the receipt or accrual of interest with respect to the 2021 Bonds.

If the interest on the 2021 Bonds subsequently becomes included in gross income for federal income tax purposes due to a failure by the City to comply with any requirements described above, the City is not required to redeem the 2021 Bonds or to pay any additional interest or penalty.

The Internal Revenue Service has established an ongoing program to audit tax-exempt obligations to determine whether interest on such obligations is includible in gross income for federal income tax purposes. Bond Counsel cannot predict whether the Internal Revenue Service will commence an audit of the 2021 Bonds. Prospective purchasers of the 2021 Bonds are advised that, if the Internal Revenue Service does audit the 2021 Bonds, under current Internal Revenue Service procedures, at least during the early stages of an audit, the Internal Revenue Service will treat the City as the taxpayer, and the owners of the 2021 Bonds may have limited rights, if any, to participate in such audit. The commencement of an audit could adversely affect the market value and liquidity of the 2021 Bonds until the audit is concluded, regardless of the ultimate outcome.

Prospective purchasers of the 2021 Bonds should be aware that ownership of the 2021 Bonds and the accrual or receipt of interest on the 2021 Bonds may result in collateral federal income tax consequences to certain taxpayers, including, without limitation, financial institutions, property or casualty insurance companies, individual recipients of Social Security or Railroad Retirement benefits, certain Subchapter S Corporations with "excess net passive income," foreign corporations subject to the branch profits tax, life insurance companies and taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry the 2021 Bonds. Bond Counsel does not express any opinion as to any such collateral tax consequences. Prospective purchasers of the 2021 Bonds should consult their own tax advisors as to the collateral tax consequences.

Proposed legislation is considered from time to time by the United States Congress that, if enacted, would affect the tax consequences of owning the 2021 Bonds. No assurance can be given that any future legislation, or clarifications or amendments to the Code, if enacted into law, will not contain provisions which could cause the interest on the 2021 Bonds to be subject directly or indirectly to federal or State of North Carolina income taxation, adversely affect the market price or marketability of the 2021 Bonds or otherwise prevent the owners of the 2021 Bonds from realizing the full current benefit of the status of the interest on the 2021 Bonds.

Bond Counsel's opinion is based on existing law, which is subject to change. Such opinion is further based on factual representations made to Bond Counsel as of the date thereof. Bond Counsel assumes no duty to update or supplement its opinion to reflect any facts or circumstances that may thereafter come to Bond Counsel's attention, or to reflect any changes in law that may thereafter occur or become effective. Moreover, Bond Counsel's opinion is not a guarantee of a particular result, and is not binding on the Internal Revenue Service or the courts; rather, such opinion represents Bond Counsel's professional judgment based on its review of existing law, and in reliance on the representations and covenants that Bond Counsel deems relevant to such opinion. Bond Counsel's opinion expresses the professional judgment of the attorneys rendering the opinion regarding the legal issues expressly

addressed therein. By rendering its opinion, Bond Counsel does not become an insurer or guarantor of the result indicated by that expression of professional judgment, of the transaction on which the opinion is rendered, or of the future performance of the City, nor does the rendering of such opinion guarantee the outcome of any legal dispute that may arise out of the transaction.

Original Issue Discount

As indicated on the inside cover page, the 2021 Bonds maturing on August 1, 2033 to 2037, inclusive, and 2041, 2046 and 2051 (the "OID Bonds"), are being sold at initial offering prices which are less than the principal amount payable at maturity. Under the Code, the difference between (a) the initial offering prices to the public (excluding bond houses and brokers) at which a substantial amount of each maturity of the OID Bonds is sold and (b) the principal amount payable at maturity of such OID Bonds, constitutes original issue discount treated as interest which will be excluded from the gross income of the owners of such OID Bonds for federal income tax purposes.

In the case of an owner of an OID Bond, the amount of original issue discount on such OID Bond is treated as having accrued daily over the term of such OID Bond on the basis of a constant yield compounded at the end of each accrual period and is added to the owner's cost basis of such OID Bond in determining, for federal income tax purposes, the gain or loss upon the sale, redemption or other disposition of such OID Bond (including its sale, redemption or payment at maturity). Amounts received upon the sale, redemption or other disposition of an OID Bond which are attributable to accrued original issue discount on such OID Bonds will be treated as interest exempt from gross income, rather than as a taxable gain, for federal income tax purposes, and will not be a specific item of tax preference for purposes of the federal alternative minimum tax. However, it should be noted that the original issue discount that accrues to an owner of an OID Bond may result in other collateral federal income tax consequences for certain taxpayers in the year of accrual.

Original issue discount is treated as compounding semiannually at a rate determined by reference to the yield to maturity of each individual OID Bond. The amount treated as original issue discount on an OID Bond for a particular semiannual accrual period is equal to (a) the product of (i) the yield to maturity for such OID Bond (determined by compounding at the close of each accrual period) and (ii) the amount which would have been the tax basis of such OID Bond at the beginning of the particular accrual period if held by the original purchaser, less (b) the amount of interest payable on such OID Bond during the particular accrual period. The tax basis is determined by adding to the initial public offering price on such OID Bond the sum of the amounts which have been treated as original issue discount for such purposes during all prior accrual periods. If an OID Bond is sold between semiannual compounding dates, original issue discount which would have accrued for that semiannual compounding period for federal income tax purposes is to be apportioned in equal amounts among the days in such compounding period.

The Code contains additional provisions relating to the accrual of original issue discount in the case of owners of the OID Bonds who subsequently purchase any OID Bonds after the initial offering or at a price different from the initial offering price during the initial offering of the 2021 Bonds. Owners of OID Bonds should consult their own tax advisors with respect to the precise determination for federal and state income tax purposes of the amount of original issue discount accrued upon the sale, redemption or other disposition of an OID Bond as of any date and with respect to other federal, state and local tax consequences of owning and disposing of an OID Bond. It is possible that under the applicable provisions governing the determination of state or local taxes, accrued original issue discount on an OID Bond may be deemed to be received in the year of accrual even though there will not be a corresponding cash payment attributable to such original issue discount until a later year.

Original Issue Premium

As indicated on the inside cover page, the 2021 Bonds maturing on August 1, 2022 to 2032, inclusive, 2038 and 2039 (the "Premium Bonds"), are being sold at initial offering prices which are in excess of the principal amount payable at maturity. The difference between (a) the initial offering prices to the public (excluding bond houses and brokers) at which a substantial amount of the Premium Bonds is sold and (b) the principal amount payable at maturity of such Premium Bonds constitutes original issue premium, which original issue premium is not deductible for federal income tax purposes. In the case of an owner of a Premium Bond, however, the amount of the original issue premium which is treated as having accrued over the term of such Premium Bond is reduced from the owner's cost basis of such Premium Bond in determining, for federal income tax purposes, the taxable gain or loss upon the sale, redemption or other disposition of such Premium Bond (whether upon its sale, redemption or payment at maturity). Owners of Premium Bonds should consult their tax advisors with respect to the determination, for federal income tax purposes, of the "adjusted basis" of such Premium Bonds upon any sale or disposition and with respect to any state or local tax consequences of owning a Premium Bond.

LITIGATION

There is no pending or threatened litigation seeking to restrain or enjoin the issuance, sale, execution or delivery of the 2021 Bonds, or questioning or affecting the validity of the 2021 Bonds or any proceedings of the City or the Local Government Commission taken with respect to the issuance or sale thereof, or questioning or affecting the validity of the pledge or application of any security pledged for the payment of the 2021 Bonds or the existence or powers of the City or the Local Government Commission to issue and approve the 2021 Bonds, or questioning the right of the City to adopt and comply with the Indenture or to finance or operate its facilities in accordance therewith.

BANKRUPTCY

Under North Carolina law, a local governmental unit may not file for bankruptcy protection without the consent of the LGC. If bankruptcy proceedings were initiated by the City with the consent of the LGC, the bankruptcy proceedings could have adverse effects on the owners of the 2021 Bonds, including (a) delay in enforcement of their remedies, (b) subordination of their claims to claims of those supplying goods and services to the City after the initiation of bankruptcy proceedings and to the administrative expenses of bankruptcy proceedings and (c) imposition without their consent of a plan of reorganization reducing or delaying payment of the 2021 Bonds. The effect of the provisions of the United States Bankruptcy Code on the rights and remedies of the owners of the 2021 Bonds cannot be predicted and may be affected significantly by judicial interpretation, general principles of equity (regardless of whether considered in a proceeding in equity or at law) and considerations of public policy.

In addition to its consent to bankruptcy filings by local government units, North Carolina law vests authority in the LGC to intervene in the financial affairs, including taking full control of the financial affairs, of local government units, including the City, if the unit defaults, or in the opinion of the LGC will default, on a future debt service payment if financial policies and practices are not improved.

LEGALITY FOR INVESTMENT

Section 159-140 of the General Statutes of North Carolina, as amended, provides that bonds issued under the Act are securities in which all public officers and public bodies of the State of North

Carolina and its political subdivisions and agencies and all insurance companies, trust companies, investment companies, bank, savings banks, building and loan associations, savings and loan associations, credit unions, pension or retirement funds, other financial institutions engaged in business in the State of North Carolina, executors, administrators, trustees and other fiduciaries may properly and legally invest funds, including capital in their control or belonging to them. Such section also provides that such bonds are securities and may properly and legally be deposited with and received by any State of North Carolina or municipal officer or any agency or political subdivision of the State of North Carolina for any purpose for which the deposit of bonds, notes or obligations of the State of North Carolina is now or may hereafter be authorized by law. No representation is made as to the eligibility of 2021 Bonds for investments or any other purpose under any law of any other state.

UNDERWRITING

The Underwriter has entered into a Bond Purchase Agreement to purchase all of the 2021 Bonds, if any of the 2021 Bonds are to be purchased, at a purchase price equal to 100% of the principal amount thereof, plus a net original issue premium of $2,306,179.75 and less an underwriters' discount of $194,070.64. The obligation of the Underwriter to pay for the 2021 Bonds is subject to certain terms and conditions set forth in the Bond Purchase Agreement.

The Underwriter and its affiliates are full service financial institutions engaged in various activities, which may include sales and trading, commercial and investment banking, advisory, investment management, investment research, principal investment, hedging, market making, brokerage and other financial and non-financial activities and services. Certain of the Underwriter and its affiliates have, from time to time, performed, and may in the future perform, various financial advisory and investment banking services for the City, for which they received or will receive customary fees and expenses.

In the ordinary course of their various business activities, the Underwriter and its affiliates, officers, directors and employees may purchase, sell or hold a broad array of investments and actively trade securities, derivatives, loans, commodities, currencies, credit default swaps and other financial instruments for their own account and for the accounts of their customers, and such investment and trading activities may involve or relate to assets, securities and/or instruments of the City (directly, as collateral securing other obligations or otherwise) and/or persons and entities with relationships with the City.

The Underwriter and its affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities and instruments.

The Underwriter has entered into a distribution agreement with its affiliate Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S"). As part of this arrangement, the Underwriter may distribute securities to MLPF&S, which may in turn distribute such securities to investors through the financial advisor network of MLPF&S. As part of this arrangement, the Underwriter may compensate MLPF&S as a dealer for their selling efforts with respect to the 2021 Bonds.

Bank of America, N.A., an affiliate of the Underwriter, is the holder of the Bond Anticipation Note that will be prepaid with proceeds of the 2021 Bonds and other available funds of the City.

RATINGS

Moody's Investors Service, Inc. ("Moody's") and S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC ("S&P"), have assigned independent underlying ratings of "Aa1" and "AA+," respectively, to the 2021 Bonds. Such ratings reflect only the view of Moody's and S&P at the time the ratings were given, and neither the City nor the Underwriter make any representations as to the appropriateness of such ratings.

The ratings are not a recommendation to buy, sell or hold the 2021 Bonds and should be evaluated independently. There is no assurance that such ratings will not be withdrawn or revised downward by Moody's or S&P. Any such action may have an adverse effect on the market price of the 2021 Bonds. Neither the City nor the Underwriter has undertaken any responsibility after the execution and delivery of the 2021 Bonds to assure maintenance of the ratings or to oppose any such revision or withdrawal.

Any explanation of the significance of such ratings may only be obtained from Moody's or Standard & Poor's.

CONTINUING DISCLOSURE

In the Series Indenture, the City will undertake, for the benefit of the Owners and the Beneficial Owners of the 2021 Bonds, to provide to the MSRB:

(a) by not later than seven months after the end of each Fiscal Year, beginning with the Fiscal Year ended June 30, 2021, the audited financial statements of the City for such Fiscal Year, if available, prepared in accordance with Section 159-34 of the General Statutes of North Carolina, as it may be amended from time to time, or any successor statute, or if such audited financial statements are not then available, unaudited financial statements of the City for such Fiscal Year to be replaced subsequently by audited financial statements of the City to be delivered within 15 days after such audited financial statements become available for distribution;

(b) by not later than seven months after the end of each Fiscal Year, beginning with the Fiscal Year ended June 30, 2021, the financial and statistical data in (i) the tables under the caption "Billing and Water Rates" and the table under the caption "Other Water System Statistics" titled "Historical Demand" all under the heading "THE WATER SYSTEM" and (ii) the first table under the heading "THE WATER SYSTEM – Historical Operating Data" included in this Official Statement relating to the 2021 Bonds;

(c) in a timely manner not in excess of 10 Business Days after the occurrence of the event, to the MSRB, notice of any of the following events with respect to the 2021 Bonds:

(1) principal and interest payment delinquencies;

(2) non-payment related defaults, if material;

(3) unscheduled draws on debt service reserves reflecting financial difficulties;

(4) unscheduled draws on any credit enhancements reflecting financial difficulties;

(5) substitution of any credit or liquidity providers, or their failure to perform;

(6) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the 2021 Bonds or other material events affecting the tax status of the 2021 Bonds;

(7) modification of the rights of the beneficial owners of the 2021 Bonds, if material;

(8) call of any of the 2021 Bonds, if material, other than mandatory sinking fund redemption, and tender offers;

(9) defeasance of any of the 2021 Bonds;

(10) release, substitution or sale of any property securing repayment of the 2021 Bonds, if material;

(11) rating changes;

(12) bankruptcy, insolvency, receivership or similar event of the City;

(13) the consummation of a merger, consolidation, or acquisition involving the City or the sale of all or substantially all of the assets of the City, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to such actions, other than pursuant to its terms, if material;

(14) the appointment of a successor or additional trustee, or the change in the name of a trustee, if material;

(15) incurrence of a financial obligation of the City, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a financial obligation of the City, any of which affect the beneficial owners of the 2021 Bonds, if material; and

(16) default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a financial obligation of the City, any of which reflect financial difficulties; and

(d) in a timely manner, to the MSRB, notice of a failure of the City to provide required annual financial information described in (a) or (b) above on or before the date specified.

In the Series Indenture, the City will agree to provide all documents described in this section in an electronic format as prescribed by the MSRB and accompanied by identifying information as prescribed by the MSRB. The City may discharge its undertaking described above by transmitting those documents or notices in a manner subsequently required by the U.S. Securities and Exchange Commission in lieu of the manner described above.

At present, Section 159-34 of the General Statutes of North Carolina requires the City's financial statements to be prepared in accordance with generally accepted accounting principles and to be audited in accordance with generally accepted auditing standards.

For purposes of this Section, "financial obligation" means (a) a debt obligation, (b) a derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation, or (c) a guarantee of either clause (a) or (b) above. The term "financial obligation" does not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

In the Series Indenture, the City will agree that its undertaking is intended to be for the benefit of the Owners and the beneficial owners of the 2021 Bonds and is enforceable by the Trustee or by any of them, including an action for specific performance of the City's obligations under this section, but a failure to comply will not be an Event of Default under the General Indenture and will not result in acceleration of the principal of the 2021 Bonds. An action must be instituted, had and maintained in the manner provided in the Series Indenture for the benefit of all of the Owners and beneficial owners of the 2021 Bonds.

Pursuant to the Series Indenture, the City may modify from time to time, consistent with the Rule, the information provided or the format of the presentation of such information, to the extent necessary or appropriate in the judgment of the City, but:

(a) any such modification may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law or change in the identity, nature or status of the City;

(b) the information to be provided, as modified, would have complied with the requirements of the Rule as of the date of the Official Statement, after taking into account any amendments or interpretations of the Rule as well as any changes in circumstances;

(c) any such modification does not materially impair the interest of the Owners or the beneficial owners, as determined by nationally recognized bond counsel or by the approving vote of the Owners of a majority in principal amount of the 2021 Bonds under the General Indenture as may be amended from time to time.

Any annual financial information containing modified operating data or financial information will explain, in narrative form, the reasons for the modification and the impact of the change in the type of operating data or financial information being provided.

The undertaking described above will terminate on payment, or provision having been made for payment in a manner consistent with the Rule, in full of the principal of and interest on the 2021 Bonds.

The City filed information on January 31, 2019 regarding its compliance with the debt service coverage covenant for the 2017 Bonds for the Fiscal Year ended June 30, 2018; however, for such Fiscal Year, the City did not file the required information on the underlying "Pledged Funds." The City has subsequently filed such information. Except to the extent described in the preceding sentences, the City has not failed to comply in any material respect with any previous continuing disclosure undertaking pursuant to Rule 15c2-12.

FINANCIAL ADVISOR

DEC Associates, Inc., Charlotte, North Carolina, has acted as Financial Advisor to the City in connection with the issuance of the 2021 Bonds.

MISCELLANEOUS

The references herein to the 2021 Bonds and the Indenture are brief outlines of certain provisions thereof. Such outlines do not purport to be complete, and for full and complete statements of such provisions reference is made to such documents, copies of which are available for inspection at the principal office of the City and the principal corporate trust office of the Trustee. Any statements involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact.

The execution and distribution of this Official Statement have been duly authorized by the Local Government Commission. The Local Government Commission and its staff assume no responsibility for the accuracy or completeness of any representation or statement herein except for material with respect to them included under the caption "THE NORTH CAROLINA LOCAL GOVERNMENT COMMISSION" in Appendix D.

The City has supplied the information contained herein relating to the City and has supplied or reviewed the summaries of all documents to which the City is a party, and the City and the LGC have duly approved the delivery of this Official Statement.

APPENDIX A

THE CITY OF ASHEVILLE

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APPENDIX A

THE CITY OF ASHEVILLE

General Description

The City was incorporated in 1797 and is located in the western part of the State, a top growth area of the State. The City occupies a land area of approximately 45.5 square miles and serves a population of more than 90,000. The City is the largest city in western North Carolina, the county seat of Buncombe County (the "County") and the eleventh largest city in the State. The City is between the Blue Ridge and Great Smoky Mountains and is located along the French Broad and Swannanoa Rivers. The City is surrounded by mountains, many with elevations above 5,000 feet. The City is considered to have some of the best surviving examples of Art Deco architecture, including the iconic City Hall, designed by Douglas D. Ellington and completed in 1928.

The City's natural and architectural beauty, moderate climate, outdoor recreation activities, as well as the "foodie" culture and local brewery and distillery businesses, drive the City's consistently high ranking as one of the best places to live, work, play and retire. The City's long-range planning is directed toward preserving the City's high quality of life, so that it remains one of the most attractive places in the United States for both residents and visitors.

The City's popularity creates unique challenges. The City is committed to well-planned, sustainable growth, which includes recognition of the impact that such growth has on the City's residents. The City's economy is reasonably diverse, but is generally service-driven. Housing costs have risen more than service industry wages, making investments in affordable and workforce housing a high priority for the City. With that in mind, City Council has committed to seeking long-term, affordable workforce housing solutions to ensure that the City remains attractive for businesses seeking a high quality of life for their employees.

The City is the center for government, commercial, financial, medical, recreational and entertainment activities for the region. The National Climatic Data Center (a part of the United States Department of Commerce), the Governor's Western Residence, the United States Department of Agriculture Forest Service Southern Research Station and the National Park Service are located in the City. The Western North Carolina Farmers Market and the Western North Carolina Regional Livestock Center centralize commerce for regional farmers.

According to the National Climatic Data Center, the annual average temperature is 56.5 degrees with the average January daily temperature at 37.3 degrees and the average July daily temperature at 73.5 degrees. Average annual rainfall is 46.67 inches and an average annual snowfall is 11.4 inches.

Demographic Characteristics

The Office of State Budget and Management and the United States Department of Commerce, Bureau of the Census, as applicable, has estimated the population of the City to be as follows:

2016	2017	2018	2019	2020
90,918	91,929	92,000	92,452	93,413

Per capita personal income figures for the MSA, County and the State are presented in the following table:

Year	MSA	County[1]	State
2015	$38,445	$43,164	$41,851
2016	40,591	44,412	42,651
2017	41,779	46,143	44,180
2018	43,235	48,592	46,117
2019	45,433	50,690	47,766

[1] Separate data for the City is not available.
Source: United States Department of Commerce, Bureau of Economic Analysis (latest data available).

City Economy, Industry Sectors and Employment

General. The City is the regional center of manufacturing, transportation, health care, banking, professional services and shopping. The City's economy is diverse, with strong representation in health care, retail trade and tourism. The area's leading industry sectors in terms of employment are education, health services, trade, transportation, leisure and hospitality services, and government. Together these sectors account for the majority of jobs in the MSA.

Total taxable sales and construction activity are key economic indicators for the City and the region. The County's taxable sales activity also directly impacts the City's General Fund budget through sales tax receipts. Total taxable sales in the County for the past five fiscal years are shown in the following table:

Fiscal Year Ended June 30,	Total Taxable Sales	Increase Over Prior Year
2017	$5,134,269,461	9.1%
2018	5,437,492,143	5.9
2019	5,754,439,712	5.8
2020	5,490,195,247[1]	(4.6)
2021	6,160,933,639[2]	12.2[2]

[1] Sales declined in fiscal year 2020 due to the impacts of the COVID-19 pandemic. See "Recent Developments Related to COVID-19" herein.
[2] Prepared from monthly totals for the fiscal year ending June 30, 2021 and subject to further rounding.
Source: North Carolina Department of Revenue, Sales and Use Tax Division (separate data for the City not available).

The City has seen significant construction activity in recent years. The following table summarizes the number and value of new construction building permits issued in the City for the five fiscal years ended June 30, 2020:

	Commercial		Residential		
Fiscal Year	Building Permits Issued	Building Permit Values	Building Permits Issued	Building Permit Values	Total Value
2016	236	$198,331,254	481	$88,702,695	$287,033,949
2017	255	398,095,737	391	82,487,634	480,583,371
2018	187	78,723,584	332	68,224,776	146,948,360
2019	298	186,234,431	341	70,562,867	256,797,298
2020	221	177,469,718	337	75,886,471	253,356,189

Source: City of Asheville Development Services Department.

Downtown Development and Innovation. In the last decade, the City has developed a program of deliberate capital investment in areas within the City that were identified as having potential for infill and redevelopment. With State-level restrictions on annexation, cities within the State cannot rely on expanding city boundaries for additional revenue sources. This restriction, and the social trend of professionals moving back into the City from the suburbs, created an opportunity for the City to invest in areas that have unrealized potential, with the intent to spur investment in those areas. To this end, the City has created Four Municipal Service Districts ("MSDs"): (1) the Central Business District, also referred to as the "CBD," represents the core of the City's downtown; (2) the River Arts District, which runs along the French Broad River and encompasses an area that was primarily industrial/warehouse space; (3) the South Slope, the lower (in latitude and elevation) side of downtown; and (4) the North Charlotte Street corridor, a narrow corridor connecting downtown to the historic Grove Park Inn and North Asheville. These "Innovation Districts," as they are called by the City, have seen significant growth spurred by investment. The 2017 revaluation saw downtown property values, including values in both the CBD and South Slope, increase an average of 44% over the previous valuation. The River Arts District, with the arrival of New Belgium Brewery, saw more than 200% growth in property tax value since 2008. Growth is also occurring outside of the Innovation Districts, as the City is actively encouraging infill development throughout the City.

Travel and Tourism. One of the largest sectors of the service industry in the City is the leisure and hospitality industry. Tourism is the third-largest employer in the area and a significant driver of the City's economy. In 2019, the County attracted just under 11.9 million visitors, including 4.2 million overnight guests. These visitors spent $2.2 billion at local businesses and generated a total economic impact of about $3.3 billion.

The City's opportunities for tourists are recognized in the tourism industry. *Frommer's* named the City among their list of the "15 Best Places to Go in 2015" and *Lonely Planet* described Asheville as "the undisputed 'capital' of the North Carolina mountains." Among the City's attractions are its significant arts community, outdoor activities, cuisine and microbreweries.

The Harrah's Cherokee Center Asheville (the "Center"), formerly the Asheville Civic Center, has been providing facilities for entertainment, convention, commercial, cultural and sports activities for the City and surrounding community since 1974. The Center includes a 7,200-seat arena, a banquet hall, a performing arts auditorium with a seating capacity of 2,431, and an exhibition hall. In 2018, events at the Center attracted over 250,000 people. The Southern Conference's men's and women's basketball tournament is a highlight event and has been held in the City since 2013. An economic impact study

published in 2019 determined that the Center has an annual economic impact of over $42 million, is responsible for over 550 full-time equivalent jobs and generates over $6 million in federal, State and local taxes each year. See "Recent Developments Related to COVID-19 Pandemic" herein for a discussion of the impact of the COVID-19 pandemic on the Center.

The 469-mile scenic Blue Ridge Parkway winds along the Blue Ridge Mountains, through the City and enters the Great Smoky Mountains National Park. Overlooks, hiking trails and the headquarters of the Southern Highland Craft Guild make scenic drives along the Blue Ridge Parkway popular for locals and tourists alike. Chimney Rock State Park, with hiking trails for all ages and a 404-foot waterfall, is located just 25 miles southeast of the City.

The half million acre Pisgah National Forest surrounds the City with rugged mountain scenery. It is divided into three ranger districts. The Pisgah Ranger District, dominated by Mount Pisgah, is located roughly between the Towns of Brevard and Waynesville and the City. This district is home to both the Cradle of Forestry in America and the North Carolina Arboretum. The Cradle of Forestry in America is a 6,500-acre historic site set aside by Congress to commemorate the beginning of forestry conservation in the United States. The North Carolina Arboretum is a 434-acre public garden operated under a special use permit issued by the National Forests in North Carolina. The Grandfather Ranger District lies southeast of the Blue Ridge Parkway from north of the City to Blowing Rock, North Carolina. Linville Gorge is the predominant feature of the area with very rugged terrain to challenge even experienced hikers. The Appalachian Ranger District lies from the Great Smoky Mountain National Park's eastern boundary to Craggy Gardens on the Blue Ridge Parkway to near the Tennessee state line at Roan Mountain. This area contains some of the most beautiful mountain scenery in the east including important wildflower habitats at Craggy Gardens and Roan Mountain. Also included in this district are Mt. Mitchell - the highest point in eastern America - and Grandfather Mountain - an international biosphere preserve - although neither of these are actually National Forest property. The peak of Mt. Mitchell and neighboring Mt. Craig are a North Carolina State Park, as is a portion of Grandfather Mountain. The remainder of Grandfather Mountain is privately-owned, but open to the public with an admission charge.

The Biltmore Estate, a home built by George Washington Vanderbilt II between 1889 and 1895, is a large tourist attraction located in the City. At 250 rooms, it is the largest privately-owned home in the United States. In 1963, it was designated a National Historic Landmark. The estate today covers over 8,000 acres and is bisected by the French Broad River. The grounds include over 80 acres of formal gardens, a winery and the Inn on Biltmore Estate, a four-star, 210-room hotel. The Biltmore Estate is a major tourist attraction in the western part of the State, with approximately 1.4 million visitors each year.

The Omni Grove Park Inn (the "Inn") is a resort in the City with 513 rooms, a 40,000 square-foot modern subterranean spa, an 18-hole Donald Ross-designed golf course, a 50,000 square-foot sports complex and 55,000 square feet of meeting space. The Inn opened in July 1913 and is listed on the National Register of Historic Places. The Inn is operated by Omni Hotels & Resorts and boasts an AAA four-diamond rating. The Inn is listed on *Fodor's* list of "Top 10 Luxury Spa Resorts" and *Travel + Leisure's* list of "Top Spa Resorts" in the world.

The City has experienced growth in its lodging options in recent years. Since 2016, seven downtown properties have been added to the City's hotel inventory, including the Kimpton Hotel Arras, located just west of Pack Square. A model of the City's sustainable-growth goals was the construction of the Aloft Hotel downtown. The hotel features 115 loft-style rooms as part of a mixed-use development. The building is connected to a City-owned public parking garage, which is wrapped with workforce housing units. This model, providing workforce housing in the core business sector of the community, is key to the City's plans for ongoing sustainable growth and development.

The Botanical Gardens of Asheville, located on a ten-acre site next to the UNC Asheville campus, is home to more than 600 plant species that are native to the southern Appalachian Mountains. Other tourist attractions in or near the City include the Thomas Wolfe Memorial, the Zebulon Vance birthplace and Biltmore Village.

Health Services. Health Services is the largest industry in the Asheville MSA, accounting for approximately 20% of jobs. The City serves as the regional referral service for the western part of the State. Mission Health, an operating division of HCA Healthcare, is based in the City and is the sixth-largest health system in North Carolina. Mission Hospital is Mission Health's flagship hospital with a 795 bed capacity. The Asheville location also includes the Mission Children's Hospital, the sole children's hospital in the region. In 2018, for the sixth time in the past seven years, Mission Health was named as one of the nation's Top 15 Health Systems by IBM Watson Health (formerly Truven Health Analytics). Mission Hospital is a significant employer in the region, employing approximately 12,000 people. In February 2019, Mission Health was sold to HCA Healthcare. Since Mission Health was a non-profit entity and HCA Healthcare is a for-profit company, proceeds of the sale went to a nonprofit foundation, the Dogwood Health Trust, with plans to distribute grants for healthcare.

CarePartners Health Services ("CarePartners") is part of the Mission Health system and offers a full continuum of post-acute care in four areas: Rehabilitation, Home Health, Adult Care, and Hospice and Palliative. CarePartners includes CarePartners Rehabilitation Hospital, an 80-bed regional referral center with rehabilitation programs for a multitude of illnesses, injuries and conditions. CarePartners also offers (1) outpatient rehabilitation services at eight convenient locations in Asheville and the surrounding region, (2) home health nursing, therapy, and private duty services, (3) hospice and palliative care services in the home, assisted living facilities, rest homes, and the John F. Keever, Jr. Solace Center, a 27-bed, facility in the City for those nearing the end of life, (4) adult day health/day care services, (5) private duty personal and companion care services and (6) orthotics and prosthetics services.

Charles George Veterans Administration Medical Center ("VAMC"), located in the City, serves the health care needs of more than 100,000 veterans living in a 19-county area of western North Carolina. VAMC is a tertiary care, 119-bed acute care facility. It also operates a separate transitional care unit, a 120-bed community living center providing extended care rehabilitation services. In addition to these services, VAMC provides primary care, extended care and rehabilitation, hospice and palliative care, mental health, pharmacy and specialty care services on an in-patient and outpatient basis at the facility in the City and two outpatient clinics in Franklin and Rutherfordton, North Carolina. With a staff of approximately 1,500, VAMC serves as a teaching hospital with programs in education and research.

Manufacturing. One of the most significant drivers of the economies of the City and the western portion of the State is the manufacturing industry. Advanced manufacturing companies are employing more individuals in the MSA, have increased productivity, expanded foreign trade and increased innovation. Major manufacturing entities in the City include GE Aviation, Advanced Manufacturing Solutions Inc. and Eaton Corporation.

The City also has manufacturing facilities in a variety of sizes and industries. In January 2015, White Labs Inc. announced its first East Coast biotechnology laboratory operation in the City which has since opened. Founded in San Diego, California in 1995, White Labs Inc. is a world leader in fermentation sciences for the brewing and winemaking industries. Mirroring the company's headquarters, the facility in the City provides analytical laboratory services and product-related training for industry professionals. The facility is also the base for sales and marketing for the eastern U.S. and global markets. White Labs' fresh yeast and related products, which are a vital link in the worldwide supply chain of the brewing industry, are manufactured on-site for breweries, wineries and distilleries. The company has been recognized for its pioneering scientific studies on improving strains of yeast at a molecular level. White

Labs acquired a 26,000-square-foot facility which was previously owned by the City at 172 S. Charlotte Street. The Company has renovated and expanded the turn-of-the-century structure to accommodate class-A office, laboratory and training facilities and a brewpub.

Science and Technology. The City is also home to companies that provide hosting, internet services, code database providers and high-tech video games, among other technologies. Significant entities in the technology space include AvL Technologies, American Recycling and FLS Energy.

In 2015, the American Association of State Climatologists located its headquarters and first, full-time executive director in the City. The Association supports the development of science-based climate services that assist in climate-related decisions for the public and private sectors, including community planning, business resiliency and risk mitigation.

In 2016, The Collider, a first-of-its-kind physical and intellectual space for "strategic collisions" between business and science, opened in the City. The Collider's goal is to facilitate innovation and rapid commercialization of products, services and technologies related to climate change adaptation and resilience. Located adjacent to the National Centers for Environmental Information (the "NCEI"), The Collider is able to utilize NCEI's archive of environmental and climate data, which is the largest such archive in the world.

Financial Institutions. The City has many commercial banking institutions and savings banks, including: Wells Fargo Bank, N.A.; Bank of America, N.A.; First-Citizens Bank & Trust Company; TD Bank, N.A.; Truist Bank; First Bank; Fifth Third Bank; Capital Bank, N.A.; Pinnacle Bank; PNC Bank, N.A. and HomeTrust Bank.

Employment. The following table shows major employers in the County:

Company/Institution	Type of Enterprise	Approximate Number of Employees
MH Hospital Manager, LLC	Health Care and Social Assistance	1,000+
Buncombe County Board of Education	Educational Services	1,000+
Ingles Markets, Inc.	Retail Trade	1,000+
Veterans Administration	Health Care and Social Assistance	1,000+
County of Buncombe	Public Administration	1,000+
Biltmore Workforce Management, Inc.	Arts, Entertainment and Recreation	1,000+
City of Asheville	Public Administration	1,000+
Wal-Mart Associates, Inc.	Retail Trade	1,000+
Mission Health Community Multispecialty Providers	Health Care and Social Assistance	500-999
Eaton Corporation	Power Management Company	500-999

Source: North Carolina Department of Commerce, Division of Labor and Economic Analysis (4th Quarter 2020).

The Department of Commerce, Division of Labor and Economic Analysis has estimated the percentage of unemployment in the City to be as follows:

	2016	2017	2018	2019	2020	2021
January	4.2%	4.2%	3.4%	3.4%	2.9%	6.2%
February	4.1	4.0	3.4	3.3	2.7	5.5
March	3.9	3.6	3.2	3.2	3.2	4.5
April	3.6	3.1	2.8	2.7	21.9	4.3
May	3.6	3.2	2.8	3.0	21.8	4.4
June	4.0	3.4	3.2	3.2	13.4	4.7
July	4.2	3.6	3.2	3.2	12.3	4.4
August	4.1	3.6	3.1	3.2	8.7	N/A
September	4.0	3.1	2.7	2.6	8.7	N/A
October	3.8	3.0	2.8	2.7	7.2	
November	3.9	3.3	2.9	2.7	6.7	
December	3.8	3.2	3.1	2.6	6.0	

Government and Major Services

Government Structure. Pursuant to the City's charter, the City has a council-manager form of government. The City Council is composed of six council members and a mayor elected at large, for staggered four-year terms on a non-partisan basis. The mayor is directly elected by the citizens by a separate ballot. The City Council appoints the vice-mayor from among the six elected council members.

The City Council acts as the City's legislative body. The major duties of the City Council include: adoption of an annual budget; establishing taxes; enactment of policies concerning the operation of the City; enacting local ordinances; and appointment of the City Manager and of members of various boards and commissions.

The City Manager is the chief administrator of the City, appointed by the City Council to serve at the Council's discretion for an indefinite term. The major duties of the City Manager include: supervising and coordinating the activities of the City departments; attending City Council meetings and making recommendations on appropriate matters of business; ascertaining that all orders and policies of the City Council are implemented; recommending the annual budget; advising the City Council on the financial condition of the City; and representing the City in business with other agencies.

Education. There are two public school systems serving the City, the Asheville City Schools and the Buncombe County Schools. The State provides funding for a basic minimum educational program that is supplemented by the County and federal governments. This minimum program provides funds for operational costs only, while financing of public school facilities has been a joint State and County effort. Thus, local financial support is provided by the County for capital and operating costs that are not provided for by the State or federal government. The City does not provide any funding for the school systems.

The following table shows the number of schools and the ADM for the Asheville City Schools:

School Year	Number of Schools	Elementary (K-5) ADM	Intermediate (6-8) ADM	Grades (9-12) ADM	Total ADM
2016-17	8	2,314	791	1,316	4,421
2017-18	10	2,181	835	1,330	4,346
2018-19	10	2,085	889	1,307	4,281
2019-20	10	2,057	885	1,355	4,297

Note: ADM or Average Daily Membership (determined by actual records at the schools) is computed by the North Carolina Department of Public Instruction on a uniform basis for all public school units in the State. The ADM computation is used as a basis for teacher allotments.

Source: North Carolina Department of Public Instruction website

The following table shows the number of schools and the ADM for the Buncombe County Schools:

School Year	Number of Schools	Elementary (K-5) ADM	Intermediate (6-8) ADM	Grades (9-12) ADM	Total ADM
2016-17	44	10,938	5,385	7,778	24,101
2017-18	46	10,862	5,342	7,551	23,755
2018-19	46	10,655	5,430	7,334	23,419
2019-20	44	9,642	6,777	6,996	23,415

Note: ADM or Average Daily Membership (determined by actual records at the schools) is computed by the North Carolina Department of Public Instruction on a uniform basis for all public school units in the State. The ADM computation is used as a basis for teacher allotments.

Source: North Carolina Department of Public Instruction website

There are several post-secondary institutions located in the County area. The City is home to The University of North Carolina Asheville ("UNC Asheville"), a four-year liberal arts university that is part of the University of North Carolina system. UNC Asheville is the designated public liberal arts university in the 17-campus System. UNC Asheville offers more than 30 majors leading to the bachelor of arts, bachelor of fine arts or bachelor of science degrees and also offers a master of liberal arts and sciences degree. Approximately 3,600 undergraduate students attend the university, which has approximately 330 full- and part-time faculty members.

UNC Asheville is ranked in several national publications for its educational quality and value. *U.S. News & World Report* ranks UNC Asheville eighth in the nation among public liberal arts colleges in its list of "2019 Best Colleges." The 2018 *Fiske Guide to Colleges* named UNC Asheville a "Best Buy"—one of only three North Carolina public universities which made this international list. In 2018, the *Princeton Review* ranked UNC Asheville second nationally on its "Best Schools for Making an Impact" list.

Asheville-Buncombe Technical Community College ("AB Tech") offers both general and trade curriculums for students of all ages. AB Tech offers 61 curriculum programs, 61 degrees, 20 diplomas and 78 certificates. Its main campus in the City includes 27 buildings on 145 acres.

Montreat College, Warren Wilson College, Brevard College and Mars Hill College are located within 10 to 30 miles of the City. The colleges are four-year private, coeducational, comprehensive liberal arts colleges offering undergraduate degrees in over 48 major programs. The combined full-time enrollment at these four colleges approaches 4,000 students. Several of the colleges are named by the *U.S. News & World Report* and the *Fiske Guide to Colleges* as some of the nation's "Best Buys" among private colleges and universities.

Arts and Culture. The City has a rich diversity of arts and culture available for its residents' enjoyment, including approximately 30 art galleries in its downtown area. Also in downtown is Pack Place Education, Arts & Science Center, which opened its doors in 1992. The Pack Place facility is operated by an independent nonprofit corporation under a ground lease from the City, and houses the Asheville Art Museum and the 500-seat Diana Wortham Theatre. The Young Men's Institute (YMI) Cultural Center is a participating organization in Pack Place, and is located nearby in a separate building.

The Asheville Art Museum was established by artists and incorporated in 1948. The Museum is committed to community involvement, providing opportunities for individual development through education and enrichment via the visual arts. The Museum reopened in November 2019 after an approximately $24 million renovation and expansion. The main building now offers 70% more gallery space and has the capacity to host major traveling exhibitions from nationally recognized museums and to display its permanent collection of 20th and 21st century American art.

The Folk Art Center is located in the City on the Blue Ridge Parkway about a five-minute drive from downtown. The Center is home to the Southern Highland Craft Guild, a membership guild of craftspeople. Some of these guild members share their knowledge of crafts and Appalachian culture with the public through a series of free educational events that take place year-round at the Folk Art Center.

The River Arts District, located along the French Broad River near downtown Asheville in 18 turn-of-the-century converted warehouses, consists of galleries, working artist studios, businesses, a brewery, restaurants, a music venue and performing arts venues.

Transportation. The City is served by three interstate highways, I-26, I-40 and I-240. Access to the County, surrounding counties, Tennessee, Virginia, and South Carolina is obtained via Appalachian Corridors, including three interstates and Federal highways: U.S. 25, 25A, 70, 74, 19 and 23. The Asheville area is served by over 30 motor freight carriers. Asheville Rides Transit provides 19 daily bus routes and serves approximately two million riders per year in the City.

Asheville Regional Airport offers direct service to Atlanta, Baltimore, Charlotte, Chicago, Dallas/FortWorth, Fort Lauderdale, New York, Newark, Orlando, Tampa, Sarasota and West Palm Beach, among others. Carriers at the airport include Allegiant, American, Delta, Spirit and United Airlines. In a November 2013 study, the Massachusetts Institute of Technology International Center for Transportation named Asheville Regional Airport the best connected non-hub airport in the United States. The City is also served by the Norfolk Southern Railroad Corporation providing rail lines through Knoxville, Tennessee to the west and Greenville, South Carolina to the south. Passenger rail service is available in Greenville, South Carolina. Local facilities offer loading and unloading.

Public Enterprise Services. As described in the front part of the Official Statement, the City owns and operates a water system which provides water treatment and distribution services to the area. The

City water system serves customers within the City, Buncombe County and Henderson County. Sanitary sewer service within the City is provided by the Metropolitan Sewerage District of Buncombe County. The water and stormwater systems are supported solely by user charges and fees.

Stormwater System. The City maintains a Stormwater Fund which is used to account for revenues and expenses associated with the installation, maintenance, repair and revitalization of the City's storm drainage, catch basins and pipes within the City's streets and rights-of-way. The Stormwater Fund also provides funding for program resources to comply with a Federal Stormwater National Pollutant Discharge Elimination System Phase II Permit. The City's stormwater division also has a capital project administration unit to plan, design and construct large stormwater infrastructure projects. This utility is primarily funded by stormwater fees based upon the amount of impervious surface area that is on a property and is billed as part of the City's utility bill. The Stormwater Division is a part of the Public Works Department.

Wastewater System. Wastewater treatment is provided by the Metropolitan Sewerage District of Buncombe County. The Metropolitan Sewerage District (the "Sewerage District") is a public body organized under the provisions of the North Carolina Metropolitan Sewerage Districts Act, being Article 5, Chapter 162A of the General Statutes of North Carolina, as amended. The Sewerage District was created and established in 1962 by the North Carolina State Stream Sanitation Committee for the purpose of constructing and operating facilities for the treatment and disposal of sewage and industrial wastewater generated within the political subdivisions comprising the Sewerage District. In 1964, the City, pursuant to the creation of the Sewerage District entered into an agreement with that agency for the treatment and disposal of sewage. On July 2, 1990, the City and all of the other public entities in the County conveyed their collector sewer systems to the Sewerage District. Pursuant to the terms of transfer, the Sewerage District assumed the responsibility of maintaining, rehabilitating and reconstructing, where necessary, all of the collector sewer systems in the County that were previously owned and maintained by the City and other public entities.

The Sewerage District is comprised of the following political subdivisions located within the County:

City of Asheville
Town of Biltmore Forest
Town of Weaverville
Town of Black Mountain
Town of Montreat
Woodfin Sanitary Water and Sewer District
Busbee Sanitary Sewer District
Crescent Hill Sanitary District
East Biltmore Sanitary Sewer District
Skyland Sanitary Sewer District
Fairview Sanitary Sewer District
Caney Valley Sanitary Sewer District
Swannanoa Water and Sewer District
Beaverdam Water and Sewer District
Venable Sanitary District
Enka-Candler Water and Sewer District
Town of Woodfin

The Sewerage District owns, operates and maintains a wastewater treatment plant (rated at 40 million gallons per day) to treat raw sewage and industrial wastewater collected in an extensive network of collector sewers owned, operated and maintained by the Sewerage District. The Sewerage District charges individual users of the system directly and the City provides a billing process for this purpose as part of its water billing process.

Other Major Services

Fire. The Asheville Fire Department is internationally accredited and has a Class 2 public protection classification from the Insurance Services Office. This high rating entitles homeowners and

businesses in the City to lower fire insurance premiums. There are twelve fire stations located throughout the City, staffed by approximately 277 people. The stations are strategically located so that all areas of the City are within an approximately five-minute driving time of the nearest fire station. The City has also signed mutual-aid agreements with fire departments in the County to provide help when it is needed.

Police. The City's Police Department is made up of 238 sworn and 50 non-sworn positions. The department also utilizes a volunteer Chaplaincy Corp of over 15 along with other volunteers. The department also collaborates with federal agencies and other local law enforcement agencies to staff various task force teams. The Police Department is a nationally accredited police department through the Commission on Accreditation for Law Enforcement Agencies.

Parks & Recreation. The City's Parks and Recreation Department was the first in the nation to be accredited by the National Recreation and Parks Association demonstrating excellence in municipal parks and recreation services and operations. There are over 70 parks, greenways and facilities located throughout the city managed by a team of 95 employees. Parks and facilities are located throughout the City so that all citizens are located within an average of approximately three miles of a park or recreation facility.

Sanitation, Streets and Fleet. The City's Public Works Department is responsible for solid waste collection, street and sidewalk construction and maintenance, and maintenance of the City's vehicle fleet. The Sanitation Division is responsible for solid waste, brush and recycling collection for City residents. Residents are charged a monthly solid waste fee, which applies to all customers utilizing the solid waste collection and recycling services provided by the City. The Streets Division performs street and sidewalk construction and maintenance for 805 lane miles of City system streets; snow and ice removal, and storm damage abatement. The Division is also responsible for overall cleanliness and tree care. The Division has a capital project administration unit to plan, design and construct large street and sidewalk maintenance infrastructure projects. The City's Transportation Department is responsible for street marking, signage and the traffic signal system. The Fleet Maintenance Division of the Public Works Department maintains the organization's motorized equipment (more than 800 vehicles).

Pension Plans and Other Post-Employment Benefits

The City participates in the following four pension benefit plans: the North Carolina Local Governmental Employees' Retirement System, the Law Enforcement Officers Special Separation Allowance for full-time law enforcement officers, the Supplemental Retirement Income Plan for all employees and Firefighters Governmental Money Purchase Plan.

LGERS is a cost-sharing multiple-employer defined benefit pension plan administered through a board of trustees by the State for public employees of counties, cities, boards, commissions and other similar governmental entities. The North Carolina Department of State Treasurer is the custodian of LGERS funds with administrative costs borne by the participating employer governmental entities. The State makes no contributions to LGERS.

LGERS provides, on a uniform system-wide basis, retirement and, at each employer's option, death benefits from contributions made by employers and employees. Employee members contribute six percent of their annual covered salary. Each employer makes a normal contribution plus, where applicable, a contribution toward any unfunded liability. The City has no unfunded liability. The fiscal year ended June 30, 2021 normal contribution rate, uniform for all employers was 10.20% of eligible payroll for general employees and 10.84% of eligible payroll for law enforcement officers. The fiscal year ending June 30, 2022 normal contribution rate, uniform for all employers is 11.39% of eligible payroll for general employees and 12.04% of eligible payroll for law enforcement officers. Contributions

to the system are determined on an actuarial basis. The City has made all required contributions. At December 2020, LGERS actuarial value of assets was $27.43 billion, the actuarial accrued liability was $30.70 billion with an unfunded liability of $3.27 billion, reflecting a funded ratio of 89%.

Members qualify for a vested deferred benefit at age 50 with at least 20 years of creditable service or at age 60 after at least five years of creditable service. Unreduced benefits are available as follows: at age 65, with at least five years of service, at age 60, with at least 25 years of creditable service, or after 30 years of creditable service, regardless of age. Benefit payments are computed by taking an average of the annual compensation for the four consecutive years of membership service yielding the highest average. This average is then adjusted by a percentage formula, by a total years of service factor, and by an age service factor if the individual is not eligible for unreduced benefits.

The City administers a single-employer defined benefit pension plan ("Separation Allowance") that provides retirement benefits to the City's qualified sworn law enforcement officers. The Separation Allowance is equal to 0.85% of the annual equivalent of the base rate of compensation most recently applicable to the officer for each year of creditable service. The retirement benefits are not subject to any increases in salary or retirement allowances that may be authorized by the General Assembly.

Employee members do not make contributions to the Separation Allowance plan. The City has elected to fund the benefit payments on a pay as you go basis through appropriations made in the General Fund operating budget. The City's actuarial Pension Expense as of the measurement date of June 30, 2020 was $649,873; the City paid $649,873 in separation allowance benefits during that period. At June 30, 2020, the unfunded pension obligation was $8,121,167.

The City contributes to the Supplemental Retirement Income Plan (the "Plan"), a Section 401(k) defined contribution retirement savings plan administered by the Department of State Treasurer and a board of trustees. The Plan provides retirement benefits to law enforcement officers employed by the City. City Council has agreed to extend this benefit to all regular full-time and regular part-time non-law enforcement employees. The employer's contribution rate to the Plan is five percent of eligible payroll. Employee members make voluntary contributions to the Plan.

The City contributes to the Asheville Firefighters 457 Plan (the "NC 457 Plan"). The NC 457 Plan is an eligible defined contribution plan under Section 457(b) of the Internal Revenue Code. The NC 457 Plan are single plans that are sponsored by the State of North Carolina and that have multiple participating employers. The NC 457 Plan is a deferred compensation plan administered by the North Carolina Department of State Treasurer, and available exclusively to those North Carolina public employees whose employers offer the NC 457 Plan. Active firefighters can elect an NC 457 Plan through Prudential. Those eligible may contribute from 2% - 6% of their compensation each year, and the City will provide matching contributions up to 6%. Matching funds are not available for contributions in the amount of 1%.

For additional information concerning the City's participation in the pension benefit plans, please see the Notes to the City's audited financial statements in Appendix B hereto.

The City funds its Other Post-Employment Benefits ("OPEB") benefits on an actuarial basis and is accounting and reporting its related expenses and liabilities in accordance with requirements of Governmental Accounting Standards Board (GASB) Statement No. 74, "Financial Reporting for Postemployment Benefit Plans other than Pension Plans." As of June 30, 2020, OPEB actuarial value of assets was $13.96 million, the actuarial accrued liability was $36.41 million with an unfunded liability of $22.45 million, reflecting a funded ratio of 38.34%. The City has established an irrevocable trust for managing its OPEB assets consistent with investment authority provided by legislation enacted by the

North Carolina General Assembly. Such authority allows the City to invest its OPEB funds in securities that mirror the State of North Carolina's eligible investments used for statewide pension funds. For additional information see the Notes to the City's audited financial statements in Appendix B hereto.

Cybersecurity

The City, like many other large public and private entities, relies on a large and complex technology environment to conduct its operations and faces multiple cybersecurity threats involving, but not limited to, hacking, phishing viruses, malware and other attacks on its computing and other digital networks and systems (collectively, "Systems Technology"). As a recipient and provider of personal, private, or sensitive information, the City may be the target of cybersecurity incidents that could result in adverse consequences to the City and its Systems Technology, requiring a response action to mitigate the consequences.

Cybersecurity incidents could result from unintentional events, or from deliberate attacks by unauthorized entities or individuals attempting to gain access to the City's Systems Technology for the purposes of misappropriating assets or information or causing operational disruption and damage. To mitigate the risk of business operations impact and/or damage from cybersecurity incidents or cyber-attacks, the City invests in multiple forms of cybersecurity and operational safeguards.

While the City's cybersecurity and operational safeguards are periodically tested, the City cannot give any assurances that such measures will ensure against other cybersecurity threats and attacks. Cybersecurity breaches could cause material disruption to the City's finances or operations. The costs of remedying any such damage or obtaining insurance related thereto or protecting against future attacks could be substantial and insurance (if any can be obtained), may not be adequate to cover such losses or other consequential City costs and expenses. Further, cybersecurity breaches could expose the City to material litigation and other legal risks, which could cause the City to incur material costs related to such legal claims or proceedings.

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APPENDIX B

CERTAIN FINANCIAL INFORMATION CONCERNING THE CITY

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APPENDIX B

Management's Discussion and Analysis of the Financial Activities of the City

The following is Management's Discussion and Analysis of the financial activities of the City, lifted from the Comprehensive Annual Financial Report for the City for the fiscal year ended June 30, 2020. Management's Discussion and Analysis provides an objective and easily readable short and long-term analysis of the City's financial activities based on currently known facts, decisions or conditions. Management's Discussion and Analysis is not a required part of the basic financial statements but is supplementary information required by the Governmental Accounting Standards Board. The independent auditors of the City have applied certain limited procedures, which consist primarily of inquiries of management regarding the methods of measurement and presentation of the required supplementary information. However, they did not audit this information and did not express an opinion on it.

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CITY OF ASHEVILLE
MANAGEMENT'S DISCUSSION AND ANALYSIS (Unaudited)
JUNE 30, 2020

As management of the City of Asheville (the "City"), we offer readers of the City financial statements this narrative overview and analysis of the financial activities of the City for the fiscal year ended June 30, 2020. We encourage readers to consider the information presented here in conjunction with additional information that we have furnished in the City's Notes to the Financial Statements, which follow this narrative.

FINANCIAL HIGHLIGHTS

- The assets and deferred outflows of resources of the City exceeded its liabilities and deferred inflows of resources at the close of the most recent fiscal year by more than $479 million (net position). Of this amount, $79.2 million (unrestricted net position) may be used to meet the government's ongoing obligations to its citizens and creditors.
- The City's total net position of $49.8 million represents an increase of $24.9 million over fiscal year 2019's net position of approximately $455 million.
- At the close of the current fiscal year, the City's governmental funds reported combined ending fund balances of over $99 million, a decrease of $6 million in comparison with the prior year's amount of $105 million. The unassigned portion of the General Fund balance is approximately $18 million; this amount is available to spend at the City's discretion.
- At the end of the current fiscal year, the non-spendable, restricted, committed and assigned portions of fund balance for all governmental funds was $116.0 million.
- The City's total long-term liabilities increased by $19.1 million during the current fiscal year. This increase is primarily attributable to the General Obligation Bond Anticipation Note issued in 2020, in the amount of $24 million, of which an additional $35.8 million was drawn down. In FY2019, the city issued interim construction debt for the North Fork Dam project, Water Revenue Bonds, Series 2018, in the amount of $40 million, of which an additional $10.2 million has been drawn in FY2020. Annually, the City enters into an installment financing agreement (59-month debt) for vehicles and equipment. In FY2020, the agreement was for a total of $4.65 million, of which $4.443 million is for governmental activities and $207,251 for business-type activities. The increase in long-term liabilities was partially offset by the payment of principal on the City's existing debt in conformance with the applicable maturity schedules.

  The City's current general obligation bond ratings as noted below.

Moody's	Aaa
Standard & Poor's	AAA

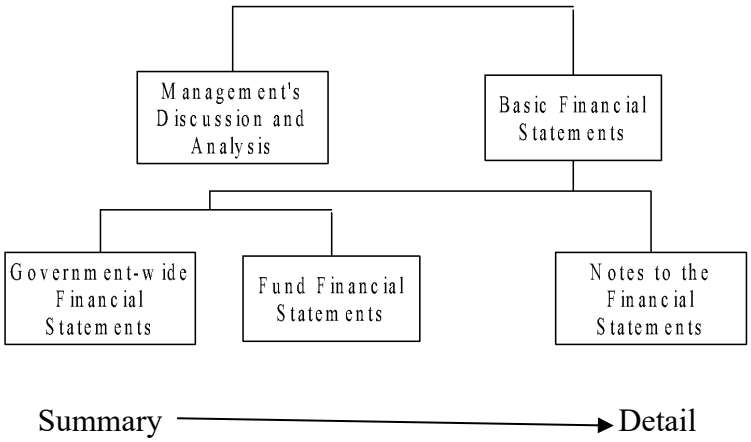
The GO Bond Anticipation Notes and the Water Resources interim construction debt are part of the City's long-term debt model, which is designed to minimize debt service during capital construction. These debt issuances are short-term, interim debt facilities which will be paid off in full with the issuance of permanent long-term (20 year) debt as projects are completed. The City's financial model allows the City to most effectively leverage taxpayer funds and tie debt maturity more accurately to the life of the underlying assets.

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis is intended to serve as an introduction to the City's basic financial statements. The financial statements include two kinds of statements that present different views of the City: 1) Government-Wide Financial Statements and 2) Fund Financial Statements. Both perspectives are essential and complementary components that allow the user to address relevant questions, broaden a basis for comparison, and enhance the City's accountability. Another element of the basic financial statements is the notes to the financial statements. In addition to the basic financial statements, the report contains other supplemental information that will enhance the reader's understanding of the financial condition of the City as well as compliance issues that are addressed by Government Auditing Standards, Office of Management and Budget (OMB) Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administration Requirements, Cost Principals, and Audit Requirements for Federal Awards ("Uniform Guidance") and the North Carolina Single Audit Implementation Act (Figure 1).

Required Components of Annual Financial Report

Figure 1



Basic Financial Statements

The first two statements (Exhibits A and B) in the basic financial statements are the **government-wide financial statements**. They provide both short and long-term information about the City's financial status.

The next statements (Exhibits C through L) are **fund financial statements**. These statements focus on the activities of the individual parts of the City's government. These statements provide more detail than the government-wide statements. There are four parts to the Fund Financial Statements: 1) the governmental funds statements; 2) the budgetary comparison statements; 3) the proprietary fund statements; and 4) the fiduciary fund statements.

The next section of the basic financial statements is the **notes**. The notes to the financial statements explain in detail some of the data contained in those statements. After the notes, the **required supplementary information** section contains funding information about the City's pension plans and post-employment healthcare and dental benefits plans. Next, **supplementary information** is provided to show details about the City's non-major governmental funds, all of which are added together in one column on the basic financial statements. Budgetary information required by the General Statutes also can be found in this part of the statements.

Government-wide Financial Statements

The **government-wide financial statements** are designed to provide the reader with a broad overview of the City's finances, similar in format to a financial statement of a private-sector business. The government-wide statements provide short- and long-term information about the City's financial status as a whole.

The *statement of net position* presents information on the City's assets and deferred outflows of resources, and liabilities and deferred inflows of resources, with the difference between the two reported as the *net position*. Over time, increases or decreases in net position may serve as a useful way to gauge the City's financial condition.

The *statement of activities* presents information on how the City's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of related cash flows. Therefore, revenues and expenses are reported in this statement, which result in cash flows in future fiscal periods, such as uncollected taxes and earned but unused vacation leave.

Government-wide statements are divided into governmental and business-type activities. The governmental activities include most of the City's basic services such as public safety, culture and recreation, transportation, community and economic development, and general government. Property taxes, sales tax, and other local taxes finance about 75 percent of the costs of these activities. Business-type activities include water resources, stormwater management, parking services, street cut utility, the Harrah's Cherokee Center - Asheville (HCCA), and mass transit services. These activities are primarily paid from charges to customers, with the exception of mass transit, which receives federal grants and transfers from the General Fund as its primary sources of funding.

The government-wide financial statements are on Exhibits A and B of this report.

Fund Financial Statements

The **fund financial statements** (Exhibits C through L) provide a more detailed look at the City's most significant activities. A fund is used to maintain control over resources that have been segregated for specific activities or objectives. Fund accounting ensures and reflects compliance, or non-compliance, with related legal requirements, such as General Statutes, grantor provisions, or the City's budget ordinance. The funds of the City are divided into three categories: 1) the

governmental fund statements, 2) the proprietary fund statements, and 3) the fiduciary fund statements.

Governmental Funds – Governmental funds are used to account for those functions reported as governmental activities in the government-wide financial statements. Unlike the government-wide financial statements, governmental fund financial statements focus on how assets can readily be converted into cash flow in/out and what monies are left at year-end that will be available for spending in the next year. Most of the City's basic services are accounted for in governmental funds. Governmental funds are reported using an accounting method called *modified accrual accounting,* which provides a current financial resources focus. As a result, the governmental fund financial statements give the reader a detailed short-term view that helps him or her determine if there are more or less financial resources available to finance the City's programs. The relationship between government activities (reported in the Statement of Net Position and the Statement of Activities) and governmental funds is described in a reconciliation that is a part of the fund financial statements.

The City maintains eight individual governmental funds. Information is presented separately in the governmental fund balance sheet and in the governmental fund statement of revenues, expenditures, and changes in fund balances for the General Fund and the General Capital Projects Fund. Data from the other six governmental funds are combined into a single, aggregated presentation. Individual fund data for each of these non-major governmental funds is provided in the form of *combining statements* elsewhere in this report.

The City adopts an annual budget for its General Fund, as required by North Carolina General Statutes. The budget is a legally adopted document that incorporates input from Asheville citizens, city management, and decisions of the City Council about which services to provide and how to pay for them. It also authorizes the City to obtain funds from identified sources to finance current period activities. The budgetary statement provided for the General Fund demonstrates how well the City complied with the budget ordinance and whether or not the City succeeded in providing the services as planned when the budget was adopted. The General Fund budgetary comparison statement uses the budgetary basis of accounting – modified accrual – and is presented with modifications to the format, language, and classifications from the legal budget document. The statement shows four columns: 1) the original budget as adopted by the City Council, 2) the final budget as amended by the City Council, 3) the actual resources, charges to appropriations, and ending balances in the General Fund, and 4) the difference or variance between the final budget and the actual resources and charges.

The basic governmental fund financial statements are Exhibits C through G of this report.

Proprietary Funds – The City maintains two types of proprietary funds. *Enterprise funds* are used to report the same functions presented as *business-type activities* in the entity-wide financial statements. The City uses enterprise funds to account for its water resources, HCCA, parking services, stormwater management, street cut utility, and mass transit operations. *Internal service funds* are an accounting mechanism used to accumulate and allocate costs internally among the

City's various functions. The City uses internal service funds to account for the financing of goods and services provided by the Health Insurance, Workers' Compensation, and Property and Casualty Funds on a cost reimbursement basis. Additionally, the City uses an internal service fund entitled General for the purpose of accumulating net assets not specifically assigned to any of the other internal service funds. As each of these services predominantly benefits governmental rather than business-type functions, they have been included within governmental activities in the government-wide financial statements.

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The proprietary fund financial statements provide separate information for the Water Resources Fund, Parking Services Fund, and Mass Transit Fund, which are considered to be major funds of the City. The basic proprietary fund financial statements can be found in Exhibit H through J of this report.

Fiduciary Funds – Fiduciary funds are used to account for resources held for the benefit of parties outside the government. Fiduciary funds are *not* reflected in the government-wide financial statement because the resources of those funds are *not* available to support the City's own programs. The accounting used for fiduciary funds is much like that used for proprietary funds. The City maintains three fiduciary funds: one pension trust fund and two agency funds. The basic fiduciary fund financial statements can be found on Exhibits K and L of this report.

Notes to the Basic Financial Statements – The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements are on pages 46-97 of this report.

Other Information – In addition to the basic financial statements and accompanying notes, this report also presents certain *required supplementary information* concerning the City's progress in funding its obligation to provide pension benefits to its employees. Required supplementary information can be found on pages 98-103 of this report. The combining statements, referred to earlier in connection with non-major governmental funds, are presented immediately following the required supplementary information on pensions. The other supplementary information shows details about the City's individual funds, including budgetary information required by the North Carolina General Statutes as well as other data the City considers helpful to the reader.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

The Government-wide financial statements are designed to provide the reader with a broad overview of the City's finances, similar in format to a financial statement of a private-sector business. The government-wide statements provide short and long-term information about the City's financial status as a whole. The two government-wide statements report the City's net position and how it has changed. Net position is the difference between the City's total assets and deferred outflows of resources, and total liabilities and deferred inflows of resources. Measuring net position is one way to gauge the City's financial condition. As noted earlier, net position may serve over time as a useful indicator of a government's financial condition. In the case of the City,

assets and deferred outflows exceed liabilities and deferred inflows by $477 million as of June 30, 2020 (Figure 2).

Significant changes in the City's net position include the following:

- The increases in both governmental and business-type non-current liabilities (approximately $22 million), is related to the General Obligation Bond Anticipation Note issued in 2020, noted above.

Government-Wide Financial Analysis
City of Asheville Net Position
(amounts expressed in thousands)
Figure 2

	Governmental Activities		Business-Type Activities		Total	
	2020	2019	2020	2019	2020	2019
Current and other assets	$130,796	$134,321	$90,424	$97,297	$221,220	$231,618
Capital assets	231,569	200,334	298,870	273,070	530,439	377,286
Total Assets	362,365	334,655	389,294	370,367	751,659	608,904
Deferred outflows of resources	16,728	18,156	4,156	4,532	20,884	29,334
Total assets and deferred outflows of resources	379,093	352,811	393,450	374,899	772,543	638,238
Non-current liabilities	156,885	143,056	96,474	91,174	253,359	234,230
Other liabilities	21,736	17,769	13,557	15,723	35,293	33,492
Total Liabilities	178,621	160,825	110,031	106,897	288,652	267,722
Deferred inflows of resources	3,124	4,144	971	989	4,095	5,133
Total liabilities and deferred inflows of resources	181,745	164,969	111,002	107,886	292,747	272,855
Net position:						
Net investment in capital assets	130,826	113,451	213,000	193,433	343,826	306,884
Restricted	56,744	62,152	-	-	56,744	62,152
Unrestricted	9,778	12,240	69,488	73,581	79,266	85,821
Total net position	$197,348	$187,843	$282,488	$267,014	$479,836	$454,857

By far the largest portion of the City's net position ($345.7 million or 72 percent) reflects the City's investment in capital assets (e.g., land, buildings, infrastructure, machinery, and equipment) less any related debt that is still outstanding that was issued to acquire those assets. The City uses these capital assets to provide services to citizens; consequently, these assets are *not* available for future spending. Although the City's investment in its capital assets is reported net of the outstanding related debt, it should be noted that the resources needed to repay this debt must be provided from other sources since the capital assets are committed to the continued provision of service and cannot be used to liquidate these liabilities. An additional portion of the City of Asheville's net position, $56.7 million, represents resources that are subject to external restrictions such as state statute requirements, community development activities, and cemetery maintenance. The remaining balance of $74.3 million is unrestricted.

The City's management has adopted a philosophy that focuses on three guiding principles:

- ***Essential services delivery*** to provide departments with the resources required to meet service delivery expectations.

- ***Enhancing customer value*** to ensure efficient service delivery that improves the customer experience.
- ***Strategic alignment*** to direct new and existing resources towards achieving community, Council and staff goals.

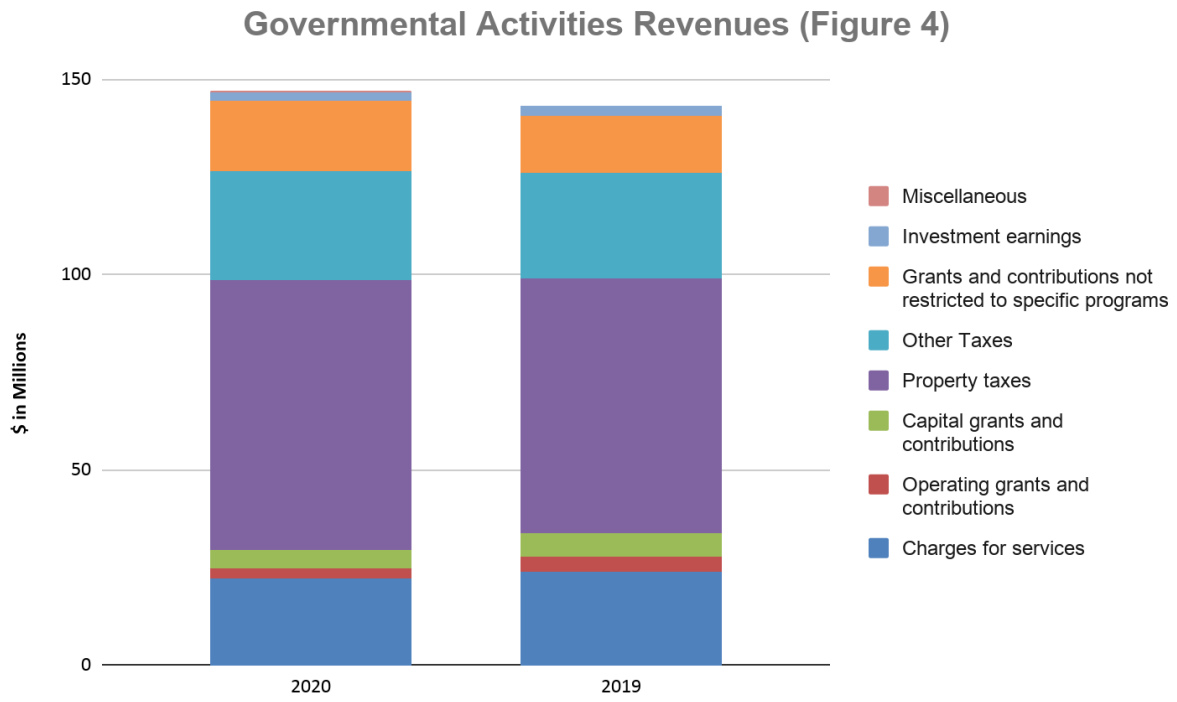
This philosophy and a focus on collaboration enables management to work together to achieve service and financial goals, including the following aspects of the City's financial operations and environment that positively influence the total unrestricted governmental position:

- Ongoing careful management of resources. The City of Asheville's management is committed to deliberate and considered use of taxpayer funds. Actual budget performance in expenditures consistently comes in under the adopted budget. Continued better than budget performance demonstrates the success of management initiatives to maximize the impact of budgeted funds.
- Long-range planning. City management is committed to developing plans that ensure the financial sustainability of the City in the long term. Resource management and human capital management decisions are made collaboratively and with consideration for both short and long-term impacts on service delivery, succession planning and financial sustainability.
- Local economy. External factors, including local economic growth, help to increase revenues. Diversification of revenues can be challenging given the City's limited ability to develop new revenue streams without specific State Legislative approval. Sales tax revenue increased by 8.7% in fiscal year 2019 and then despite a drop in the final quarter due to the COVID-19 pandemic, still increased by 2.9% in fiscal year 2020.

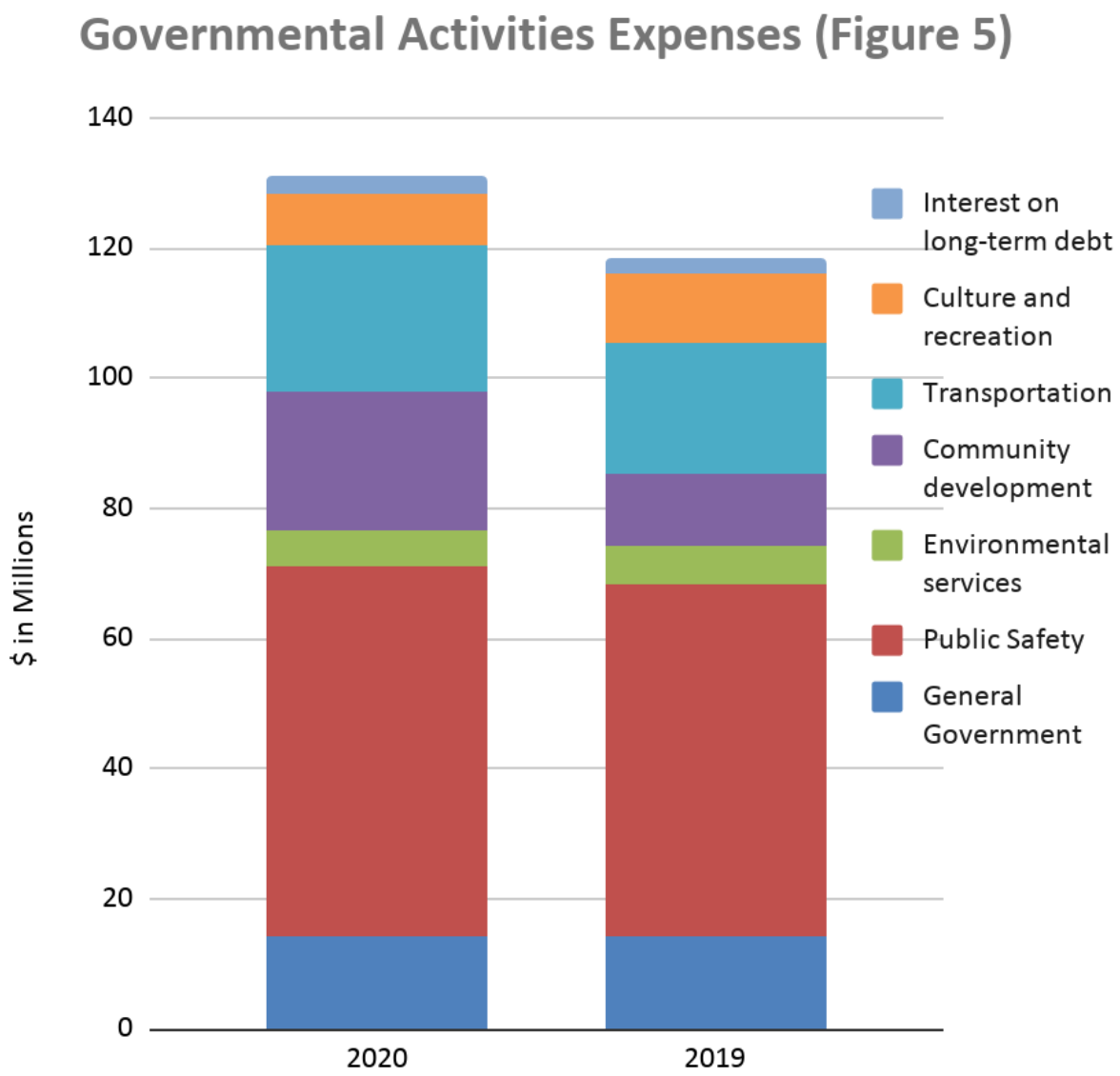
City of Asheville Changes in Net Position
(amounts expressed in thousands)
Figure 3

	Governmental Activities		Business-Type Activities		Total	
	2020	2019	2020	2019	2020	2019
Revenues:						
Program revenues:						
Charges for services	$22,426	$23,779	57,988	58,652	$80,414	$82,431
Operating grants and contributions	2,442	4,217	2,415	6,408	4,857	10,625
Capital grants and contributions	4,682	5,902	6,985	4,030	11,667	9,932
General revenues:						
Property taxes	69,096	65,094	-	-	69,096	65,094
Other taxes	27,964	27,050	-	-	27,964	27,050
Grants and contributions not restricted to specific programs	17,860	14,637	-	-	17,860	14,637
Investment earnings	2,151	2,468	1,774	1,938	3,925	4,406
Miscellaneous	584	(262)	492	572	1,076	310
Total revenues	147,205	142,885	69,654	71,600	216,859	214,485
Expenses:						
General government	14,352	14,402	-	-	14,352	14,402
Public safety	56,600	53,705	-	-	56,600	53,705
Environmental services	5,645	6,043	-	-	5,645	6,043
Community development	21,243	11,036	-	-	21,243	11,036
Transportation	22,714	20,342	-	-	22,714	20,342
Culture and recreation	7,820	10,507	-	-	7,820	10,507
Interest on long-term debt	2,551	2,225	-	-	2,551	2,225
Water resources	-	-	33,101	30,262	33,101	30,262
Parking services	-	-	3,919	4,678	3,919	4,678
Street Cut Utility	-	-	1,708	1,719	1,708	1,719
Stormwater	-	-	5,157	5,724	5,157	5,724
Harrah's Cherokee Center - Asheville	-	-	4,871	4,672	4,871	4,672
Mass transit	-	-	12,237	11,248	12,237	11,248
Total expenses	130,926	118,260	60,993	58,303	191,918	176,563
Increase (decrease) in net position before transfers	16,276	24,625	8,662	13,297	24,938	37,922
Transfers	(6,772)	(4,728)	6,772	4,728	-	-
Increase (decrease) in net position	9,504	19,897	15,434	18,025	24,938	37,922
Net position, beginning of year	187,843	167,946	267,014	248,989	454,857	416,935
Net position, end of year	$197,347	$187,843	282,448	267,014	$479,795	$454,857

Government-wide Analysis



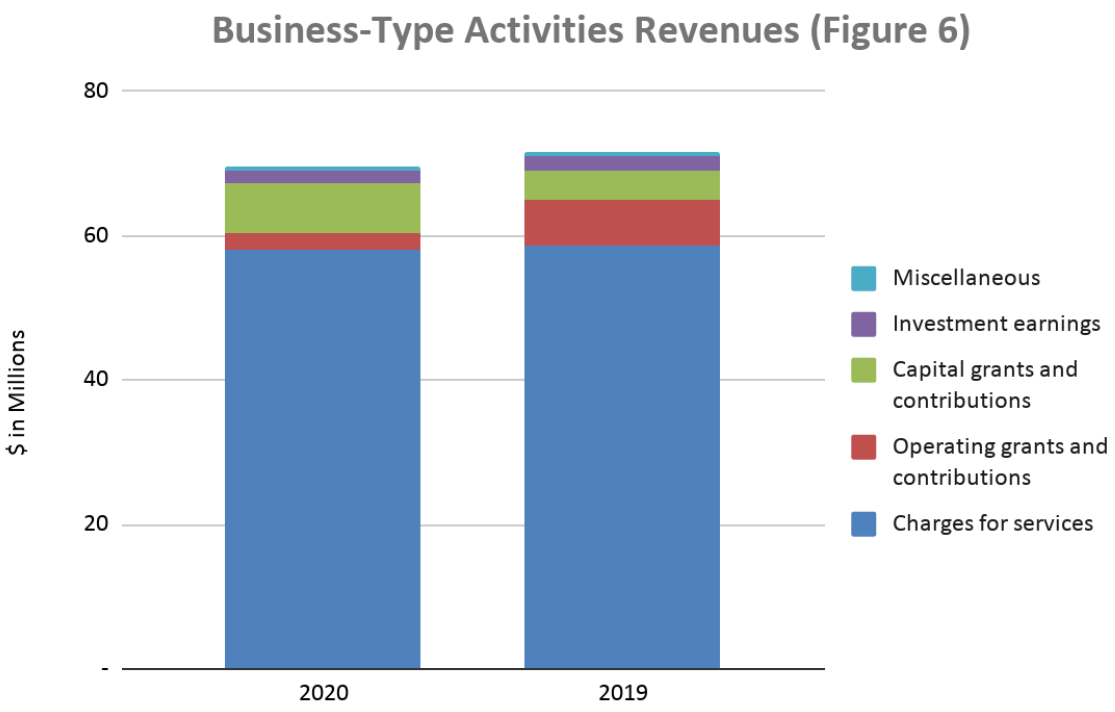
Total expenses reported (Figure 5) in the governmental activities for fiscal year 2020 were $130.9 million as compared to fiscal year 2019's $118.3 million – a year-over-year increase of $12.6 million. This is primarily attributable to increased expenses in Community Development and Public Safety of $10.2 million and $3.0 million, respectively, due to increased expenditures related to COVID-19.

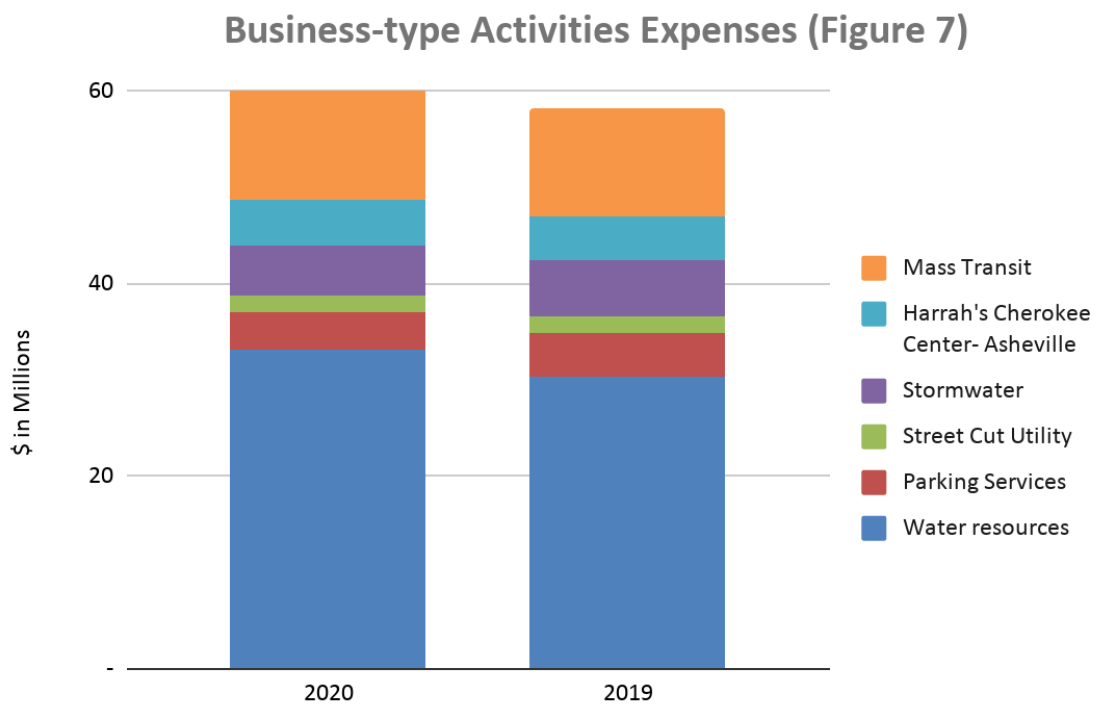


Business-type activities – The City's Net Position for business-type activities increased approximately $18 million. This increase was related to increases in the Water Resources Fund and increased investment in Mass Transit.

Revenues for all business-type activities, year-over-year, decreased by $1.7 million (Figure 6). Expenses increased by $2.7 million (Figure 7). Key elements of these changes are as follows:

- Program revenues for Mass Transit Operating Grants and Contributions decreased by $4.0 million.
- Expenses for Water Resources increased by $2.8 million.


Business-Type Activities Revenues (Figure 6)
80
60
40
20
-
$ in Millions
2020
2019
Miscellaneous
Investment earnings
Capital grants and contributions
Operating grants and contributions
Charges for services



Governmental Funds – The general fund is the chief operating fund of the City. At the end of the current fiscal year, the City's fund balance available in the General Fund was $18.1 million, while total fund balance reached $94.0 million. The City Council has determined that the City should maintain a minimum available fund balance of 15 percent of General Fund expenditures to meet the cash flow needs of the City in case of unforeseen needs. At June 30, 2020, the unassigned fund balance of $18.1 million is approximately 14.5 percent of fiscal year 2020 General Fund expenditures and other financing uses. There were approved uses of unassigned fund balance in the fiscal year 2020 final budget; however, revenue growth and lower than anticipated expenditures meant that use of fund balance was unnecessary. Below is a discussion of the change in fund balance of major governmental funds.

Changes in fund balance in the general fund are attributable to the following:

- Revenues related to Ad Valorem Taxes and Other Taxes (including sales tax) saw increases of $3.8 million or 5.8%, and $800,000 or 2.9%, respectively.
- Departmental budgeted expenditures were under budget, a result that reflects the ongoing commitment of management to understand and budget for the actual cost of services, as well as to identify and implement operational efficiencies wherever possible.

The General Capital Projects Fund includes all non-enterprise capital spending. The City funds capital projects through a debt model that includes the use of treasurer's cash (pooled cash) to cover expenses, reimbursement of treasurer's cash from a short-term installment debt facility during construction, and the payoff of the interim facility with long-term debt tied to the asset life of the completed project/asset (up to 20 years). The fund balance as of June 30, 2019 was $16.2

million. As of June 30, 2020 the fund balance was ($1) million. This change is primarily attributable to the issuance of the interim debt facility, the LOBS Series 2018, of which $20.6 million was drawn for governmental activities by June 30, 2018. No additional general government interim debt facilities have been issued.

Capital Asset and Debt Administration

Capital assets – Capital assets include land, buildings, improvements other than buildings, infrastructure (streets, sidewalks, and water lines), machinery and equipment, intangibles (rights of way and easements) and construction in progress.

The City's capital assets (Figure 8) for the governmental and business-type activities as of June 30, 2020, totals $529.8 million (net of accumulated depreciation). This is an increase of $56.4 million, driven primarily by construction in progress.

City of Asheville Capital Assets
(amount expressed in thousands)
Figure 8

	Governmental Activities		Business-Type Activities		Total	
	2020	2019	2020	2019	2020	2019
Land	$ 49,672	$ 44,442	$ 16,046	$ 16,046	$ 65,718	$ 60,488
Buildings and Improvements	29,179	31,155	55,088	50,156	84,267	81,311
Improvements Other than Buildings	13,561	13,320	3,897	4,115	17,458	17,435
Machinery and Equipment	27,732	25,063	10,832	11,228	38,564	36,291
Infrastructure	45,368	38,705	110,412	112,904	155,780	151,609
Construction in Progress	60,930	42,508	81,977	62,304	142,907	104,812
Intangibles	5,096	5,096	19,983	16,297	25,079	21,393
Other Capital Assets	31	39	19	20	50	59
Net Capital Assets	$ 231,569	$ 200,328	$ 298,254	$ 273,070	$ 529,823	$ 473,398

Major capital expenditures in fiscal year 2020 included:

- Purchase of replacement vehicles for various departments,
- Improvements to the City's streets, sidewalks and greenways,
- Ongoing improvements to the North Fork water treatment plant and dam,
- Replacement and maintenance of water lines, and
- Ongoing major improvements in the River Arts District, including the addition of greenways and realignment of existing roads.

Additional information regarding the City's capital assets is found in Note 4 on pages 61 of this report.

Long-term Debt – As of June 30, 2020, the City had total debt outstanding of $175.8 million (Figure 9). Of this total indebtedness, $26.0 million is backed by the full faith and credit of the City. The remainder of the City's bonded debt, totaling $149.8 million, represents bonds secured

solely by specified revenue sources (revenue bonds or special obligation bonds), bonds secured by the City's master indenture as collateral (limited obligation bonds), or contracts collateralized by the financed project – often real or personal property (installment financing contracts).

In June 2020, the City entered into a direct installment-financing contract with JPMorgan Chase Bank, N.A. to provide funding for the purchase of computers, vehicles and equipment. The $4,650,075 loan is payable over 59 months with semi-annual payments of interest and annual payments of principal at fixed rates of interest of 1.16%.

In June 2020, the City issued a direct placement general obligation bond anticipation note in an amount not to exceed $25 million. The note was purchased by Bank of America, N.A. (the "Bank"). The funds will be used to pay the costs of (1) various projects in the City for transportation and parks and recreation and (2) the issuance of the 2020 GO BAN.

The City's total net debt at June 30, 2020 increased by approximately $17.1 million when compared to 2019 fiscal year end. This is the result of annual payments made in accordance with regularly scheduled maturity dates on the existing debt and the effect of the current year's additional debt discussed above. The City has $74 million in General Obligation Bonds approved by the voters on November 8, 2016, $28 million of which are considered authorized and unissued as of June 30, 2020.

State statutes limit the amount of general obligation debt a governmental entity may issue to eight percent of its total assessed value of taxable property located within that government's boundaries. The legal debt margin for the City is approximately $1.2 billion, which is significantly higher than the City's outstanding general obligation debt. Additional information regarding the City's long-term debt can be found in Note 6 on page 66 of this report.

City of Asheville
General Obligation Bonds, Revenue Bonds, Installment Financing and Other Notes
(amounts expressed in thousands)
Figure 9

	Governmental Activities		Business-Type Activities		Total	
	2020	2019	2020	2019	2020	2019
General obligation bonds	$25,961	$12,475	$ -	$ -	$25,961	$12,475
Installment financing contracts	69,686	71,426	10,245	11,556	79,931	82,982
Revenue bonds			69,713	63,003	69,713	63,003
Other long-term indebtedness	87	113	109	119	196	232
Total bonds	$95,734	$84,014	$80,067	$74,678	$175,801	$158,692

General Fund Budgetary Highlights

During fiscal year 2020, there was a $36.3 million net increase in appropriations between the original and final amended General Fund budgets. The largest component of this budget increase was the $22.4 million technical budget amendment approved by City Council on May 26, 2020 to account for the refunding component of the 2018 General Obligation (GO) Bond draw program. The final amended budget also included a $7.2 million increase in appropriations for prior year's encumbrances and carry-over commitments that rolled over from fiscal year 2019. In addition, the final amended General Fund budget included a $5.0 million technical budget amendment approved by City Council on March 10, 2020 to budget 2016 General Obligation (GO) Bond funding in the City's Housing Trust Fund, which for reporting purposes is included in the General Fund.

Actual General Fund revenues came in under final budget estimates by approximately $1.2 million or 0.9% primarily due to the fact that a portion of Powell Bill funds in the Intergovernmental Revenue category were assigned to the General Capital Projects Fund as opposed to the General Fund. Ad valorem tax revenues, the City's largest General Fund revenue source, finished the year at 100.2% of budget. Fiscal year 2020 revenue from ad valorem taxes was up 5.8% compared to fiscal year 2019. Other (sales) taxes, the second largest General Fund revenue, finished the year at 98.0% of budget, and was up 2.9% compared to fiscal year 2019. Sales tax revenue fell short of budget due to the economic downturn in the final quarter of fiscal year 2020 from COVID-19. Charges for Services revenue fell short of budget due to the closure of certain Parks facilities due to COVID-19 and the associated overall economic slowdown from the pandemic. Revenue from investment earnings slowed during the final quarter of the fiscal year as interest rates were reduced due to the pandemic, but still exceeded budget by approximately $1.2 million. Overall, General Fund revenues for fiscal year 2020 totaled $131.3 million compared to fiscal year 2019 revenues of $128.1 million, an increase of $3.2 million or 2.5%.

General Fund expenditures (excluding transfers to other funds, which are included in the budget as expenditures) came in under budget by $21.5 million. The biggest determinants of the under budget performance in expenditures were: 1) $5.7 million in additional planned assignments to the City's long-term capital and debt program; and 2) $3.2 million in budget that is committed to future housing trust fund loans. In addition, approximately $4.2 in under budget performance is restricted and assigned for unexpended fiscal year 2020 contracts, purchase orders, and various projects. Overall, expenditures and transfers to other funds finished the year at 85% of budget, with total expenditures and transfers up 1.1% year-over-year.

As of June 30, 2020, a total of $36.2 million was assigned in fund balance for future capital and debt service expenses as part of the multi-year capital improvement financial model. In addition, the City also assigned $1.0 million in expenditure budget savings for future expenses, including: 1) $250,000 for the small business loan program, 2) $161,000 for police department equipment and programs, and 3) $167,000 for facility maintenance. The City also assigned $1.6 million in fund balance that was appropriated for the fiscal year 2021 budget.

The other financing uses category includes transfers to other funds totaling $9.9 million for fiscal year 2020. This total includes transfers to the Mass Transit and the HCCA enterprise funds as well as to the General Capital Projects Fund and the Special Revenue Fund. The other financing sources and uses category also includes appropriated fund balance, with a final amended budget of $8.5 million. The original fiscal year 2020 budget adopted by City Council did not include an appropriation from fund balance. The largest portion of the increase in fund balance appropriation between original and final budget relates to prior year encumbrances and carry forward appropriations, which were either previously budgeted, or assigned within fund balance for specific purposes, such as infrastructure improvements. Additional appropriations approved by Council include $200,000 from unassigned fund balance for outside legal services and for the City's contribution to the One Buncombe Fund.

Actual revenues and other financing sources exceeded expenditures and other financing uses by $10.9 million in fiscal year 2020. The comparable figure in fiscal year 2019 was $5.3 million.

Economic Factors

Prior to the onset of the COVID-19 pandemic, the local labor market was in a very strong position. In fact, Buncombe County's unemployment rate of 2.9% was the lowest amongst North Carolina's 100 counties. By June of 2020, however, the Buncombe County rate had risen to 9.8% and was the fifth highest amongst the State's counties. This dramatic increase reflects the economic impact of COVID-19 on the local tourism and restaurant industries; an impact which will likely continue to be felt in the near term.

The estimated population as of July 1, 2019 totaled 93,413, which represents a 12% increase over the 2010 Census. Trends suggest that while the growth rate is slowing, there remains significant pressure on housing stock and a lack of workforce and affordable housing continues to be an issue.

Between fiscal years 2014 and 2019, retail sales in Buncombe County grew at an average rate of 8%. However, due to the economic impacts of COVID-19, retail sales declined by 4.6% in fiscal year 2020. Retail sales for fiscal year 2020 totaled $5.49 billion.

Inflationary trends in the region compare favorably to national indices.

All of these factors were considered in preparing the City's budget for the 2020-21 fiscal year.

Budget Highlights for the Fiscal Year Ending June 30, 2021

The City's adopted General Fund budget for fiscal year 2021 totals $134,763,570, which represents a 1.9 percent increase compared to the fiscal year 2020 original budget. The City's ad valorem tax rate remains 42.89 cents per $100 of assessed valuation. Revenue from Other (sales) taxes is budgeted to decrease by 4.3% compared to fiscal 2020 estimates due to the ongoing COVID-19 pandemic. The adopted fiscal year 2020 General Fund budget includes a $1,627,173 fund balance appropriation.

The budget for personnel costs (salaries & wages and fringe benefits) includes a full year of funding to continue the $31,200 minimum salary adjustments that were made in May 2020 as part of the first phase of the total compensation study. The annual cost of this pay adjustment, which also addressed the associated compression effects, is approximately $450,000. Due to the budgetary constraints created by the COVID-19 crisis, funding is unavailable to address additional recommendations from the total compensation study or to provide employees with any general wage increase in fiscal year 2021.

To help balance the adopted budget for fiscal year 2021, the City implemented a hiring freeze for non-safety-related vacant positions beginning in April 2020. This freeze will continue for at least the first six months of fiscal year 2021, and positions will be evaluated as exceptions to the freeze on an ad hoc basis.

Based on claims trends in fiscal 2020, the City was able to keep both employer and employee contributions to the health insurance program flat. The budget does include a $837,000 Citywide increase in the required employer contribution to the Local Government Employees Retirement System (LGERS).

Operating costs in the General Fund are down approximately $500,000 (1.7%) compared to the adopted fiscal year 2019 General Fund budget.

Business-type Activities – The only fund with a substantial increase in operating costs is the Transit Services Fund, where costs are up 21% or $2.1 million to fund the full year of service enhancements that began in January 2020, as well as increased paratransit expenses. Operating costs in the HCCA Fund are reduced by $825,000 or 37% in anticipation of a reduced event schedule through at least the first half of the fiscal year.

In the Water Resources Fund, elimination of the Capital Improvement Fee resulted in a $7.4 million decrease in the amount of funding available for the Water Fund's pay-as-you-go capital transfer. In order to balance the Parking Services Fund amid an expected decrease in revenues, the Parking Fund's pay-as-you-go capital transfer was reduced by approximately $310,000.

Requests for Information

This financial report is designed to provide a general overview of the City's finances for all those with an interest in the government's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to the Office of the Chief Financial Officer, City of Asheville, P.O. Box 7148, Asheville NC 28802

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Financial Statements of the City

The financial statements of the City have been audited by certified public accountants for the fiscal year ended June 30, 2020. Copies of these financial statements containing the unqualified report of the independent certified public accountants are available in the office of the Chief Financial Officer of the City, Tony McDowell, 70 Court Plaza, Asheville, North Carolina 28801, or Post Office Box 7148, Asheville, North Carolina 28802, telephone 828-259-5635.

The following financial statements are the basic financial statements of the City, the notes thereto and the management's discussion and analysis, lifted from the audited Comprehensive Annual Financial Report of the City for the fiscal year ended June 30, 2020.

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City of Asheville **Exhibit A**

Statement of Net Position
June 30, 2020

	Primary Government			Component Unit
	Governmental Activities	Business-type Activities	Total	City of Asheville ABC Board
Assets				
Current assets:				
Cash and investments	$ 92,235,412	$ 79,444,309	$ 171,679,721	$ 3,744,566
Cash and investments – restricted	1,166,624	3,931,535	5,098,159	250,879
Receivables (net of allowance for uncollectibles):				
Property taxes	718,092	-	718,092	-
Due from other governments	17,475,070	774,604	18,249,674	-
Accounts receivable	2,664,828	6,115,318	8,780,146	8,111
Other receivables	570,212	-	570,212	-
Inventories and prepaids	624,366	158,010	782,376	4,652,442
Notes receivable (net of allowance for uncollectibles)	15,486,494	-	15,486,494	-
Total current assets	130,941,098	90,423,776	221,364,874	8,655,998
Non-current assets:				
Capital assets, net:				
Assets not being depreciated	115,698,036	118,006,300	233,704,336	3,640,788
Assets being depreciated, net	115,871,214	180,863,848	296,735,062	6,589,682
Total noncurrent assets	231,569,250	298,870,148	530,439,398	10,230,470
Total assets	362,510,348	389,293,924	751,804,272	18,886,468
Deferred Outflows of Resources				
Pension and OPEB related deferrals	16,106,430	3,101,571	19,208,001	526,460
Charge on refunding	621,167	1,054,171	1,675,338	-
Total deferred outflows of resources	16,727,597	4,155,742	20,883,339	526,460
Liabilities				
Accounts payable	9,645,577	11,097,804	20,743,381	1,073,922
Due to other governments	1,287	9,560	10,847	1,129,277
Other accrued liabilities	4,747,733	832,594	5,580,327	418,791
Customer deposits	844,295	619,214	1,463,509	-
Accrued interest payable	478,023	705,077	1,183,100	-
Unearned revenue	828,578	292,293	1,120,871	-
Estimated claims payable:				
Due within one year	1,162,475	-	1,162,475	-
Due in more than one year	4,173,392	-	4,173,392	-
Non-current liabilities:				
Due within one year	31,597,324	35,565,418	67,162,742	278,603
Due in more than one year	125,287,750	60,909,368	186,197,118	4,744,507
Total liabilities	178,766,434	110,031,328	288,797,762	7,645,100
Deferred Inflows of Resources				
Prepaid taxes	48,465	-	48,465	-
Pension and OPEB related deferrals	3,075,539	970,589	4,046,128	(4,965)
Total deferred inflows of resources	3,124,004	970,589	4,094,593	(4,965)
Net Position				
Net investment in capital assets	130,825,504	212,999,579	343,825,083	6,219,398
Restricted for:				
Nonspendable:				
Perpetual maintenance	357,732	-	357,732	-
Stabilization by State Statute	23,104,170	-	23,104,170	-
Community development	1,377,493	-	1,377,493	-
Perpetual maintenance	-	-	-	-
Working capital	-	-	-	1,167,322
Capital improvements	-	-	-	250,879
Unrestricted	41,682,608	69,448,170	111,130,778	4,135,194
Total net position	$ 197,347,507	$ 282,447,749	$ 479,795,256	$ 11,772,793

See notes to financial statements.

City of Asheville **Exhibit B**

Statement of Activities
Year Ended June 30, 2020

Functions/Programs	Expenses	Program Revenues: Charges for Services	Program Revenues: Operating Grants and Contributions	Program Revenues: Capital Grants and Contributions	Net (Expense) Revenue and Changes in Net Position – Primary Government: Governmental Activities	Primary Government: Business-Type Activities	Primary Government: Total	Component Unit: City of Asheville ABC Board
Primary government:								
Governmental activities:								
General government	$ 14,352,296	$ 10,501,235	$ -	$ -	$ (3,851,061)	$ -	$ (3,851,061)	$ -
Public safety	56,600,848	723,458	20,875	75,532	(55,780,983)	-	(55,780,983)	-
Environmental services	5,645,385	5,417,091	-	-	(228,294)	-	(228,294)	-
Community development	21,243,780	3,153,494	-	-	(18,090,286)	-	(18,090,286)	-
Transportation	22,714,297	1,692,500	2,421,187	4,606,698	(13,993,912)	-	(13,993,912)	-
Culture and recreation	7,819,515	937,858	-	-	(6,881,657)	-	(6,881,657)	-
Interest on long-term debt	2,550,634	-	-	-	(2,550,634)	-	(2,550,634)	-
Total governmental activities	130,926,755	22,425,636	2,442,062	4,682,230	(101,376,827)	-	(101,376,827)	-
Business-type activities:								
Water Resources	33,100,918	40,167,472	-	4,302,321	-	11,368,875	11,368,875	-
Parking Services	3,918,980	5,191,336	-	-	-	1,272,356	1,272,356	-
Street Cut Utility	1,707,636	1,867,199	-	-	-	159,563	159,563	-
Stormwater	5,157,078	6,481,933	-	-	-	1,324,855	1,324,855	-
U.S. Cellular Center	4,871,412	3,430,724	-	2,682,774	-	1,242,086	1,242,086	-
Mass Transit	12,237,236	849,506	2,415,320	-	-	(8,972,410)	(8,972,410)	-
Total business-type activities	60,993,260	57,988,170	2,415,320	6,985,095	-	6,395,325	6,395,325	-
Total primary government	$ 191,920,015	$ 80,413,806	$ 4,857,382	$ 11,667,325	$ (101,376,827)	$ 6,395,325	(94,981,502)	$ -
Component unit:								
ABC Board	$ 29,604,975	$ 30,407,246	$ -	$ -	-	-	-	802,271
	General revenues:							
	Property taxes				69,095,854	-	69,095,854	-
	Sales taxes				26,921,766	-	26,921,766	-
	Other taxes				1,042,083	-	1,042,083	-
	Grants and contributions not restricted to specific programs				17,859,659	-	17,859,659	-
	Investment earnings				2,150,177	1,773,729	3,923,906	3,900
	Miscellaneous				2,000	349,063	351,063	1,479
	Gain (loss) on sale of assets				582,066	143,298	725,364	-
	Transfers				(6,772,376)	6,772,376	-	-
	Total general revenues and transfers				110,881,229	9,038,466	119,919,695	5,379
	Changes in net position				9,504,402	15,433,791	24,938,193	807,650
	Net position – beginning				187,843,105	267,013,958	454,857,063	10,965,143
	Net position – ending				$ 197,347,507	$ 282,447,749	$ 479,795,256	$ 11,772,793

See notes to financial statements.

City of Asheville **Exhibit C**

Balance Sheet
Governmental Funds
June 30, 2020

	Major Funds			
	General Fund	General Capital Projects Fund	Non-major Governmental Funds	Total Governmental Funds
Assets				
Cash and investments	$ 73,783,793	$ 1,711,765	$ 1,998,539	$ 77,494,097
Cash and investments – restricted	841,795	-	324,829	1,166,624
Receivables (net of allowance				-
for uncollectibles):				-
Property taxes	718,092	-	-	718,092
Due from other governments	11,915,042	4,496,092	1,063,936	17,475,070
Accounts receivable	1,606,171	9,211	-	1,615,382
Other receivables	568,464	-	1,748	570,212
Inventories and prepaids	478,795	-	-	478,795
Due from other funds	3,236,088	-	-	3,236,088
Notes receivable (net of allowance for uncollectibles)	10,266,949	-	5,219,545	15,486,494
Total assets	$ 103,415,189	$ 6,217,068	$ 8,608,597	$ 118,240,854
Liabilities				
Accounts payable	$ 2,921,352	$ 5,756,784	$ 333,390	$ 9,011,526
Other accrued liabilities	4,596,665	-	11,788	4,608,453
Due to other governments	1,287	-	-	1,287
Due to other funds	-	1,116,791	2,119,297	3,236,088
Deposits	844,295	-	-	844,295
Accrued interest	30,151	-	-	30,151
Unearned revenue	758,358	10,000	60,220	828,578
Total liabilities	9,152,108	6,883,575	2,524,695	18,560,378
Deferred Inflows of Resources				
Taxes	300,264	-	-	300,264
Unavailable resources	-	239,394	45,302	284,696
Total deferred inflows of resources	300,264	239,394	45,302	584,960
Fund Balances				
Non-spendable:				
Inventories and prepaids	478,795	-	-	478,795
Perpetual maintenance	-	-	357,732	357,732
Notes receivable	10,266,949	-	5,219,545	15,486,494
Restricted:				
Stabilization by State Statute	23,104,170	-	-	23,104,170
Grant programs	-		1,377,493	1,377,493
Committed:				
Community and economic development	3,201,423	-	-	3,201,423
Sustainability	-	-	1,269,990	1,269,990
Assigned:				
Appropriated for subsequent year's budget	1,627,173		-	1,627,173
Capital improvements	36,172,319	-	-	36,172,319
Various projects	1,045,714	-	-	1,045,714
Unassigned	18,066,274	(905,901)	(2,186,160)	14,974,213
Total fund balances	93,962,817	(905,901)	6,038,600	99,095,516
Total liabilities, deferred inflows of resources and fund balances	$ 103,415,189	$ 6,217,068	$ 8,608,597	$ 118,240,854

See notes to financial statements.

City of Asheville **Exhibit D**

Reconciliation of Governmental Funds
Balance Sheet to the Statement of Net Position
June 30, 2020

Amounts reported for governmental activities in the Statement of Net Position (Exhibit A) are different because:	
Ending fund balance – governmental funds	$ 99,095,516
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the funds.	231,569,250
Certain assets are not available to pay for current period expenditures and, therefore, are deferred in the funds:	
Unavailable resources	536,495
Bond refunding charges	621,167
Long-term liabilities are not due and payable in the current period and, therefore, are not reported in the fund statements:	
General obligation bonds	(25,960,971)
Installment financing contracts and premiums	(69,685,771)
Other long-term indebtedness	(86,920)
Bond premiums	(4,929,201)
Compensated absences payable	(6,958,665)
Total pension liability - LEOSSA	(8,121,167)
Net OPEB Liability	(17,762,447)
Net pension liability - LGERS	(23,379,932)
Contributions to pension plans in the current fiscal year are deferred outflows of resources on the Statement of Net Position	16,025,507
Pension and OPEB related deferrals	(3,072,957)
Other accrual adjustments that do not require current financial resources and, therefore, are not reported in fund statements:	
Interest payable	(448,163)
The internal service fund is used by management to charge the costs of risk management to individual funds. The assets and liabilities of the internal service fund are included in governmental activities in the Statement of Net Position.	9,905,766
Net position of governmental activities (Exhibit A)	$ 197,347,507

See notes to financial statements.

City of Asheville **Exhibit E**

Statement of Revenues, Expenditures and Changes in Fund Balance
Governmental Funds
Year Ended June 30, 2020

	Major Funds			
	General Fund	General Capital Projects Fund	Non-major Governmental Funds	Total Governmental Funds
Revenues:				
Taxes:				
Ad valorem taxes	$ 69,095,854	$ -	$ -	$ 69,095,854
Other taxes	27,963,849	-	-	27,963,849
Intergovernmental	11,213,639	9,216,709	4,553,603	24,983,951
Licenses and permits	5,527,784	870	-	5,528,654
Charges for services	12,084,419	286,330	59,366	12,430,115
Investment earnings	1,846,459	-	23,941	1,870,400
Miscellaneous	3,529,136	827,685	110,046	4,466,867
Total revenues	131,261,140	10,331,594	4,746,956	146,339,690
Expenditures:				
Current:				
General government	13,433,818	9,655,074	618,395	23,707,287
Public safety	57,071,132	5,843,347	766,026	63,680,505
Environmental services	6,260,817	29,530	38,932	6,329,279
Community development	12,812,387	4,530,980	3,922,825	21,266,192
Transportation	5,941,920	21,174,555	148,543	27,265,018
Culture and recreation	10,312,869	4,625,778	118,549	15,057,196
Debt service:				
Principal	6,308,957	-	130,583	6,439,540
Interest and other charges	2,494,914	-	-	2,494,914
Total expenditures	114,636,814	45,859,264	5,743,853	166,239,931
Revenues over (under) expenditures	16,624,326	(35,527,670)	(996,897)	(19,900,241)
Other financing sources (uses):				
Transfers from other funds	3,893,993	2,581,529	1,070,701	7,546,223
Transfers to other funds	(9,939,826)	(3,994,217)	(24,850)	(13,958,893)
Proceeds from sale of capital assets	107,069	475,000	-	582,069
Proceeds from long term debt issued	20,825,000	14,936,137	-	35,761,137
Premiums on Long-Term debt issued	1,620,994	-	-	1,620,994
Principal payments on refunding	(22,175,550)	-	-	(22,175,550)
Installment purchase obligations issued	-	4,442,824	-	4,442,824
Total other financing sources (uses)	(5,668,320)	18,441,273	1,045,851	13,818,804
Net change in fund balances	10,956,006	(17,086,397)	48,954	(6,081,437)
Fund balances - beginning	83,006,811	16,180,496	5,989,646	105,176,953
Fund balances - ending	$ 93,962,817	$ (905,901)	$ 6,038,600	$ 99,095,516

See notes to financial statements.

City of Asheville **Exhibit F**

Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances of Governmental Funds to the Statement of Activities
Year Ended June 30, 2020

Amounts reported for governmental activities in the Statement of Activities are different because:		
Net change in fund balances--total governmental funds (Exhibit E)	$	(6,081,437)
Depreciation expense is not a use of current financial resources and, therefore, is not reported in the governmental fund statements.		(10,819,357)
Capital asset additions are a use of current financial resources and, therefore, are not reported as expenditures in the Statement of Activities.		42,620,799
Cumulative effect of disposal of fixed assets		(566,371)
Interest is paid on long-term debt when due and, therefore, not accrued in the fund statements.		6,887
Property tax revenue and other revenues recorded in the Statement of Activities that do not provide current financial resources are deferred and not reported as revenues in the fund statements:		
Change in unavailable revenues for property taxes		(48,465)
Change in unavailable revenues for grants		(2,144,784)
The issuance of long-term debt provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes the current financial resources of governmental funds. Neither transaction has any effect on net position. The amount is the net effect of those differences in the treatment of long-term debt and related items.		
Repayment of long-term debt		28,484,503
Long-term debt issued		(40,203,961)
Premium on refunding of debt		(1,620,994)
Amortization of refunding loss		(62,607)
Amortization of premium/discount		244,620
Pension expense reported in the Statement of Activities does not require the use of current financial resources and, therefore is not reported as an expenditure in the governmental funds.		(489,064)
Adjustments to other long-term obligations that do not require current financial resources and therefore, are not reported as expenditures in the governmental fund statements:		
Compensated absences payable		1,217,154
Net Pension liability, Net OPEB liability, & Total Pension liabilty		(1,950,045)
The Internal Service Funds are used by management to charge the costs of risk management to the individual funds. The net expenses of certain activities of the Internal Service Funds are reported with governmental activities.		917,524
Change in net position of governmental activities (Exhibit B)	$	9,504,402

City of Asheville **Exhibit G**

Statement of Revenues, Expenditures and Changes in Fund Balance
Budget and Actual – General Fund (Non-GAAP)
Year Ended June 30, 2020

	Original Budget	Final Budget	Actual Amounts	Variance with Final Budget- Positive (Negative)
Revenues:				
Taxes:				
Ad valorem taxes	$ 68,976,196	$ 68,976,196	$ 69,095,854	$ 119,658
Other taxes	28,524,565	28,524,565	27,963,849	(560,716)
Intergovernmental	12,839,818	12,839,818	11,213,639	(1,626,179)
Licenses and permits	5,667,140	5,667,140	5,527,784	(139,356)
Charges for services	12,636,627	12,636,627	12,084,419	(552,208)
Investment earnings	550,000	550,000	1,846,459	1,296,459
Miscellaneous	2,980,300	3,268,800	3,529,136	260,336
Total revenues	132,174,646	132,463,146	131,261,140	(1,202,006)
Expenditures:				
Current:				
General government	23,724,770	24,416,590	13,433,818	10,982,772
Public safety	55,933,341	56,816,729	57,071,132	(254,403)
Environmental services	6,730,749	6,817,435	6,260,817	556,618
Community development	10,967,326	20,011,212	12,812,387	7,198,825
Transportation	6,574,312	6,840,011	5,941,920	898,091
Culture and recreation	10,813,746	11,529,644	10,312,869	1,216,775
Debt service:				-
Principal	6,868,747	6,868,747	6,308,957	559,790
Interest and other charges	2,349,467	2,916,456	2,494,914	421,542
Total expenditures	123,962,458	136,216,824	114,636,814	21,580,010
Revenues over (under) expenditures	8,212,188	(3,753,678)	16,624,326	20,378,004
Other financing sources (uses):				
Appropriated fund balance	-	8,494,251	-	(8,494,251)
Transfers from other funds	92,620	5,092,620	3,893,993	(1,198,627)
Transfers to other funds	(8,404,808)	(10,274,212)	(9,939,826)	334,386
Proceeds from long tern debt	-	20,825,000	20,825,000	-
Premiums on Long-Term debt issued	-	1,620,994	1,620,994	-
Principal payments on refunding		(22,175,550)	(22,175,550)	-
Proceeds from sale of capital assets	100,000	170,575	107,069	(63,506)
Total other financing sources (uses)	(8,212,188)	3,753,678	(5,668,320)	(9,421,998)
Net change in fund balance	$ -	$ -	10,956,006	$ 10,956,006

See notes to financial statements.

City of Asheville **Exhibit H**

Statement of Net Position
Proprietary Funds
June 30, 2020

	Major Funds				Totals	
	Water Resources	Mass Transit	Parking Services	Non-major Enterprise Funds	Enterprise Funds	Internal Service Funds
Assets						
Current assets:						
Cash and investments	$ 67,314,999	$ 906,299	$ 3,709,718	$ 7,513,293	$ 79,444,309	$ 14,741,315
Cash and investments - restricted	2,943,895	-	500	987,140	3,931,535	-
Accounts receivable (net of allowance for uncollectibles)	4,867,802	17,172	445,813	784,531	6,115,318	1,049,446
Due from other governments	-	764,883	9,448	273	774,604	-
Inventories and prepaids	11,319	11,650	25	135,016	158,010	145,571
Total current assets	75,138,015	1,700,004	4,165,504	9,420,253	90,423,776	15,936,332
Non-current assets:						
Capital assets:						
Assets not being depreciated	101,065,842	165,512	11,546,635	5,228,311	118,006,300	-
Assets being depreciated, net	141,866,892	5,836,378	11,098,931	22,061,647	180,863,848	-
Total noncurrent assets	242,932,734	6,001,890	22,645,566	27,289,958	298,870,148	-
Total assets	318,070,749	7,701,894	26,811,070	36,710,211	389,293,924	15,936,332
Deferred outflows of resources						
Employer contributions subsequent to the measurement date	643,247	20,947	74,534	326,763	1,065,491	80,923
Differences between expected and actual experience	663,119	11,497	126,114	337,359	1,138,089	-
Change in assumptions and other inputs	453,785	15,714	85,858	223,382	778,739	-
Net difference between projected and actual earnings on pension plan investments	71,938	2,352	8,370	36,592	119,252	-
Deferred charge on refunding	1,030,253	-	23,918	-	1,054,171	-
Total deferred outflows of resources	2,862,342	50,510	318,794	924,096	4,155,742	80,923
Liabilities						
Current liabilities:						
Accounts payable	6,810,931	1,922,773	151,217	2,212,883	11,097,804	634,051
Claims payable	-	-	-	-	-	1,162,475
Customer deposits	618,714	-	500	-	619,214	-
Interest payable	577,014	-	80,495	47,568	705,077	-
Other accrued liabilities	465,955	16,119	53,795	296,725	832,594	-
Due to other governments	-	9,560	-	-	9,560	-
Due to other funds	-	-	-	-	-	-
Unearned revenue	292,293	-	-	-	292,293	-
Current portion of long-term debt	33,723,796	5,434	806,762	1,029,426	35,565,418	-
Total current liabilities	42,488,703	1,953,886	1,092,769	3,586,602	49,121,960	1,796,526
Non-current liabilities:						
Estimated claims payable	-	-	-	-	-	4,173,392
Long-term liabilities, less current portion	47,098,840	160,277	6,546,955	7,103,296	60,909,368	139,280
Total liabilities	89,587,543	2,114,163	7,639,724	10,689,898	110,031,328	6,109,198
Deferred inflows of resources						
Differences between expected and actual experience	67,251	1,861	10,579	31,312	111,003	2,291
Changes in proportion and differences between employer contributions and proportionate share of contributions	460,523	34,208	115,612	249,243	859,586	-
Total deferred inflows of resources	527,774	36,069	126,191	280,555	970,589	2,291
Net position						
Net investment in capital assets	168,387,743	6,001,890	16,227,473	22,382,473	212,999,579	-
Unrestricted	62,430,031	(399,718)	3,136,476	4,281,381	69,448,170	9,905,766
Total net position	$ 230,817,774	$ 5,602,172	$ 19,363,949	$ 26,663,854	$ 282,447,749	$ 9,905,766

See notes to financial statements.

Exhibit I

City of Asheville

Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2020

	Major Funds				Totals	
	Water Resources	Mass Transit	Parking Services	Non-major Enterprise Funds	Enterprise Funds	Internal Service Funds
Operating revenues:						
Charges for services	$ 40,156,737	$ 493,656	$ 4,449,209	$ 9,329,103	$ 54,428,705	$ 18,931,532
Rents	-	-	14,576	698,641	713,217	-
Concessions	-	-	-	1,457,864	1,457,864	-
Other operating revenue	10,735	355,850	727,551	294,248	1,388,384	2,134,551
Total operating revenues	40,167,472	849,506	5,191,336	11,779,856	57,988,170	21,066,083
Operating expenses:						
Administration	1,030,903	644,744	-	4,451,207	6,126,854	1,390,820
Operations	21,594,536	9,761,417	3,130,172	5,490,444	39,976,569	18,677,810
Other operating expenses	-	720,090	-	294,485	1,014,575	-
Depreciation	6,008,958	1,110,985	517,497	1,352,663	8,990,103	-
Total operating expenses	28,634,397	12,237,236	3,647,669	11,588,799	56,108,101	20,068,630
Operating income (loss)	11,533,075	(11,387,730)	1,543,667	191,057	1,880,069	997,453
Non-operating revenues (expenses)						
Intergovernmental	-	2,415,320	-	-	2,415,320	-
Interest earned	1,510,192	28,214	98,970	136,353	1,773,729	279,777
Interest and other charges	(2,486,521)	-	(271,311)	(147,327)	(2,905,159)	-
Miscellaneous revenue	-	5,740	-	-	5,740	-
Settlement expense	(1,980,000)	-	-	-	(1,980,000)	-
Gain (loss) on disposal of capital assets	(24,847)	-	(2,947)	-	(27,794)	-
Amortization of bond issuance	282,034	-	61,289	-	343,323	-
Total non-operating revenues (expenses)	(2,699,142)	2,449,274	(113,999)	(10,974)	(374,841)	279,777
Income (loss) before transfers, proceeds from sale of capital assets and capital grants and contributions	8,833,933	(8,938,456)	1,429,668	180,083	1,505,228	1,277,230
Transfers:						
Transfers from other funds	100,224	7,045,543	-	1,203,484	8,349,251	
Transfers to other funds	-	-	(1,576,875)	-	(1,576,875)	(359,706)
Proceeds from sale of capital assets	168,067	-	3,025	-	171,092	-
Capital grants and contributions	4,302,321	-	-	2,682,774	6,985,095	-
Changes in net position	13,404,545	(1,892,913)	(144,182)	4,066,341	15,433,791	917,524
Total net position – beginning	217,413,229	7,495,085	19,508,131	22,597,513	267,013,958	8,988,242
Total net position – ending	$ 230,817,774	$ 5,602,172	$ 19,363,949	$ 26,663,854	$ 282,447,749	$ 9,905,766

See notes to financial statements.

Exhibit J

City of Asheville

Statement of Cash Flows
Proprietary Funds
Year Ended June 30, 2020

	Major Funds				Totals	
	Water Resources	Mass Transit	Parking Services	Non-major Enterprise Funds	Enterprise Funds	Internal Service Funds
Cash flows from operating activities:						
Cash received from customers, users and others	$ 40,007,917	$ 1,006,806	$ 5,019,555	$ 11,787,990	$ 57,822,268	$ 21,359,196
Cash paid for goods and services	(18,066,529)	(10,521,946)	(1,837,094)	(6,336,984)	(36,762,553)	(20,390,884)
Cash paid to employees	(7,380,611)	(317,330)	(1,142,070)	(4,998,660)	(13,838,671)	(66,167)
Net cash provided by (used for) operating activities	14,560,777	(9,832,470)	2,040,391	452,346	7,221,044	902,145
Cash flows from non-capital financing activities:						
Receipts from operating grants	-	-	-	-	-	-
Transfers from other funds	100,224	7,045,543	-	1,203,484	8,349,251	-
Transfers to other funds	-	-	(1,576,875)	-	(1,576,875)	(359,706)
Net cash provided by (used for) non-capital financing activities	100,224	7,045,543	(1,576,875)	1,203,484	6,772,376	(359,706)
Cash flows from capital and related financing activities:						
Receipts from capital grants or contributions	-	4,546,450	-	2,682,774	7,229,224	-
Proceeds from disposal of capital assets	168,067	-	3,025	-	171,092	-
Acquisition and construction of capital assets	(23,642,019)	(981,709)	(447,318)	(5,780,175)	(30,851,221)	-
Proceeds from long-term debt issued	10,200,001	-	-	200,245	10,400,246	-
Principal paid on debt	(3,499,910)	-	(762,498)	(756,339)	(5,018,747)	-
Interest and other charges paid on debt	(2,208,315)	-	(279,023)	(168,376)	(2,655,714)	-
Net cash provided by (used for) capital and related financing activities	(18,982,176)	3,564,741	(1,485,814)	(3,821,871)	(20,725,120)	-
Cash flows from investing activities:						
Interest earned	1,510,192	28,214	98,971	136,353	1,773,730	279,777
Net increase (decrease) in cash and cash equivalents	(2,810,983)	806,028	(923,327)	(2,029,688)	(4,957,970)	822,216
Cash and cash equivalents:						
Beginning of year, July 1	73,069,877	100,271	4,633,545	10,530,121	88,333,814	13,919,099
End of year, June 30	$ 70,258,894	$ 906,299	$ 3,710,218	$ 8,500,433	$ 83,375,844	$ 14,741,315

(Continued)

See notes to financial statements

Exhibit J

City of Asheville **continued**

Statement of Cash Flows

Proprietary Funds (Continued)

Year Ended June 30, 2020

	Major Funds				Totals	
	Water Resources	Mass Transit	Parking Services	Non-major Enterprise Funds	Enterprise Funds	Internal Service Funds
Reconciliation of operating income (loss) to net cash provided by (used for) operating activities:						
Operating income (loss)	$ 11,533,075	$ (11,381,990)	$ 1,543,667	$ 191,057	$ 1,885,809	$ 997,453
Adjustments to reconcile operating income (loss) to net cash provided by (used for) operating activities:						
Depreciation	6,008,958	1,110,985	517,497	1,352,663	8,990,103	-
Changes in assets, liabilities and deferred outflows and inflows of resources:						
(Increase) decrease in accounts receivable	(159,905)	151,560	(162,333)	8,134	(162,544)	293,113
(Increase) decrease in due from other governments	-	-	(9,448)	-	(9,448)	-
(Increase) decrease in inventories and prepaids	18,489	(3,464)	2,934	(61,691)	(43,732)	-
(Increase) decrease in deferred outflows of resources for pensions	175,459	(3,199)	29,825	87,449	289,534	11,484
Increase (decrease) in accounts payable	(3,296,877)	295,815	(27,220)	(1,187,161)	(4,215,443)	116,825
Increase (decrease) in other accrued expenses	92,513	6,034	7,695	28,191	134,433	(96,218)
Increase (decrease) in unearned revenue	(102,974)	-	-	-	(102,974)	-
Increase (decrease) in customer deposits	103,324	-	-	-	103,324	-
Increase (decrease) in estimated claims payable	-	-	-	-	-	(439,079)
Increase (decrease) in compensated absences	(107,460)	9,908	(2,729)	(65,839)	(166,120)	-
Increase (decrease) in pension liability - LGERS	410,110	13,355	47,520	208,333	679,318	18,914
Increase (decrease) in OPEB liability	(97,048)	(18,036)	40,989	(68,893)	(142,988)	-
Increase (decrease) in deferred inflows of resources for pensions	(16,887)	(13,438)	51,994	- (39,897)	(18,228)	(347)
Net cash provided by (used in) operating activities	$ 14,560,777	$ (9,832,470)	$ 2,040,391	$ 452,346	$ 7,221,044	$ 902,145
Reconciliation of cash and cash equivalents:						
Cash and investments:						
Unrestricted	$ 67,314,999	$ 906,299	$ 3,709,718	$ 7,513,293	$ 79,444,309	$ 14,741,315
Restricted	2,943,895	-	500	987,140	3,931,535	-
Total cash and cash equivalents	$ 70,258,894	$ 906,299	$ 3,710,218	$ 8,500,433	$ 83,375,844	$ 14,741,315
Non-cash investing, capital, and financing activities:						
Donated capital assets	$ 4,302,321	$ -	$ -	$ -	$ 4,302,321	$ -
Non-cash operating activities:						
Settlement expenses included in accounts payable	$ 1,980,000	$ -	$ -	$ -	$ 1,980,000	$ -

City of Asheville **Exhibit K**

Statement of Fiduciary Net Position
Fiduciary Trust and Agency Funds
June 30, 2020

	OPEB Trust Fund	Agency Funds
Assets		
Cash and investments	$ -	$ 574,855
Cash and investments held by fiscal agent:		
State Treasurer's OPEB Fund	13,958,636	-
Due from customers	-	2,293,732
Total assets	13,958,636	2,868,587
Liabilities		
Due to other governments	-	2,868,587
Total liabilities	-	$ 2,868,587
Net Position		
Assets held in trust for OPEB benefits	$ 13,958,636	

See notes to financial statements.

City of Asheville **Exhibit L**

Statement of Changes in Fiduciary Net Position
Fiduciary Trust Fund
Year Ended June 30, 2020

	OPEB Trust Fund
Additions:	
Employer contributions	$ 4,603,716
Investment earnings	618,867
Total additions	5,222,583
Deductions:	
Benefits	3,003,716
Administrative expenses	1,442
Total deductions	3,005,158
Change in net position	2,217,425
Total net position – beginning	11,741,211
Total net position – ending	$ 13,958,636

See notes to financial statements.

Summary of Significant Accounting Policies

The basic financial statements of the City of Asheville (the "City") have been prepared in conformity with generally accepted accounting principles ("GAAP") in the United States of America as applied to government units. The statements are also prepared in conformance with the Governmental Accounting Standards Board ("GASB"), which is the accepted standard-setting body for establishing governmental accounting and financial reporting. The City's more significant accounting policies are described below.

A. Reporting Entity

The City is a municipal corporation that is governed by an elected mayor and a six-member council. The accompanying financial statements present the City and its component units, entities for which the City is financially accountable. Blended component units, although legally separate entities, are in substance part of the City's operations and, as such, are included in the reporting entity. Each discretely presented component unit (see the "Asheville Board of Alcoholic Control" note below for description) is reported in a separate column in the City's financial statements in order to emphasize that it is legally separate from the City.

Included within the reporting entity are:

Asheville Board of Alcoholic Control (the "ABC Board")

The ABC Board was organized under the provisions of House Bill No. 1124 of the North Carolina General Assembly and implemented by a citywide election held November 14, 1947. The local ABC Board may borrow money in accordance with North Carolina General Statute 18B-702(r) and the City's governing body, who appoint ABC Board members, shall in no way be held responsible for the debts of the ABC Board. The ABC Board is required by state statute to distribute its surpluses to the General Fund of the City, which represents a financial benefit to the City. Therefore, the ABC Board is reported as a discretely presented component unit. Complete financial statements for the ABC Board may be obtained from the Chief Financial Officer, Asheville Board of Alcoholic Control, Post Office Box 8834, Asheville, NC 28814.

Asheville Public Financing Corporation (the "APFC")

The APFC is a nonprofit corporation chartered in 1991 with the specific purpose of assisting the City of Asheville in various types of financing arrangements. The APFC is governed by a board of directors whose three members serve for one year or until successors are elected. One of the three members is appointed by the City Manager. The board of directors elects the remaining directors. The APFC has no assets, liabilities, revenues or expenses. All rights, title and interest to all financing contracts with the City have been assigned to various bank trustees. All financing arrangements with the City have been disclosed in the accompanying notes to the basic financial statements. The assets and related long-term lease obligations are reported in the related governmental and business-type funds in the City's financial statements.

Note 1. Summary of Significant Accounting Policies (Continued)

A. Reporting Entity

Not included within the reporting entity are:

Housing Authority of the City of Asheville ("Housing Authority")
The Mayor appoints the five-member board of the Housing Authority of the City of Asheville. The City is accountable for the Housing Authority because it appoints the governing board; however, the City is not financially accountable for the Housing Authority.

Asheville City School System ("School System")
The Asheville City Council appoints the five-member board of the School System. The City is accountable for the School System because it appoints a majority of the governing board; however, the City is not financially accountable for the School System.

Jointly governed organization:

Greater Asheville Regional Airport Authority: On June 28, 2012, the North Carolina General Assembly adopted legislation (S.L. 2012-121) changing the governance structure of the former Asheville Regional Airport from a joint governmental agency, comprised of the City of Asheville and Buncombe County, to an independent, state-sanctioned airport authority, the Greater Asheville Regional Airport Authority. The structure of the new authority is such that Henderson County is now a "member government," along with Asheville and Buncombe County. Each member government has two appointments to the board, with the seventh member to be appointed by the other six. The City no longer has any fiscal responsibility for the Airport Authority.

Basis of presentation:

Government-wide statements: The statement of net position and the statement of activities display information about the primary government and its component unit. These statements include the financial activities of the overall government. Eliminations have been made to minimize the double counting of internal activities provided and used. Eliminations have also been made for fiduciary and fiduciary-type component units. These statements distinguish between the governmental and business-type activities of the City. Governmental activities generally are financed through taxes, intergovernmental revenues, and other non-exchange transactions. Business-type activities are financed in whole or in part by fees charged to external parties.

The statement of activities presents a comparison between direct expenses and program revenues for the different business-type activities of the City and for each function of the City's governmental activities. Direct expenses are those that are specifically associated with a program or function and, therefore, are clearly identifiable to a particular function. Indirect expense allocations that have been made in the funds have been reversed for the statement of activities. Program revenues include (a) fees and charges paid by the recipients of goods or services offered by the programs and (b) grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues, including all taxes, are presented as general revenues.

Fund financial statements: The fund financial statements provide information about the City's funds, including the fiduciary fund. Separate statements for each fund category – governmental, proprietary, and fiduciary – are presented. The emphasis of fund financial statements is on major governmental and enterprise funds, each displayed in a separate column. The parking services fund is displayed as a major fund for consistency and public interest, however, it does not meet the requirements to be considered a major fund. All remaining governmental and enterprise funds are aggregated and reported as non-major funds.

Note 1. Summary of Significant Accounting Policies (Continued)

Proprietary fund operating revenues, such as charges for services, result from exchange transactions associated with the principal activity of the fund. Exchange transactions are those in which each party receives and gives up essentially equal values. Non-operating revenues, such as subsidies, result from non-exchange transactions. Other non-operating revenues are ancillary activities, such as investment earnings.

The City reports the following major governmental funds:

General Fund: The General Fund is the general operating fund of the City. It is used to account for and report all financial resources not accounted for and reported in other funds. The primary revenue sources are ad valorem taxes, various other taxes and licenses and state-shared revenues. The primary expenditures are for public safety, streets and highways, sanitation, parks and recreation, general government services, risk management and benefits, information technology, and debt service for the payment of general long-term principal, interest, and related costs.

General Capital Projects Fund: The General Capital Projects Fund is used to account for and report financial resources that are restricted, committed, or assigned to be used for the acquisition and/or construction of capital facilities and other capital assets (other than those financed by proprietary funds).

The City reports the following non-major governmental funds:

Special Revenue Funds: Special revenue funds are used to account for and report proceeds of specific revenue sources that are restricted or committed to expenditures for specific purposes other than debt service or capital projects. The City has the following Special Revenue Funds: Grant Programs, Community Development, Section 108 Rehabilitation and Affordable Home Ownership, and the Sustainability fund.

Perpetual Care Permanent Fund: This fund is used to account for perpetual care of the City's Riverside Cemetery.

The City reports the following major proprietary funds:

Water Resources Fund: The Water Resources Fund is an enterprise fund used to account for operations and maintenance of the City's water system including operation of three water treatment plants as well as the debt service for the payment of utility long-term debt principal, interest, and related costs. This fund also covers all system development fees assessed to new customers, which are accounted for in the Water Capital Reserve Fund per NCGS **§**162A Article 8. This fund also covers acquisition and/or construction of major utility capital facilities and infrastructure, which are accounted for in the Water Capital Projects Fund. Both the Water Capital Reserve Fund and the Water Capital Project Fund are combined with the Water Resources Fund (the operating fund) for financial statement purposes.

Mass Transit Fund: The Mass Transit Fund is an enterprise fund used to account for the operation and maintenance of the City's transit services which include 16 bus routes throughout the city and one to the Town of Black Mountain. Acquisition of buses and/or maintenance of transit facilities are accounted for in the Mass Transit Capital Projects Fund, which is combined with the Mass Transit Fund (the operating fund) for financial statement purposes.

Note 1. Summary of Significant Accounting Policies (Continued)

Parking Services Fund: The Parking Services Fund is an enterprise fund used to account for the operations and maintenance of the City's public parking system, which includes four parking decks, as well as the debt service for the payment of parking long-term debt principal, interest, and related costs. This fund also covers acquisition and/or construction of major parking capital facilities and infrastructure, which are accounted for in the Parking Capital Projects Fund, which is combined with the Parking Services Fund (the operating fund) for financial statement purposes. While this fund did not qualify as major for this reporting period, it will be presented as a major fund for consistency with prior year and due to public interest.

The City reports the following non-major enterprise funds, some of which are combined with their own individual capital project funds for financial statement purposes:

Street Cut Utility Fund, Stormwater Fund and Harrah's Cherokee Center - Asheville Fund

Additionally the City reports the following fund types:

Internal Service Funds: Internal service funds account for the financing of goods or services provided by one department or agency to other departments or agencies of the government on a cost reimbursement basis. The City has four internal service funds, the General Insurance Fund, the Health Fund, the Workers' Compensation Fund and the Property and Casualty Fund. The General Insurance Fund accounts for other insurance related items not specifically accounted for in the other three internal service funds. The Health Fund accounts for the accumulation and allocation of costs associated with employee and family life, medical and dental insurance premiums and claims. The Workers' Compensation Fund accounts for the costs associated with workers' compensation insurance and claims. The Property and Casualty Fund accounts for the accumulation and allocation of costs associated with property and casualty insurance and claims for the City.

Other Post-Employment Benefit Trust Fund: The City maintains an Other Post-Employment Benefit (OPEB) Fund. Pension trust funds are used to report resources that are required to be held in trust for the members and beneficiaries of defined benefit pension plans, defined contribution plans, or other postemployment benefit plans. The OPEB Fund accounts for the City's contributions for healthcare coverage provided to qualified retirees.

Agency Fund: Agency funds are custodial in nature and do not involve the measurement of operating results. Agency funds are used to account for assets the City holds on behalf of others. The City maintains one agency fund, Metropolitan Sewer District Agency Fund, which accounts for the collection of various sewer fees charged to City water customers.

The Harrah's Cherokee Center – Asheville Agency Fund, which accounts for the segregation of the Harrah's Cherokee Center - Asheville box office activities for various promoters will no longer be reported as an agency fund. All Harrah's Cherokee Center - Asheville box office activity will be presented with the Harrah's Cherokee Center - Asheville fund financial statements.

Measurement focus and basis of accounting: In accordance with North Carolina General Statutes, all funds, governmental and business-type of the City are maintained during the year using the modified accrual basis of accounting.

Note 1. Summary of Significant Accounting Policies (Continued)

A fund is an independent fiscal and accounting entity with a self-balancing set of accounts comprised of assets, deferred outflows of resources, liabilities, deferred inflows of resources, fund equity, revenues, and expenditures or expenses, as applicable. Fund accounting segregates funds according to their intended purpose and is used to aid management in demonstrating compliance with finance related legal and contractual provisions. The minimum number of funds is maintained consistent with legal and managerial requirements.

Government-wide, proprietary, and fiduciary fund financial statements: The government-wide, proprietary, and fiduciary fund (excluding agency funds) financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, while agency fund (fiduciary fund) financial statements are reported using accrual basis accounting but have no measurement focus. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Non-exchange transactions, in which the City gives (or receives) value without directly receiving (or giving) equal value in exchange, include property taxes, grants and donations. On an accrual basis property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue in the fiscal year in which all eligibility requirements imposed by the provider have been satisfied.

Amounts reported as program revenues include: 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the City's enterprise funds are charges to customers for sales and services. The City also recognizes as operating revenue the portion of tap fees intended to recover the cost of connecting new customers to the water and sewer system. Operating expenses for enterprise funds include the cost of sales and services, administration expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

Governmental fund financial statements: Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Using this method, revenues are recognized as soon as they are both measurable and available. Expenditures are recorded when the related fund liability is incurred, except for principal and interest on general long-term debt, claims and judgments, OPEB, pension and compensated absences, which are recognized as expenditures to the extent they have matured. General capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

The City considers all revenues available if they are collected within 90 days of the end of the current fiscal period, except for property taxes. Ad valorem taxes are not accrued as revenue because the amount is not susceptible to accrual. At June 30, taxes receivable for property other than motor vehicles are materially past due and are not considered to be an available resource to finance the operations of the current year. Also, as of September 1, 2013, state law altered the procedures for the assessment and collection of property taxes on registered motor vehicles in North Carolina. Effective with this change in the law, the State of North Carolina is responsible for billing and collecting the property taxes on registered motor vehicles on behalf of all municipalities and special tax districts. Property taxes are due when motor vehicles are registered. The billed taxes are applicable to the fiscal year in which they are received. Uncollected taxes that were billed in periods prior to September 1, 2013, are shown as a receivable in these financial statements and are offset by deferred inflows of resources.

Note 1. Summary of Significant Accounting Policies (Continued)

Sales taxes and certain intergovernmental revenues collected and held by the state at year-end on behalf of the City are recognized as revenue. Sales taxes are considered a shared revenue for the City of Asheville because the tax is levied by Buncombe County and then remitted to and distributed by the State. Most intergovernmental revenues and sales and services are not susceptible to accrual because generally they are not measurable until received in cash.

Grant proceeds received but unearned at year-end are recorded as unearned revenues. Under the terms of the grant agreements, the City funds certain programs by a combination of specific cost-reimbursement grants, categorical block grants, and general revenues. Thus, when program expenditures are incurred, there is both restricted and unrestricted net position available to finance the program. Excluding debt funding, it is the City's policy to first apply cost-reimbursement grant resources to such programs, followed by categorical block grants, and then by general revenues. In the event that debt proceeds are included, the City will spend debt proceeds first unless there is an agreement tying specific expenditures to grant proceeds. When both restricted and unrestricted resources are available for use, it is the City's policy to use restricted resources first, and then unrestricted resources as they are needed.

Budgetary data: The City's budgets are adopted as required by the North Carolina General Statutes. An annual budget is adopted for the General Fund, Water Resources Fund and the other non-major enterprise operating funds. Multi-year budgets are adopted for non-major governmental funds and enterprise capital projects funds. All annual appropriations lapse at the fiscal year-end. As required by state law [N. C. General Statute 159-26(d)], the City maintains encumbrance accounts, which are considered to be "budgetary accounts." Encumbrances outstanding at year-end represent the estimated amounts of the expenditures ultimately to result if unperformed contracts in progress at year-end are completed. Encumbrances outstanding at year-end do not constitute expenditures or liabilities. These encumbrances outstanding are restricted and will be charged against next year's budget. All budgets are prepared using the modified accrual basis of accounting. N.C. General Statute 159-13(a)(3) requires the budget ordinance make appropriations by department, function or project. The City has defined its annual operating funds to be functions; therefore, expenditures may not legally exceed appropriations at the fund level for all annual operating funds. Expenditures may not legally exceed appropriations at the project level for all multi-year project funds. Amendments are required for any revisions that alter the total fund budget and must be approved by the City Council. The City internally manages expenditures on a line item and departmental basis. The Budget division must approve all of these internal budget revisions. During the year numerous budget revisions to the original budget were necessary. The budget ordinance must be adopted by July 1 of the fiscal year or the governing board must adopt an interim budget that covers that time until the annual ordinance can be adopted.

Assets, liabilities, deferred outflows/inflows of recourses, and fund equity:

Deposits and investments: The deposits of the City and the ABC Board are secured as required by North Carolina General Statute (G.S.) 159-31. The City may establish official depositories with any bank or savings association whose principal office is located in North Carolina. The City and the ABC Board may establish time deposits in the form of NOW and SUPERNOW accounts, money market accounts, and certificates of deposits.

State law [G.S. 159-30(c)] authorizes the City and the ABC Board to invest in obligations of the United States or obligations fully guaranteed both as to principal and interest by the United States, obligations of the State of North Carolina, bonds and notes of any North Carolina local government or public authority, obligations of certain non-guaranteed federal agencies, certain high quality issues of commercial paper and bankers' acceptances, and the North Carolina Capital Management Trust (NCCMT). The City's and the ABC Board's investments are generally reported at fair value. The NCCMT Government Portfolio, a SEC-registered (2a-7) money market mutual fund, is measured at fair value.

Note 1. Summary of Significant Accounting Policies (Continued)

The NCCMT-Term Portfolio is a bond fund, has no ratings and is measured at fair value. As of June 30, 2020, the Term-Portfolio has a duration of .15 years. Because the NCMT Government and Term-Portfolios have a weighted average maturity of less than 90 days, they are presented as an investment with a maturity of less than 6 months.

In accordance with state law, the City and the ABC Board have certain securities which are callable and that provide for periodic interest rate increases in specific increments until maturity. These investments are reported at fair value as determined by quoted market prices.

Cash and cash equivalents: The City pools monies from all funds, except unspent bond proceeds and OPEB trust funds, to facilitate disbursement and investment and maximize investment income. The City and the ABC Board consider demand deposits and investments purchased with an original maturity of three months or less, which are not limited as to use, to be cash and cash equivalents.

General Statute 159-30.1 allows the City to establish an Other Postemployment Benefit (OPEB) Trust Fund managed by the staff of the Department of the State Treasurer and operated in accordance with state laws and regulations. It is not registered with the SEC, and G.S. 159-30(g) allows the City to make contributions to the Fund. The State Treasurer, in her discretion, may invest the proceeds in equities of certain publicly held companies and long or short term fixed income investments as detailed in G.S. 147-69.2(1-6) and (8). Funds submitted are managed in three different sub-funds: the State Treasurer's Short-Term Investment Fund (STIF) consisting of short to intermediate treasuries, agencies and corporate issues authorized by G.S. 147-69.1, the State Treasurer's Bond Index Fund (BIF) consisting of investment grade corporate securities, treasuries, and agencies, and BlackRock's MSCI ACWI EQ Index Non-Lendable Class B Fund (EIF) authorized under G.S 147-69.2(b)(8).

The STIF securities are reported at cost and maintain a constant $1 per share value. Under the authority of G.S. 147-69.3, no unrealized gains or losses of the STIF are distributed to participants of the fund. The BIF is also valued at $1 per share. The BlackRock's MSCI ACWI EQ Index Non-Lendable Class B fund is priced at $23.1074 per share at June 30, 2020. The weighted average maturity of the STIF is 1.3 years and the weighted average maturity of the BIF is 7.97 years.

Restricted assets: Certain cash balances are restricted by purpose and source. Cash balances related to customer deposits are not available for appropriations or expenditures. These balances are segregated on the Statement of Net Position and classified as restricted. Other cash balances in the major funds are restricted for unspent debt proceeds, debt service payments and unspent grant funding, and are only available for designated projects as described in the individual official statements or grant agreements and as approved by Council. Unexpended bond proceeds are classified as restricted cash because their use is completely restricted to the purpose for which the bonds were originally issued.

Ad valorem taxes receivables: In accordance with North Carolina General Statutes [G.S. 105-347 and G.S. 159-13(a)], the City levies ad valorem taxes, other than motor vehicles, on July 1, the beginning of the fiscal year. The taxes are due September 1 (lien date), but interest and penalties do not accrue until the following January 6. These taxes are based on the assessed values as of January 1, 2017. As allowed by State law, the City has established a schedule of discounts that apply to taxes that are paid prior to the due date. In the City's General Fund, ad valorem tax revenues are reported net of such discounts.

Allowances for doubtful accounts: All receivables that historically experience uncollectible accounts are shown net of an allowance for doubtful accounts. This amount is estimated by analyzing the percentage of receivables that were written off in prior years and the percentage of prior year receivables

Note 1. Summary of Significant Accounting Policies (Continued)

collected within the current fiscal year. In addition, an allowance is provided for certain loans where collectability is uncertain.

Inventories and prepaid items: Various inventories are maintained on either a perpetual or periodic basis and valued at the lower of cost or net realizable value using the weighted average or first-in, first-out methods, respectively. Inventories consist of expendable items, including supplies held for subsequent use, items held for sale, and certain materials consumed for the replacement of infrastructure. The costs thereof have been recorded at the time items were purchased. Expenditure occurs when items are issued from inventory. Inventories of the ABC Board are valued at average cost and are not in excess of market on a first-in, first-out basis.

Certain payments to vendors reflect costs applicable to future accounting periods and are reported as prepaid items in both government-wide and fund financial statements and are expended/expensed as balances are used.

Notes receivable: Notes receivable are recorded in governmental funds net of an allowance for uncollectible accounts.

Capital assets: Capital assets reported in the applicable governmental or business-type activities columns in the government-wide financial statements and proprietary fund financial statements include land, infrastructure, buildings, improvements other than buildings, machinery and equipment, and intangibles. Except for debt funded assets, which are always capitalized, minimum capitalization thresholds are as follows:

City of Asheville

Category of capital asset	Capitalization Threshold
Land	No threshold
Infrastructure	$ 50,000
Buildings	50,000
Improvements other than buildings	50,000
Machinery and equipment	5,000
Rights of way	5,000
Software	100,000
Internally generated software	1,000,000

Donated capital assets received prior to June 15, 2015, are recorded at their estimated fair market value at the date of the donation. Donated capital assets received after June 15, 2015, are recorded at acquisition value. All other purchased or constructed capital assets are reported at cost or estimated historical cost. Costs incurred in repairing or maintaining an asset that do not extend the asset's useful life, increase its productivity, or add value to it are not capitalized. Capitalization of assets and improvements within a long-term project occur when the related asset is completed and put into use. Capitalized interest incurred during the construction phase of a project is included in the value of the asset capitalized in enterprise funds.

Note 1. Summary of Significant Accounting Policies (Continued)

Three categories of capital assets are not depreciated: land, construction in progress, and most sub-classes of intangibles. Depreciable capital assets owned by the City and ABC Board are depreciated using the straight-line method over the following estimated useful lives:

City of Asheville

Category of capital asset	Useful Life In Years
Infrastructure	20-50
Buildings	20-50
Improvements other than buildings	10-20
Machinery and equipment	5-30
Software	5

ABC Board

Category of capital asset	Useful Life In Years
Buildings	20-30
Leasehold improvements	10-20
Furniture and equipment	5-10

Deferred outflows/inflows of resources: In addition to assets, the statement of net position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, Deferred Outflows of Resources, represents a consumption of net position that applies to a future period and so will not be recognized as an expense or expenditure until then. The City has three items that meet this criterion, contributions made to the pension plans in the 2020 fiscal year, other deferral of pension and OPEB expense and unamortized losses on bond defeasance in the Governmental Activities, Water Resources Fund and Parking Fund. In addition to liabilities, the statement of net position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, Deferred Inflows of Resources, represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The City has multiple items that meet the criterion for this category - prepaid taxes, property taxes receivable (less penalties), some grant revenues and deferrals of pension and OPEB expense that result from the implementation of GASB Statements 68, 73, and 75

Compensated absences: The vacation policy of the City provides for the accumulation of up to a maximum of 40 days earned vacation leave, with such leave being fully vested when earned. All vacation pay is accrued when incurred in the government-wide, proprietary funds, and component unit financial statements. ABC Board employees may accumulate up to 30 days earned vacation and such leave is fully vested when earned.

The City also provides for the accumulation of compensatory time for non-exempt employees. Non-exempt general employees may accrue a balance of no more than 120 hours and sworn police officers and uniformed fire safety employees may accrue a balance of no more than 240 hours of compensatory time. Exceptions to this limit must be approved by the Finance and Human Resources directors. The compensatory time pay for non-exempt employees is accrued when incurred in the government-wide and proprietary funds.

Note 1. Summary of Significant Accounting Policies (Continued)

On an annual basis, the City also advances holiday pay for certain employees. Employees separated from the City during the year that use more holiday pay than accrued on a pro-rata basis forfeit an equal amount of other compensated absence pay. Included in the compensated absences liability calculation is the City's net liability for holiday pay as of June 30. Any unused advanced holiday pay remaining at the end of each calendar year is forfeited. Holiday pay is accrued when incurred in the government-wide and proprietary funds.

The City and the ABC Board's sick leave policy provides for an unlimited accumulation of earned sick leave. Sick leave does not vest, but any unused sick leave accumulated at the time of retirement may be used in the determination of length of service for retirement benefit purposes. Since neither of the two entities is obligated for the accumulated sick leave until it is actually taken, no liability for sick leave has been recorded.

Long-term obligations: In the government-wide financial statements and the proprietary fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the straight-line method of amortization which approximates the effective interest method. Bonds payable are reported net of the applicable bond premium or discount. Bond issuance costs, except for prepaid insurance costs, are expensed in the reporting period in which they are incurred. Prepaid insurance costs are expensed over the life of the debt.

In the fund financial statements, governmental funds recognize bond premiums and discounts, as well as certain bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances are reported as other financing uses. Certain issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt related expenditures.

Net position/fund balances: Net position in government-wide and proprietary fund financial statements is classified as net investment in capital assets, restricted and unrestricted. Restricted net position represents constraints on resources that are either externally imposed by creditors, grantors, contributors, or laws or regulations of other governments or imposed by law through state statute.

In the governmental fund financial statements, fund balance is composed of five classifications designed to disclose the hierarchy of constraints placed on how fund balance can be spent.

The governmental fund types classify fund balances as follows:

Non-spendable fund balance: This classification includes amounts that cannot be spent because they are either (a) not in spendable form or (b) legally or contractually required to be maintained intact**.**

Inventories, notes receivable and prepaid balances: Portion of fund balance that is not available for appropriation because it represents the year-end balance of inventories, notes receivable and prepaid balances, which are not expendable available resources.

Perpetual maintenance: Portion of fund balance that is required to be retained in perpetuity for maintenance of the City's cemetery.

Restricted fund balance: This classification includes amounts that are restricted to specific purposes externally imposed by creditors or imposed by law.

Note 1. Summary of Significant Accounting Policies (Continued)

Restricted for stabilization by state statute: Portion of fund balance that is constrained by state statute G.S. 159-8(a) from appropriation.

Restricted for grant programs: Portion of fund balance restricted for various grant programs.

Committed fund balance: This classification includes amounts that can only be spent for specific purposes imposed by majority vote by quorum of City's governing body, the City Council (highest level of decision-making authority). The governing body can, by adoption of an ordinance prior to the end of the fiscal year, commit fund balance. Once adopted, the limitation imposed by the ordinance remains in place until a similar action is taken (the adoption of another ordinance) to remove or revise the limitation. The amounts are committed for various capital improvements and community and economic development.

Assigned fund balance: This classification includes amounts the City intends to use for a specific purpose. Assignments may be created, amended or eliminated by the Director of Finance and Management Services. Although managed as dedicated to specific areas, amounts are available for appropriation by Council. The majority of the amounts assigned are to be used for facility and infrastructure improvements.

Unassigned fund balance: This classification includes amounts of fund balance that are spendable and have not been restricted, committed, or assigned to specific purposes or other funds.

The City has a revenue spending practice that provides guidance for programs with multiple revenue sources. The Director of Finance and Management Services will use resources in the following hierarchy: bond proceeds, federal funds, state funds, local non-city funds, and lastly, City funds. For purposes of fund balance classification, expenditures are to be spent from restricted fund balance first, followed in-order by committed fund balance, assigned fund balance and lastly, unassigned fund balance. The Director of Finance and Management Services has the authority to deviate from these practices if it is in the best interest of the City.

The City has also adopted a minimum fund balance policy for the General Fund, which instructs management to conduct the business of the City in such a manner that unassigned fund balance is greater than or at least equal to 15% of the General Fund operating expenditure budget. Any portion of the fund balance in excess of 15% of the General Fund operating expenditure budget may be appropriated by City Council through an amendment to the subsequent year's budget ordinance.

Pensions: For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Local Governmental Employees' Retirement System ("LGERS") and Law Enforcement Officer Special Separation Allowance (the "Separation Allowance") and additions to/deductions from LGERS' and the Separation Allowance fiduciary net position have been determined on the same basis as they are reported by LGERS and Separation Allowance. For this purpose, plan member contributions are recognized in the period in which the contributions are due. The City of Asheville's employer contributions are recognized when due and the City has a legal requirement to provide the contributions. Benefits and refunds are recognized when due and payable in accordance with the terms of LGERS and Separation Allowance. Investments are reported at fair value. For purposes of measuring the net OPEB liability, deferred outflows and inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of the OPEB Trust and additions to/deductions from the OPEB Trust' fiduciary net position have been determined on the same basis as City. For this purpose, the City recognizes benefit payments when due and payable in accordance with the benefit terms. Investments for all plans are reported at fair value.

Note 2. Deposits and Investments

Deposits: All deposits of the City and the ABC Board are either insured or collateralized by using one of two methods. Under the Dedicated Method, all deposits that exceed the federal depository insurance coverage level are collateralized with securities held by the City's or the ABC Board's agents in these units' names. Under the Pooling Method, which is a collateral pool, all uninsured deposits are collateralized with securities held by the State Treasurer's agent in the name of the State Treasurer. Since the State Treasurer is acting in a fiduciary capacity for the City and the ABC Board, these deposits are considered to be held by the City's and the ABC Board's agents in their names. The amount of the pledged collateral is based on an approved averaging method for non-interest bearing deposits and the actual current balance for interest-bearing deposits.

Depositories using the Pooling Method report to the State Treasurer the adequacy of their pooled collateral covering uninsured deposits. The State Treasurer does not confirm this information with the City, the ABC Board, or the escrow agent. Because of the inability to measure the exact amounts of collateral pledged for the City and the ABC Board under the Pooling Method, the potential exists for under-collateralization, and this risk may increase in periods of high cash flows. However, the State Treasurer of North Carolina enforces strict standards of financial stability for each depository that collateralizes public deposits under the Pooling Method. The City and the ABC Board have no policy regarding custodial credit risk for deposits.

At June 30, 2020, the City's deposits had a carrying amount of $8,584,478 and a bank balance of $13,761,413. Of the bank balance, $500,000 was covered by federal depository insurance and the remainder was covered by collateral held under the Pooling Method. The City and ABC Board also had $22,972 and 11,400, respectively, in petty cash at year-end. At June 30, 2020, the ABC Board's deposits had a carrying amount of $3,191,825 and a bank balance of $3,099,244. Of the bank balance, $250,000 was covered by federal depository insurance and the remainder was covered by collateral held under the Pooling Method. Certificates of Deposit are purchased for investment purposes and are included in the detail schedule below. All certificates held are covered by federal depository insurance and collateral held under the pooling method.

Investments: The calculation of realized gains is independent of the calculation of the net increase/decrease in the fair value of investments that have been held in more than one fiscal year and sold during the current year. The current year realized gain is recognized as an increase/decrease in the fair value of the current year investments as compared to the investments as reported in the prior year. The net increase in fair value during 2020 for the City was $1,042,302. This amount takes into account all changes in fair value (including purchases, sales and maturities) that occurred during the year. The unrealized gain on investments held at year-end was $143,730.

Note 2. Deposits and Investments (Continued)

As of June 30, 2020, the City had the following investments and maturities:

	Valuation Measurement Method	Reported at 6/30/2020	Maturity 0-6 Months	6-12 Months	1-3 Years	3+ Years	Rating
U.S. government securities	Fair Value Level 2	$ 87,748,001	$ 44,705,618	$ 43,042,383	$ -	$ -	AAA
U.S. government agencies	Fair Value Level 2	12,583,459	12,583,459	-	-	-	Aaa/AA+
NCCMT – Government portfolio	Fair Value Level 1	5,534,836	5,534,836	-	-	-	AAAm
NCCMT – Term portfolio	Fair Value Level 1	49,810,762	49,810,762	-	-	-	Unrated
Commercial paper	Fair Value Level 2	12,493,372	12,493,372	-	-	-	
Total		$ 168,170,430	$ 125,128,047	$ 43,042,383	$ -	$ -	

All investments are measured using the market approach: using prices and other relevant information generated by market transactions involving identical or comparable assets or a group of assets.

Level 1: NCCMT is valued using directly observable, quoted prices (unadjusted) in active markets for identical assets.

Level 2: Debt securities valued using a matrix pricing technique. Matrix pricing is used to value securities based on the securities' benchmark quoted prices.

As of June 30, 2020, the ABC Board had investments of $541,341.

Interest rate risk: In accordance with its investment policy, the City manages its exposure to declines in fair values by requiring purchases of securities to be laddered with staggered maturity dates and limiting all securities to a final maturity of generally no more than five years.

Credit risk: State law limits investments in commercial paper to the top rating issued by nationally recognized statistical rating organizations ("NRSROs"). The City limits investments to the provisions of G.S. 159-30 and restricts the purchase of securities to the highest possible ratings whenever particular types of securities are rated. The City's investments in the NC Capital Management Trust Government Portfolio carried a credit rating of AAAm by Standard & Poor's as of June 30, 2020. The City's investment in the NC Capital Management Trust's Term Portfolio is unrated. The City's investments in US Agencies (Federal Home Loan Bank, Federal Farm Credit Bank, Federal Home Loan Mortgage Corporation, Federal National Mortgage Association) are rated AA+ by Standard & Poor's and Aaa by Moody's Investors Service as of June 30, 2020.

Custodial credit risk: For an investment, custodial credit risk is the risk that in the event of the failure of the counterparty, the City will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The City's policy requires the use of a third party custodial agent for book entry transactions, all of which will be held in the City's name.

Note 2. Deposits and Investments (Continued)

Concentration of Credit Risk: The City's policy generally limits the amount of investment in any one issuer to 25 percent by security type and institution. At June 30, 2020, approximately 52 percent of the City's total investments were in US Government Securities, 6 percent were in Federal Home Loan Bank securities, 2 percent were in Federal Home Loan Mortgage Corporation securities, 33 percent were in the NCCMT Government and Term accounts, 7 percent were in commercial paper.

At June 30, 2020, the City's OPEB Trust had $13,958,636 invested in the State Treasurer's Local Government Other Post-Employment Benefits (OPEB) Fund pursuant to G.S. 159-30.1. The State Treasurer's OPEB Fund may invest in public equities and both long-term and short-term fixed income obligations as determined by the State Treasurer pursuant to the General Statutes. At year-end, the City's OPEB Fund was invested as follows: North Carolina Non-Pension Fixed Income 48.11 percent and BlackRock's MSCI ACWI Equity Index Non-Lendable Fund B (EIF) 51.87 percent (the equities were split with 57.5% in domestic securities and 42.5% in international securities).

***Level of the fair value hierarchy*:** Ownership of the STIF is determined on a fair market valuation basis as of fiscal year end in accordance with the STIF operating procedures. STIF investments are valued by the custodian using Level 2 inputs which in this case involves inputs—other than quoted prices—included within Level 1 that are either directly or indirectly observable for the asset or liability. The STIF is valued at $1 per share. The STIF portfolio is unrated and had a weighted average maturity at June 30, 2020 of 1.3 years.

Ownership of the BIF is determined monthly at fair value using the same Level 2 inputs as the STIF and is based upon units of participation. Units of participation are calculated monthly based upon inflows and outflows as well as allocations of net earnings. On June 30, 2020 the BIF, which does not have a credit rating, was valued at $1 per unit and had an average maturity of 7.97 years at June 30, 2020.

The BlackRock's MSCI ACWI EQ Index Non-Lendable Class B fund, authorized under G.S. 147-69.2(b)(8), is a common trust fund considered to be commingled in nature. The Fund's fair value is the number of shares times the net asset value as determined by a third party. At June 30, 2020 the fair value of the funds was $23.1074 per share. Fair value for this Blackrock fund is determined using Level 1 inputs which are directly observable, quoted prices (unadjusted) in active markets for identical assets or liabilities.

***Valuation technique*:** North Carolina Department of State Treasurer OPEB trust investments are measured using the market approach: using prices and other relevant information generated by market transactions involving identical or comparable assets or a group of assets.

Note 3. Receivables – Allowances for Doubtful Accounts

Receivables presented on the statement of net position, balance sheet governmental funds, and statement of fund net position proprietary funds at year-end are net of the following allowances:

	Statement of Net Position		Balance Sheet	Fund Net Position
	Governmental Activities	Business-Type Activities	Governmental Funds	Proprietary/Internal Service Funds
General fund:				
Receivables:				
Property taxes Receivable	$ 185,614	$ -	$ 185,614	$ -
Accounts receivable	2,655,552	-	2,655,552	-
Other receivables	-	-	-	-
Notes receivable	45,500	-	45,500	-
Non-major governmental funds:				
Notes receivable	228,125	-	228,125	-
Major funds:				
Water resources	-	1,425,748	-	1,425,748
Parking services	-	1,046,418	-	1,046,418
Non-major enterprise funds	-	1,044,020	-	1,044,020
Internal services	23,429	-	-	23,429
	$ 3,138,220	$ 3,516,186	$ 3,114,791	$ 3,539,615

Note 4. Capital Assets

Capital asset activity for the year ended June 30, 2020, was as follows:

	Beginning Balances	Additions	Retirements	Transfers In (Out)	Ending Balances
Governmental activities:					
Capital assets, non depreciable:					
Land and improvements	$ 44,442,177	$ -	$ (46,500)	$ 5,276,683	$ 49,672,360
Intangibles	5,096,126	-	-	-	5,096,126
Construction in progress	42,512,034	41,769,206	(550,063)	(22,801,627)	60,929,550
Total capital asset, non-depreciable	92,050,337	41,769,206	(596,563)	(17,524,944)	115,698,036
Capital assets, depreciable:					
Buildings and improvements	70,704,304	-	-	427,789	71,132,093
Improvements other than buildings	15,652,873	53,614	-	1,141,950	16,848,437
Machinery and equipment	61,298,146	797,979	(718,347)	7,262,953	68,640,731
Infrastructure	251,964,824	-	-	8,692,252	260,657,076
Intangibles	569,775	-	-	-	569,775
Other capital assets	105,999	-	-	-	105,999
Total capital asset, depreciable	400,295,921	851,593	(718,347)	17,524,944	417,954,111
Less accumulated depreciation for:					
Buildings and improvements	(39,548,913)	(2,404,286)	-	-	(41,953,199)
Improvement other than buildings	(2,333,003)	(954,054)	-	-	(3,287,057)
Machinery and equipment	(36,234,470)	(5,422,895)	748,538	-	(40,908,827)
Infrastructure	(213,258,639)	(2,030,282)	-	-	(215,288,921)
Intangibles	(569,774)	-	-	-	(569,774)
Other capital assets	(67,279)	(7,840)	-	-	(75,119)
Total accumulated depreciation	(292,012,078)	(10,819,357)	748,538	-	(302,082,897)
Total capital assets, depreciable, net	108,283,843	(9,967,764)	30,191	17,524,944	115,871,214
Government activities capital assets, net	$ 200,334,180	$ 31,801,442	$ (566,372)	$ -	$ 231,569,250

Note 4. Capital Assets (Continued)

	Beginning Balances	Additions	Retirements	Transfers In (Out)	Ending Balances
Business-type activities:					
Capital assets, non-depreciable:					
Land and improvements	$ 16,046,362	$ -	$ -	$ -	$ 16,046,362
Intangibles	16,297,313	3,685,920	-	-	19,983,233
Construction in progress	62,303,442	29,121,632	(71,325)	(9,377,044)	81,976,705
Total capital assets, non-depreciable	94,647,117	32,807,552	(71,325)	(9,377,044)	118,006,300
Capital assets, depreciable:					
Buildings and improvements	107,682,468	-	-	7,196,234	114,878,702
Improvements other than buildings	4,778,648	-	-	-	4,778,648
Machinery and equipment	44,348,147	1,465,026	(2,392,264)	1,096,321	44,517,230
Infrastructure	198,326,155	616,401	-	1,084,489	200,027,045
Other capital assets	25,000	-	-	-	25,000
Total capital assets, depreciable	355,160,418	2,081,427	(2,392,264)	9,377,044	364,226,625
Less accumulated depreciation for:					
Buildings and improvements	(57,525,924)	(2,264,462)	-	-	(59,790,386)
Improvement other than buildings	(664,336)	(217,297)	-	-	(881,633)
Machinery and equipment	(33,119,668)	(2,930,294)	2,364,470	-	(33,685,492)
Infrastructure	(85,422,292)	(3,577,041)	-	-	(88,999,333)
Other capital assets	(4,925)	(1,008)	-	-	(5,933)
Total accumulated depreciation	(176,737,145)	(8,990,102)	2,364,470	-	(183,362,777)
Total capital assets, depreciable, net	178,423,273	(6,908,675)	(27,794)	9,377,044	180,863,848
Business-type activities capital assets, net	$ 273,070,390	$ 25,898,877	$ (99,119)	$ -	$ 298,870,148

	Beginning Balances	Additions	Retirements	Transfers (In) Out	Ending Balances
Water Services Fund:					
Capital assets, non-depreciable:					
Land and imporvements	$ 4,593,315	$ -	$ -	$ -	$ 4,593,315
Intangibles	15,942,824	3,685,920	-	-	19,628,744
Construction in progress	57,220,251	22,974,027	(70,462)	(3,280,033)	76,843,783
Total capital assets, non-depreciable	77,756,390	26,659,947	(70,462)	(3,280,033)	101,065,842
Capital assets, depreciable:					
Buildings and improvements	67,149,490	-	-	2,000,706	69,150,196
Improvements other than buildings	396,505	-	-	-	396,505
Machinery and equipment	22,639,042	402,566	(1,213,302)	194,838	22,023,144
Infrastructure	182,105,749	616,401	-	1,084,489	183,806,639
Total capital assets, depreciable	272,290,786	1,018,967	(1,213,302)	3,280,033	275,376,484
Less accumulated depreciation for:					
Buildings and improvements	(36,080,214)	(1,403,888)	-	-	(37,484,102)
Improvement other than buildings	(149,624)	(19,531)	-	-	(169,155)
Machinery and equipment	(19,452,527)	(1,161,335)	1,188,456	-	(19,425,406)
Infrastructure	(73,006,725)	(3,424,204)	-	-	(76,430,929)
Total accumulated depreciation	(128,689,090)	(6,008,958)	1,188,456	-	(133,509,592)
Total capital assets, depreciable, net	143,601,696	(4,989,991)	(24,846)	3,280,033	141,866,892
Water activities capital assets, net	$ 221,358,086	$ 21,669,956	$ (95,308)	$ -	$ 242,932,734

Note 4. Capital Assets (Continued)

	Beginning Balances	Additions	Retirements	Transfers (In) Out	Ending Balances
Mass Transit Fund:					
Capital assets, non-depreciable:					
Land and imporvements	$ 157,968	$ -	$ -	$ -	$ 157,968
Intangibles	7,544	-	-	-	7,544
Total capital assets, non-depreciable	165,512	-	-	-	165,512
Capital assets, depreciable:					
Buildings and improvements	1,834,513	-	-	-	1,834,513
Improvements other than buildings	447,443	-	-	-	447,443
Machinery and equipment	12,913,762	981,709	(431,507)	-	13,463,964
Total capital assets, depreciable	15,195,718	981,709	(431,507)	-	15,745,920
Less accumulated depreciation for:					
Buildings and improvements	(1,542,089)	(36,811)	-	-	(1,578,900)
Improvement other than buildings	(5,786)	(29,829)	-	-	(35,615)
Machinery and equipment	(7,682,190)	(1,044,344)	431,507	-	(8,295,027)
Total accumulated depreciation	(9,230,065)	(1,110,984)	431,507	-	(9,909,542)
Total capital assets, depreciable, net	5,965,653	(129,275)	-	-	5,836,378
Mass Transit Fund capital assets, net	$ 6,131,165	$ (129,275)	$ -	$ -	$ 6,001,890

	Beginning Balances	Additions	Retirements	Transfers (In) Out	Ending Balances
Parking Services Fund:					
Capital assets, non-depreciable:					
Land and imporvements	$ 10,631,482	$ -	$ -	$ -	$ 10,631,482
Intangibles	20,801	-	-	-	20,801
Construction in Progress	481,526	412,826	-	-	894,352
Total capital assets, non-depreciable	11,133,809	412,826	-	-	11,546,635
Capital assets, depreciable:					
Buildings and improvements	18,192,249	-	-	-	18,192,249
Improvements other than buildings	1,052,078	-	-	-	1,052,078
Machinery and equipment	1,028,706	34,492	(747,454)	-	315,744
Other capital assets	25,000	-	-	-	25,000
Total capital assets, depreciable	20,298,033	34,492	(747,454)	-	19,585,071
Less accumulated depreciation for:					
Buildings and improvements	(7,645,804)	(404,317)	-	-	(8,050,121)
Improvement other than buildings	(140,862)	(75,971)	-	-	(216,833)
Machinery and equipment	(921,559)	(36,201)	744,507	-	(213,253)
Other capital assets	(4,925)	(1,008)	-	-	(5,933)
Total accumulated depreciation	(8,713,150)	(517,497)	744,507	-	(8,486,140)
Total capital assets, depreciable, net	11,584,883	(483,005)	(2,947)	-	11,098,931
Parking Services Fund capital assets, net	$ 22,718,692	$ (70,179)	$ (2,947)	$ -	$ 22,645,566

Note 4. Capital Assets (Continued)

	Beginning Balances	Additions	Retirements	Transfers (In) Out	Ending Balances
Asheville ABC Board:					
Land	3,640,788	-	-	-	3,640,788
Construction in progress	1,248,127	117,335	(1,365,462)	-	-
Total capital assets, non-depreciable	4,888,915	117,335	(1,365,462)	-	3,640,788
Capital assets, depreciable:					
Buildings	7,674,267	90,698	1,355,147	-	9,120,112
Leashold improvements	172,418	-	-	-	172,418
Furniture and equipment	1,782,688	45,177	10,315	-	1,838,180
Vehicles	255,930	-	-	-	255,930
Total capital assets, depreciable	9,885,303	135,875	1,365,462	-	11,386,640
Less accumulated depreciation for:					
Buildings	(2,844,694)	(287,242)	-	-	(3,131,936)
Leashold improvements	(169,108)	(766)	-	-	(169,874)
Furniture and equipment	(1,102,570)	(158,171)	-	-	(1,260,741)
Vehicles	(223,953)	(10,454)	-	-	(234,407)
Total accumulated depreciation	(4,340,325)	(456,633)	-	-	(4,796,958)
Total capital assets, depreciable, net	5,544,978	(320,758)	1,365,462	-	6,589,682
Ashevill ABC Board capital assets, net	$ 10,433,893	$ (203,423)	$ -	$ -	$ 10,230,470

During the year, the City recorded capital contributions of $4,302,321, which represents the value of water lines, easements, and rights of way. Capital contributions are a non-cash capital related financing activity for the statement of cash flows.

Depreciation expenses charged to the City's functions were as follows:

Governmental activities:	
General government	2,403,508
Public safety	3,250,906
Transportation	2,012,060
Environmental protection	766,919
Economic Development	49,133
Culture and recreation	2,336,831
Total depreciation, governmental activities	10,819,357
Business-type activities:	
Water resources	6,008,958
Parking services	517,497
Mass transit	1,110,984
Non-major enterprise funds	1,352,663
Total depreciation, business-type activities	8,990,102

Note 4. Capital Assets (Continued)

The City has numerous construction projects as of June 30, 2020. The amounts the City is contractually committed to spend at June 30, 2020, are the following:

Project	Spent to Date	Remaining Commitments
Governmental:		
Building maintenance	$ 1,600,060	$ 926,493
Transportation	3,410,186	4,888,365
Parks and Recreation	19,182	289,044
RADTIP	27,647,595	8,635,632
Bond Projects	4,649,128	8,889,593
Total governmental	37,326,151	23,629,127
Proprietary:		
Water	18,850,645	6,134,195
North Fork Dam	38,371,536	906,634
Stormwater	1,292,737	368,624
Harrahs Cherokee Asheville	5,102,050	568,542
Parking	254,187	281,202
Total proprietary	63,871,155	8,259,197
Total commitments	$ 101,197,306	$ 31,888,324

Interfund Receivables, Payables and Transfers

The composition of interfund balances as of June 30, 2020, is as follows:

Due From Other Funds	Due to General Fund
Non-major governmental funds:	
Community Development Special Revenue Fund	$ 318,472
Affordable Home Ownership Special Revenue Fund	1,800,825
Total due from non-major governmental funds	2,119,297
Major governmental funds:	
General Capital Project Fund	1,116,791
Total due from governmental funds	$ 3,236,088

The outstanding balances between funds result mainly from the time lag between the dates that (1) inter-fund goods and services are provided or reimbursable expenditures occur, (2) transactions are recorded in the accounting system, and (3) payments between funds are made.

Transfers are used to move unrestricted revenues to finance various programs that the government must account for in other funds in accordance with budgetary authorizations, including amounts provided as subsidies or matching funds for various grant programs.

Note 5. Interfund Receivables, Payables and Transfers (Continued)

	Transfers In						
	General Fund	General Capital Projects Fund	Non-major Governmental Funds	Water Services Fund	Mass Transit Fund	Non-major Enterprise Fund	Transfers Out
General Fund	$ -	$ 2,581,529	$ 1,070,701	$ -	$ 5,084,112	$ 1,203,484	$ 9,939,826
General Capital Projects Fund	3,893,993	-	-	100,224	-	-	3,994,217
Non-major Governmental Funds	-	-	-	-	24,850	-	24,850
Parking Services Fund	-	-	-	-	1,576,875	-	1,576,875
Non-major Enterprise Funds	-	-	-	-	-	-	-
Internal Service Funds	-	-	-	-	359,706	-	359,706
Total	$ 3,893,993	$ 2,581,529	$ 1,070,701	$ 100,224	$ 7,045,543	$ 1,203,484	$ 15,895,474

Note 6. Long-Term Obligations

General obligation bonds, limited obligation bonds, revenue bonds and installment financing contracts: The City has issued general obligation bonds, revenue bonds, limited obligation bonds ("LOBs"), and direct placement installment financing agreements to provide funds for the acquisition and construction of major capital facilities and capital equipment related to both general and proprietary activities. All general obligation bonds are backed by the full faith, credit, and taxing power of the City. In the event of a default, the City agrees to pay to the purchaser, on demand, interest on any and all amounts due and owing by the City under the related agreements. Principal and interest requirements are appropriated when due. The revenue bonds are secured by the pledge of the net revenues derived from the acquired or constructed assets of the water system. The LOBs and installment financing agreements are collateralized by the assets being financed and are not secured by the taxing power of the City. The revenue bonds and LOBs require the City to follow customary covenants including providing insurance certificates, budget data, and financial information on an annual basis. In the event of a default, the City agrees to pay to the purchaser, on demand, interest on any and all amounts due and owing by the City under the related agreements. Other long-term indebtedness is further described in Note 6.

Note 6. Long-Term Obligations (Continued)

Long-term obligations at June 30, 2020, are comprised of the following individual issues:

Table 6.A.1

	Issue Date	Final Maturity	Interest Rate	Original Issue	Principal Balances June 30, 2020	Principal and Unamortized Balances at June 30, 2020	Governmental Activities	Business-Type
1. General obligation bonds:								
2000 Sewer lines and fire fighting equipment	12/1/2000	12/1/2020	5.00%	$ 1,970,000	$ 70,000	$ 70,000	$ 70,000	$ -
2018 general obligations bonds	6/12/2018	6/1/2023	Variable (1)	23,000,000	-	-	-	-
2020 general obiligation bonds (Series 2020)	6/10/2020	6/1/2026	Variable	25,000,000	5,065,971	5,065,971	5,065,971	-
2020 general obiligation bonds (Series 2020A) - refunding	3/25/2020	6/1/2040	Variable	12,625,000	12,625,000	14,245,994	12,625,000	-
2020 general obiligation bonds (Series 2020B) - refunding	3/25/2020	6/1/2028	Variable	8,200,000	8,200,000	8,200,000	8,200,000	-
				24,970,000	25,960,971	27,581,965	25,960,971	-
2. Installment Financing Contracts:								
2010 Installment financing (Parks & Recreation)	7/12/2010	7/12/2025	4.55%	1,100,000	403,333	403,333	403,333	-
2012 Limited Obligation Bonds	6/27/2012	4/1/2032	3.00%-5.00%	39,160,000	3,205,000	3,547,259	1,390,488	1,814,512
2013 Installment financing (Green CIP)	6/13/2013	7/1/2023	1.44%	998,000	349,300	349,300	349,300	-
2016 Installment financing (Equip. and Vehicles)	6/30/2016	6/1/2021	1.25%	5,520,000	894,515	894,515	719,804	174,711
2017 Installment financing (Equip. and Vehicles)	11/9/2017	10/1/2037	2.50-5.00%	17,140,000	15,420,000	16,609,940	13,338,300	2,081,700
2017 Limited Obligation Bonds	11/9/2017	10/1/2037	3.00%-5.00%	25,000,000	23,768,530	26,630,928	18,686,600	5,081,930
2017 Special Obligation Bonds	6/30/2017	6/1/2022	1.62%-1.70%	4,307,060	2,418,000	2,418,000	2,160,000	258,000
2018 Installment financing (Equip. and Vehicles)	6/12/2018	6/12/2021	Variable (2)	48,000,000	20,723,368	20,723,368	20,594,793	128,575
2018 Limited Obligation Bonds	5/31/2018	5/1/2023	2.65%	6,220,100	3,768,550	3,768,550	3,645,329	123,221
2019 Installment financing (Equip. and Vehicles)	5/31/2019	5/1/2024	2.28%	4,330,000	4,330,000	4,330,000	3,955,000	375,000
2020 Installment financing (Equip. and Vehicles)	6/30/2020	5/1/2025	1.16%	4,650,075	4,650,075	4,650,075	4,442,824	207,251
				156,425,235	79,930,671	84,325,268	69,685,771	10,244,900
3. Revenue bonds:								
2015 water system revenue refunding bonds	6/11/2015	8/1/2032	2.00%-5.00%	50,625,000	39,950,000	44,505,670	-	39,950,000
2018 Water System Revenue Refunding Bonds	10/10/2018	10/1/2021	Variable (3)	40,000,000	29,762,591	29,762,591	-	29,762,591
				90,625,000	69,712,591	74,268,261	-	69,712,591
4. Other long-term indebtedness:								
2001 Metropolitan sewage district	4/22/1985	6/30/2024	5.00%	615,000	86,920	86,920	86,920	-
2011 NC DENR, drinking water revolving loan	6/22/2011	5/1/2031	0.00%	198,194	109,007	109,007	-	109,007
				$ 813,194	195,927	195,927	86,920	109,007
Total general obligations bonds, limited obligation bonds, revenue bonds and other long-term obligations					$ 175,800,160	$ 186,371,421	$ 95,733,662	$ 80,066,498

(1) Interest is variable at 70% of LIBOR plus 32 bppa to a contractual maximum of 7.5%

(2) Interest is variable at SIFMA plus 38 bppa

Note 6. Long-Term Obligations (Continued)

The preceding long-term obligations included in Table 6.A.1 are as follows:

	Governmental Activities	Business-type Activities	Total
General obligation bonds	$ 25,960,971	$ -	$ 25,960,971
Installment financing contracts	69,685,771	10,244,900	79,930,671
Revenue bonds	-	69,712,591	69,712,591
Other long-term indebtedness	86,920	109,007	195,927
	$ 95,733,662	$ 80,066,498	$ 175,800,160

The principal balances compared to the principal and unamortized balances in the preceding Table 6.A.1 are the unamortized premium balances as follows:

	Unamortized Premium
Limited obligation bonds, Series 2012	$ 342,258
Special obligation bonds, Series 2017	2,862,398
Limited obligation bonds, Series 2017	1,189,940
Revenue bonds, Series 2015	4,555,670
Government obligation bonds, Series 2020	1,620,995
	$ 10,571,261

Future maturities of long-term obligations: Annual debt service requirements to maturity, including interest, are as follows (excluding compensated absences and unfunded OPEB obligations):

	General Obligation Bonds		Limited Obligation Bonds and Installment Financings		Other Long-Term Obligations		Total	
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest
Governmental activities:								
2021	1,110,000	582,380	27,275,047	1,935,149	26,240	4,346	28,411,287	2,521,875
2022	1,045,000	477,466	5,962,492	1,404,825	26,240	3,034	7,033,732	1,885,325
2023	1,045,000	463,985	5,107,212	1,216,197	26,240	1,722	6,178,452	1,681,904
2024	1,040,000	450,400	3,917,705	1,068,165	8,200	451	4,965,905	1,519,016
2025	1,040,000	436,048	4,551,489	939,775	-	-	5,591,489	1,375,823
2026-2030	10,275,971	1,890,454	10,277,738	3,026,276	-	-	20,553,709	4,916,730
2031-2035	5,205,000	905,100	8,335,363	1,225,381	-	-	13,540,363	2,130,481
2036-2040	5,200,000	312,000	4,258,725	197,465	-	-	9,458,725	509,465
	$ 25,960,971	$ 5,517,833	$ 69,685,771	$ 11,013,233	$ 86,920	$ 9,553	$ 95,733,662	$ 16,540,619

	Revenue Bonds		Limited Obligation Bonds and Installment Financings		Other Long-Term Obligations		Total	
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest
Business-type activities:								
2021	33,412,591	1,672,588	1,602,623	404,050	9,910	-	35,025,124	2,076,638
2022	3,800,000	1,523,588	1,280,337	344,974	9,910	-	5,090,247	1,868,562
2023	3,970,000	1,348,338	785,478	281,428	9,910	-	4,765,388	1,629,766
2024	4,170,000	1,144,838	739,053	250,419	9,910		4,918,963	1,395,257
2025	4,375,000	931,212	769,235	217,900	9,910		5,154,145	1,149,112
2026-2030	12,910,000	2,318,059	3,142,262	625,486	49,548	-	16,101,810	2,943,545
2031-2035	7,075,000	369,772	1,579,637	46,168	9,910	-	8,664,547	415,940
2036-2040	-	-	346,275	16,160	-	-	346,275	16,160
	$ 69,712,591	$ 9,308,394	$ 10,244,900	$ 2,186,585	$ 109,007	$ -	$ 80,066,498	$ 11,494,979

(1) General Obligation Bonds include a variable rate GO bond anticipation note issued in June, 2020(2020 GO) that can be further drawn down. The 2020 GO and matures in June, 2026. Both principal and interest amounts are subject to change.

Note 6. Long-Term Obligations (Continued)

Installment financing contracts: In July 2010, the City entered into a direct placement installment-financing contract with BB&T to provide partial funding for the construction of a new Recreation Facility at Livingston Street. The $1,100,000 loan is payable over 15 years with semi-annual payments of principal at an interest rate of 4.55%. The City had direct placement installment debt balance of $403,333 as of June 30, 2020.

In June 2012, the City, through the Asheville Public Financing Corporation, a blended component unit, issued direct placement Limited Obligation Bonds in the amount of $39,160,000 to (1) finance the 2012 Projects (as described below), (2) refinance in advance of their maturities (a) the 1997A and 1997B Certificates of Participation, the proceeds of which were used to finance and refinance improvements to various City facilities, (b) the City's obligations under a 2006 direct placement installment contract, the proceeds of which were used to finance two fire stations, vehicles and equipment, and (c) the City's obligations under a 2011 installment financing contract, the proceeds of which were used to finance the construction of and improvements to a parking facility and (3) finance the costs of the initial execution and delivery of the 2012 Limited Obligation Bonds. The 2012 Projects include (1) the acquisition and construction of and improvements to certain streets, sidewalks, greenways, sewer facilities and other improvements related thereto in the City, (2) the renovation of and improvements to the City Building and the Harrah's Cherokee Center - Asheville and (3) the acquisition and installation of vehicles and equipment for the City's general governmental purposes.

In June 2016, the City entered into an amendment to the 2012 direct placement installment financing contract with the Asheville Public Financing Corporation a blended component unit of the City, and the Corporation issued a direct placement limited obligation bond, designated as an Additional Bond under the 2012 Indenture and a First Supplement, purchased by Bank of America, N.A. (the Bank), in an amount not to exceed $45,000,000. The funds will be used to pay the costs of (1) various projects in the City for affordable housing, public safety, transportation, economic development, parks and recreation and repair and renovation to City facilities and (2) the issuance of the 2016 Bond. Under the terms of the contract amendment and the first supplement to the 2012 Indenture, the Bank advances monies to the City from time-to-time and the City, subject to its right of non-appropriation, repays the principal component of the advance at maturity while paying interest on the outstanding amount on a monthly basis and at a rate of 70% of the 1 month LIBOR plus 32 bp, capped at 25%. The City does not pay a fee on unused principal portion of the loan. The Bond had a term of two years and matured on June 21, 2018.

In November 2017, the City entered into a second amendment to the 2012 direct placement installment financing contract with the Asheville Public Financing Corporation, a blended component unit of the City, and the Corporation issued direct placement limited obligation bonds ("2017 LOBs") in the amount of $25,000,000. The funds were used to refinance a portion of the project costs associated with the 2016 direct placement limited obligation bonds, while the remaining amount of the 2016 project costs were refinanced through the 2017 SOBs. The 2017 direct placement LOBs also refinanced a portion of the project costs associated with the 2012 direct placement limited obligation bonds. The refinancing was accomplished by placing a series of purchased US Treasury Notes in an irrevocable trust account with an escrow agent. The principal and interest generated from the US Treasury Notes now covers the debt service payments related to the 2012 direct placement LOBs with maturity dates from 2022 to 2032. The 2017 direct placement LOBs were underwritten by Merrill Lynch, Pierce, Fenner & Smith Incorporated. The bonds have coupon rates ranging from 3.00% to 5.00% and extend out to 2037.

Note 6. Long-Term Obligations (Continued)

In June 2018, the City entered into a third amendment to the 2012 direct placement installment financing contract with the Asheville Public Financing Corporation, a blended component unit of the City, and the Corporation issued a direct placement limited obligation bonds ("2018 LOB") purchased by the Bank of America, N.A. (the "Bank"), in an amount not to exceed $48,000,000. The funds will be used to pay the costs of (1) various projects in the City for affordable housing, public safety, transportation, economic development, parks and recreation and repair and renovation to City facilities and (2) issuance of the direct placement 2018 LOB. Under the terms of the contract amendment and the third supplement to the 2012 Indenture, the Bank advances monies to the City from time-to-time and the City, subject to its right of non-appropriation, repays the principal component of the advance at maturity while paying interest on the outstanding amount on a monthly basis and at a variable rate of SIFMA (an alternative to LIBOR) plus 38 bps. The City does not pay a fee on unused principal portion of the loan. The City anticipates that it will issue longer-term, fixed rate limited obligation bonds to refinance the 2018 LOB once the associated projects are completed and before its maturity date of June 2021.

In June 2013, the City entered into a direct placement installment-financing contract with TD Bank to provide funding to improve the energy efficiency of certain capital assets of the City. The $998,000 loan is payable over ten years with semi-annual payments of principal at an interest rate of 1.44 percent. The City had direct placement installment debt balance of $349,300 as of June 30, 2020.

In June 2016, the City entered into a direct placement installment-financing contract with Wells Fargo Bank to provide funding for the purchase of computers, vehicles and equipment. The $5,520,000 loan is payable over 59 months with semi-annual payments of principal and interest at a fixed interest rate of 1.25 percent. In addition, on June 2014, the City had entered into a direct placement installment-financing contract with Wells Fargo Bank to provide funding for the purchase of computers, vehicles and equipment. The $1,810,000 loan is payable over 59 months with semi-annual payments of principal and interest at a fixed interest rate of 1.22 percent. The City had a total direct placement installment debt balance of $894,515 as of June 30, 2020.

In June 2017, the City entered into a direct installment-financing contract with Regions Capital Advantage, Inc. to provide funding for the purchase of computers, vehicles and equipment. The $4,307,060 loan is payable over 59 months with semi-annual payments of interest and annual payments of principal at fixed rates of interest of 1.62% for the 48 month component and 1.70% for the 59 month component. The City had direct placement installment debt balance of $2,418,000 as of June 30, 2020.

In November 2017, the City issued direct placement special obligation bonds ("2017 SOBs") in the amount of $17,140,000. The funds will be used to refinance a portion of the project costs associated with the 2016 limited obligation bonds, specifically those located within the City's established Municipal Service Districts, or Innovation districts, and meeting the criteria for special obligation debt. The 2017 SOBs were unwritten by Merrill Lynch, Pierce, Fenner & Smith Incorporated. The bonds have coupon rates ranging from 3.00% to 5.00% and extend out to 2037. The City had direct placement special obligation bonds balance of $15,420,000 as of June 30, 2020.

Note 6. Long-Term Obligations (Continued)

In May 2018, the City entered into a direct installment contract with HomeTrust Bank, Inc. to provide funding for the purchase of computers, vehicles, and equipment. The $6,220,100 loan is payable over 59 months with semi-annual payments of principal and interest at a fixed rate of 2.65 percent. The City had direct placement installment debt balance of $3,768,550 as of June 30, 2020.

In May 2019, the city entered into a direct installment contract with PNC Bank, N/A/ to provide funding for the purchase of vehicles and equipment. The $4,330,000 loan is payable over 59 months with semi-annual payments of principal and interest at a fixed rate of 2.25 percent. The City had direct placement installment debt balance of $4,330,000 as of June 30, 2020.

In June 2020, the City entered into a direct installment-financing contract with JPMorgan Chase Bank, N.A. to provide funding for the purchase of computers, vehicles and equipment. The $4,650,075 loan is payable over 59 months with semi-annual payments of interest and annual payments of principal at fixed rates of interest of 1.16%. The City had direct placement installment debt balance of $4,442,824 as of June 30, 2020.

General obligations bonds: The City has issued general obligation bonds to provide funds for the acquisition and construction of major capital facilities related to both general and proprietary activities. All general obligation bonds are backed by the full faith, credit and taxing power of the City. Principal and interest requirements are appropriated when due. In the event of a default, the City agrees to pay to the purchaser, on demand, interest on any and all amounts due and owing by the City under the related agreement. On November 8, 2016, voters approved a $74 million Bond Referendum. The bonds will be used to fund $32 million in Transportation improvements, $25 million for Affordable Housing initiatives and $17 million for Parks and Recreation improvements.

In June 2018, the City issued a direct placement general obligation bond anticipation note ("2018 GO BAN") in an amount not to exceed $23,000,000. The note was purchased by Bank of America, N.A. (the "Bank"). The funds will be used to pay the costs of (1) various projects in the City for affordable housing, transportation and parks and recreation and (2) the issuance of the 2018 GO BAN. Under the terms of the bond, the Bank advances monies to the City from time to time and the City, subject to its right of non-appropriation, repays the principal component of the advance at maturity while paying interest on the outstanding amount on a monthly basis and at a variable rate of SIFMA (an alternative to LIBOR) plus 32 bps. The City does not pay a fee on the unused principal portion of the loan. The City anticipates that it will issue longer-term fixed rate general obligation bonds to refinance the 2018 GO BAN once the projects are completed and before its maturity date of June 2020. The City refinanced the 2018 GO BAN with Bank of America, N.A. issuing a $12,625,000 general obligation refunding bond Series 2020A and a $8,200,000 taxable general obligation refunding bond Series 2020B.

In June 2020, the City issued a direct placement general obligation bond anticipation note ("2018 GO BAN") in an amount not to exceed $25,000,000. The note was purchased by Bank of America, N.A. (the "Bank"). The funds will be used to pay the costs of (1) various projects in the City for transportation and parks and recreation and (2) the issuance of the 2020 GO BAN. Under the terms of the bond, the Bank advances monies to the City from time to time and the City, subject to its right of non-appropriation, repays the principal component of the advance at maturity while paying interest on the outstanding amount on a monthly basis and at a variable rate of SIFMA (an alternative to LIBOR) plus 32 bps. The City does not pay a fee on the unused principal portion of the loan. The City anticipates that it will issue longer-term fixed rate general obligation bonds to refinance the 2020 GO BAN once the projects are completed and before its maturity date of June 2023.

At June 30, 2020, the City had bonds authorized but unissued in the amount of $28 million.

Note 6. Long-Term Obligations (Continued)

Water System Revenue Refunding Bonds, Series 2015: In June 2015, the City issued $50,625,000 of Revenue Refunding Bonds to a) advance refund $53,980,000 of the City's outstanding Water system Revenue Bonds ($25,640,000 of the City's Water System Revenue Refunding Bonds, Series 2005 (the 2005 Bonds) maturing August 1, 2016 through August 1, 2025 and $28,340,000 of the City's Water System Revenue Bonds, Series 2007 (the 2007 Bonds) maturing August 1, 2018 through August 1, 2032 (the 2005 Bonds and 2007 Bonds being so refunded are called the Refunded Bonds) and b) pay the fees and expenses incurred in connection with the sale and issuance of the 2015 Bonds. The refunding was accomplished by placing the proceeds of the refunding bonds in an irrevocable trust with an escrow agent to provide for all future debt service payments on the old bonds. Accordingly, neither the trust account assets nor the liabilities for the defeased bonds are included in the City's financial statements. The City had direct placement water revenue anticipation balance of $39,950,000 as of June 30, 2020.

The City has pledged future water customer revenues, net of specified operating expenses, to repay $50,625,000 in Revenue Refunding Bonds, Series 2015. The bonds are payable solely from water customer new revenue and are payable through 2032. At June 30, 2020, the total principal and interest remaining to be paid directly by the City on the bonds is $49,258,394.

Revenue Bonds

Water System Revenue Bond Anticipation Notes, Series 2018: In October 2018, the City issued a direct placement water revenue bond anticipation note ("2018 Water BAN") in an amount not to exceed $40,000,000. The note was purchased by Bank of America, N.A. (the "Bank"). The funds will be used to pay certain engineering and construction costs associated with the North Fork Dam project. Under the terms of the bond, the Bank advances monies to the City from time-to-time and the City pays the principal component of the advance at maturity while paying interest on the outstanding amount on a monthly basis and at a variable rate of 79% of 30 day LIBOR plus 32 bps. The City does not pay a fee on the unused principal portion of the loan. The City anticipates that it will issue longer-term, fixed rate general obligation bonds to refinance the 2018 Water BAN once the North Fork Dam project is completed and before its maturity date of October 2021. The City had direct placement water revenue anticipation balance of $29,762,591 as of June 30, 2020.

The water system direct placement revenue bonds have been issued pursuant to a General Trust Indenture dated as of December 1, 2005, Series Indenture Number 2, dated as of November 1, 2007 and Series Indenture Number 3, dated as of June 1, 2015 (together the Indentures) between the City and The Bank of New York Mellon Trust Company, N.A., as trustee. The Indentures authorize and secure all outstanding revenue bonds of the City's water system and contain several financial and operating covenants governing such matters as rates, additional bonds, reserve funds, annual budgets, maintenance of the system and insurance. The City was in compliance with all such covenants during the fiscal year ended June 30, 2020. The City has covenanted that it will establish or maintain various rates and charges sufficient to pay the current expenses and debt service of the water system.

Note 6. Long-Term Obligations (Continued)

The calculation for the rate covenant for the year ended June 30, 2020, is as follows:

Water revenue and expense information		
Revenues	$	40,167,472
Current Expenses		24,605,439
Net Revenue avaialable for Debt Service		15,562,033
Senior Debt Coverage:		
Principal & Interest		5,691,465
Add 20% of senior debt		1,138,293
Subordinate Debt:		
Principal & Interest		9,910
Total Debt Service + 20%	$	6,839,668
Rate Coverage Test		2.28

Other Long-Term Indebtedness: In 2001, the City agreed to assume 41 percent of a bond issued by Metropolitan Sewerage District of Buncombe County (“MSD”), Series 1985, for the Enka-Candler annexation in 1989. At June 30, 2020, the City has an outstanding balance of $86,920.

In 2011, the City received a loan of $198,194 from the NCDENR for improvements to the North Fork Water Treatment Plant. The loan bears interest at the rate of zero percent per annum and is payable over 20 years. At June 30, 2020, the outstanding balance is $109,007.

Note 6. Long-Term Obligations (Continued)

Changes in long-term liabilities:

	Beginning Balance	Additions	Retirements	Ending Balance	Current Portion of Balance
Governmental activities:					
Bonds and notes payable:					
Installment financing contracts	$ 71,425,660	$ 4,442,824	$ 6,182,713	$ 69,685,771	$ 27,275,047
General obligation bonds	12,475,384	35,761,137	22,275,550	25,960,971	1,110,000
Other long-term indebtedness	113,160	-	26,240	86,920	26,240
Unamortized bond premiums	3,552,827	1,620,994	244,620	4,929,201	-
Total bonds and loans payable, net	87,567,031	41,824,955	28,729,123	100,662,863	28,411,287
Compensated absences payable	8,175,819	755,575	1,972,729	6,958,665	3,186,037
Net pension liability – LGERS	20,254,736	3,125,196	-	23,379,932	-
Total pension laibility – LEOSSA	7,833,179	937,861	649,873	8,121,167	-
Net OPEB liability	19,225,586	-	1,463,139	17,762,447	-
Total governmental activities	$ 143,056,351	$ 46,643,587	$ 32,814,864	$ 156,885,074	$ 31,597,324
Business-type activities:					
Bonds and notes payable:					
Revenue bonds	$ 63,002,590	$ 10,200,001	$ 3,490,000	$ 69,712,591	$ 33,412,591
Installment financing contracts	11,556,487	207,251	1,518,838	10,244,900	1,602,623
Other long-term indebtedness	118,918	-	9,911	109,007	9,910
Unamortized bond premiums	6,099,893	-	457,833	5,642,060	-
Total bonds and loans payable, net	80,777,888	10,407,252	5,476,582	85,708,558	35,025,124
Compensated absences payable	1,402,874	25,193	189,176	1,238,891	540,294
Net pension liability – LGERS	4,162,594	677,182	-	4,839,776	-
Net OPEB liability	4,830,548	-	142,987	4,687,561	-
Total business-type activities	$ 91,173,904	$ 11,109,627	$ 5,808,745	$ 96,474,786	$ 35,565,418

Note 6. Long-Term Obligations (Continued)

The following table contains debt activity for the Water Revenue Fund. The activity in the Water Revenue Fund is contained within the Business-type activities debt summary (above):

	Beginning Balance	Additions	Retirements	Ending Balance	Due Within One Year
Water system activities:					
Bonds and notes payable:					
Revenue bonds	$ 63,002,590	$ 10,200,001	$ 3,490,000	$ 69,712,591	$ 33,412,591
Other long-term indebtedness	118,918	-	9,910	109,008	9,910
Unamortized bond premiums	4,920,124	-	364,454	4,555,670	
Total bonds and loans payable, net	68,041,632	10,200,001	3,864,364	74,377,269	33,422,501
Compensated absences payable	797,930	307,635	415,095	690,470	301,295
Net pension liability – LGERS	2,504,860	410,111	-	2,914,971	-
Net OPEB liability	2,936,974	-	97,048	2,839,926	-
Total water system activities	$ 74,281,396	$ 10,917,747	$ 4,376,507	$ 80,822,636	$ 33,723,796

	Beginning Balance	Additions	Retirements	Ending Balance	Due Within One Year
Parking system activities:					
Bonds and notes payable:					
Installment financing contracts	$ 6,456,294	$ -	$ 762,498	$ 5,693,796	$ 762,497
Unamortized bond premiums	795,333	-	65,324	730,009	-
Total bonds and loans payable, net	7,251,627	-	827,822	6,423,805	762,497
Compensated absences payable	104,422	-	2,729	101,693	44,265
Net pension liability– LGERS	333,944	47,520	-	381,464	-
Net OPEB liability	405,766	40,989	-	446,755	-
Total parking system activities	$ 8,095,759	$ 88,509	$ 830,551	$ 7,353,717	$ 806,762

Debt margin: The City is subject to the Local Government Bond Act of North Carolina, which limits the amount of net bonded debt the City may have outstanding to 8% of the appraised value of property subject to taxation. At June 30, 2020, such statutory limit for the City was approximately $1,208,753,000 providing a legal debt margin of approximately $1,130,468. The City does not intend to extend its debt to any amount near the legal debt limit.

Component unit debt: On January 29, 2009, the ABC Board entered into a financing agreement with a commercial bank providing for the advance of $2,750,000 to finance the acquisition and construction of facilities. The agreement has a 20 year term and requires semi-annual payments including principal and interest of $100,176 beginning July 29, 2009. The loan is secured by real estate, improvements and fixtures at 145 Tunnel Road, 337 New Leicester Highway, 131 Old Charlotte Highway and 3933 Sweeten Creek Road and bears interest at 3.96% per annum.

On October 25, 2017 the Board entered into a financing agreement with a commercial bank providing for the advance of $3,200,000 to finance the acquisition and renovation of facilities for warehousing and administration. This loan requires eighteen monthly payments of interest on the unpaid balance beginning November 25, 2017 using the interest rate of 4.25% and 101 monthly principal and interest payments of $20,946 beginning May 25, 2019, and one principal and interest payment of $2,059,747 on October 25, 2027. The loan was secured by real estate and improvement at 24 Old Brevard Road and 1 Cherry Street. At June 30, 2020, $250,879 of the loan commitment for renovations had not been drawn.

Note 6. Long-Term Obligations (Continued)

Future maturities of the debt are as follows:

	Principal	Interest
2021	$ 278,603	$ 173,107
2022	290,201	161,509
2023	302,283	149,427
2024	314,869	136,841
2025	327,980	123,730
Thereafter	2,744,785	248,439
	$ 4,258,721	$ 993,053

Note 7. Net Position and Fund Balance

Net position: Net investment in capital assets consists of the following:

	Governmental Activities	Business-type Activities
Capital assets, net of depreciation	$ 231,569,250	$ 298,870,148
Less capital asset-related debt	(100,744,516)	(86,924,740)
Add deferred outflows	770	1,054,171
Net investment in capital assets	$ 130,825,504	$ 212,999,579

Fund balance – General Fund: The following schedule provides information on the portion of fund balance that is available for appropriation in the General Fund:

Total fund balance, general fund	$ 93,962,814
Less non-spendable items	10,745,744
Less stabilization by state statute	23,104,170
Funds available for appropriation	60,112,900
Less committed	3,201,423
Less assigned	38,845,206
Less fund balance policy	17,638,824
Remaining fund balance	$ 427,447

The outstanding encumbrances are amounts needed to pay any commitments related to purchase orders and contracts that remain unperformed at year-end. As of year-end, the City's outstanding encumbrances were $3,751,379 and $26,953,633 in the General Fund and General Capital Projects Fund, respectively.

Note 8 Risk Management

The City is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions on behalf of employees, elected officials, public officials, and appointed members of boards and commissions; injuries to employees; and a variety of losses stemming from natural disasters and perils.

The City self-insures employee benefits, general liability and workers' compensation risks and purchases stop-loss insurance for claims that exceed certain specific and aggregate limits. The City purchases insurance for risks of loss on real and personal property assets. Revenues and expenses associated with the risk management program are recorded in the City's internal service funds.

For all of the self-insured retention ("SIR") programs, the City retains the services of outside third party administrators for the professional management and adjustment of claims, including estimates for claims incurred but not reported ("IBNR").

The City's SIR for liability claims is $500,000 per occurrence. It purchases excess liability insurance with limits of $15 million across all liability lines: general, public officials, law enforcement, employment practices, employee benefits, and automobile. The City also purchases insurance for real and personal property assets in the amount of $308,623,744. Coverage limits include $10 million sub-limits each for flood and earthquake. Additionally, the City purchases dam insurance with limits of $15 million for three structures.

Because the City is in an area of the state that has been mapped and designated an "A" area (an area close to a river, lake or stream) by the Federal Emergency Management Agency, the City is eligible to purchase flood insurance through the National Flood Insurance Plan ("NFIP"). However, due to the self-insurance coverage and the flood coverage provided under the City's property insurance policy, the City chooses not to participate in the NFIP, with the exception of the City-owned structure located at 14 Riverside Drive.

The City is also self-insured as provided under North Carolina General Statutes for Workers' Compensation and Employer Liability. The City's SIR for workers' compensation claims is $600,000 per occurrence. Excess workers' compensation insurance with statutory limits is maintained for any claims exceeding the $600,000 self-insured retention.

In accordance with G.S. 159-29, City employees are covered by a crime insurance policy with a $250,000 limit per occurrence. The policy provides $250,000 in coverage for employee dishonesty/forgery as well as computer and electronic funds transfer fraud coverage and $25,000 in theft coverage. The Director of Financial and Management Services and the Fiscal Services Manager are individually bonded for $250,000 each.

Revenues and expenses associated with the employee health benefits program are recorded in the Health Fund. The employee health benefits program is funded by both employee and employer contributions. Employee benefits paid through this program include health, dental, life and disability insurance. The City's health benefits are self-insured for claims below a $175,000 specific stop-loss coverage limit. Claims are covered above the specific limit through the purchase of specific stop-loss insurance.

The health program annually has several cases that exceed specific stop-loss and therefore result in the recovery of excess losses. In fiscal year 2019, there were nine claimants with $887,253 in claims.
In fiscal year 2020, there were nine claimants with $742,553 in claims.

Note 8. Risk Management (Continued)

The following is a summary of changes in estimated claims payable in all self-insurance funds at June 30:

	2020	2019
Beginning balance	$ 4,612,471	$ 2,619,643
Add incurred claims and changes in IBNR	17,725,419	16,415,943
Less claim payments	(17,002,023)	(14,423,115)
Ending balance	$ 5,335,867	$ 4,612,471

The ABC Board is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The ABC Board has commercial property, general liability, auto liability, workers' compensation and employee health coverage. The ABC Board also has liquor legal liability coverage.

There have been no significant reductions in insurance coverage from the prior year and settled claims have not exceeded coverage in any of the past three fiscal years.

In accordance with G.S. 18B-700(i), the ABC Board bonds each member of their board and the employees designated as the General Manager and Finance Officer in the amount of $100,000, secured by a corporate surety. In addition, the store managers and all other employees who have access to funds are covered under a blanket bond for $100,000.

Note 9. Pension Plan Obligations

North Carolina Local Governmental Employees' Retirement System:

Plan description: The City of Asheville and the Asheville Board of Alcoholic Control are participating employers in the statewide Local Governmental Employees' Retirement System ("LGERS"), a cost-sharing multiple-employer defined benefit pension plan administered by the State of North Carolina. LGERS membership is comprised of general employees and local law enforcement officers ("LEOs") of participating local governmental entities. Article 3 of G.S. Chapter 128 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly. Management of the plan is vested in the LGERS Board of Trustees, which consists of 13 members – nine appointed by the Governor, one appointed by the State Senate, one appointed by the State House of Representatives, and the State Treasurer and State Superintendent, who serve as ex-officio members. The Local Governmental Employees' Retirement System is included in the Comprehensive Annual Financial Report ("CAFR") for the State of North Carolina. The State's CAFR includes financial statements and required supplementary information for LGERS. That report may be obtained by writing to the Office of the State Controller, 1410 Mail Service Center, Raleigh, North Carolina 27699-1410, by calling (919) 981-5454, or at www.osc.nc.gov.

Note 9. Pension Plan Obligations (Continued)

Benefits provided: LGERS provides retirement and survivor benefits. Retirement benefits are determined as 1.85% of the member's average final compensation times the member's years of creditable service. A member's average final compensation is calculated as the average of a member's four highest consecutive years of compensation. Plan members are eligible to retire with full retirement benefits at age 65 with five years of creditable service, at age 60 with 25 years of creditable service, or at any age with 30 years of creditable service. Plan members are eligible to retire with partial retirement benefits at age 50 with 20 years of creditable service or at age 60 with five years of creditable service (age 55 for firefighters). Survivor benefits are available to eligible beneficiaries of members who die while in active service or within 180 days of their last day of service and who have either completed 20 years of creditable service regardless of age (15 years of creditable service for firefighters and rescue squad members who are killed in the line of duty) or have completed five years of service and have reached age 60. Eligible beneficiaries may elect to receive a monthly Survivor's Alternate Benefit for life or a return of the member's contributions. The plan does not provide for automatic post-retirement benefit increases. Increases are contingent upon actuarial gains of the plan.

LGERS plan members who are LEOs are eligible to retire with full retirement benefits at age 55 with five years of creditable service as an officer, or at any age with 30 years of creditable service. LEO plan members are eligible to retire with partial retirement benefits at age 50 with 15 years of creditable service as an officer. Survivor benefits are available to eligible beneficiaries of LEO members who die while in active service or within 180 days of their last day of service and who also have either completed 20 years of creditable service regardless of age, or have completed 15 years of service as a LEO and have reached age 50, or have completed five years of creditable service as a LEO and have reached age 55, or have completed 15 years of creditable service as a LEO if killed in the line of duty. Eligible beneficiaries may elect to receive a monthly Survivor's Alternate Benefit for life or a return of the member's contributions.

Contributions: Contribution provisions are established by General Statute 128-30 and may be amended only by the North Carolina General Assembly. City and ABC Board employees are required to contribute 6% of their compensation. Employer contributions are actuarially determined and set annually by the LGERS Board of Trustees. The City's and ABC Board's contractually required contribution rates for the year ended June 30, 2020, were both 9.70% of compensation for law enforcement officers and 9.04% for general employees, actuarially determined as an amount that, when combined with employee contributions, is expected to finance the costs of benefits earned by employees during the year. Contributions to the pension plan from the City were $6,182,372 for the year ended June 30, 2020, and the ABC Board's were $208,752.

Refunds of contributions: City and ABC Board employees who have terminated service as a contributing member of LGERS, may file an application for a refund of their contributions. By state law, refunds to members with at least five years of service include 4% interest. State law requires a 60 day waiting period after service termination before the refund may be paid. The acceptance of a refund payment cancels the individual's right to employer contributions or any other benefit provided by LGERS.

Note 9. Pension Plan Obligations (Continued)

Pension liabilities, pension expense, and deferred outflows of resources and deferred inflows of resources related to pensions: At June 30, 2020, the City and ABC Board reported a liability of $28,358,986 and $764,389, respectively, for their proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2019. The total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of December 31, 2018. The total pension liability was then rolled forward to the measurement date of June 30, 2019 utilizing update procedures incorporating the actuarial assumptions. The City's and ABC Board's proportions of the net pension liability were based on a projection of the City's and ABC Board's long-term shares of future payroll covered by the pension plan, relative to the projected future payroll covered by the pension plan of all participating LGERS employer's, actuarially determined. At June 30, 2019, the City's proportion was 1.03844%, which was an increase of 0.00919% from its proportion measured as of June 30, 2018. The ABC Board's proportion was .02799%, which was a decrease of .00038 from its proportion measured as of June 30, 2020.

For the year ended June 30, 2020, the City and ABC Board recognized pension expense of $12,445,118 and $484,142, respectively. At June 30, 2020, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 4,855,777	$ -
Changes of assumptions	4,622,045	-
Net difference between project and actual earnings on pension plan investments	691,716	-
Changes in proportion and differences between City contributions and proportionate share of contributions	-	462,767
City contributions subsequent to the measurement date	6,182,372	-
Total	$ 16,351,910	$ 462,767

The ABC Board reported deferred inflows and deferred outflows of resources as related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 135,847	$ -
Changes of assumptions	124,581	-
Net difference between project and actual earnings		-
on pension plan investments	18,644	-
Changes in proportion and differences between Board		-
contributions and proportionate share of contributions	45,499	-
Board contributions subsequent to the measurement date	206,854	-
Total	$ 531,425	$ -

$6,182,372 and $206,854 reported as deferred outflows of resources related to pensions resulting from the City and ABC Board's contributions subsequent to the measurement date, respectively, will be recognized as a decrease of the net pension liability in the year ended June 30, 2021.

Note 9. Pension Plan Obligations (Continued)

Other amounts reported as deferred outflows of resources related to pensions will be recognized in pension expense as follows:

	City of Asheville	ABC Board
Years ended June 30:		
2020	$ 4,856,004	$ 154,118
2021	1,457,738	55,488
2022	2,668,171	84,913
2023	724,857	30,052
Thereafter	-	-
Total	$ 9,706,770	$ 324,571

Actuarial assumptions: The total pension liability in the December 31, 2018, actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	3.0 percent
Salary increases	3.50 to 8.10 percent, including inflation and productivity factor
Investment rate of return	7.00 percent, net of pension plan investment expense, including inflation

The plan currently uses mortality tables that vary by age, gender, employee group (i.e. general, law enforcement officer) and health status (i.e. disabled and healthy). The current mortality rates are based on published tables and based on studies that cover significant portions of the U.S. population. The healthy mortality rates also contain a provision to reflect future mortality improvements.

The actuarial assumptions used in the December 31, 2018, valuation were based on the results of an actuarial experience study for the period January 1, 2010 through December 31, 2014.

Future ad hoc COLA amounts are not considered to be substantively automatic and are therefore not included in the measurement.

The projected long-term investment returns and inflation assumptions are developed through review of current and historical capital markets data, sell-side investment research, consultant whitepapers, and historical performance of investment strategies. Fixed income return projections reflect current yields across the U.S. Treasury yield curve and market expectations of forward yields projected and interpolated for multiple tenors and over multiple year horizons. Global public equity return projections are established through analysis of the equity risk premium and the fixed income return projections. Other asset categories and strategies' return projections reflect the foregoing and historical data analysis. These projections are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class as of June 30, 2019 are summarized in the following table:

Note 9. Pension Plan Obligations (Continued)

Asset Class	Target Allocation	Long-Term Expected Real Rate of Return
Fixed Income	29.0%	1.4%
Global Equity	42.0%	5.3%
Real Estate	8.0%	4.3%
Alternatives	8.0%	8.9%
Credit	7.0%	6.0%
Inflation Protection	6.0%	4.0%
Total	100%	

The information above is based on 30 year expectations developed with the consulting actuary for the 2018 asset, liability and investment policy study for the North Carolina Retirement Systems, including LGERS. The long-term nominal rates of return underlying the real rates of return are arithmetic annualized figures. The real rates of return are calculated from nominal rates by multiplicatively subtracting a long-term inflation assumption of 3.00%. All rates of return and inflation are annualized.

Discount rate: The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed that contributions from plan members will be made at the current contribution rate and that contributions from employers will be made at statutorily required rates, actuarially determined. Based on these assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of the current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the City's proportionate share of the net pension liability to changes in the discount rate: The following presents the City's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the City's proportionate share of the net pension asset or net pension liability would be if it were calculated using a discount rate that is one percentage point lower (6.00%) or one percentage point higher (8.00%) than the current rate:

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
City's proportionate share of the net pension liability (asset)	$ 64,862,188	$ 28,358,986	$ (1,982,569)

Sensitivity of the ABC Board's proportionate share of the net pension liability to changes in the discount rate: The following presents the ABC Board's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the Board's proportionate share of the net pension asset or net pension liability would be if it were calculated using a discount rate that is one percentage point lower (6.00%) or one percentage point higher (8.00) than the current rate:

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
Board's proportionate share of the net pension liability (asset)	$ 1,748,288	$ 764,385	$ (53,438)

Pension plan fiduciary net position: Detailed information about the pension plan's fiduciary net position is available in the separately issued the CAFR for the State of North Carolina.

Note 9. Pension Plan Obligations (Continued)

Law Enforcement Officers Special Separation Allowance

Plan description: The City and the ABC Board each administer a public employee retirement system (the Separation Allowance), a single-employer defined benefit pension plan that provides retirement benefits to the City's and the ABC Board's qualified sworn law enforcement officers. The Separation Allowance is equal to 0.85% of the annual equivalent of the base rate of compensation most recently applicable to the officer for each year of creditable service. The retirement benefits are not subject to any increases in salary or retirement allowances that may be authorized by the General Assembly. Article 12D of G.S. Chapter 143 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly. Separate financial statements are not issued for the Separation Allowance Plan.
All full-time law enforcement officers of the City and the ABC Board are covered by the Separation Allowance. At December 31, 2019, the Separation Allowance membership consisted of:

	City	ABC Board
Retirees receiving benefits	42	1
Active plan members	222	3
Total	264	4

A separate report was not issued for the plan.

Summary of significant accounting policies: The City and the ABC Board have chosen to fund the Separation Allowance on a pay-as-you-go basis. For the City, pension expenditures are made from the General Fund, which is maintained on the modified accrual basis of accounting. The financial statements of the ABC Board are prepared using the accrual basis of accounting. Benefits and refunds are recognized when due and payable in accordance with the terms of the plan. Administrative expenses are recognized as incurred.

The Separation Allowance has no assets accumulated in a trust that meets the following criteria which are outlined in GASB Statements 73:

- Contributions to the pension plan and earnings on those contributions are irrevocable
- Pension plan assets are dedicated to providing benefits to plan members
- Pension plan assets are legally protected from the creditors or employers, non-employer contributing entities, the plan administrator, and plan members.

Method used to value investments: No funds are set aside to pay benefits and administration costs. These expenditures are paid as they become due.

Plan contribution: The City and ABC Board are required by Article 12D of G.S. Chapter 143 to provide these retirement benefits and have chosen to fund the benefit payments on a pay-as-you-go basis through appropriations made, in the City's case, in the General Fund operating budget. The City and ABC Board's obligations to contribute to this plan are established and may be amended by the North Carolina General Assembly. There were no contributions made to the plan by employees of the City or the ABC Board. For the current year the City and the ABC Board paid benefits of $649,873 and $11,275, respectively, as benefits came due for the reporting period.

Note 9. Pension Plan Obligations (Continued)

The City's total pension liability for the current year was determined as part of the December 31, 2018 actuarial valuation using the entry age normal actuarial cost method. The actuarial assumptions included (a) 3.64% discount rate per annum compounded annually and (b) projected salary increases of 3.50% to 7.35% per year. Both (a) and (b) included an inflation component of 2.5%. The assumptions did not include post-employment benefit increases. The discount rate used to measure the total pension liability is the weekly average of the Bond Buyer General Obligation 20-year Municipal Bond Index determined at the end of each month.

Pension liabilities, pension expense, and deferred outflows of resources and deferred inflows of resources related to pensions: At June 30, 2020, the City reported a total pension liability of $8,121,167 for their proportionate share of the net pension liabilities. The total pension liability was measured as of December 31, 2019 based on a December 31, 2018 actuarial valuation. The total pension liability was then rolled forward to the measurement date of December 31, 2019 utilizing update procedures incorporating the actuarial assumptions. For the year ended June 30, 2020, the City recognized pension expense of $826,816.

At June 30, 2020, the ABC Board reported a total pension liability of $96,864 for the Law Enforcement Officers Special Separation Allowance. This amount was deemed immaterial to the financial statements by the ABC Board and accordingly no actuarial valuation was performed.

The City reported deferred outflows of resources and deferred inflows of resources related to the Law Enforcement Special Separation Allowance Plan from the following sources.

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 629,277	$ -
Changes of assumptions and Other Inputs	398,633	248,252
City benefit payments and plan administrative expense made subsequent to the measurement date	331,143	-
Total	$ 1,359,053	$ 248,252

Deferred outflows of resources for the City of $331,143 as related to pensions resulting from benefit payments made and administrative expenses incurred subsequent to the measurement date will be recognized as a decrease of the total pension liability in the year ended June 30, 2021. Other amounts reported as deferred outflows and inflows of resources related to pensions will be recognized in pension expense as follows:

	Pension Expense Adjustment
Years ended June 30:	
2021	$ 201,751
2022	206,949
2023	202,882
2024	119,014
2025	49,062
Thereafter	-
Total	$ 779,658

Note 9. Pension Plan Obligations (Continued)

Sensitivity of the City's total pension liability to changes in the discount rate: The following presents the City's total pension liability calculated using the discount rate of 3.26%, as well as what the City's total pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.26%) or 1-percentage-point higher (4.26%) than the current rate:

	1% Decrease (2.26%)	Discount Rate (3.26%)	1% Increase (4.26%)
Total pension liability	$ 8,816,334	$ 8,121,167	$ 7,490,768

Schedule of Changes in Total Pension Liability
Law Enforcement Officers' Special Separation Allowance

	City	ABC Board
Beginning balance	$ 7,833,179	$ 107,016
Service cost	342,934	1,123
Interest on the total pension liability	273,300	-
Changes of benefit terms	-	-
Differences between expected and actual experience in the measurement of the total pension liability	74,674	-
Changes of assumptions or other inputs	246,953	-
Benefit payments	(649,873)	(11,275)
Other changes	-	-
Ending balance	$ 8,121,167	$ 96,864

The discount rate used to measure the total pension liability is the weekly average of the Bond Buyer General Obligation 20-year Municipal Bond Index determined at the end of each month.

The plan currently uses mortality tables that vary by age, and health status (i.e. disabled and healthy). The current mortality rates are based on published tables and based on studies that cover significant portions of the U.S. population. The healthy mortality rates also contain a provision to reflect future mortality improvements. The sources of the mortality tables are as listed below:

Deaths after retirement (Healthy): RP-2014 Healthy Annuitant base rates projected to the valuation date using MP-2015, projected forward generationally from the valuation date using MP-2015. Rates are adjusted by 104% for males and 100% for females.

Deaths before retirement: RP-2014 Employee base rates projected to the valuation date using MP-2015, projected forward generationally from the valuation date using MP-2015.

Deaths after retirement (Beneficiary): RP-2014 Healthy Annuitant base rates projected to the valuation date using MP-2015, projected forward generationally from the valuation date using MP-2015. Rates are adjusted by 123% for males and females.

Deaths after retirement (Disabled): RP-2014 Disabled Retiree base rates projected to the valuation date using MP-2015, projected forward generationally from the valuation date using MP-2015. Rates are adjusted by 103% for males and 99% for females.

Note 9. Pension Plan Obligations (Continued)

The total pension liability is based upon an actuarial valuation date of December 31, 2018. The result was rolled forward using standard actuarial techniques to the Measurement Date. The roll forward calculation adds the annual normal cost (also called the service cost), subtracts the actual benefit payments for the plan year and then applies interest for the year. The procedure used to determine the total pension liability as of December 31, 2018, is shown in the following table:

	TPL Roll Forward	Development of TPL for Year Ended 2019 Prior to Assumption Change	Development of TPL for Year Ended 2019 After Assumption Change
(a)	Interest rate	3.64%	3.16%
(b)	Valuation date for measurement	December 31, 2018	December 31, 2018
(c)	TPL as of December 31, 2018	$ 7,905,230	$ 8,147,451
(d)	Entry age normal cost for the period January 1, 2019-December 31, 2019 at the end of year	342,934	368,575
(e)	January 1, 2019-December 31, 2019	649,873	649,873
(f)	TPL as of December 31, 2019 =[c * (1 + a)] + d - [e * (1+a * .5)]	7,874,214	8,121,167
(g)	Experience actuarial (gain)/loss = (2f) - (1f)	74,674	-
(h)	Discount rate change (gain)/loss = (3f) - (2f)	$ -	$ 246,953

The actuarial assumptions used in the December 31, 2018, valuation were based on the results of an actuarial experience study for the period January 1, 2010 through December 31, 2014.

Supplemental Retirement Income Plan:

401(k) Retirement Plan: The City and the ABC Board contribute to the Supplemental Retirement Income Plan ("Plan"), a section 401(k) defined contribution pension plan administered by the Department of State Treasurer and a Board of Trustees. The Plan provides retirement benefits to law enforcement officers employed by the City and the ABC Board. City Council has also extended this benefit to all regular full-time and regular part-time non-law enforcement City employees. Article 5 of G.S. Chapter 135 assigns the authority to establish and amend benefits provisions to the North Carolina Assembly. The Supplemental Retirement Income Plan for Law Enforcement Officers is included in the CAFR for the State of North Carolina. The State's CAFR includes the pension trust fund financial statements for the Internal Revenue Code Section 401(k) plan that includes the Supplemental Retirement Income Plan for Law Enforcement Officers. That report may be obtained by writing to the office of the State Controller, 1410 Mail Service Center, Raleigh, North Carolina 27699-1410, or by calling (919) 981-5454.

Funding policy: Article 12E of G.S. Chapter 143 requires the City and the ABC Board to contribute each month an amount equal to five% of each officer's base salary and all amounts contributed are vested immediately. In addition to the required contribution for law enforcement officers, the City makes a monthly contribution equal to five% of non-law enforcement employees' base salary. Also, both law enforcement officers and non-law enforcement employees of the City may make voluntary contributions to the Plan.

The City contribution for law enforcement officers for the year ended June 30, 2020 was $640,604 and the officers' voluntary contributions were approximately $556,852. The City's contribution for non-police personnel was $2,715,418 with employee voluntary contributions of approximately $1,956,249. The ABC Board's required contribution for the years ended June 30, 2020 was $9,333.

Note 9. Pension Plan Obligations (Continued)

Other Post-Employment Benefits ("OPEB"):

Healthcare Benefits Plan Description – The City administers, under the terms of a City resolution, a single-employer defined benefit healthcare benefits ("HCB") plan. The City Council has the authority to establish and amend the benefit terms and financing requirements. The plan provides post-employment healthcare benefits to employees retiring from the City with at least five years of creditable service that are eligible to receive a benefit from the North Carolina Local Governmental Employees Retirement System and do not have other insurance available. The plan has been closed for employees who were hired after June 30, 2012. The plan, which has a June 30, 2020 year-end, does not issue a stand-alone report. Management of the HCB plan is vested with the City of Asheville City Council.

For the ABC Board, the post-employment benefits provided for eligible employees who retire from the Board consist of an allowance for law enforcement officers. Due to the relative insignificance of the liability, the Board elected to accrue the entire obligations of $96,864 and $107,016 for the years ended June 30, 2020 and 2019, respectively. As of June 30, 2020 and 2019, none of this cost was contributed which resulted in an unfunded net OPEB obligation of $96,864 and $107,016, respectively.

Plan membership of the City's HCB Plan consisted of the following at June 30, 2018, the date of the latest actuarial valuation:

	City HCB Plan Membership
Inactive employees or beneficiaries currently receiving benefits	184
Inactive members entitled to but not yet receiving benefits	-
Active employees	556
Total	740

Benefits paid: The benefits provided by the City include healthcare, prescription drug and vision benefits. The cost of the program is shared between plan members and the City, which pays about 60% of the cost of coverage, with a lower subsidy provided for fewer years of service. Dependent coverage is provided if enrolled at the time of the employee's retirement. In addition, if the retiree ceased to coverage or dies, dependent coverage with terminate.

Note 9. Pension Plan Obligations (Continued)

Contributions: Retirees hired on or before December 31, 2006 without access to other insurance and who retire based on the provisions of the NC Local Governmental Employees' Retirement System will receive 100 percent of the subsidy amount. For those retirees without access to other insurance who were hired between January 1, 2007 and June 30, 2012 and fulfill all eligibility requirements and for those who were hired on or before December 31, 2006 retiring on or after January 1, 2007 with access to other insurance through their spouse's employment, the City contributes towards the total cost of each plan based on the number of years of service with the City as follows:

Years of Service with the City	Percent of Subsidy Paid by the City
25 or more	100%
20 or more but less than 25	80%
15 or more but less than 20	65%
10 or more but less than 15	55%
5 or more but less than 10	50%
Less than 5	No subsidy or not eligible

Per a City resolution, the City is required to contribute the projected pay-as-you-go financing requirements, with an additional amount to prefund benefits as determined annually by the Board. For the current year, the City contributed $1,600,000. The Fund is accounted for as a trust fund.

Investments: The City has elected to partially pre-pay the future overall cost of coverage for these benefits by establishing a trust agreement according to General Statutes 159-30.1(b). Investments of the OPEB Trust funds are made pursuant to a Deposit Agreement with the North Carolina Department of State Treasurer. The State Treasurer has the discretion to invest the proceeds in equities of certain publicly held companies and long or short term fixed income investments as detailed in G.S. 147-69.2(b) (1-6) and (8). At June 30, 2020, the Plan assets totaled $13,958,636 invested in the State Treasurer's Local Government Other Post-Employment Benefits (OPEB) Fund pursuant to G.S. 147-69.4. The State Treasurer's OPEB Fund may invest in public equities and both long-term and short-term fixed income obligations as determined by the State Treasurer pursuant to the General Statutes. At year-end the State Treasurer's OPEB Fund was invested as follows: State Treasurer's Long Term Investment Fund (LTIF) 48.11 percent and BlackRock's MSCI ACWI Equity Index Non-Lendable Fund B 51.87 percent. The BlackRock MSCI ACWI Equity Index Non-Lendable Fund B is priced at $23.1074 per share at June 30, 2020.

The target asset allocation for the plan by each major class is summarized in the table below.

Asset Class	**Target Allocation**
Fixed Income	45%
Equity Funds	55%
Total	100%

Rate of return: For the year ended June 30, 2020, the annual money weighted rate of return of investments, net of investment expense was 4.93 percent. The money weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts actually invested.

Note 9. Pension Plan Obligations (Continued)

The components of the net OPEB liability of the City as of June 30, 2020 were as follows:

Total OPEB liability	$	36,408,645
Plan fiduciary net position		13,958,636
City's net OPEB liability	$	22,450,009
Plan fiduciary net position as a percentage of the total OPEB liability		38.34%

Actuarial assumptions and other inputs. The total OPEB liability in the December 31, 2018 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods including the measurement unless otherwise specified:

Inflation	2.5 percent
Salary increases	3.5 to 7.75 percent, including inflation
Discount rate	5.50 percent
Long-term investment rate of return	5.50 percent
Health Care Cost Trends	7.75% decreasing to 4.75% by 2028

Mortality rates were based on the RP-2014 Healthy Annuitant base rates projected to the valuation date using MP-2015, projected forward generationally from the valuation date using MP-2015. For general employees, rates are adjusted by 115% (male) and 79% (female) for ages under 78 and by 135% (male) and 116% (female) for age 78 and older.

The actuarial assumptions used in the June 30, 2018 valuation were based on the results of an actuarial experience study for the period January 1, 2010 through December 31, 2014.

Discount rate: The discount rate used to measure the total OPEB liability at June 30, 2020 was 5.50%. However because the OPEB plan's fiduciary net position was not projected to be sufficient to make all future benefit payments, the discount rate incorporates a municipal bond rate which is 3.50 percent per the S&P Municipal Bond 20 Year Grade Rate Index as of June 30, 2020. The S&P Municipal Bond 20 Year High Grade rate as of June 30, 2020 was 2.21 percent.

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the City, as well as what the City's total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (4.5 percent) or 1-percentage-point higher (6.5 percent) than the current discount rate:

	1% Decrease (4.50%)	Current Discount Rate (5.50%)	1% Increase (6.50%)
Net OPEB liability	$ 25,584,260	$ 22,450,009	$ 19,624,601

Note 9. Pension Plan Obligations (Continued)

***Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates*:** The following presents the total OPEB liability of the City, as well as what the City's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower or 1-percentage-poing higher than the current healthcare cost trend rates:

	1% Decrease	Current	1% Increase
Net OPEB liability	$ 18,554,152	$ 22,450,009	$ 26,988,878

Changes in Net OPEB Liability, OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB: At June 30, 2020, the City reported a net OPEB liability of $22,450,009. The total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation as of June 30, 2018. The total pension liability was then rolled forward to the measurement date of June 30, 2020, utilizing update procedures incorporating the actuarial assumptions.

Changes in Total OPEB Liability

	Total OPEB Liability	Plan Net Position	Net OPEB Liability
Balance as of June 30, 2019	$ 35,797,347	$ 11,741,212	$ 24,056,135
Changes for the year:			
Service Cost a tht end of the year	931,367	-	931,367
Interest on TOL and Cash Flows	1,887,357	-	1,887,357
Change in benefit terms	-	-	-
Difference between expected and actual experience	796,290	-	796,290
Changes in assumptions or other inputs	-	-	-
Contributions - Employer	-	4,603,716	(4,603,716)
Contributions - Employee	-	-	-
Net investment income	-	617,424	(617,424)
Benefit payments	(3,003,716)	(3,003,716)	-
Plan administative expenses	-	-	-
Other	-	-	-
Net changes	611,298	2,217,424	(1,606,126)
Balance as of June 30, 2020	$ 36,408,645	$ 13,958,636	$ 22,450,009

Changes in assumptions: There were no changes in assumptions and other inputs since the prior measurement date. Medical claims cost and rates were changed based on the most recent experience and changed to the current schedule. The Excise Table of 40 percent on health care plans that are above the thresholds set by the Affordable Care Act are effective in 2022 and has been reflected.

OPEB Expenses and Deferred Outflows of Resources and Deferred Inflows of Resources related to OPEB: For the year ended June 30, 2020, the City recognized OPEB expenses of $1,606,126. At June 30, 2020, the City reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

Note 9. Pension Plan Obligations (Continued)

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience and actual experience	$ 1,249,937	$ -
Changes in assumption or other inputs	-	2,556,384
Net difference between projected and actual earnings on plan investments	-	531,625
Total	$ 1,249,937	$ 3,088,009

Amounts reported as Deferred Outflows of Resources and Deferred Inflows of Resources related to OPEB benefits will be ammortized over the Average Expected Remaining Services Lives or 6.77 years and recognized in OPEB Expense.as follows:

Measurement Period Ended June 30,	
2021	(566,201)
2022	(566,200)
2023	(328,115)
2024	(290,497)
2025	(177,629)
Thereafter	90,570
	(1,838,072)

Reconciliation for deferred outflows and deferred inflows for OPEB due to change in fund allocations:

Deferred Outflows Reconciliation-OPEB	Per Actuary	Change in Fund Allocation	Total Deferred Outflows
Governmental activities	$ 988,950	$ 188,034	$ 1,176,984
Water resource fund	158,117	-	158,117
Parking services fund	24,873	42,486	67,359
Mass transit fund	4,375	9,715	14,090
Street Cut Utility fund	8,625	5,829	14,454
Stormwater fund	41,123	1,037	42,160
Harrah's Cherokee Center	23,874	-	23,874
	$ 1,249,937	$ 247,101	$ 1,497,038

Deferred Inflows Reconciliation-OPEB	Per Actuary	Change in Fund Allocation	Total Deferred Inflows
Governmental activities	$ 2,443,233	$ -	$ 2,443,233
Water resource fund	390,633	89,773	480,406
Parking services fund	61,451	58,291	119,742
Mass transit fund	10,808	24,235	35,043
Street Cut Utility fund	21,307	7,555	28,862
Stormwater fund	101,596	-	101,596
Harrah's Cherokee Center	58,981	67,247	126,228
	$ 3,088,009	$ 247,101	$ 3,335,110

Note 9. Pension Plan Obligations (Continued)

Amounts reported as Deferred Outflows of Resources and Deferred Inflows of Resources related to change in fund allocations for OPEB will be recognized in OPEB Expense in the funds as follows:

	Net Deferred Outflows/(Inflows) of Resources							
Years ended June 30:	Governmental Activities	Water Resources	Parking Services	Mass Transit	Street Cut Utility	Stormwater	Harrah's Cherokee Center	Total
2021	49,725	(22,800)	(411)	(5,648)	(1,061)	345	(20,150)	-
2022	49,725	(22,800)	(411)	(5,648)	(1,061)	345	(20,150)	-
2023	49,725	(22,800)	(411)	(5,648)	(1,061)	347	(20,152)	-
2024	38,859	(21,373)	(14,572)	2,424	1,457	-	(6,795)	-
Thereafter	-	-	-	-	-	-	-	-
Total	$ 188,034	$ (89,773)	$ (15,805)	$ (14,520)	$ (1,726)	$ 1,037	$ (67,247)	$ -

Total pension and OPEB-related deferred outflows of resources:

	LGERS	LOESSA	OPEB	Total
Differences between expected and actual experience	$ 4,855,777	$ 629,277	$ 1,497,038	$ 6,982,092
Changes of assumptions	4,622,045	398,633	-	5,020,678
Net difference between project and actual earnings on pension plan investments	691,716	-	-	691,716
Changes in proportion and differences between City contributions and proportionate share of contributions	-	-	-	-
City contributions subsequent to the measurement date	6,182,372	331,143	-	6,513,515
Total	$ 16,351,910	$ 1,359,053	$ 1,497,038	$ 19,208,001

Total pension and OPEB-related deferred inflows of resources:

Total pension-related deferred inflows of resources:

	LGERS	LOESSA	OPEB	Total
Differences between expected and actual experience	$ -	$ -	$ -	$ -
Changes of assumptions	-	248,252	2,803,484	3,051,736
Net difference between project and actual earnings on pension plan investments	-	-	531,625	531,625
Changes in proportion and differences between City contributions and proportionate share of contributions	462,767	-	-	462,767
Total	$ 462,767	$ 248,252	$ 3,335,109	$ 4,046,128

Other employment benefits: In order to meet its statutory obligations for a death benefit under NCLGERS, the City opts to provide a death benefit through a group term life insurance program, which is provided on a non-contributory basis to all members of the retirement system after 30 days of employment. The benefit pays the designated beneficiary an amount equal to one time the annual salary based on rate of pay at the time of death. The plan also provides an accidental death and dismemberment benefit of two time's annual salary in the event of death by a covered member.

Note 9. Pension Plan Obligations (Continued)

The ABC Board has elected to provide death benefits to employees through the Death Benefit Plan for members of the Local Governmental Employees' Retirement System (Death Benefit Plan), a multiple-employer, State-administered, cost-sharing plan funded on a one-year term cost basis. The beneficiaries of those employees who die in active service after one year of contributing membership in the System, or who die within 180 days after retirement or termination of service and have at least one year of contributing membership service in the System at the time of death are eligible for death benefits. Lump sum death benefit payments to beneficiaries are equal to the employee's 12 highest months' salary in a row during the 24 months prior to the employee's death, but the benefit may not exceed $50,000 or be less than $25,000. Because all death benefit payments are made from the Death Benefit Plan and not by the ABC Board, the ABC Board does not determine the number of eligible participants. The ABC Board has no liability beyond the payment of monthly contributions. The contributions to the Death Benefit Plan cannot be separated between the post-employment benefit amount and the other benefit amount. The ABC Board considers these contributions to be immaterial.

Note 10. Deferred Outflows and Inflows of Resources

The City has several deferred outflows and inflows of resources. The City's deferred outflows at June 30, 2020 comprised of the following:

	Governmental Activities	Business-Type Activities
Contributions to the pension plans subsequent the measurement date	$ 5,448,024	$ 1,065,491
Other Pension and OPEB related deferrals	10,658,406	2,036,080
Deferred charge on refunding	621,167	1,054,171
Total Deferred Outflows	$ 16,727,597	$ 4,155,742

Deferred inflows of resources are comprised of the following:

	Governmental Activities	Business-Type Activities
General fund:		
Prepaid Ad Valorem taxes	$ 48,465	$ -
Taxes receivable, less penalties	251,799	-
General capital projects fund:		
Grant funds receivable	239,394	-
Non-major governmental funds:		
Grant funds receivable	45,302	-
Total governmental funds deferred inflows	584,960	-
OPEB and Pension related deferrals	3,075,539	970,589
Revenue recognized on the governmental activities	(536,495)	-
Total deferred inflows	$ 3,124,004	$ 970,589

Note 11. Unearned Revenue

The balance in unearned revenue at year-end is comprised of the following:

General fund:		
General Revenue	$	2,183
BC 911 Communications		756,175
Capital Projects Fund:		
Grants		10,000
Non-major governmental funds:		
Grants		60,220
Total government activities	$	828,578
Water resources fund:		
Prepaid water charges	$	292,293
Total business-type activities	$	292,293

Note 12. Commitments and Contingent Liabilities

Federal and state assisted programs: The City has received proceeds from several federal and State grants. Periodic audits of these grants are required and certain costs may be questioned as not being appropriate expenditures under the grant agreements. Such audits could result in the refund of grant monies to the grantor agencies. Management believes that any required refunds will be immaterial. No provision has been made in the accompanying financial statements for the refund of grant monies.

Claims and litigation: The City is a defendant in various lawsuits. Although the outcome of these lawsuits is not presently determinable, it is the opinion of the City's attorney and management that the resolution of these matters will not have a material adverse effect on the City's financial position.

Note 13. Pending GASB Pronouncements

In May 2020, GASB issued Statement No. 95, *Postponement of the Effective Dates of Certain Authoritative Guidance*. The objective of this Statement is to provide temporary relief to governments and other stakeholders in light of the COVID-19 pandemic. That objective is accomplished by postponing the effective dates of certain provisions in Statements and Implementation Guides that first became effective or are scheduled to become effective for periods beginning after June 15, 2018. This statement is effective immediately (May 2020), and did not have a material impact on the City's financial position, overall cash flow or balances or results of operations.

Pronouncements Issued, Not Yet Effective

The GASB has issued several pronouncements prior to June 30, 2020, that have effective dates that may affect future financial presentation.

The City has not yet evaluated the effect of implementation of the following GASB pronouncements.

In January 2017, GASB issued Statement No. 84, *Fiduciary Activities*. This Statement established criteria for identifying fiduciary activities of all state and local governments. The focus of the criteria is generally on (1) whether a government is controlling the assets of the fiduciary activity and (2) the beneficiaries with whom a fiduciary relationship exists. The requirements of this Statement are effective for reporting periods beginning after December 31, 2020.

Note 13. Pending GASB Pronouncements (Cont.)

In June 2017, GASB issued Statement No. 87, *Leases.* The objective of this statement is to better meet the information needs of financial statement users by improving accounting and financial reporting for leases. This Statement is effective for fiscal years that end June 30, 2022.

In June 2018, GASB issued Statement No. 89, *Accounting for Interest Cost Incurred before the End of a Construction Period.* The objectives of this statement are (1) to enhance the relevance and comparability of information about capital assets and the cost of borrowing for a reporting period and (2) to simplify accounting for interest cost incurred before the end of a construction period. This statement requires that interest cost incurred before the end of a construction period be recognized as an expense in the period in which the cost is incurred for financial statements prepared using the economic resources measurement focus. The requirements of this Statement are effective for reporting periods starting with the fiscal year that ends December 31, 2022.

In August 2018, GASB issued Statement No. 90, *Majority Equity Interests – An Amendment of GASB Statements No. 14 and No. 61*. The primary objectives of this Statement are to improve the consistency and comparability of reporting a government's majority equity interest in a legally separate organization and to improve the relevance of financial statement information for certain component units. This Statement is effective for fiscal years beginning after December 31, 2020.

In May 2019, GASB issued Statement No. 91, *Conduit Debt Obligations*. The primary objectives of this Statement are to provide a single method of reporting conduit debt obligations by issuers and eliminate diversity in practice associated with (1) commitments extended by issuers, (2) arrangements associated with conduit debt obligations and (3) related note disclosures. This Statement is effective for reporting periods beginning with the fiscal year that ends December 31, 2022.

In January 2020, GASB issued Statement No. 92, *Omnibus 2020*. The objectives of this Statement are to enhance comparability in accounting and financial reporting and to improve the consistency of authoritative literature by addressing practice issues that have been identified during implementation and application of certain GASB statements. This statement is effective for reporting periods beginning after June 15, 2021.

In March 2020, GASB issued Statement No. 93, *Replacement of Interbank Offered Rates*. The objective of this Statement is to address those and other accounting and financial reporting implications that result from the replacement of an interbank offered rate (IBOR). As a result of global reference rate reform, LIBOR is expected to cease to exist in its current form at the end of 2021, prompting governments to amend or replace financial instruments for the purpose of replacing LIBOR with other reference rates. The requirements of this Statement, except for paragraphs 11b, 13, and 14 are effective for reporting periods beginning after June 15, 2020, and did not have a material impact on the City's financial position, overall cash flow or balances or results of operations. The requirement in paragraph 11b is effective for reporting periods ending after December 31, 2021. The requirements in paragraphs 13 and 14 are effective for fiscal years periods beginning after June 15, 2021.

In March 2020, GASB issued Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements*. The primary objective of this Statement is to improve financial reporting by addressing issues related to the public-private and public-public partnership arrangements (PPPs). This Statement is effective for reporting periods beginning after June 15, 2022.

Note 13. Pending GASB Pronouncements (Cont.)

In May 2020, GASB issued Statement No. 96, *Subscription-Based Information Technology Arrangements*. This Statement provides guidance on the accounting and financial reporting for subscription-based information technology arrangements (SBITAs) for government end users (governments). This Statement (1) defines a SBITA; (2) establishes that a SBITA results in a right-to-use subscription asset—an intangible asset—and a corresponding subscription liability; (3) provides the capitalization criteria for outlays other than subscription payments, including implementation costs of a SBITA; and (4) requires note disclosures regarding a SBITA. To the extent relevant, the standards for SBITAs are based on the standards established in Statement No. 87, *Leases,* as amended*.* This Statement is effective for reporting periods beginning after June 15, 2022.

In June 2020, GASB issued Statement No. 97, *Certain Component Unit Criteria, and Accounting and Financial Reporting for Internal Revenue Code Section 457 Deferred Compensation Plans – An amendment of GASB Statements No. 14 and No. 84, and a Supersession of GASB Statement No. 32*. The primary objectives of this Statement are to (1) increase consistency and comparability related to the reporting of fiduciary component units in circumstances in which a potential component unit does not have a governing board and the primary government performs the duties that a governing board typically would perform; (2) mitigate costs associated with the reporting of certain defined contribution pension plans, defined contribution other postemployment benefit (OPEB) plans, and employee benefit plans other than pension plans or OPEB plans (other employee benefit plans) as fiduciary component units in fiduciary fund financial statements; and (3) enhance the relevance, consistency, and comparability of the accounting and financial reporting for Internal Revenue Code (IRC) Section 457 deferred compensation plans (Section 457 plans) that meet the definition of a pension plan and for benefits provided through those plans. The requirements in this Statement as it applies to defined contribution pension plans, defined contribution OPEB plans, and other employee benefit plans are effective immediately (June 2020), and did not have a material impact on the City's financial position, overall cash flow or balances or results of operations. All other requirements of this Statement are effective for reporting periods beginning after June 15, 2021.

Required Supplementary Financial Data

(unaudited)

This section contains additional information required by generally accepted accounting principles.

- Schedule of Changes in Total OPEB Liability
- Schedule of Net OPEB Liability
- OPEB Schedule of Investment Returns
- Schedule of Proportionate Share of Net Pension Liability (Asset) for Local Government Employees' Retirement System
- Schedule of Contributions to Local Government Employees' Retirement System
- Law Enforcement Officers' Special Separation Allowance - Schedule of Changes in Total Pension Liability

City of Asheville

Required Supplementary Information
Schedule of Changes in the Net OPEB Liability and Related Ratios
Last Ten Fiscal Years*
June 30, 2020

	2020	2019	2018	2017
Total OPEB liability:				
Service cost at end of year	**$ 931,367**	$ 1,329,239	$ 1,387,138	$ 1,484,673
Interest on the total OPEB liability	**1,887,361**	1,477,508	1,357,441	1,193,537
Changes of benefit terms	**-**	-	-	-
Difference between expected and actual experience	**796,290**	614,907	229,013	-
Changes of assumptions or other inputs	**-**	(2,550,116)	(1,260,476)	(1,834,783)
Benefit payments*	**(3,003,716)**	(2,549,739)	(1,833,676)	(1,796,639)
Net change in total OPEB liability	**611,302**	(1,678,201)	(120,560)	(953,212)
Total OPEB liability – beginning	**35,797,343**	37,475,544	37,596,104	38,549,316
Total OPEB liability – ending (a)	**36,408,645**	35,797,343	37,475,544	37,596,104
Plan fiduciary net position:				
Contributions – employer***	**4,603,716**	3,949,739	1,833,676	2,796,639
Net investment income	**617,425**	753,413	1,628,683	647,620
Benefit payments**	**(3,003,716)**	(2,549,740)	(1,833,676)	(1,796,639)
Administrative expense	**-**	-	(18,222)	-
Net change in plan fiduciary net position	**2,217,425**	2,153,412	1,610,461	1,647,620
Plan fiduciary net position – beginning	**11,741,211**	9,587,799	7,977,338	6,329,718
Plan fiduciary net position – ending (b)	**13,958,636**	11,741,211	9,587,799	7,977,338
Net OPEB liability – ending (a) - (b)	**$ 22,450,009**	$ 24,056,132	$ 27,887,745	$ 29,618,766

Notes to Schedule

Changes of assumptions: Changes of assumptions and other inputs reflect the effects of changes in the discount rate of each period. The following are the discount rates used in each period.

Fiscal Year	**Rate**
2018	3.50%
2019	3.18%
2020	4.93%

* This schedule will not present ten years' worth of information until available.

** Benefit payments are net of participant contributions. Net benefit paymens of $3,003,716 paid directly from the employer are also included.

*** Employer contributions include $4,603,716 paid directly from the employer.

City of Asheville

Required Supplementary Information
Schedule of Net OPEB Liability
Last Ten Fiscal Years*
June 30, 2020

	2020	2019	2018	2017	2016
Total OPEB liability	**$ 36,408,645**	$ 35,797,346	$ 37,475,544	$ 37,596,104	$ 38,549,316
Plan fidicuary net position	**13,958,636**	11,741,211	9,587,799	7,977,338	6,329,717
Net OPEB liability	**$ 22,450,009**	$ 24,056,135	$ 27,887,745	$ 29,618,766	$ 32,219,599
Plan fiduciary net position as a percentage of the total OPEB liability	**38.34%**	32.80%	25.58%	21.22%	16.42%
Covered payroll**	**$ 31,230,511**	$ 31,230,511	$ 51,490,890	$ 51,490,890	$ 51,490,890
Net OPEB liability as percentage of covered payroll	**71.88%**	77.03%	54.16%	57.52%	62.57%

* This schedule will not present ten years' worth of information until available.

** For years following the valuation date (when no new valuation is performed), covered payroll has been set equal to the covered payroll from the most recent valuation

City of Asheville

Required Supplementary Information
OPEB Schedule of Investment Returns
Last Ten Fiscal Years*
June 30, 2020

	2020	2019	2018	2017
Annual money-weighted rate of return, net of investment expense	**4.93%**	3.18%	3.18%	3.10%

* This schedule will not present ten years' worth of information until available.

City of Asheville

Required Supplementary Information
Schedule of Proportionate Share of Net Pension Liability (Asset) for
Local Government Employees' Retirement System
Last Seven Fiscal Years*
June 30, 2020

	2020	2019	2018	2017	2016	2015	2014
City's proportion of the net pension liability (asset) (%)	**1.04%**	1.03%	0.99%	0.98%	1.02%	0.99%	1.02%
City's proportion of the net pension liability (asset) ($)	**$ 24,417,330**	$ 24,417,330	$ 15,266,244	$ 20,765,576	$ 4,563,170	$ (5,818,381)	$ 12,314,203
City's covered employee payroll	**$ 60,642,521**	$ 57,979,959	$ 55,124,606	$ 54,033,708	$ 52,814,551	$ 47,243,636	$ 49,979,929
City's proportion of the net pension liability (assets) as a percentage of its covered-employee payroll	**40.26%**	42.11%	27.69%	38.43%	8.64%	-12.32%	24.64%
Plan fiduciary net position as a percentage of the total pension liability**	**91.63%**	91.63%	94.18%	91.47%	98.09%	102.64%	94.35%

* The amounts presented for each fiscal year were determined as of the prior fiscal year ended June 30.

** This will be the same percentage for all participant employers in the LGERS plan.

* This schedule will not present ten years' worth of information until available.

City of Asheville

Required Supplementary Information
Schedule of Contributions to
Local Government Employees' Retirement System
Last Seven Fiscal Years*
June 30, 2020

	2020	2019	2018	2017	2016	2015	2014
Contractually required contribution	**$ 6,182,372**	$ 5,147,263	$ 4,714,508	$ 4,317,255	$ 3,725,217	$ 3,792,738	$ 3,568,128
Contribution in relation to the contractually required contribution	**6,182,372**	5,147,263	4,714,508	4,317,255	3,725,217	3,792,738	3,568,128
Contribution deficiency (excess)	**$ -**	$ -	$ -	$ -	$ -	$ -	$ -
City's covered-employee payroll	**$ 64,324,536**	$ 60,642,521	$ 57,979,959	$ 55,124,606	$ 54,033,708	$ 52,814,551	$ 47,243,636
Contributions as percentage of covered-employee payroll	**9.61%**	8.49%	8.13%	7.83%	6.89%	7.18%	7.55%

* This schedule will not present ten years' worth of information until available.

City of Asheville

Required Supplementary Information
Schedule of Changes in Total Pension Liability
Law Enforcement Officer's Special Separation Allowance
As of and for the Year Ended June 30, 2020

	2020	2019	2018	2017
Total pension liability:				
Service cost at end of year	**$ 342,934**	$ 341,057	$ 270,136	$ 293,341
Interest	**273,300**	225,204	263,231	254,404
Difference between expected and actual experience	**74,674**	805,349	89,765	-
Changes of assumptions or other inputs	**246,953**	(305,018)	408,573	(158,932)
Benefit payments	**(649,873)**	(720,265)	(728,632)	(662,420)
Net change in total pension liability	**287,988**	346,327	303,073	(273,607)
Total pension liability – beginning	**7,833,179**	7,486,852	7,183,779	7,457,386
Total pension liability – ending	**$ 8,121,167**	$ 7,833,179	$ 7,486,852	$ 7,183,779
Covered payroll	$ 12,923,253	$ 11,649,921	$ 10,663,986	$ 11,005,974
Total pension liability as a percentage of covered payroll	62.84%	67.24%	70.21%	

* This schedule will not present ten years' worth of information until available.

Notes to Schedule:
No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB 73 nor does the plan provide pay related benefits.

December 31, 2019 Measurement Date: The Municipal Bond Index Rate Decreased from 3.64% to 3.26%.
December 31, 2018 Measurement Date: The Municipal Bond Index Rate Increased from 3.16% to 3.64%.
December 31, 2017 Measurement Date: The Municipal Bond Index Rate Decreased from 3.86% to 3.16%.
December 31, 2016 Measurement Date: The Municipal Bond Index Rate increased from 3.57% to 3.86%. The assumed inflation was reduced from 3% to 2.5% and assumed wage inflation was increased from .5% to 1%.

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APPENDIX C

SUMMARY OF THE AMENDMENTS TO THE GENERAL TRUST INDENTURE AND COMPLETE COPY OF THE AMENDED AND RESTATED GENERAL TRUST INDENTURE

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SUMMARY OF THE AMENDMENTS TO THE GENERAL TRUST INDENTURE

The City has proposed certain amendments (the *"Consent Amendments"*) to the General Trust Indenture, dated of December 1, 2005 (the *"Original Indenture"*), between the City and The Bank of New York Mellon Trust Company, N.A., (f/k/a The Bank of New York Trust Company, N.A.), as trustee, as previously amended, pursuant to which the City has issued its Water System Revenue Bonds (the *"Bonds"*). The amendments will be contained in an Amended and Restated General Trust Indenture between the City and the Trustee (the *"Amended and Restated General Indenture"*) to be entered into when the City receives the consent of the Owners of not less than a majority in aggregate principal amount of the Bonds Outstanding, which is expected to occur with the issuance of the 2021 Bonds. The primary goals of the proposed Consent Amendments are (1) modernizing provisions to reflect current market standards for utility revenue bonds, (2) conforming covenants and other provisions to reflect current operations of the City's Water System and (3) providing operational and financial flexibility for the future performance of the City's Water System. The more material Consent Amendments are summarized briefly below. All of the Consent Amendments are reflected as blacklined changes in the notice filing posted on the Electronic Municipal Market Access (EMMA) system related to the City's outstanding Water System Revenue Bonds. The summary below is subject in all respects to the actual text of the amendments the proposed Amended and Restated General Trust Indenture. Section references are to specific sections of the proposed Amended and Restated General Trust Indenture. All defined terms in the summary below have the definitions provided in the Proposed Amended and Restated General Trust Indenture**.**

The Consent Amendments include changes to defined terms in the Original Indenture as follows:

- Adds "*Balloon Indebtedness*" to mean (1) any obligation issued in anticipation of the issuance of a Series of Bonds and (2) a Series of Bonds, either (a) 25% or more of the Principal Installments of which are payable in a single Fiscal Year or (b) 25% or more of the Principal Installments of which may, at the option of the holder thereof, be redeemed at one time, and in either event which portion of the Principal Installments is not required by the documents pursuant to which such Bonds are issued to be amortized by redemption prior to such date.

- Amends *"Current Expenses"* to exclude from the definition any expenses paid from a source other than Revenues. The definition is also amended to add a provision that provides that in such cases when generally accepted accounting principles provide that amounts be treated as Current Expenses but (1) the timing of the required payment of the expense or a portion thereof, while known, is more than one year in the future or (2) the actual timing of the required payment of the expense is not readily determinable (such as post-employment benefits calculated actuarially), the City may include as a Current Expense the amount required to be paid for in the current period rather than the entirety of amounts required to be expensed.

- Amends *"Principal and Interest Requirements on the Bonds"* to add a provision for the treatment of Direct Subsidy Bonds and to simplify the treatment of Balloon Indebtedness. For Direct Subsidy Bonds, i.e. bonds issued under an interest subsidy program, any subsidy payments received or expected to be received will be treated as an offset to interest payments on Direct Subsidy Bonds. Principal Installments due on Balloon Indebtedness will be treated by assuming that principal would be payable in such period if such principal were amortized from the date of incurrence thereof over a period of thirty (30) years (or such other time period as certified by the Finance Director over which the City intends to refinance such Balloon Indebtedness) on a level debt service basis at an interest rate equal to the rate borne by such Bonds on the date calculated; provided, however, if the date of calculation is within 12 months of the final maturity date of such Series of Bonds, the City will use the actual planned Principal Installment unless the City reasonably expects to refinance the aggregate Principal of such Series of Bonds then Outstanding and in such case, then the payment terms of the expected refinancing

are to be used for purposes of calculating Principal for such Series of Bonds. These changes affect the rate covenant and the additional bonds test because of the treatment of Principal and Interest Requirements on the Bonds as used in those provisions.

- Amends *"Qualified Reserve Fund Substitute"* to change the standard for what would qualify as a Qualified Reserve Fund Substitute.

- Adds "*Released Revenues*" to mean Revenues released from the grant of security for the Bonds under the provisions of the General Indenture.

- Amends *"Revenues"* to permit the City to exclude assessments from Revenues because the proceeds thereof are to be utilized exclusively for the payment of the cost of the capital projects for which they were collected and excludes Released Revenues.

The Consent Amendments include changes to certain covenants and provisions in the General Indenture as follows:

Section 6.8 ***Issuance of Additional Bonds***.

- Simplifies the test for issuing refunding Bonds to allow such refunding if the debt service on the Bonds remaining Outstanding after the issuance of the refunding Bonds will decrease as a result of such refunding. Clarifies that Bonds or other indebtedness to be refunded are excluded from the calculations for the test.

Section 6.11. ***Adding to or Removing from the System***.

- Adds a provision that in the event that the City acquires a water system, or a portion thereof, the City Council has the option to determine whether or not the acquired assets will be a part of the Water System for purposes of the General Indenture.

Section 6.17. ***Released Revenues.***

Adds provisions that allows the City to release certain revenues from the definition of Revenues and the lien of the General Indenture on the filing of the following with the Trustee:

(a) a resolution of the City Council describing a specific identifiable portion of Revenues and approving that such Revenues be excluded from the term Revenues;

(b) either (1) a certificate prepared by the Finance Officer showing that Net Revenues for each of the two most recent completed Fiscal Years, after the specific identifiable portion of Revenues covered by the City Council's resolution described in (a) above are excluded, were at least equal to the larger of (A) the amounts needed for making the required deposits and payments under Section 5.3(b), or (B) an amount not less than 150% of average Principal and Interest Requirements on the Bonds for each Fiscal Year during the remaining term of all Bonds that will remain Outstanding after the exclusion of such specific identifiable portion of Revenues; or (2) a certificate prepared by a Financial Consultant showing that the estimated Net Revenues (excluding the specific identifiable portion of Revenues covered in the resolution adopted by the City Council described in (a) above) for each of the first three complete Fiscal Years immediately following the Fiscal Year in which the resolution described in (a) above is adopted by the City Council, will not be less than the larger of (A) the amounts needed for

making the required deposits and payments under Section 5.3(b), or (B) an amount not less than 150% of the average Principal and Interest Requirements on the Bonds for each Fiscal Year during the remaining term of all Bonds that will remain Outstanding after the exclusion of such specific identifiable portion of Revenues;

(c) an opinion of the City's bond counsel to the effect that the exclusion of such specific identifiable portion of revenues from the definition of Revenues and from the pledge and lien of this Indenture will not, by itself, cause the interest on any Outstanding Bonds to be included in gross income for purposes of federal income tax; provided, however this provision is only applicable to those Bonds that are intended to be excludable from gross income for purposes of federal income tax; and

(d) written confirmation from each of the rating agencies that has been requested by the City to maintain a rating on the Bonds and are then maintaining a rating on any of the Bonds to the effect that the exclusion of such specific identifiable portion of Revenues from the pledge and lien of this Indenture will not cause a withdrawal or reduction in any unenhanced rating then assigned to the Bonds.

Section 7.1. ***Supplemental Indentures Effective On Filing With the Trustee***.

- Adds a provision allowing for the execution and delivery of a Supplemental Indenture by making only a filing with the Trustee, without obtaining any consent from the Owners, for the purpose of modifying any definition in the General Indenture in the event of changes to generally accepted accounting principles or changes in law in order to preserve the definition as originally intended at the time of the execution of the General Indenture and that such changes do not, in the opinion of Bond Counsel, adversely affect the interests of the owners of the Bonds.

Section 7.4. ***General Provisions***.

- Adds a provision allowing any initial purchaser, underwriter or remarketing agent holding any Series of Bonds, regardless of its intent to sell or distribute such Bonds in the future, to consent as the Owner of such Bonds to any amendment or supplemental order, including any amendment or supplemental order that adversely affects the interests of other Owners.

This summary is not intended to be definitive and is qualified in its entirety by reference to the Proposed Amended and Restated General Indenture. Potential purchasers of the 2021 Bonds should review the Proposed Amended and Restated General Indenture in its entirety before purchasing the 2021 Bonds, which will be deemed their written consent to the Consent Amendments.

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CITY OF ASHEVILLE, NORTH CAROLINA

and

THE BANK OF NEW YORK MELLON TRUST COMPANY, N.A.,

as Trustee

AMENDED AND RESTATED
GENERAL TRUST INDENTURE

~~Dated~~ dated as of September 1, 2021

amending and restating the General Trust Indenture
dated as of December 1, 2005

City of Asheville, North Carolina
Water System Revenue Bonds

TRUST INDENTURE
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GENERAL TRUST INDENTURE

THIS GENERAL TRUST INDENTURE dated as of ~~December 1~~September 1, ~~2005~~ 2021 (this "*Indenture*"), by and between the **CITY OF ASHEVILLE, NORTH CAROLINA** (the "*City*"), a municipal corporation of the State of North Carolina, and **THE BANK OF NEW YORK MELLON TRUST COMPANY, N.A.**, as trustee (the "*Trustee*"), being authorized to accept and execute trusts of the character herein set out, amends and restated the General Trust Indenture dated as of December 1, 2005 between the City and The Bank of New York Trust Company, N.A. (now known as The Bank of New York Mellon Trust Company, N.A.), as trustee.

W I T N E S S E T H:

WHEREAS, the existing Water System (as hereinafter defined) currently provides water services to the residents, businesses and other users located within the jurisdiction of the City and its surrounding areas;

WHEREAS, the City proposes to issue bonds (the *"Bonds"*) under this Indenture and pursuant to the Act (hereinafter defined) and to apply the proceeds of the Bonds to finance or refinance the costs of extensions, additions and capital improvements to, or the acquisition, renewal or replacement of capital assets of, or purchasing and installing new equipment for the Water System; and

WHEREAS, the Bonds issued under this Indenture will be secured by a pledge of the Net Revenues (hereinafter defined) of the Water System.

GRANTING CLAUSES

In order to secure the payment of the principal of and interest and premium, if any, on the Bonds to be issued under this Indenture according to their tenor, purport and effect, and in order to secure the performance and observance of all the covenants and conditions contained herein and in the Bonds and in order to declare the terms and conditions on which the Bonds are issued, authenticated, delivered, secured and accepted by all persons who from time to time be or become Owners thereof, and for and in consideration of the mutual covenants herein contained, of the acceptance by the Trustee of the trust hereby created, and the purchase and acceptance of the Bonds by the Owners or obligees thereof, the City has executed and delivered this Indenture, and by these presents the City does hereby assign and pledge to the Trustee, its successors in trust and its assigns forever, to the extent provided in this Indenture:

I.

All Net Revenues of the Water System.

II.

All moneys and securities held by the Trustee, the City or any other depositaries in any and all of the funds and accounts established under this Indenture, except the Rebate Fund, the Water Major Capital Improvements Fund, the Water Operations Fund and the Surplus Account.

III.

Any additional property that may, from time to time hereafter, by delivery or by writing of any kind, be subjected to the lien hereof, by the City or by anyone on its behalf, and the Trustee is hereby authorized to receive the same at any time as additional security hereunder. This Indenture does not convey,

mortgage, pledge or create any lien on any real estate or tangible personal property owned by the City or on any revenues of the City other than the Net Revenues.

TO HAVE AND TO HOLD, all and singular, the Trust Estate, including all additional property which by the terms hereof has or may become subject to the encumbrance of this Indenture, unto the Trustee and its successors and assigns forever.

BUT IN TRUST NEVERTHELESS, on the terms and trusts herein set forth, for the equal and proportionate benefit and security of the Bonds issued and to be issued hereunder and secured by this Indenture, without preference, priority or distinction as to participation in the lien, benefit and protection hereof of any one Bond over any other for any reason whatsoever (except as expressly provided in this Indenture), so that each and all such Bonds has the same right, lien and privilege under this Indenture and is equally secured hereby, with the same effect as if the same had all been made, issued and negotiated simultaneously with the delivery hereof.

PROVIDED, HOWEVER, and these presents are upon the condition that, if the City pays, causes to be paid or provides for the payment to the Owners of the Bonds, the principal, interest and premium (if any) to become due in respect thereof at the times and in the manner stipulated therein, herein and in any Series Indenture relating thereto and keeps, performs and observes all and singular the covenants and agreements in such Bonds and in this Indenture expressed to be kept, performed and observed by or on the part of the City, then this Indenture and the rights hereby granted will cease, determine and be void and of no further force and effect, but will otherwise be and remain in full force and effect, and on the trust and subject to the covenants and conditions hereinafter set forth.

It is hereby mutually covenanted and agreed that the terms and conditions on which the Bonds are to be issued, authenticated, delivered, secured and accepted by all persons who from time to time be or become the Owners thereof are as follows:

ARTICLE I

DEFINITIONS OF TERMS, CONSTRUCTION AND CERTAIN GENERAL PROVISIONS

Section 1.1 ***Definitions.*** In this Indenture, the following words and terms will, unless the context otherwise requires, have the following meanings:

"*Account*" or "*Fund*" means one of the special funds or accounts created and established pursuant to Section 5.2.

"*Accountant*" means a firm of independent certified public accountants as may be selected by the City and not unacceptable to the Trustee.

"*Act*" means The State and Local Government Revenue Bond Act, General Statutes of North Carolina Section 159-80 *et seq*., and as the same may hereafter be amended.

"Additional Bonds" means Bonds issued under this Indenture and meeting the requirements of Section 6.8.

"*Annual Budget*" means the annual budget concerning the operation of the Water System for each Fiscal Year.

"*Authenticating Agent*" means with respect to any given Series of Bonds, the Registrar or any other entity appointed in the related Series Indenture to act as an authenticating agent for such Series of Bonds or a portion thereof.

~~"*Authority*" means the Asheville/Buncombe Water Authority created pursuant to the now-terminated Water Agreement.~~

~~"*Bond*" means the 2005 Bonds and any Additional Bond issued under Section 6.8.~~

"*Balloon Indebtedness*" means (1) any obligation issued in anticipation of the issuance of a Series of Bonds and (2) a Series of Bonds, either (a) 25% or more of the Principal Installments of which are payable in a single Fiscal Year or (b) 25% or more of the Principal Installments of which may, at the option of the holder thereof, be redeemed at one time, and in either event which portion of the Principal Installments is not required by the documents pursuant to which such Bonds are issued to be amortized by redemption prior to such date.

"*Bond*" means one of the obligations delivered pursuant to this Indenture, including all Series of Bonds and bond anticipation notes issued pursuant to a Series Indenture.

"*Bond Counsel*" means an attorney or firm of attorneys of nationally recognized standing in the field of law relating to municipal, state and public agency financing, selected by the City and not unacceptable to the Trustee.

"*Business Day*" means any day other than (a) a day on which banking institutions in New York, New York, or in the State or in the cities in which the Trustee or the Paying Agent have their respective offices ~~identified in Section 11.7,~~ are authorized to close or (b) a day on which the New York Stock Exchange is closed.

"*Certificate*" means (i) a signed document either attesting to or acknowledging the circumstances, representations or other matters therein stated or set forth or setting forth matters to be determined pursuant to this Indenture or (ii) the report of an accountant as to audit or other procedures called for by this Indenture.

"*City*" means the City of Asheville, North Carolina.

"*City Representative*" means the City Manager or ~~Chief Financial~~ Finance Officer of the City and, in the case of any act to be performed or duty to be discharged, any other member, officer or employee of the City then authorized to perform such act or discharge such duty.

"*Co-Trustee*" means any entity meeting the qualifications of a Trustee that is appointed as Co-Trustee under Section 8.15.

"*Code*" means the Internal Revenue Code of 1986, as amended. Each reference to a section of the Code herein will be deemed to include the United States Treasury Regulations proposed or in effect with respect thereto.

"*Construction Fund*" means the Fund so designated and established under Section 5.2.

"*Consulting Engineer*" means the City's engineer or a firm of engineers or utilities consultants with recognized expertise for advising governmental entities with respect to the construction, maintenance and use of the Water System from time to time employed by the City and not unacceptable to the Trustee.

"*Costs of Construction*" means the costs reasonably incurred in connection with the Water System or any portion thereof, including but not limited to the costs of (1) acquisition of all property, real or personal, tangible or intangible, and all interests in connection therewith including all rights-of-way and easements therefor, (2) physical construction, installation and testing, including the costs of labor, services, materials, supplies and utility services used in connection therewith, (3) architectural, engineering, legal, financial advisory and other professional services, (4) premiums for insurance policies taken out and

maintained during construction, to the extent not paid for by a contractor for construction and installation, (5) any taxes, assessments or other charges which become due during construction, (6) expenses incurred by the City or on its behalf with its approval in seeking to enforce any remedy against any contractor or sub-contractor in respect of any default under a contract relating to construction, (7) Costs of Issuance, (8) interest on the Bonds during the construction of any portion of the Water System or for such other period as permitted by law, (9) miscellaneous expenses incidental thereto and (10) reimbursements of such Cost of Construction properly incurred prior to the issuance of the Bonds.

"*Costs of Issuance*" means all items of expense, directly or indirectly payable by or reimbursable to the City, related to the authorization, sale and issuance of Bonds.

~~"*County*" means the County of Buncombe, North Carolina, a political subdivision and body corporate and politic of the State.~~

"*Current Expenses*" means the current expenses of operation, maintenance and current repair of the Water System, as calculated in accordance with generally accepted accounting principles except as otherwise provided herein, and includes, without limiting the generality of the foregoing: insurance premiums; any Rebate Deposit; fees and expenses of the Trustee and any Paying Agent; fees and expenses of any entity providing credit support or liquidity for any Series of the Bonds; administrative and engineering expenses of the City relating solely to the Water System; labor; executive compensation; the cost of materials and supplies used for current operations; and charges for the accumulation of appropriate reserves for current expenses not annually recurrent, but which are such as may reasonably be expected to be incurred as determined by the City in accordance with generally accepted accounting principles except as otherwise provided herein. "*Current Expenses*" will not include (i) any allowance for depreciation or replacements of capital assets of the Water System, (ii) moneys payable as Interest or interest on General Obligation Indebtedness, Subordinate Indebtedness or Other Indebtedness ~~and~~ , (iii) moneys deposited or transferred to the Reserve Fund pursuant to the applicable Series Indenture and (iv) any expense paid from a source other than Revenues. When generally accepted accounting principles provide that amounts be treated as Current Expenses but (1) the timing of the required payment of the expense or a portion thereof, while known, is more than one year in the future or (2) the actual timing of the required payment of the expense is not readily determinable (such as post-employment benefits calculated actuarially), the City may include as a Current Expense the amount required to be paid for in the current period rather than the entirety of amounts required to be expensed.

"*Debt Service Fund*" means the Fund so designated and established by Section 5.2.

"*Derivative Agree*ment" means an interest rate swap, collar, floor, forward, option, put, call or other agreement however denominated, relating to the Bonds and entered into for the purpose of lowering borrowing costs or reducing borrowing risks.

"Direct Subsidy Bonds" means any Bonds, Subordinate Indebtedness, Other Indebtedness or General Obligation Indebtedness incurred or issued under an interest subsidy program established under the Code.

"*Electronic Means*" means the following communications methods: e-mail, facsimile transmission, secure electronic transmission containing applicable authorization codes issued by the Trustee, passwords and/or authentication keys, or another method or system specified by the Trustee as available for use in connection with its services hereunder.

"*Event of Default*" means any of the events specified in Section 9.1 together with any other events specified as such in a Series Indenture.

"Federal Securities" means~~.~~, to the extent otherwise permitted by law, (a) direct obligations of the United States of America for the payment of which the full faith and credit of the United States of America is pledged; (b) obligations ~~issued by any agency controlled or supervised by and acting as an instrumentality of the United States of America,~~ the payment of the principal of and interest on which is fully guaranteed as full faith and credit obligations of the United States of America (including any securities described in (a) or (b) issued or held in the name of the Trustee in book entry form on the books of the Department of Treasury of the United States of America), which obligations, in either case, are held in the name of the Trustee and are not subject to redemption or purchase prior to maturity at the option of anyone other than the Owner; (c) any bonds or other obligations of the State or of any agency, instrumentality or local governmental unit of the State which are (i) not callable prior to maturity or (ii) as to which irrevocable instructions have been given to the trustee or escrow agent of such bonds or other obligations by the obligor to give due notice of redemption and to call such bonds for redemption on the date or dates specified, and which are rated by Moody's, if the Bonds are rated by Moody's, and S&P, if the Bonds are rated by S&P and Fitch, if the Bonds are rated by Fitch, within the highest rating category and which are secured as to principal, redemption premium, if any, and interest by a fund consisting only of cash or bonds or other obligations of the character described in clause (a) or (b) hereof which fund may be applied only to the payment of such principal of and interest and redemption premium, if any, on such bonds or other obligations on the maturity date or dates thereof or the specified redemption date or dates pursuant to such irrevocable instructions, as appropriate; or (d~~) the interest only portions of obligations issued by the Resolution Funding Corporation; or (e~~) direct evidences of ownership of proportionate interests in future interest and principal payments on specified obligations described in (a) held by a bank or trust company as custodian, under which the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor on the underlying obligations described in (a), and which underlying obligations are not available to satisfy any claim of the custodian or any person claiming through the custodian or to whom the custodian may be obligated.

"*Finance Officer*" means the ~~Chief Financial Officer~~ finance officer of the City appointed in accordance with Section 159-24 of the General Statutes of North Carolina, or any successor ~~to his~~ statute, or the official succeeding to the Finance Officer's principal functions.

"*Financial Consultant*" means an independent person or firm with recognized expertise for advising governmental entities with respect to financial forecasting and analysis of water systems from time to time employed by the City and not unacceptable to the Trustee.

"*Fiscal Year*" means a twelve-month period commencing on the first day of July of any year, or such other twelve-month period adopted as the Fiscal Year of the City.

"*Fitch*" means Fitch Ratings, its successors and their assigns, and, if such corporation for any reason no longer performs the functions of a securities rating agency, *"Fitch"* will be deemed to refer to any other nationally recognized securities rating agency designated by a City Representative by notice to the Trustee.

"*General Obligation Indebtedness*" means (i) general obligation indebtedness incurred by the City ~~as of the date of this Indenture~~ which is payable from Net Revenues and the proceeds of which ~~were~~ are used to provide for capital costs of the Water System~~,~~ and (ii) ~~general obligation indebtedness to be incurred in the future by the City which is payable from Net Revenues (including such general obligation indebtedness which is secured by Net Revenues) and the proceeds of which in each case are used to provide for capital costs of the Water System and (iii)~~ general obligation indebtedness of another governmental unit which is payable from Net Revenues as a result of the City having assumed such general obligation indebtedness or having otherwise agreed to pay in connection with acquisition of assets for the Water System.

~~"*Henderson County Agreement*" means the Regional Water Supply and Water Service Agreement dated November 11, 1995 among the County of Henderson, North Carolina, the Cane Creek Water and Sewer District, the Authority, the City and the County.~~

"*Indenture*" means this General Trust Indenture, dated as of December 1, 2005, by and between the City and the Trustee, and any amendments hereto.

"*Independent Insurance Consultant*" means a person or firm, appointed by the City and not unacceptable to the Trustee, qualified to survey risks and to recommend insurance coverage for facilities such as the Water System and having a favorable reputation for skill and experience in such surveys and such recommendations, which insurance consultant, in the case of an individual, must not be an officer or employee of the City and, in the case of a firm, must not have a partner, director, member, officer or employee who is an officer or employee of the City.

"*Interest*" means (i) the amount designated as interest on any Bonds and (ii) payments due from the City under a Derivative Agreement other than for termination thereof.

"*Interest Payment Date*" means any date on which interest is due and payable in accordance with the terms set forth with respect to each Series of Bond in the related Series Indenture or any other document executed and delivered by the City in acceptance with this Indenture.

~~"*Investment Securities*" means, to the extent permitted by law, (i) Federal Securities; (ii) obligations of the Federal Land Bank; (iii) obligations of the Federal Home Loan Bank; (iv) obligations of the Federal Intermediate Credit Bank; (v) obligations of the Central Bank for Cooperatives; (vi) obligations of the Federal Home Loan Mortgage Corporation; (vii) obligations of Federal National Mortgage Association, (viii) repurchase agreements of any national or state bank located within the State which have deposits insured by the Federal Deposit Insurance Corporation (including the repurchase agreements of any bank acting as a depository, custodian or trustee for any proceeds of the Bonds) to the extent permitted by Section 159-30 of the General Statutes of North Carolina; (ix) certificates of deposit of national or state banks located within the State which have deposits insured by the Federal Deposit Insurance Corporation (including the certificates of deposit of any bank acting as a depository, custodian or trustee for any proceeds of the Bonds); provided, however, that the portion of such certificates of deposit in excess of the amount insured by the Federal Deposit Insurance Corporation, if any, shall be secured by deposit with the Federal Reserve Bank of Charlotte, North Carolina, or with any national or state bank located within the State with a long-term rating of "A" or higher by Moody's, if the Bonds are rated by Moody's, and "A" or higher by S&P, if the Bonds are rated by S&P, of any of the obligations included in (i), (ii), (iii), (iv), (v) or (vi) above; (x) any bonds or other obligations of the State or any agency, instrumentality or local governmental unit of the State which are rated "A" or better by Moody's, if the Bonds are rated by Moody's, and S&P, if the Bonds are rated by S&P; (xi) shares of a tax exempt Money Market Fund; (xii) the State Treasurer's Short-Term Investment Fund; and (xiii) any other investments permitted under Section 159-30 of the General Statutes of North Carolina, as it may hereafter be amended, for the investment of public funds which meet the requirements for the "A" rating category of Moody's, if the Bonds are rated by Moody's, and of S&P, if the Bonds are rated by S&P.~~

"Investment Securities" means investments permitted under Sections 159-30 of the North Carolina General Statutes, as amended from time to time, or as otherwise permitted by law.

"LGC" means the North Carolina Local Government Commission or any successor to its functions under the laws of the State.

"*Moody's*" means Moody's Investors Service, ~~a corporation organized and existing under the laws of the State of Delaware,~~ its successors and their assigns, and, if such corporation for any reason no longer performs the functions of a securities rating agency, "Moody's" will be deemed to refer to any other

nationally recognized rating agency designated by ~~the~~ a City ~~Manager of the City~~ Representative by notice to the Trustee.

"*Net Revenues*" means the excess of Revenues over Current Expenses.

"*Other Indebtedness*" means capital leases, installment financing agreements or other contracts used to provide capital improvements to the Water System, the payments under which are payable from Net Revenues after payment of the principal of and Interest on the Bonds and the principal of and interest on General Obligation Indebtedness and Subordinate Indebtedness.

"*Outstanding*" means all Bonds which have been authenticated and delivered by the Trustee under this Indenture, except:

(a) Bonds canceled after purchase in the open market or because of payment (it being understood that a payment to an Owner of the purchase price of a Bond, as prescribed in the related Series Indenture, is not payment of a Bond) at or redemption prior to maturity or on acceleration;

(b) Bonds deemed paid under Article X;

(c) Bonds for the payment of the principal of and interest on which Federal Securities have been set aside; and

(d) Bonds in lieu of which other Bonds have been authenticated under Article III.

"*Owner*" means any person in whose name any Outstanding Bond is registered on the books of the Registrar.

"*Paying Agent*" means ~~any~~ the Trustee or, in lieu of the Trustee, any other entity appointed in a Series Indenture to act as a paying agent for a Series of Bonds.

"*Person*" means any individual, corporation, partnership, joint venture, association, joint-stock company, trust, unincorporated organization, or government or any agency or political subdivision thereof.

"*Principal and Interest Requirements on the Bonds*" means, with respect to any particular Fiscal Year, an amount equal to the sum of (i) all interest payable on the Bonds during such Fiscal Year, excluding any capitalized interest, plus (ii) any Principal Installments of the Bonds during such Fiscal Year.

(a) For purposes of computing "*Principal and Interest Requirements on the Bonds*," the rate of interest used to determine (i) above will be a rate per annum equal to (1) with respect to Bonds which bear interest at a fixed rate, the rate of interest borne or to be borne by such Bonds, ~~and~~ (2) with respect to Bonds which bear interest at a variable or periodically determined rate of interest, the average of all the interest rates in effect on the Bonds (or as certified by a financial institution or investment banking firm acceptable to the Finance Officer which would have been in effect on the Bonds had such Bonds been Outstanding) during the immediately preceding twelve-month period and (3) with respect to Direct Subsidy Bonds, any subsidy payments that are received or expected to be received and deposited in the Debt Service Fund to be used to pay interest on such Direct Subsidy Bonds, the interest rate will be calculated by subtracting the applicable direct subsidy percentage from the stated interest rate (in other words, the City will receive a credit against the interest paid or to be paid on such Direct Subsidy Bonds). If the City has entered into a Derivative Agreement under which it will receive payments calculated on a notional amount equal to the principal amount of a Series of the Bonds and will make payments calculated on the same notional amount, the interest used to calculate (1) above will be the amount to be paid by the City, and the amount to be received will be deducted; payments on a variable or periodic basis under such an agreement will be calculated in accordance with clause (2) above.

(b) For purposes of computing *"Principal and Interest Requirements on the Bonds,"* the method used to determine (ii) above will be the actual planned Principal Installments, ~~unless any such Principal Installment is at least 25% greater than any Principal Installment of such Bonds in any prior year in which case the Principal Installments of such series of Bonds will, in each year, be: (1) for Bonds with a term in excess of one year, the result derived by dividing (a) the outstanding principal amount of such Bonds by (b) the number of full years in the remaining term of such Bonds, and (2) for notes or other obligations with a term of less than one year which are issued in anticipation of the issuance of Bonds described in (1) above, result derived by dividing (a) the outstanding principal amount of such notes or other obligations by (b) the number of full years expected to be in the term of the Take Out Obligation as certified to the Trustee by the Finance Officer~~except for any Balloon Indebtedness the Principal Installment will be deemed to be the amount of principal which would be payable in such period if such principal were amortized from the date of incurrence thereof over a period of thirty (30) years (or such other time period as certified by the Finance Director over which the City intends to refinance such Balloon Indebtedness) on a level debt service basis at an interest rate equal to the rate borne by such Bonds on the date calculated; provided, however, if the date of calculation is within 12 months of the final maturity date of such Series of Bonds, the City will use the actual planned Principal Installment unless the City reasonably expects to refinance the aggregate Principal of such Series of Bonds then Outstanding and in such case, then the payment terms of the expected refinancing are to be used for purposes of calculating Principal for such Series of Bonds.

"*Principal and Interest Requirements for General Obligation Indebtedness*" means, with respect to any particular Fiscal Year, an amount equal to the sum of (i) all interest payable on the General Obligation Indebtedness during such Fiscal Year, excluding any capitalized interest, plus (ii) any principal of the General Obligation Indebtedness due during such Fiscal Year. Principal and interest for purposes of this definition will be computed in the manner in which the principal of and interest on the Bonds is calculated under the definition of "*Principal and Interest Requirements on the Bonds*."

"*Principal and Interest Requirements for Other Indebtedness*" means, with respect to any particular Fiscal Year, an amount equal to the sum of all payment obligations with respect to Other Indebtedness during such Fiscal Year. If the payment obligation under any Other Indebtedness is stated in terms of principal and interest, such principal and interest will be computed for purposes of this definition in the manner in which the principal of and interest on the Bonds is calculated under the definition of "*Principal and Interest Requirements on the Bonds*."

"*Principal and Interest Requirements for Subordinate Indebtedness*" means, with respect to any particular Fiscal Year, an amount equal to the sum of (i) all interest payable on Subordinate Indebtedness due during such Fiscal Year, excluding any capitalized interest, plus (ii) any principal of the Subordinate Indebtedness during such Fiscal Year. Principal and interest for purposes of this definition will be computed in the manner in which the principal of and interest on the Bonds is calculated under the definition of "*Principal and Interest Requirements on the Bonds*."

"*Principal Installment*" means, as of any date of calculation, (i) the aggregate principal amount of Outstanding Bonds due on a certain future date, reduced by the aggregate principal amount of such Bonds which would be retired by reason of the payment when due and application in accordance with this Indenture of Sinking Fund Payments payable before such future date, plus (ii) any Sinking Fund Payments due on such certain future date, together with the aggregate amount of the premiums, if any, applicable on such Sinking Fund Payments.

"*Principal Payment Date*" means any date upon which a Principal Installment is due and payable.

"Qualified Reserve Fund Substitute" means, for purposes of satisfying the Reserve Requirement by other than a cash deposit, (~~i~~1) an irrevocable letter of credit, naming the Trustee as beneficiary, issued by any domestic or foreign bank, or any branch or agency thereof, whose long-term debt obligations are

rated by ~~Moody's and S&P in one of the two highest rating categories without regard to gradation within category or (ii~~at least one national rating agency in the "A" rating category or higher, or the equivalent, (2) a surety bond issued by a financial institution whose long-term rating is in ~~one of the two highest rating categories of Moody's and S&P without regard to gradation within category or (iii~~the "A" rating category or higher, or equivalent, by at least one national rating agency or (3) a policy of reserve fund insurance issued by an insurance company whose claims-paying ability is rated by ~~Moody's and S&P in one of the two highest rating categories without regard to gradation within category~~at least one national rating agency in the "A" rating category or higher, or the equivalent. In each case, ratings set forth above shall be determined at the time of issuance of such Qualified Reserve Fund Substitute and without regard to ratings subcategories.

"*Rebate Deposit*" means the amount required to be deposited into the Rebate Fund as a result of the computation made pursuant to Section 5.6.

"*Rebate Fund*" means the Fund so designated and established pursuant to Section 5.2.

"*Redemption Price*" means, with respect to any Bond, the principal amount thereof plus the applicable premium, if any, and accrued interest payable on the redemption thereof.

"*Registrar*" means any entity appointed in a Series Indenture to act as the Registrar for a Series of Bonds or a portion thereof.

"*Released Revenues*" means Revenues released from the grant of security for the Bonds under Section 6.17.

"*Reserve Fund*" means the Fund so designated and established pursuant to Section 5.2.

"*Reserve Requirement*" means, as of any date of calculation, the collective amount required to be on deposit in the Reserve Fund as determined by the Series Indentures under which all Series of Bonds secured by an account in the Reserve Fund are issued.

"*Revenue Fund*" means the Fund so designated and established pursuant to Section 5.2.

"*Revenues*" means all rates, fees (including any tap or impact fees), rentals, assessments (unless a Certificate of a City Representative filed with the Trustee states that, pursuant to a resolution adopted by the City Council, such assessments are not to be Revenues because the proceeds thereof are to be utilized exclusively for the payment of the cost of the capital projects for which they were collected) or other charges or other income received by the City in connection with the ownership, management and operation of the Water System, and all parts thereof, including amounts received from the investment or deposit of moneys in any Fund or Account (but not including amounts received from interest or other investment income earned in the Construction Fund and the Rebate Fund and, during the construction period, the Reserve Fund), all as calculated in accordance with generally accepted accounting principles except as otherwise provided herein, but shall not include (i) net proceeds of insurance or condemnation awards or other extraordinary items, (ii) any amounts collected by the City representing sales or use taxes which may be required by law or agreement to be paid to the State or a governmental unit thereof~~ or~~ , (iii) refundable deposits made by customers of the Water System or (iv) Released Revenues.

"*S&P*" means ~~Standard & Poor's, a Division of The McGraw-Hill Companies, Inc., a corporation organized and existing under the laws of the State of New York~~S&P Global Ratings, its successors and their assigns, and, if such corporation for any reason no longer performs the functions of a securities rating agency, "S&P" will be deemed to refer to any other nationally recognized securities rating agency designated by ~~the~~ a City ~~Manager of the City~~ Representative by notice to the Trustee.

"*Series of Bonds*" or "*Series*" means any series of Bonds issued hereunder pursuant to a Series Indenture.

"*Series Indenture*" means any indenture or other document supplementing this Indenture, executed by the City and effective in accordance with Article VII, providing for the issuance of a Series of Bonds.

"*Sinking Fund Payment*" means, as of any particular date of calculation, the amount required to be paid by the City on a certain future date for the retirement of Outstanding Bonds which mature after said future date, but does not include any amount payable by the City by reason of the maturity of a Bond or by call for redemption at the election of the City.

"*State*" means the State of North Carolina.

"*Subordinate Indebtedness*" means debt incurred by the City, the payment of the principal and interest on which is secured by Net Revenues after payment of the principal of and Interest on the Bonds and the proceeds of which are used to provide for capital costs of the Water System, including any loan or other obligation payable to the State under a State loan program unless by its terms it is stated to be on parity with the Bonds.

"*Supplemental Indenture*" means any indenture supplemental to this Indenture delivered pursuant to Article VII hereof amending or supplementing this Indenture.

"*Surplus Account*" means the account so designated and established by Section 5.2.

"*Trustee*" means the Trustee with respect to the Bonds and any other person at any time substituted in its place as provided in Article VIII.

"*Trust Estate*" means all property and rights conveyed by the City under the Granting Clauses of this Indenture.

"*Water Major Capital Improvements Fund*" means the Fund so designated and established by Section 5.2.

"*Water Operations Fund*" means the Fund so designated and established by Section 5.2.

"*Water System*" means the water system owned by the City providing water services within the jurisdiction of the City and its surrounding areas, including any and all additions, modifications, replacements and parts thereof and other assets so designated under Section 6.11(e).

Section 1.2 ***Interpretation.*** In this Indenture, unless the context otherwise requires:

(a) the terms "hereby," "hereof," "hereto," "herein," "hereunder," and any similar terms used in this Indenture refer to this Indenture, and the term "heretofore" means before, and the term "hereafter" means after the date of adoption of this Indenture;

(b) the words of the masculine gender mean and include correlative words of the feminine and neuter genders and words importing the singular number mean and include the plural number and vice versa.

(c) any references to Section and Article numbers shall be deemed to refer to the Section and Article numbers contained herein unless the context clearly indicates otherwise.

[End of Article I]

ARTICLE II

TERMS OF BONDS

Section 2.1 ***Indenture to Constitute Contract; Parity Bonds.*** In consideration of the purchase and acceptance of the Bonds by those who hold the same from time to time, the provisions of this Indenture will be a part of the contract of the City with the Owners of Bonds and is deemed to be and constitutes a contract among the City, the Trustee and the Owners from time to time of the Bonds. The pledges and assignments made hereby and the provisions, covenants and agreements herein set forth to be performed by or on behalf of the City are for the equal benefit, protection and security of the Owners of any and all the Bonds, each of which, regardless of the time or times of its issue or maturity, will be of equal rank without preference, priority or distinction over any other thereof except as expressly provided in this Indenture.

Section 2.2 ***Special Obligations.*** The Bonds are special obligations of the City. The principal of, premium, if any, and Interest on the Bonds are not payable from the general funds of the City, nor do they constitute a legal or equitable pledge, charge, lien or encumbrance on any of its property or on any of its income, receipts or revenues, except the Trust Estate pledged hereunder. Neither the credit nor the taxing power of the City are pledged for the payment of the principal of or Interest on the Bonds, and no Owner has the right to compel the exercise of the taxing power by the City or the forfeiture of any of the property of the City in connection with any default on the Bonds.

Section 2.3 ***Authorization of Bonds.*** In order to provide sufficient funds to construct any expansion or improvement of the Water System, to acquire property in connection therewith or to refund all or any principal amount of obligations issued therefor hereunder, Bonds of the City are hereby authorized to be issued hereunder, in one or more Series, pursuant to a Series Indenture, in accordance with the laws of the State.

Section 2.4 ***Conditions Precedent to Delivery of Bonds.*** The Bonds of each Series will be delivered upon the receipt by the Trustee of:

(a) certified copies of the bond order and the resolutions adopted by the City and approving this Indenture, the related Series Indenture and the transactions related to the Series of Bonds being issued;

(b) certified copies of this Indenture and the Series Indenture authorizing the Series of Bonds being issued;

(c) a Bond Counsel's opinion to the effect that (i) such Series Indenture has been duly and lawfully authorized, executed and delivered and is in full force and effect; (ii) this Indenture has been duly and lawfully authorized, executed and delivered by the City and is valid and binding upon, and enforceable against, the City (except to the extent that the enforceability thereof may be limited by the operation of bankruptcy, insolvency and similar laws affecting rights and remedies of creditors); (iii) this Indenture creates the valid pledge which it purports to create of the Trust Estate for the purposes and on the conditions permitted by this Indenture; and (iv) on the execution and delivery thereof, such Series of Bonds has been duly and validly authorized and issued in accordance with this Indenture;

(d) a request and authorization to the Trustee and the Authenticating Agent on behalf of the City to authenticate and deliver the Series of Bonds to the purchasers therein identified on payment to the Trustee or otherwise as directed by the Trustee, for the account of the City, of a sum specified in such request and authorization;

(e) a written certificate from the City as to the amount of proceeds of the Series of Bonds being issued to be deposited into the various Funds specified in, and pursuant to, the related Series Indenture;

(f) evidence that the Reserve Fund is equal to the Reserve Requirement, if any, after issuance of such Series of Bonds; and

(g) such additional documents and certificates as Bond Counsel or the Trustee may reasonably require.

[End of Article II]

ARTICLE III

GENERAL TERMS AND PROVISIONS OF BONDS

Section 3.1 ***Provisions of a Series of Bonds.*** Each Series Indenture will include provisions, as applicable, concerning the medium and times of payment, denominations, forms, dates, redemption, purchase, registration, exchange, transfer, replacement, cancellation and execution of such Bonds.

Section 3.2 ***Legends.*** The Bonds of each Series may contain or have endorsed thereon such provisions, specifications and descriptive words not inconsistent with the provisions of this Indenture as may be necessary or desirable to comply with custom, or otherwise.

Section 3.3 ***Books for Registration.*** Unless otherwise provided in a Series Indenture with respect to the related Series of the Bonds, so long as any Bonds are Outstanding, the City will cause to be maintained and kept, at a corporate trust office of the Registrar, books for the registration of Bonds. On presentation thereof for such purpose at said office by the Owner thereof or his duly authorized attorney, the Registrar will register or cause to be registered in such books, any Bonds entitled to registration, under such reasonable regulations as the Registrar may prescribe.

Section 3.4 ***Transfer and Exchange of Bonds.*** Ownership of Bonds will be transferable only on the books of the Registrar, on surrender of the Bonds to be transferred with a written instrument of transfer satisfactory to the Registrar, duly executed by the Owner thereof or his duly authorized attorney. Bonds may be exchanged for Bonds of the same Series and maturity in other Authorized Denominations, on surrender of the Bonds to be exchanged to the Registrar with a written instrument requesting such exchange, duly executed by the Owner thereof or his duly authorized attorney. Prior to any transfer of Bonds outside of a book-entry only system (including, but not limited to, the initial transfer outside a book-entry only system) the transferor shall provide or cause to be provided to the Trustee all information necessary to allow the Trustee to comply with any applicable tax reporting obligations, including without limitation any cost basis reporting obligations under Internal Revenue Code Section 6045, as amended. The Trustee shall conclusively rely on the information provided to it and shall have no responsibility to verify or ensure the accuracy of such information.

When the privilege of transferring or exchanging Bonds is exercised, the City will execute or cause to be executed and the Authenticating Agent will authenticate and deliver Bonds in exchange for Bonds being transferred or exchanged. For every such transfer or exchange of Bonds, whether temporary or definitive, the City or the Registrar may charge an amount sufficient to reimburse it for any tax, fee or other governmental charge required to be paid with respect to such exchange or transfer.

Section 3.5 ***Replacement of Mutilated, Destroyed, Stolen or Lost Bonds.*** If a Bond is mutilated, destroyed, stolen or lost, the City will execute or cause to be executed and the Authenticating Agent will authenticate and deliver replacement Bonds of the same Series and maturity. For any mutilated Bonds, such new Bonds will be delivered only on surrender and cancellation of the mutilated Bonds. For destroyed, stolen or lost Bonds, such new Bonds will be delivered only on the filing with the Trustee of evidence satisfactory to establish to the City and the Trustee that such Bonds have been destroyed, stolen or lost and to prove the ownership thereof and on furnishing the City and the Trustee with indemnity satisfactory to them. If any such Bond has matured, instead of delivering a duplicate Bond, the Trustee may pay the same without surrender thereof. The person requesting the delivery of new Bonds pursuant to this Section must comply with such other reasonable regulations as the City and the Trustee prescribe and pay such expenses (including attorney's fees, costs and expenses, if any) as the City and the Trustee incur in connection therewith.

Section 3.6 ***Cancellation and Destruction of Bonds.*** All Bonds paid or redeemed, either at or before maturity and all Bonds delivered for transfer or exchange as provided in Section 3.4 must be

delivered to the Trustee when such payment or redemption is made. The Trustee will promptly cancel such Bonds, together with all Bonds surrendered for replacement pursuant to Section 3.5 and any other Bonds delivered to the Trustee with instructions to cancel the same. Bonds so canceled may at any time be cremated or otherwise destroyed by the Trustee. Upon the cremation or destruction of canceled Bonds, the Trustee will provide to the City a written certification thereof.

Section 3.7 ***Execution and Authentication.*** The Bonds will be executed on behalf of the City with the manual or facsimile signature of its Mayor or City Manager ~~and will have impressed or imprinted thereon, by facsimile or otherwise, the official seal of the City and will be attested with the manual or facsimile signature of the City Clerk~~or any other officer of the City authorized to do so by the City Council. If any officer of the City whose signature or whose facsimile signature appears on the Bonds ceases to be such officer before the delivery of such Bonds, such signature or facsimile signature will nevertheless be valid and sufficient for all purposes, as if he had remained in office until delivery. In addition, each Bond shall be authenticated by the manual or facsimile signature of an authorized officer of the Authenticating Agent. If any official of the Authenticating Agent whose signature appears on the Bonds ceases to be such official before delivery of the Bonds, such signature shall nevertheless be valid and sufficient for all purposes, as if he had remained in office until delivery. No Bond shall be valid or obligatory for any purpose or entitled to any security or benefit hereunder unless and until executed and authenticated in the manner prescribed by this Section, and such execution and authentication of any Bond shall be conclusive evidence that such Bond has been properly executed and delivered hereunder.

Section 3.8 ***Ownership of Bonds.*** The City and the Trustee may deem and treat the Owner of any Bond as the absolute owner of such Bond, whether such Bond is overdue or not, for the purpose of receiving payment of, or on account of, the principal of and interest on such Bond and for all other purposes, and all such payments so made to any such Owner will be valid and effectual to satisfy and discharge the liability on such Bond to the extent of the sum or sums so paid, and neither the City nor the Trustee will be affected by any notice to the contrary.

Section 3.9 ***Temporary Bonds.*** Pending the preparation of definitive Bonds of any Series, the City may execute and the Authenticating Agent will authenticate and deliver temporary Bonds of such Series. Temporary Bonds will be issuable as fully registered Bonds, of any denomination permitted by the related Series Indenture, and substantially in the form of the definitive Bonds of such Series but with such omissions, insertions and variations as may be appropriate for temporary Bonds, all as may be determined by the City. Every temporary Bond will be executed by the City and authenticated by the Authenticating Agent on the same conditions and in substantially the same manner, and with like effect, as the definitive Bonds. As promptly as practicable, the City will execute and will furnish definitive Bonds and then temporary Bonds may be surrendered in exchange therefor without charge at the principal corporate trust office of the Registrar, and the Authenticating Agent will authenticate and the Registrar will deliver in exchange for such temporary Bonds a like aggregate principal amount of definitive Bonds. Until so exchanged, the temporary Bonds will be entitled to the same benefits under this Indenture as definitive Bonds.

Section 3.10 ***Book-Entry System.*** A Series Indenture may provide that a Series of Bonds may be held in a book-entry system by a securities depository in which case the rules and procedures of the securities depository shall supersede the provisions of this Indenture with respect to the process of substitution, exchange, payment, redemption, tender and similar administrative issues covered by such rules and procedures for the Series of Bonds.

[End of Article III]

ARTICLE IV

APPLICATION OF BOND PROCEEDS

Section 4.1 ***Application of Bond Proceeds.*** The proceeds of sale of any Series of Bonds will, as soon as practicable on the delivery of the Series of Bonds by the Trustee pursuant to Section 2.4, be applied as set forth in the applicable Series Indenture.

Section 4.2 ***Bonds Not Delivered for Payment.*** If any Bond is not presented for payment when the principal thereof becomes due, either at maturity, or at the date fixed for redemption thereof, or otherwise, or if any interest check is not cashed, if funds sufficient to pay such Bond have been made available by the City to the Trustee or any Paying Agent for the benefit of the Owner thereof, all liability of the City to the Owner thereof for the payment of such Bond will forthwith cease, terminate and be completely discharged, and it will then be the duty of the Trustee and any Paying Agent to hold such funds in trust, uninvested and without liability for interest thereon, for the benefit of the Owner of such Bond who will thereafter be restricted exclusively to such funds for any claim of whatever nature on his part under this Indenture or on, or with respect to, said Bond. Any money that is so set aside or transferred and that remains unclaimed by the Owners for a period of five and one-half years after such payment has become due and payable will be treated as abandoned property under N.C.G.S. § 116B-53, or any successor statute, and the Trustee or Paying Agent will report and remit this property to the Escheat Fund according to the requirements of N.C.G.S. § 116B *et seq.* , or any successor statute. Thereafter, the Owners may look only to the Escheat Fund for payment and then only to the extent of the amounts so received without any interest thereon, and the City and the Trustee or Paying Agent will have no responsibility with respect to such money.

[End of Article IV]

ARTICLE V

PLEDGE OF INDENTURE; FUNDS AND ACCOUNTS; INVESTMENTS

Section 5.1 ***Pledge Effected by Indenture.*** The Trust Estate is hereby pledged, and the City hereby grants a security interest therein, to the Trustee for the benefit of Owners, to secure the payment of Bonds in accordance with their terms and the provisions of this Indenture. The Trust Estate will immediately be subject to the lien of such pledge without any physical delivery thereof or further act and such lien will be valid and binding against all parties having claims of any kind in tort, contract or otherwise, irrespective of whether such parties have notice hereof.

Section 5.2 ***Funds and Accounts.***

(a) The City hereby establishes and creates the following special Funds which for administrative convenience may be subdivided by the City Representative or the Trustee into Accounts with appropriate identification:

(1) Revenue Fund;
(2) Debt Service Fund;
(3) Water Operations Fund;
(4) Water Major Capital Improvements Fund;
(5) Construction Fund;
(6) Rebate Fund;
(7) Reserve Fund; and
(8) Surplus Account.

The Trustee or the City may also create such other Funds or Accounts as either deems necessary or desirable in the administration of this Indenture.

(b) The Debt Service Fund, the Construction Fund, the Reserve Fund and the Rebate Fund will be held by the Trustee, but the Debt Service Fund and the Construction Fund may be held by another financial institution having trust powers with the approval of the City and the North Carolina Local Government Commission. The Revenue Fund, the Water Operations Fund, the Water Major Capital Improvements Fund and the Surplus Account will be held by the City.

Section 5.3 ***Revenue Fund.***

(a) The City will cause all Revenues to be deposited in the Revenue Fund. There will also be deposited in the Revenue Fund any other amounts required to be deposited therein pursuant to this Indenture or any Supplemental Indenture and any other amounts the City may elect to deposit therein from sources other than the Funds and Accounts described in Section 5.2(a). All amounts collected by the City ~~as (i) sales and use taxes and (ii) refundable deposits made by customers of the Water System~~that do not constitute Revenues, which have been deposited in the Revenue Fund, may be paid out of the Revenue Fund in the amounts and at the times determined by the City Representative.

(b) (1) Except as provided in subsection (a) of this Section or during such time as the Trustee may hold the Revenue Fund under Section 6.6, the City will cause disbursements to be made from the Revenue Fund to the Water Operations Fund at such times as may be required to pay the Current Expenses as shown in the Annual Budget for the current Fiscal Year; and

(2) The City will cause disbursements to be made from the Revenue Fund on or before the 20th day of each month from moneys on hand as of the last day of the preceding month in the following order of priority;

FIRST: To the Trustee for deposit in the Debt Service Fund, on or before the 25th day of the month preceding each Interest Payment Date, an amount such that (after taking into consideration amounts then on deposit in the Debt Service Fund allocated to pay Interest due with respect to the Bonds)~~, if the same amount is transferred thereto on the first day of each succeeding month,~~ there will be in the Debt Service Fund an amount equal to the Interest due on the next Interest Payment Date;

SECOND: To the Trustee for deposit in the Debt Service Fund, on or before the 25th day of the month preceding each Principal Payment Date, an amount such that (after taking into consideration amounts then on deposit in the Debt Service Fund allocated to pay principal due with respect to the Bonds)~~, if the same amount is transferred thereto on or before the first day of each succeeding month,~~ there will be in the Debt Service Fund an amount equal to the Principal Installment due on the next ~~succeeding~~ Principal Payment Date;

THIRD: To the provider of any Qualified Reserve Fund Substitute in satisfaction of the then current obligations of the City incurred in connection therewith;

FOURTH: To the Trustee for deposit in the Reserve Fund (i) the amount necessary for the balance therein to equal the Reserve Requirement, but if the Revenues are insufficient therefor, to each account of the Reserve Fund *pro rata* or (ii) if the Reserve Fund is less than 90% of the Reserve Requirement as a result of a valuation of investments therein, the amount necessary for the balance therein to equal the Reserve Requirement; but the City is not required to transfer in any month more than an amount such that if the same amount were deposited in equal monthly installments over the subsequent 11 months, the Reserve Fund would equal the Reserve Requirement;

FIFTH: To the Debt Service Fund, the amount necessary to make up any deficiency therein in accordance with the priorities established in Section 5.4;

SIXTH: To the Persons entitled to payment of any principal, premium, if any, or interest on any Subordinate Indebtedness, an amount equal to the principal, premium or interest then due and owing;

SEVENTH: To the paying agent or directly to the registered owners of General Obligation Indebtedness in an amount necessary to pay when due the principal of, premium, if any, and interest on the General Obligation Indebtedness;

EIGHTH: To the Persons entitled to payment with respect to any Other Indebtedness, an amount equal to the payment then due and owing;

NINTH: To the Water Major Capital Improvements Fund, 1/12th of the amount, if any, shown in the Annual Budget; and

TENTH: To the Surplus Account, the balance remaining after the transfers described in FIRST through NINTH above.

Section 5.4 ***Debt Service Fund.***

(a) There will be deposited in the Debt Service Fund any amounts required to be deposited therein pursuant to this Indenture and any other amounts the City may elect to deposit therein from sources other than the Funds and Accounts described in Section 5.2(a).

(b) The Trustee will disburse amounts deposited in the Debt Service Fund as follows:

(1) On each Interest Payment Date, to the Persons entitled thereto, Interest due on such date.

(2) Subject to the provisions hereof requiring the application thereof to the payment or redemption of any particular Bond, on each Principal Payment Date, to the Owners, the amounts required for the payment of the Principal Installments due on such date.

(3) On each Redemption Date, to the Owners, the amount required for redemption of Bonds called for redemption.

Except as otherwise specifically provided herein or in any Series Indenture, the Trustee has no obligation to purchase or attempt to purchase Bonds at a price below the Redemption Price, the principal amount or at any other price, and any arms' length purchase by the Trustee will conclusively be deemed fair and reasonable.

(c) If on any Interest Payment Date or Principal Payment Date, there is a deficiency in the Debt Service Fund, the amount of such deficiency will be made up from the following Funds and in the order or priority set forth below:

(1) Revenue Fund;
(2) Surplus Account;
(3) Water Major Capital Improvements Fund;
(4) the account of the Reserve Fund securing a Series of Bonds to pay the principal of and interest on such Series of Bonds, to the extent such deficiency is attributable to the Series of Bonds secured by that account of the Reserve Fund; and
(5) Construction Fund.

(d) To the extent moneys are required to be transferred from any Fund held by the City to make up a deficiency in the Debt Service Fund as required by subparagraph (c), the Trustee shall notify the City by telephone promptly confirmed in writing on the Business Day preceding the date on which moneys are required to be transferred by it pursuant to this subparagraph and thereafter the City shall cause the required transfer to be made on the date set therefor.

Section 5.5 ***Rebate Deposits.*** The City, at its own expense, will retain an Accountant or other qualified entity to make the computation of the Rebate Deposit in accordance with the Arbitrage and Tax Regulatory Certificate delivered by the City at the time that a Series of Bonds requiring such computation is issued. If a Rebate Deposit is required as a result of such computation, the City will notify the Trustee in writing that such a payment is required, and the City will transfer to the Rebate Fund the amount of such payment from the Revenue Fund pursuant to Section 5.3. To the extent that amounts available are not sufficient to pay the Rebate Deposit, the City will pay or cause to be paid any amounts necessary to make up the deficiency. If a withdrawal from the Rebate Fund is permitted as a result of such computation, the Trustee, on written direction from the City, will withdraw the permitted amount and deposit the amount withdrawn in the Revenue Fund. Records of the actions required to be taken by the Trustee by this Section must be retained by the Trustee until six years after the Series of the Bonds related thereto are no longer Outstanding. Except as contemplated in this Section and Section 5.6, the Trustee will have no responsibility to independently compute or pay any Rebate Deposit.

Section 5.6 ***Rebate Fund.*** There will be deposited in the Rebate Fund any amount required to be deposited therein pursuant to this Indenture and any other amounts the City may elect to deposit therein

from sources other than the Funds and Accounts described in Section 5.2(a). The Series Indenture for any Series of the Bonds and the other documentation related thereto shall provide instructions for deposit to and disbursement from the Rebate Fund with respect thereto.

Section 5.7 ***Construction Fund.*** There will be deposited from time to time in the Construction Fund all amounts required to be deposited therein pursuant to, and expended in accordance with, any Series Indenture and any other amounts the City may elect to deposit therein from sources other than the Funds and Accounts described in Section 5.2(a). The Construction Fund may be applied to transfer to the Debt Service Fund to make up any deficiency therein in accordance with the order of priorities established in Section 5.4.

Section 5.8 ***Water Major Capital Improvements Fund.***

(a) There will be deposited in the Water Major Capital Improvements Fund any amount required to be deposited therein pursuant to this Indenture and any other amounts the City may elect to deposit therein from sources other than the Funds and Accounts described in Section 5.2(a).

(b) The Water Major Capital Improvements Fund will be applied for the following purposes:

(1) paying the cost of extensions, additions and capital improvements to, or the renewal and replacement of capital assets of, or purchasing and installing new equipment for, the Water System, or paying any extraordinary maintenance and repair or any expenses which are not Current Expenses;

(2) transfer to the Debt Service Fund to make up any deficiency therein in accordance with the order of priorities established in Section 5.4; and

(3) repaying Subordinate Indebtedness or Other Indebtedness.

(c) The Finance Officer will authorize disbursements to be made from the Water Major Capital Improvements Fund for the purposes set forth in paragraphs (1), (2) and (3) of subsection (b) of this Section. If the Trustee has taken custody of the Water Major Capital Improvements Fund under Section 9.2(d), the Trustee will authorize disbursements from the Water Major Capital Improvements Fund on the filing of a requisition signed by a City Representative setting forth the purpose for which the disbursement is to be made and stating that the work has been performed or that materials, supplies or equipment have been delivered, installed or fabricated or that the payment of debt service on the Bonds, Subordinate Indebtedness or Other Indebtedness is due, as appropriate.

Section 5.9 ***Surplus Account.***

(a) There will be deposited from time to time in the Surplus Account all amounts required to be deposited therein pursuant to this Indenture or any Series Indenture and any other amounts the City may elect to deposit therein from sources other than the Funds and Accounts described in Section 5.2(a).

(b) Moneys held in the Surplus Account shall be applied in the following order of priority: (1) first, to pay a termination payment under a Derivative Agreement; (2) second, to pay Current Expenses; (3) third, to pay for any other purpose related to the Water System from time to time authorized by the City; and (4) fourth, to pay for any lawful purpose of the City.

Section 5.10 ***Investments.*** The Trustee will invest moneys held in the Debt Service Fund, the Construction Fund, the Reserve Fund and the Rebate Fund, at the written direction of the City, in Investment Securities. The City will invest all Funds and Accounts held by it pursuant hereto in such Investment Securities as it determines in its sole discretion. The proceeds of any remarketing of a Series of the Bonds will be held uninvested or will be invested~~.~~, at the written direction of the City, in Federal Securities maturing not later than the earlier of 30 days or the date needed for payment. The City will invest, and as to the Debt Service Fund, the Reserve Fund, the Construction Fund and the Rebate Fund, will direct the Trustee in writing to invest all moneys held hereunder pursuant to the investment instructions as provided in connection with a Series of Bonds.

The Trustee will deposit earnings from investment of moneys in the Rebate Fund immediately on receipt thereof into the Rebate Fund and from investment of moneys in the Construction Fund immediately on receipt thereof into the Construction Fund. Each Series Indenture will establish the disposition of earnings from the investment of moneys in the Reserve Fund. All earnings from the investment of moneys held in any other Fund and Account hereunder will be credited to the Revenue Fund.

The Trustee will conclusively rely on the City's written instructions as to both the suitability and legality of all directed investments. Ratings of investments will be determined at the time of purchase of such investments and without regard to ratings subcategories. The Trustee will have no responsibility to monitor the ratings of investments after the initial purchase of such investments. The Trustee may make any and all such investments through its own investment department or that of its affiliates or subsidiaries and may charge its ordinary and customary fees for such investments. The Trustee will not be liable for any loss from any directed investments. Although the City recognizes that it may obtain a broker confirmation or written statement containing comparable information at no additional cost, the City agrees that broker confirmations of investments are not required to be issued by the Trustee for each month in which a monthly statement is rendered or made available by the Trustee.

Section 5.11 ***Valuation and Sale of Investments.***

(a) In computing the amount in any Fund or Account, obligations purchased as an investment of moneys therein will be valued at the market value.

(b) Except as otherwise provided herein, the Trustee shall sell at the best price obtainable, or present for redemption, any Investment Security whenever it shall be required in writing by a City Representative to do so or whenever it shall be necessary in order to provide moneys to meet any payment or transfer from any Fund or Account held by it, and the City Representative shall sell at the best price obtainable, or present for redemption, any Investment Security whenever it shall be necessary in order to provide moneys to meet any payment or transfer from any Fund or Account held by the City. An Investment Security may be credited on a pro rata basis to more than one Fund or Account and need not be sold in order to provide for the transfer of amounts from one Fund or Account to another.

[End of Article V]

ARTICLE VI

PARTICULAR COVENANTS

Section 6.1 ***Payment of Bonds.*** The City will duly and punctually pay or cause to be paid, as herein provided, the principal of and the interest on every Bond or the Redemption Price thereof, at the dates and places and in the manner stated in the Bonds, according to the true intent and meaning thereof and will duly and punctually pay or cause to be paid all Sinking Fund Payments, if any, becoming payable with respect to any of the Bonds and all other payments of Interest required under this Indenture.

Section 6.2 ***Power To Issue Bonds and Pledge.*** The City is duly authorized under the Act to authorize and issue the Bonds and to enter into, execute and deliver this Indenture and to pledge the Trust Estate, including the Net Revenues, purported to be pledged hereby in the manner and to the extent herein provided. The Bonds and the provisions of this Indenture are and will be the valid and legally enforceable obligations of the City in accordance with the terms of the Bonds and of this Indenture. The City will at all times, to the extent permitted by law, defend, preserve and protect the pledge of the Trust Estate and all the rights of the Owners under this Indenture against all claims and demands of all persons whomsoever.

Section 6.3 ***Further Assurance.*** At any and all times the City will, so far as it may be authorized by law, pass, make, execute, acknowledge and deliver, all and every such further resolutions, acts, deeds, conveyances, assignments, transfers and assurances as may be necessary or desirable for the better assuring, conveying, granting, pledging, assigning and confirming all and singular the Trust Estate.

Section 6.4 ***Accounts and Reports.***

(a) The City will keep, or cause to be kept, proper books of record and account in which complete and accurate entries will be made relating to the Water System, which will at all reasonable times be subject to the inspection of the Trustee and the Owners or their representatives duly authorized in writing.

(b) ~~The City will file an annual report on the Water System with the Trustee and the North Carolina Local Government Commission within 180 days after the close of each Fiscal Year.~~The City will file with the Trustee and the North Carolina Local Government Commission, within 180 days after the close of each Fiscal Year, or as soon as practicable after acceptance with the City Council, a copy of an audited annual financial report as to the obligations and activities of the Water System during such Fiscal Year. The financial statements for each Fiscal Year, shall set forth in reasonable detail:

(1) a balance sheet for the Water System at the end of such Fiscal Year;

(2) a statement of the Water System revenues and expenses in accordance with the categories or classifications established by the City for its operating and program purposes and showing the revenues and expenses of the Water System during such Fiscal Year; and

(3) a statement of cash flows of the Water System as of the end of such Fiscal Year.

In addition, the City will file with the Trustee an audited calculation demonstrating its compliance with the first paragraph of Section 6.6 which may be contained (i) in the audited annual financial report or (ii) in a separate document that has been certified by the Accountant which prepares such calculation. The contents of the financial statements may vary from that set forth in clauses (1) through (3) if the Accountant certifies that they conform to then-existing generally accepted accounting principles. The financial statements must be accompanied by an Accountant's

Certificate stating whether the financial statements examined fairly present the financial position of the City, including the Water System, at the end of the Fiscal Year, and whether the results of its operations and the changes in financial position for the period examined are in conformity with generally accepted accounting principles. The Trustee will make a copy of the financial statements available to any Owner of a Bond on written request therefor at the expense of such Owner.

(c) The City may employ Consulting Engineers to inspect the operation and maintenance of the Water System or to review the performance by the City of the duties relating thereto provided for in this Indenture. The City will file any report of the Consulting Engineers regarding their inspection or review with the Trustee and the North Carolina Local Government Commission.

(d) If at any time during any Fiscal Year there has occurred an Event of Default referred to in subsection (a) or (b) of Section 9.1, then the City will file or cause to be filed with the Trustee and the North Carolina Local Government Commission within 60 days after the close of such Fiscal Year, a special report, accompanied by an Accountant's Certificate as to the fair presentation of the financial statements contained therein, setting forth in reasonable detail the individual balances and receipts and disbursements for each Fund hereunder.

(e) Any financial statements required hereunder may be presented on a consolidated or combined basis with other reports of the City, so long as the information relating to the Water System is separately identified and only to the extent that such basis of reporting will be consistent with that required under subsection (b) of this Section.

(f) The Trustee will have no duty to review or analyze any financial statements delivered to it or to verify the accuracy thereof and will hold such financial statements solely as a repository for the benefit of the Owners; the Trustee will not be deemed to have notice of any information contained therein or any default or Event of Default which may be disclosed therein in any manner.

(g) The filing of information with the Trustee under this Section may be satisfied by posting such information on the City's website or other publicly available site provided that the City notifies the Trustee in writing, electronically or otherwise, a list of the information that is available and provides a link or web address for such information. If the web address changes, the City will inform the Trustee of the new web address.

Section 6.5 ***Annual Budgets.***

(a) The City will approve an Annual Budget covering the fiscal operations of the Water System for the following Fiscal Year and will file the same with the Trustee. Such budget need not necessarily be the budget prepared by the City for budgeting purposes. The Annual Budget will set forth for such Fiscal Year the estimated Revenues, the Principal and Interest Requirements on the Bonds, the Principal and Interest Requirements for Subordinate Indebtedness, the Principal and Interest Requirements for General Obligation Indebtedness and the Principal and Interest Requirements on Other Indebtedness, due and payable or estimated to become due and payable during such Fiscal Year, and estimated Current Expenses in at least quarterly allotments, each of the Water System. The City may at any time adopt and file with the Trustee an amended Annual Budget regarding the Water System in the manner provided in this Indenture for the adoption of the Annual Budget. Copies of the Annual Budget for the Water System as then amended and in effect will be made available by the Trustee at normal business hours in the Trustee's ~~principal~~ designated corporate trust office for inspection by any Owner. If the City does not approve an Annual

Budget for a Fiscal Year on or before the first day of such Fiscal Year, the Annual Budget of the Water System for the preceding Fiscal Year will be deemed to have been adopted and be in effect for such Fiscal Year until the Annual Budget of the Water System for such Fiscal Year has been adopted; provided, however, that the water rates for such Fiscal Year, when using the Annual Budget for the preceding Fiscal Year, will be adjusted by the City so that the water rates are sufficient to meet the rate covenant contained in Section 6.6. The filing of information with the Trustee under this Section may be satisfied by posting such information on the City's website or other publicly available site provided that the City notifies the Trustee in writing, electronically or otherwise, a list of the information that is available and provides a link or web address for such information. If the web address changes, the City will inform the Trustee of the new web address.

(b) The City shall not expend for Current Expenses in any Fiscal Year sums in excess of the reasonable or necessary amount thereof.

Section 6.6 ***Rate Covenant.*** Before the commencement of each Fiscal Year, the City will fix, establish or maintain or cause to be fixed, established and maintained such rates and charges for the provision of services of the Water System, and revise or cause to be revised the same, as necessary, as will produce Revenues at least equal in such Fiscal Year to the total of (i) the Current Expenses budgeted for such Fiscal Year, as may be amended from time to time, plus (ii) 120% of (1.20 times) the Principal and Interest Requirements on the Bonds to become due during that Fiscal Year plus (iii) 100% of (1.00 times) the Principal and Interest Requirements for Subordinate Indebtedness to become due in such Fiscal Year plus (iv) 100% of (1.00 times) the Principal and Interest Requirements for General Obligation Indebtedness to become due in such Fiscal Year plus (v) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness to become due in such Fiscal Year plus (vi) 100% of (1.00 times) the amount required to reimburse the provider of a Qualified Reserve Fund Substitute for any amounts owing thereunder; but no less than an amount sufficient to produce Revenues in such Fiscal Year at least equal to 100% of (1.00 times) the amount necessary to make the deposits required by Section 5.3(b).

The City will, within 90 days after the end of each Fiscal Year, so long as the Bonds are Outstanding, deliver to the Trustee a Certificate reflecting its compliance with the rate covenant in this Section, which may be the City's estimate based on unaudited financial information.

If the City fails to meet the rate covenant set forth above, the City, will, as promptly as possible, take all action necessary to increase Revenues and decrease expenses which will result in producing Revenues necessary to meet such rate covenant in the following Fiscal Year as set forth in this Section 6.6, including promptly retaining a Financial Consultant to make recommendations as to a revision of rates, fees and charges and possible reductions in expenses which will result in producing the required Revenues necessary to meet such rate covenant in the following Fiscal Year. The City, will give written notification to the Trustee and the North Carolina Local Government Commission upon retaining a Financial Consultant to make such recommendations.

If the City fails to meet the rate covenant set forth in this Section 6.6 and the Revenues continue to be insufficient to meet the rate covenant by the end of the Fiscal Year beginning on the July 1 twelve months after the beginning of the Fiscal Year during which the City failed to meet such rate covenant, the Trustee may in its sole discretion take possession of any moneys in the Revenue Fund and administer the application thereof or a majority of the registered Owners of the Bonds may instruct the Trustee to require that an Event of Default under Section 9.1 be deemed to have occurred and require the Trustee to take possession of any moneys in the Revenue Fund pursuant to Section 9.2(d). If the Trustee does so, it may disburse money in the Revenue Fund in such manner as it may determine, notwithstanding the provisions of Section 5.3. If the City fails to meet the rate covenant set forth in this Section 6.6 and the Revenues continue to be insufficient to meet the rate covenant by the end of the second Fiscal Year beginning on the July 1 twenty-four months after the beginning of the Fiscal Year during which the City failed to meet such rate covenant,

the Trustee shall take possession of any moneys in the Revenue Fund and administer the application thereof and a majority of the registered Owners of the Bonds may instruct the Trustee to require that an Event of Default hereunder has occurred.

. The Trustee shall relinquish possession of the Revenue Fund only upon the delivery of a written Certificate of the Financial Consultant, retained by the City pursuant to this Section 6.6, or an Accountant certifying the City's compliance with the rate covenant.

Section 6.7 ***Financial Consultant.*** If the City is unable to certify compliance with the covenant set forth in Section 6.6, the City, will, as promptly as possible, cause the Financial Consultant to submit a report to the Trustee and the North Carolina Local Government Commission showing the projected Revenues, Principal and Interest Requirements on the Bonds, Principal and Interest Requirements for Subordinate Indebtedness, Principal and Interest Requirements for General Obligation Indebtedness, the Principal and Interest Requirements for Other Indebtedness and Current Expenses for the next succeeding Fiscal Year and setting forth the recommendations of the Financial Consultant for the revision of rates and charges, if necessary, in order to satisfy the covenant set forth in Section 6.6 on the basis of projected Revenues, Principal and Interest Requirements on the Bonds, Principal and Interest Requirements for Subordinate Indebtedness, Principal and Interest Requirements for General Obligation Indebtedness, Principal and Interest Requirements for Other Indebtedness and projected Current Expenses for the next succeeding Fiscal Year.

Section 6.8 ***Issuance of Additional Bonds.***

(a) The City will not issue any other obligations payable from the Revenues and having priority to the lien of the Bonds issued pursuant to this Indenture, nor will the City voluntarily create or cause to be or suffer to be created any debt, lien, pledge, assignment, encumbrance or any other charge having priority to the lien of the Bonds issued pursuant to this Indenture.

(b) The City may issue Bonds to refund all or any principal amount of ~~the~~ Bonds~~; if, however,~~ if the debt service ~~in any Fiscal Year~~ on the ~~Outstanding~~ Bonds remaining Outstanding after the issuance of the refunding Bonds will ~~increase~~ decrease as a result of such refunding ~~or if the maximum annual Principal and Interest Requirements on the Bonds after the issuance of the refunding Bonds exceeds the maximum annual Principal and Interest Requirements on the Bonds before the issuance of the refunding Bonds~~. Otherwise, ~~then~~ the City must satisfy the requirements in paragraph (d) ~~below~~of this Section.

(c) If the City has issued a Series of Bonds, the proceeds of which were used to acquire or construct any portion of the Water System and such proceeds are insufficient to pay the Costs of Construction, the City may issue a Series of Bonds in an amount equal to (i) the insufficiency, (ii) any required deposit to the Reserve Fund with respect to such Series and (iii) the Costs of Issuance related thereto. Before the issuance of any Series of Bonds under this paragraph, the City shall deliver to the Trustee a Certificate of a Consulting Engineer stating that the proceeds from the Series of Bonds together with other available funds will be sufficient to pay the Costs of Construction of the portion of the Water System for which such Series of Bonds are being issued.

(d) No Series of Bonds, other than the initial Series of Bonds issued hereunder and the Bonds described in paragraph (b) and (c) above, will be issued hereunder unless either:

(1) the Net Revenues for the most recent Fiscal Year for which audited financial statements are available, adjusted in the manner hereinafter provided, were at least equal to (a) 120% of (1.20 times) the maximum Principal and Interest Requirements on the Bonds, including the Series of Bonds to be issued, (b) 100%

of (1.00 times) the Principal and Interest Requirements for Subordinate Indebtedness in that Fiscal Year,(c) 100% of (1.00 times) the Principal and Interest Requirements for General Obligation Indebtedness in that Fiscal Year and (d) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness in that Fiscal Year; or

(2) (A) the Net Revenues for the most recent Fiscal Year for which audited financial statements are available were at least equal to (a) 120% of (1.20 times) the Principal and Interest Requirements on the Bonds for such Fiscal Year, excluding the Series of Bonds to be issued, (b) 100% of (1.00 times) the Principal and Interest Requirements for Subordinate Indebtedness in such Fiscal Year, (c) 100% of (1.00 times) the Principal and Interest Requirements for General Obligation Indebtedness in such Fiscal Year and (d) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness in such Fiscal Year; and

(A) the Net Revenues, as projected by a report of a Financial Consultant filed with the Trustee, for the first two Fiscal Years following (i) the date capitalized interest, if any, provided from the proceeds of the proposed Series of Bonds is expended in the case of the acquisition of assets for or construction of improvements to the Water System or (ii) the date the proposed Series of Bonds is incurred in any other case, are at least equal to (a) 120% of (1.20 times) the Principal and Interest Requirements on the Bonds, including the Series of Bonds to be issued, for such Fiscal Years, (b) 100% of (1.00 times) the Principal and Interest Requirements for Subordinate Indebtedness to become due in such Fiscal Years, (c) 100% of (1.00 times) the Principal and Interest Requirements for General Obligation Indebtedness to become due in such Fiscal Years and (d) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness to become due in such Fiscal Years; and

(3) no Event of Default under this Indenture has occurred and is continuing~~; and~~.

~~(4) other than for a Series of refunding Bonds, the Consulting Engineer certifies that the amounts to be on deposit in the Construction Fund after the issuance of the Series of the Bonds is sufficient to pay the Costs of Construction related to such Series.~~

(e) For purposes of calculating Net Revenues in paragraph (d)(1) or paragraph (d)(2)(A):

(1) if any rates, fees or charges of the Water System have been increased since the date of such audited financial statements or will be increased on or before the date the proposed Series of Bonds is issued, the Finance Officer may add to the Net Revenues his estimate of the additional Revenues that would have been included in the calculation of Net Revenues if such rates, fees and charges had been in effect in such Fiscal Year; and

(2) if an existing water system is to be acquired by the City on or before the date the proposed Series of Bonds is issued, the Finance Officer may add to the Net Revenues his estimate of the additional Revenues that would be have included in the calculation of Net Revenues if such acquisition had been in effect in such Fiscal Year.

(f) All calculations under this Section may exclude any Bonds or other applicable indebtedness to be refunded by the proposed Additional Bonds.

Section 6.9 ***Construction; Maintenance of System.*** The City will complete or cause to be completed the additions, extensions and improvements of the Water System provided for in this Indenture in accordance with plans and specifications approved by a Consulting Engineer and in an economical and efficient manner with all practicable dispatch and thereafter will maintain or cause to be maintained the Water System in good condition and will continuously operate or cause to be operated the same in an efficient manner and at a reasonable cost as a municipal revenue-producing enterprise.

Each contractor entering into a construction contract shall be required to furnish a performance bond and a separate labor and material payment bond as required by the laws of the State.

In the event of any material default by a contractor under any construction contract, or in the event of a material breach of warranty with respect to any materials, workmanship or performance, the City shall promptly proceed, either separately or in conjunction with others, to pursue diligently its remedies against any such contractor or against each surety of any bond securing the performance of the construction contract.

Section 6.10 ***Insurance; Condemnation.*** The City will carry or cause to be carried such insurance with a reputable insurance carrier or carriers, such as is maintained or carried by similar municipal systems as the Water System, including, public liability insurance against loss or damage by fire, explosion, hurricane, flood, cyclone, occupancy or other hazards and risks, and said property loss and damage insurance will at all times be in an amount sufficient to indemnify in amounts sufficient to repair the Water System for loss, but not less than the principal amount of the Bonds Outstanding, to the extent that such insurance is obtainable.

The City will deposit the proceeds of any insurance or condemnation, with respect to the Water System, in excess of $100,000 in any given Fiscal Year (i) in the Water Major Capital Improvements Fund, to rebuild or replace the Water System or portion thereof giving rise to the referenced proceeds unless a Consulting Engineer certifies in writing to the Trustee that such rebuilding or replacement is not necessary to maintain the Water System or (ii) to the extent the proceeds are not fully expended under clause (i), in the Debt Service Fund, to redeem or pay Bonds pursuant to a Series Indenture.

The City may provide for and maintain the insurance required under this Section partially or wholly by means of a self-insurance fund maintained by the City. Reserves for a self-insurance fund will be determined by using actuarial principles and the portion allocable to the Water System will be payable from Revenues as a Current Expense. Any self-insurance fund will be reviewed annually by the City's risk manager or an Independent Insurance Consultant. The Trustee ~~may~~ will conclusively rely on a letter of the City's risk manager or an Independent Insurance Consultant (dated as of the first day of the fiscal year) as to the adequacy of any self-insurance fund as measured against standards in the industry for the risks being assumed.

Section 6.11 ***Adding to or Removing from the System.***

(a) The Water System may be sold, mortgaged, leased or otherwise disposed of, in whole or in part, or the obligations of the City with respect to all of the Outstanding Bonds assigned, to another political subdivision or public agency in the State authorized by law to own and operate such systems only (i) if there is filed with the Trustee (a) a report prepared by a Financial Consultant showing that there is no material adverse effect on the ability of the Water System to produce Revenues to satisfy the rate covenant contained in Section 6.6, (b) written evidence from any rating agency then rating the Bonds that such disposition will not adversely affect its rating then in effect on the Bonds, and (c) an opinion of Bond Counsel that such disposition will not adversely affect the federal or state

income tax treatment of interest on the Bonds and (ii) for a disposition in whole, if such political subdivision or public agency assumes all of the obligations of the City under this Indenture.

(b) Any part of the Water System constructed on behalf of or with funds provided by a governmental unit other than the City may be sold, leased or otherwise disposed of to that governmental unit, if the Trustee receives a certificate from the Financial Consultant which states that the projected Revenues of the Water System as it will exist after the proposed disposition for each of the two Fiscal Years subsequent to the year in which the disposition is expected to be completed are equal to the sum of the Current Expenses projected for such period plus 120% of (1.20 times) the Principal and Interest Requirements on the Bonds for such Fiscal Year plus 100% of (1.00 times) the maximum Principal and Interest Requirements for Subordinate Indebtedness in any Fiscal Year plus 100% of (1.00 times) the maximum Principal and Interest Requirements for General Obligation Indebtedness due in any Fiscal Year plus 100% of (1.00 times) the maximum Principal and Interest Requirements for Other Indebtedness due in any Fiscal Year.

(c) Any part of the Water System may be sold, mortgaged, leased or otherwise disposed of to a private utility only as a whole or substantially as a whole, and only if (i) the net proceeds to be realized will be sufficient, together with other moneys available therefor, to discharge the lien of this Indenture as described in Article X as to all Series of Bonds or portion thereof related thereto and such proceeds are deposited in a separate segregated account for such purpose and (ii) the Trustee has received an opinion of Bond Counsel to the effect that such disposition will not adversely affect the federal and state income tax treatment of the interest on the Bonds.

(d) The City hereby reserves the right to sell, lease or otherwise dispose of any of the property comprising a part of the Water System hereafter determined in the manner provided herein to be no longer necessary, useful or profitable in the operation thereof. Before any such sale, lease or other disposition of such property other than in the ordinary course of business, a City Representative will make a finding in writing determining that such property comprising a part of the Water System is no longer necessary, useful or profitable in the operation thereof, and such finding will be approved by resolution of the City if the amount to be received therefor is in excess of 1~~/10th of 1~~% of the total assets of the Water System net of accumulated depreciation. All proceeds derived from the sale, lease or other disposition of any property comprising a part of the Water System as provided above, will be deposited in the Water Major Capital Improvements Fund.

~~(e) The City will give notice to Moody's, if any Series of the Bonds are then rated by Moody's, and to S&P, if any Series of the Bonds are then rated by S&P, of a change in the composition of the Water System under this Section 6.11.~~

(e) If the City acquires a water system, or a portion thereof, the City Council will designate, as soon as practicable, whether or not the acquired assets will constitute a part of the Water System for purposes of this Indenture. If the acquired assets will not be a part of the Water System, the City will maintain, operate and account for such assets in a way that the assets can be owned and operated independently of the Water System. The City Council may subsequently designate such assets be included as part of the Water System.

Section 6.12 ***Compliance With Conditions Precedent.*** On the date of issuance of any of the Bonds, all conditions, acts and things required by law or by this Indenture to exist, to have happened or to have been performed precedent to or in the issuance of such Bonds exist, have happened and have been

performed and such Bonds, together with all other indebtedness of the City, are within every debt and other limit prescribed by law.

Section 6.13 ***Liens or Charges.*** The City may create or permit to be created a lien on the Water System in order to secure the issuance of Other Indebtedness as long as the Finance Officer certifies at the time of the creation of the lien that (i) loss of the property secured by the lien will not materially adversely affect the ability of the City to meet its financial obligations under this Indenture, including the ability of the City to meet its rate covenant under Section 6.6 and (ii) the current value of all parts of the Water System subject to a lien securing Other Indebtedness, including property which may be added to the Water System as a result of issuance of the proposed Other Indebtedness, does not exceed 20% of the current value of the Water System's tangible assets. The City shall not otherwise create or permit to be created any lien or charge on the Water System. The City shall pay or cause to be discharged or make provisions to satisfy and discharge, within 60 days after the same accrues, all claims and demands for labor, materials, supplies or other items which, if unpaid, might by law become a lien on the Water System or the Revenues on a parity with the lien of the Bonds, except for the liens permitted by this Section. The City need not pay or cause to be discharged or make provision for any lien or charge as long as the validity thereof is being contested in good faith by appropriate legal proceedings.

Section 6.14 ***Covenant to Obtain Permits.*** No approval or consent is required from any governmental authority with respect to the entering into or performance by the City of this Indenture and the performance by the City of the transactions contemplated by this Indenture, except certain approvals and consents relating to certain extensions, additions and capital improvements to, or the acquisition, renewal or replacement of capital assets of, or purchasing and installing new equipment for, the Water System and if such approvals are required, will be duly obtained.

Section 6.15 ***Waiver of Laws.*** The City shall not at any time insist on or plead in any manner whatsoever, or claim or take the benefit or advantage of any stay or extension of law now or at any time hereafter in force which may affect the covenants and agreements contained in this Indenture or in the Bonds and all benefit or advantage of any such law or laws is hereby expressly waived by the City.

~~Section 6.16 ***Amendments to Wholesale Contracts and Henderson County Agreement.*** The City shall not enter into an amendment to the Henderson County Agreement or any contract for the sale at wholesale of municipal services of the Water System unless (a) the Finance Officer certifies that (i) the Revenues of the Water System for the Fiscal Year of such amendment are sufficient to meet the rate covenant contained in Section 6.6 and (ii) such amendment will have no adverse effect on the ability of the City to satisfy the rate covenant for all Fiscal Years in which Bonds will be Outstanding; or (b) the City complies with the provisions of Article VII governing Supplemental Indentures.~~

Section 6.16 ***Issuance of Subordinate Indebtedness.*** The City may issue Subordinate Indebtedness if:

(1) the Net Revenues for the most recent Fiscal Year for which audited financial statements are available, adjusted in the manner provided in Section 6.8, were at least equal to (a) 120% of (1.20 times) the maximum Principal and Interest Requirements on the Bonds, (b) 100% of (1.00 times) the Principal and Interest Requirements for Subordinate Indebtedness in that Fiscal Year, including the Subordinate Indebtedness to be issued,(c) 100% of (1.00 times) the Principal and Interest Requirements for General Obligation Indebtedness in that Fiscal Year and (d) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness in that Fiscal Year; or

(2) (B) the Net Revenues for the most recent Fiscal Year for which audited financial statements are available were at least equal to (a) 120% of (1.20 times)

the Principal and Interest Requirements on the Bonds for such Fiscal Year, (b) 100% of (1.00 times) the Principal and Interest Requirements for Subordinate Indebtedness in such Fiscal Year, excluding the Subordinate Indebtedness to be issued, (c) 100% of (1.00 times) the Principal and Interest Requirements for General Obligation Indebtedness in such Fiscal Year and (d) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness in such Fiscal Year; and

(A) the Net Revenues, as projected by a report of a Financial Consultant filed with the Trustee, for the first two Fiscal Years following (i) the date capitalized interest, if any, provided from the proceeds of the proposed Subordinate Indebtedness is expended in the case of the acquisition of assets for or construction of improvements to the Water System or (ii) the date the proposed Subordinate Indebtedness is incurred in any other case, are at least equal to (a) 120% of (1.20 times) the Principal and Interest Requirements on the Bonds for such Fiscal Years, (b) 100% of (1.00 times) the Principal and Interest Requirements for Subordinate Indebtedness, including the Subordinate Indebtedness to be issued, to become due in such Fiscal Years, (c) 100% of (1.00 times) the Principal and Interest Requirements for General Obligation Indebtedness to become due in such Fiscal Years and (d) 100% of (1.00 times) the Principal and Interest Requirements for Other Indebtedness to become due in such Fiscal Years; and

(3) no Event of Default under this Indenture or under the agreement securing the Subordinate Indebtedness has occurred and is continuing.

~~Section 6.18 ***Consulting Engineer.*** The City will cause the Consulting Engineer to (i) inspect the Water System at least once annually and (ii) within 30 days after such inspection, submit to the City a report setting forth whether the Water System has been maintained in good repair, working order and condition and its recommendations as to the following:~~

~~(1) the proper maintenance, repair and operation of the Water System during the ensuing 12 months and an estimate of the amount of money necessary for such purposes;~~

~~(2) the additions, extensions, betterments, renewals and replacements which should be made during the ensuing 12 months and an estimate of the amount of money necessary for such purposes;~~

~~(3) the amount that should be deposited during the Fiscal Year in the Water Major Capital Improvements Fund in addition to the requirements therefore in the Annual Budget; and~~

~~(4) any necessary or advisable revisions of the rates, fees and charges referred to in Section 6.6.~~

~~The City shall, promptly after receipt of the report, deliver a copy to the Trustee and the North Carolina Local Government Commission.~~

For purposes of calculating Net Revenues in paragraph (1) or paragraph (2)(A) if any rates, fees or charges of the Water System have been increased since the date of such audited financial statements or will be increased on or before the date the proposed Subordinate Indebtedness is issued, the Finance Officer may add to the Net Revenues his estimate of the additional Revenues that would have been included in the calculation of Net Revenues if such rates, fees and charges had been in effect in such Fiscal Year; and if an existing water system is to be acquired by the City on or before the date the proposed Subordinate

Indebtedness is issued, the Finance Officer may add to the Net Revenues his estimate of the additional Revenues that would be have included in the calculation of Net Revenues if such acquisition had been in effect in such Fiscal Year.

Notwithstanding the foregoing, the City may issue Subordinate Indebtedness to refund all or any Principal amount of Bonds, Subordinate Indebtedness, General Obligation Indebtedness or Other Indebtedness if the debt service on the Bonds, Subordinate Indebtedness, General Obligation Indebtedness or Other Indebtedness, as applicable, remaining Outstanding after the issuance of the refunding Subordinate Indebtedness will decrease as a result of such refunding.

All calculations under this Section may exclude any Bonds, Subordinate Indebtedness or other applicable indebtedness to be refunded by the proposed.

Section 6.17 ***Released Revenues.*** Revenues will become Released Revenues on the filing of the following with the Trustee:

(a) a resolution of the City Council describing a specific identifiable portion of Revenues and approving that such Revenues be excluded from the term Revenues;

(b) either (1) a certificate prepared by the Finance Officer showing that Net Revenues for each of the two most recent completed Fiscal Years, after the specific identifiable portion of Revenues covered by the City Council's resolution described in (a) above are excluded, were at least equal to the larger of (A) the amounts needed for making the required deposits and payments under Section 5.3(b), or (B) an amount not less than 150% of average Principal and Interest Requirements on the Bonds for each Fiscal Year during the remaining term of all Bonds that will remain Outstanding after the exclusion of such specific identifiable portion of Revenues; or (2) a certificate prepared by a Financial Consultant showing that the estimated Net Revenues (excluding the specific identifiable portion of Revenues covered in the resolution adopted by the City Council described in (a) above) for each of the first three complete Fiscal Years immediately following the Fiscal Year in which the resolution described in (a) above is adopted by the City Council, will not be less than the larger of (A) the amounts needed for making the required deposits and payments under Section 5.3(b), or (B) an amount not less than 150% of the average Principal and Interest Requirements on the Bonds for each Fiscal Year during the remaining term of all Bonds that will remain Outstanding after the exclusion of such specific identifiable portion of Revenues;

(c) an opinion of the City's bond counsel to the effect that the exclusion of such specific identifiable portion of revenues from the definition of Revenues and from the pledge and lien of this Indenture will not, by itself, cause the interest on any Outstanding Bonds to be included in gross income for purposes of federal income tax; provided, however this provision is only applicable to those Bonds that are intended to be excludable from gross income for purposes of federal income tax; and

(d) written confirmation from each of the rating agencies that has been requested by the City to maintain a rating on the Bonds and are then maintaining a rating on any of the Bonds to the effect that the exclusion of such specific identifiable portion of Revenues from the pledge and lien of this Indenture will not cause a withdrawal or reduction in any unenhanced rating then assigned to the Bonds.

Upon filing of such documents, the specific identifiable portion of Revenues described in the resolution of the City Council and collected after such filing shall no longer be included in Revenues and shall be excluded from the pledge and lien of this Indenture, unless subsequently included in Revenues and in the pledge and lien of this Indenture under a Supplemental Indenture or a Series Indenture.

[End of Article VI]

ARTICLE VII

SUPPLEMENTAL INDENTURES

Section 7.1 ***Supplemental Indentures Effective On Filing With the Trustee.*** For any one or more of the following purposes and at any time or from time to time, a Supplemental Indenture of the City may be executed and delivered, which, on the filing with the Trustee of a copy thereof certified by a City Representative and execution by the Trustee, will be fully effective in accordance with its terms:

(a) to close this Indenture against, or provide limitations and restrictions in addition to the limitations and restrictions contained in this Indenture on, the delivery of Bonds or the issuance of other evidences of indebtedness;

(b) to add to the covenants and agreements of and the limitations and restrictions on the City in this Indenture other covenants and agreements or limitations and restrictions to be observed by the City which are not contrary to or inconsistent with this Indenture as theretofore in effect;

(c) to surrender any right, power or privilege reserved to or conferred on the City by the terms of this Indenture, but only if the surrender of such right, power or privilege is not contrary to or inconsistent with the covenants and agreements of the City contained in this Indenture;

(d) to confirm, as further assurance, any pledge under, and the subjection to any lien or pledge created or to be created by, this Indenture of the Trust Estate, including the Net Revenues or any other revenues or assets;

(e) to modify any of the provisions of this Indenture in any respect whatsoever, but only if (i) such modification will be, and be expressed to be, effective only after all Bonds Outstanding at the date of the adoption of such Supplemental Indenture cease to be Outstanding and (ii) such Supplemental Indenture will be specifically referred to in the text of all Bonds delivered after the date of the adoption of such Supplemental Indenture and of Bonds issued in exchange therefor or in place thereof;

(f) to provide for the delivery of a Qualified Reserve Fund Substitute;~~and~~

(g) to include additional facilities, property or equipment within the definition of "*Water System*" and the revenues therefrom within the definition of "*Revenues*"; and

(h) in the event of changes to generally accepted accounting principles or changes in law, in each case which become effective after the date of this Indenture, to modify any definition in this Indenture so as to perpetuate the meaning and effect of such definition as originally intended at the time of the execution of this Indenture;

provided that any changes do not, in the opinion of Bond Counsel, adversely affect the interests of the owners of the Bonds.

Section 7.2 ***Supplemental Indentures Effective On Consent of Trustee.***

(a) For any one or more of the following purposes and at any time or from time to time, a Supplemental Indenture may be executed and delivered, which, on (i) the filing with the Trustee of a copy thereof certified by a City Representative, and (ii) the filing with the Trustee and the City of an instrument in writing, made by the Trustee consenting thereto, will be fully effective in accordance with its terms:

1. ~~(i)~~to cure any ambiguity, supply any omission or cure or correct any defect or inconsistent provision in this Indenture; or

2. ~~(ii)~~to insert such provisions clarifying matters or questions arising under this Indenture as are necessary or desirable and are not contrary to or inconsistent with this Indenture as theretofore in effect.

3. ~~(iii)~~to effectuate such changes herein which do not adversely affect the interests of the Owners.

(b) Any such Supplemental Indenture may also contain one or more of the purposes specified in Section 7.1 and, in that event, the consent of the Trustee required by this Section will be applicable only to those provisions of such Supplemental Indenture as contain one or more of the purposes set forth in subsection (a) of this Section.

Section 7.3 ***Supplemental Indentures Effective On Consent of Owners.*** Exclusive of Supplemental Indentures covered by Sections 7.1 and 7.2, the ~~written~~ consent of the Owners of not less than a majority in aggregate principal amount of the Bonds Outstanding, will be required for the execution by the City and the Trustee of any indenture or indentures supplemental hereto; provided, however, that without the consent of the Owners of all the Bonds Outstanding nothing herein contained will permit, or be construed as permitting:

(a) A change in the terms of redemption or maturity of the principal amount of or the interest on any Outstanding Bond, or a reduction in the principal amount of or premium payable on any redemption of any outstanding Bond or the rate of interest thereon;

(b) The deprivation of the Owner of any Bond Outstanding of the lien created by Indenture (other than as originally permitted hereby);

(c) A privilege or priority of any Bond over any other Bond; or

(d) A reduction in the aggregate principal amount of the Bonds required for consent to such Supplemental Indenture.

If at any time the City requests the Trustee to enter into a Supplemental Indenture for any of the purposes of this Section, the Trustee will, on being satisfactorily indemnified with respect to expenses, cause notice of the proposed execution of such Supplemental Indenture to be given by mail to the Owners of the Bonds Outstanding at the address shown on the registration books maintained by the Registrar. Such notice will briefly set forth the nature of the proposed Supplemental Indenture and will state that copies thereof are on file at the ~~principal~~ designated corporate trust office of the Trustee for inspection by all Owners. If, within 60 days (or such longer period prescribed by the City) following the giving of such notice, the Owners of not less than a majority in aggregate principal amount of the Bonds Outstanding (and in the case of Supplemental Indentures involving (a) through (d) above, the Owners of all of the Bonds Outstanding) at the time of the execution of any such Supplemental Indenture have consented to and approved the execution thereof as herein provided, no Owner will have any right to object to any of the terms and provisions contained therein, or in the operation thereof, or in any manner to question the propriety of the execution thereof, or to enjoin or restrain the Trustee or the City from executing the same or from taking any action pursuant to the provisions thereof.

Section 7.4 ***General Provisions.***

(a) As a condition to the effectiveness of any Supplemental Indenture, an opinion of Bond Counsel must be delivered to the Trustee stating that such Supplemental Indenture has been duly and lawfully adopted in accordance with the provisions of this Indenture, is authorized or permitted by this Indenture, is valid and binding on the City, and does not adversely affect the tax treatment of interest on the Bonds.

(b) The Trustee is hereby authorized to accept the delivery of a certified copy of any Supplemental Indenture referred to and permitted or authorized by Section 7.1, 7.2 or 7.3 and to make all further agreements and stipulations which may be therein contained.

(c) No Supplemental Indenture will change or modify any of the rights or obligations of the Trustee without its written consent thereto.

(d) Nothing contained in this Article will affect or limit the right or obligations of the City to adopt, make, do, execute, acknowledge or deliver any resolution, act or other instrument pursuant to the provisions of Section 6.3 or the right or obligation of the City to execute and deliver to the Trustee any instrument which is to be delivered to the Trustee pursuant to this Indenture.

(e) Nothing contained in this Article will affect or limit the right of the City to enter into Series Indentures in connection with the issuance of additional Series of Bonds. Any Series Indenture may be amended or supplemented as provided therein.

(f) No Supplemental Indenture may affect the provisions regarding the North Carolina Local Government Commission under this Indenture without the consent of the North Carolina Local Government Commission.

(g) Notwithstanding anything in this Indenture or a Series Indenture to the contrary, (1) any initial purchaser, underwriter or remarketing agent holding any Series of the Bonds may, regardless of its intent to sell or distribute such Bonds in the future, consent as the Owner of such Bonds to any amendment or supplemental order as required or permitted by this Article, including any amendment or supplemental order that adversely affects the interests of other Owners, and (2) any Owner is not entitled to receive, nor is the City required to provide, any prior notice or other documentation regarding such amendment or supplemental order.

Section 7.5 ***Exclusion of Bonds.*** Bonds owned or held by or for the account of the City will not be deemed Outstanding for the purpose of consent or other action or any calculation of Outstanding Bonds provided for in this Article, and the City will not be entitled with respect to such Bonds to give any consent or to take any other action provided for in this Article. At the time of any consent or other action taken under this Article, the City will furnish to the Trustee a Certificate of a City Representative, on which the Trustee ~~may~~ will conclusively rely, describing all Bonds so to be excluded.

Section 7.6 ***Notation on Bonds.*** Bonds delivered after the effective date of any action taken as provided in this Article may, and if the Trustee so determines will, bear a notation, by endorsement or otherwise, in a form approved by the City and the Trustee, as to such action. On any transfer or exchange of any Bond Outstanding at such effective date or on demand of the Owner of any Bond Outstanding at such effective date and presentation of such Bond, the Trustee will make suitable notation as to such action on such Bond or on any Bond issued on any such transfer or exchange. If the City or the Trustee will so determine, new Bonds modified to conform to such action in the opinion of the Trustee and the City will be prepared, executed and delivered, and on demand of any Owner will be exchanged, without cost to such Owner, on surrender of such Outstanding Bond.

[End of Article VII]

ARTICLE VIII

CONCERNING THE FIDUCIARIES

Section 8.1 ***The Trust.*** The Trustee agrees to hold in trust, for the benefit of the Owners, all property conveyed or delivered to it under this Indenture and all Funds and Accounts and the moneys or Investment Securities held therein. The Trustee, prior to the occurrence of an Event of Default and after the curing of all Events of Default which may have occurred, undertakes to perform such duties and only such duties as are specifically set forth in this Indenture, and no implied covenants or obligations will be read into this Indenture against the Trustee. If any Event of Default under this Indenture will have occurred and be continuing, the Trustee will exercise such of the rights and powers vested in it by this Indenture and will use the same degree of care as a prudent person would exercise or use in the circumstances in the conduct of such prudent person's own affairs.

Section 8.2 ***Responsibility of the Trustee.*** The statements of fact contained herein and in the Bonds will be taken as the statements of the City and the Trustee does not assume any responsibility for the correctness of the same. The Trustee makes no representations as to the validity or sufficiency of this Indenture or of any Bonds or coupons issued hereunder or in respect of the security afforded hereby, and the Trustee will not incur any responsibility in respect thereof. The Trustee will not be under any responsibility or duty with respect to the issuance of the Bonds for value or the application of the proceeds thereof or the application of any moneys paid to the City. The Trustee will not be under any obligation or duty to perform any act other than an acceleration of the Bonds under Section 9.2(a) which would involve it in expense or liability or to institute or defend any suit in respect hereof, or to advance any of its own moneys, unless properly indemnified. Subject to any other standard of care expressly set forth in this Indenture, the Trustee will not be liable in connection with the performance of its duties hereunder except for its own negligence or willful misconduct. The Trustee will not be responsible or liable for any failure or delay in the performance of its obligations under this Indenture arising out of or caused, directly or indirectly, by circumstances beyond its reasonable control, including, without limitation, acts of God; earthquakes; fire; flood; hurricanes or other storms; wars; terrorism; similar military disturbances; sabotage; epidemic; pandemic; riots; interruptions, loss or malfunctions of utilities, computer (hardware or software) or communications services; accidents; labor disputes; acts of civil or military authority or governmental action; it being understood that the Trustee will use commercially reasonable efforts which are consistent with accepted practices in the banking industry to resume performance as soon as reasonably practicable under the circumstances.

Section 8.3 ***Evidence on Which Trustee May Act.*** The Trustee will ~~be~~ conclusively rely on and will be fully protected in acting on any notice, resolution, request, consent, order, certificate, report, opinion, bond or other paper or document reasonably believed by it to be genuine, and to have been signed or presented by the proper party or parties. The Trustee may consult with counsel, who may be counsel to the City, and the opinion of such counsel will be full and complete authorization and protection in respect of any action taken or suffered by it hereunder in good faith and in accordance therewith. Whenever the Trustee deems it necessary or desirable that a matter be proved or established before taking or suffering any action hereunder, including payment of moneys out of any Fund or Account, such matter (unless other evidence in respect thereof is specifically prescribed herein) may be deemed to be conclusively proved and established by a Certificate signed by a City Representative, and such Certificate will be full warrant for any action taken or suffered in good faith thereon, but in its sole discretion the Trustee may in lieu thereon accept other evidence of such fact or matter or may require such further or additional evidence as to it may seem reasonable. Neither the Trustee nor any successor Trustee will be liable to the City, the Owners of any of the Bonds or any other person for any act or omission done or omitted to be done by the Trustee in reliance on any instruction, direction or certification received by the Trustee pursuant to this Indenture or for any act or omission done or omitted in good faith and without willful or reckless misconduct. Except as otherwise expressly provided herein, any request, order, notice or other direction required or permitted to be furnished pursuant to any provision hereof by the City to the Trustee will be sufficiently executed if

executed in the name of the City by a City Representative. The Trustee may execute any of the trusts or powers hereof and perform any of its duties by or through attorneys, agents or receivers appointed with due care. The permissive right of the Trustee to do things enumerated in this Indenture shall not be construed as a duty. The Trustee will have no responsibility with respect to any information, statement or recital in any official statement, offering memorandum or any other disclosure material prepared or distributed with respect to the Bonds, and will have no responsibility for compliance with any state or federal securities laws in connection with the Bonds.

Section 8.4 ***Compensation; Indemnification.*** To the extent permitted by law, the City will pay to the Trustee from time to time reasonable compensation for all services rendered under this Indenture, and also all reasonable expenses, charges, counsel fees, costs and expenses and other disbursements, including those of its attorneys, agents and employees, incurred in and about the performance of its powers and duties under this Indenture, and, except as otherwise provided in a Series Indenture, the Trustee will have a lien therefor on any and all Funds at any time held by it under this Indenture. The City further agrees to indemnify and save the Trustee harmless against any liabilities which it may incur in the exercise and performance of its powers and duties hereunder, and which are not due to its negligence or willful misconduct. The provisions of this Section shall survive the payment in full of the Bonds and the termination of this Indenture or the sooner resignation or removal of the Trustee.

Section 8.5 ***Permitted Acts and Functions.*** The Trustee may become the Owner of any Bonds, with the same rights it would have if it were not the Trustee. The Trustee may act as depository for, and permit any of its officers or directors to act as a member of, or in any other capacity with respect to, any committee formed to protect the rights of Owners or to effect or aid in any reorganization growing out of the enforcement of the Bonds or this Indenture, whether or not any such committee represents the Owners of a majority in principal amount of the Bonds Outstanding. The Trustee may be an underwriter in connection with the sale of the Bonds or of any other securities offered or issued by the City. The Trustee may not serve as the provider of any financial guaranty instrument under this Indenture or any Series Indenture.

Section 8.6 ***Resignation of Trustee.*** The Trustee may at any time resign and be discharged of the duties and obligations created by this Indenture by giving not less than 60 days' written notice to the City and such resignation will take effect on the appointment of a successor Trustee as provided in Section 8.8.

Section 8.7 ***Removal of Trustee.***

(a) The Trustee may be removed by the City on 30 days' notice if at any time so requested by an instrument or concurrent instruments in writing, filed with the Trustee and the City and signed by the Owners of a majority in principal amount of the Bonds Outstanding or their duly authorized attorney, excluding any Bonds held by or for the account of the City.

(b) The City may on 30 days' notice, and subject to the approval of the North Carolina Local Government Commission if so required by law or the policies of the North Carolina Local Government Commission, remove the Trustee at any time, except during the existence of an Event of Default, for such cause as is determined in its sole discretion, by filing with the Trustee an instrument signed by a City Representative.

(c) The Trustee will automatically be deemed removed if it becomes incapable of acting, or is adjudged a bankrupt or insolvent, or if a receiver, liquidator or conservator of the Trustee or of its property is appointed, or if any public officer takes charge or control of the Trustee or of its property or affairs.

No removal of the Trustee pursuant to this Section will be effective until the appointment of a successor Trustee as provided in Section 8.8.

Section 8.8 ***Appointment of Successor Trustee.***

(a) If the Trustee resigns or is removed, the City covenants and agrees that it will then appoint a successor Trustee.

(b) If no appointment of a successor Trustee is made pursuant to subsection (a) of this Section within 45 days after (1) the Trustee has given to the City written notice as provided in Section 8.6, (2) the Trustee has been removed as provided in subsection (a) or (b) of Section 8.7 or (3) the events described in subsection (c) of Section 8.7 have occurred, the Trustee or the Owner of any Bond may apply to any court of competent jurisdiction to appoint a successor Trustee.

(c) Any successor Trustee appointed under the provisions of this Section must be a trust company, bank or national banking association having the powers of a trust company within or outside the State, having capital, surplus and undivided profits aggregating at least $100,000,000 if there be such a trust company, bank or national banking association willing and able to accept the office on reasonable and customary terms and authorized by law to perform all the duties imposed on it by this Indenture.

Section 8.9 ***Transfer of Rights and Property to Successor Trustee.*** Any successor Trustee appointed under this Indenture will execute, acknowledge and deliver to its predecessor Trustee, and also to the City, an instrument accepting such appointment and certifying that it is eligible to serve as successor Trustee hereunder, and such successor Trustee, without any further act, deed or conveyance, will then become fully vested with all moneys, estates, properties, rights, powers, duties and obligations of such predecessor Trustee, with like effect as if originally named as Trustee. The Trustee ceasing to act will nevertheless, on the reasonable written request of the City or of its successor Trustee, execute, acknowledge and deliver such instruments of conveyance and further assurance and do such other things as may reasonably be required for more fully and certainly vesting in and confirming to such successor Trustee all the right, title and interest of the predecessor Trustee in and to any property held by it under this Indenture, and will pay over, assign and deliver to its successor Trustee at the City's expense, payable from Revenues. Should any deed, conveyance or instrument in writing from the City be required by such successor Trustee for more fully and certainly vesting in and confirming to such successor Trustee any such estates, rights, powers and duties, any and all such deeds, conveyances and instruments in writing will, on request, and so far as may be authorized by law, be executed, acknowledged and delivered by the City at the City's expense, payable from Revenues. On the effectiveness of the resignation or removal of the Trustee, such Trustee's authority to act pursuant to this Indenture will terminate and such Trustee will have no further responsibility or liability whatsoever for performance of this Indenture as Trustee.

Section 8.10 ***Merger or Consolidation.*** Any company into which the Trustee may be merged or converted or with which it may be consolidated or any company resulting from any merger, conversion or consolidation to which it is a party or any company to which the Trustee sells or transfers all or substantially all of its corporate trust business, provided such company is a trust company or bank which is qualified to be a successor to the Trustee under Section 8.8 and is authorized by law to perform all the duties imposed on it by this Indenture, will be the successor to the Trustee without the execution or filing of any paper or the performance of any further act, anything herein to the contrary notwithstanding.

Section 8.11 ***Appointment of Paying Agent.*** Unless a different or additional Paying Agent is appointed in a Series Indenture with respect to a Series of Bonds, the Trustee will serve as Paying Agent for the Bonds. Any Paying Agent other than the Trustee will designate its principal office to the City and the Trustee and signify its acceptance of the duties and obligations imposed upon it hereunder by a written

instrument of acceptance delivered to the Trustee and the City. The City will cooperate with the Trustee and any Paying Agent to cause the necessary arrangements to be made and to be thereafter continued whereby funds derived from the sources specified herein will be made available to the Paying Agent for the payment when due of the Bonds.

Section 8.12 ***Qualifications of Paying Agent; Resignation; Removal.*** Any Paying Agent other than the Trustee must be a commercial bank or trust company, duly organized under the laws of the United States of America or any state or territory thereof, having at the time of appointment a combined capital stock, surplus and undivided profits of at least $100,000,000 and authorized by law to perform all the duties imposed on it by this Indenture. Any Paying Agent may at any time resign and be discharged of the duties and obligations created by this Indenture by giving at least 60 days notice to the City and the Trustee. Any Paying Agent may be removed at any time at the direction of the City, by an instrument signed by the City and filed with the Paying Agent and the Trustee. Any Paying Agent will automatically be deemed removed if it is dissolved or its property or affairs are taken under the control of any state or federal court or administrative body because of bankruptcy or insolvency.

The resignation or removal of any Paying Agent will take effect on the date specified in such instrument or notice unless a successor Paying Agent has been appointed before said date. In the event of the resignation or removal of any Paying Agent, said Paying Agent will pay over, assign and deliver any moneys held by it in such capacity to its successor or, if there is no successor, to the Trustee.

On the resignation or removal of the Paying Agent, the City may appoint a successor Paying Agent, or, if the City fails to appoint a successor Paying Agent, the Trustee may appoint a successor Paying Agent. The Trustee will be the Paying Agent for any Series of Bonds with respect to which no Paying Agent is serving in such capacity. The City and the Trustee will incur no liability as a result of any appointment or failure to appoint any Paying Agent except for the appointment of a Paying Agent which does not conform to the requirements of this Section.

Section 8.13 ***Appointment of Registrar.*** The Trustee may, with the consent of the City, appoint one or more Registrars to perform any of the obligations and duties of the Trustee hereunder by a written instrument executed by the Registrar and the Trustee under which such Registrar will signify its acceptance of the duties and obligations imposed on it by this Indenture and any additional duties or obligations imposed on it by agreement.

Section 8.14 ***Several Capacities.*** Anything in this Indenture to the contrary notwithstanding, the same entity may serve hereunder as the Trustee, the Paying Agent and the Registrar.

Section 8.15 ***Appointment of Co-Trustee.*** The City may appoint a co-trustee from time to time under this Indenture. It is the purpose of this Indenture that there will be no violation of any law of any jurisdiction (including particularly the law of the State) denying or restricting the right of banking corporations or associations to transact business as Trustee in such jurisdiction. It is recognized that in case of litigation under this Indenture, and in particular in case of the enforcement upon an Event of Default, or in case the Trustee deems that by reason of any present or future law of any jurisdiction it may not exercise any of the powers, rights or remedies herein granted to the Trustee or hold title to the properties, in trust, as herein granted, or take any other action which may be desirable or necessary in connection therewith, each and every remedy, power, right, claim, demand, cause of action, immunity, estate, title, interest and lien expressed or intended by this Indenture to be exercised by or vested in or conveyed to the Trustee with respect thereto will be exercisable by and vest in such separate or Co-Trustee, if one is so appointed by the City and only to the extent necessary to enable such separate or Co-Trustee to exercise such powers, rights and remedies.

Should any conveyance or instrument in writing from the City be required by the Co-Trustee for more fully and certainly vesting in and confirming to it such properties, rights, powers, trusts, duties and

obligations, any and all such deeds, conveyances and instruments in writing will, on request, be executed, acknowledged and delivered by the City. If the Co-Trustee, or a successor, becomes incapable of acting, resigns or is removed, all the estates, properties, rights, powers, trusts, duties and obligations of such Co-Trustee, so far as permitted by law, will vest in and be exercised by the Trustee until the appointment of a new Trustee or successor to such separate or Co-Trustee, if necessary.

Section 8.16 ***Authenticating Agent.*** There may be an Authenticating Agent appointed by the Trustee with power to act on its behalf and subject to its direction in the authentication and delivery of the Bonds in connection with transfers and exchanges and the other provisions hereof relating to authentication of Bonds hereunder and under one or more Series Indentures, as fully to all intents and purposes as though the Authenticating Agent had been expressly authorized herein and therein to authenticate and deliver Bonds. For all purposes of this Indenture, the authentication and delivery of Bonds by the Authenticating Agent pursuant to this Section shall be deemed to be the authentication and delivery of Bonds "by the Trustee." Such Authenticating Agent shall at all times be a bank or trust company organized and doing business under the laws of the United States or of any state with a combined capital and surplus of at least $100,000,000 and authorized under such laws to exercise corporate trust powers and subject to supervision or examination by federal or state authority. If such corporation publishes reports of condition at least annually pursuant to law or the requirements of such authority, then for the purposes of this Section the combined capital and surplus of such corporation shall be deemed to be its combined capital and surplus as set forth in its most recent report of condition so published.

Any corporation into which any Authenticating Agent may be merged or converted or with which it may be consolidated, or any corporation resulting from any merger, consolidation or conversion to which any Authenticating Agent shall be a party, or any corporation succeeding to the corporate trust business of any Authenticating Agent, shall be the successor of the Authenticating Agent hereunder, if such successor corporation is otherwise eligible under this Section, without the execution or filing of any further act on the part of the parties hereto or the Authenticating Agent or such successor corporation.

Any Authenticating Agent may at any time resign by giving written notice of resignation to the Trustee and the City. The Trustee may at any time terminate the agency of any Authenticating Agent by giving written notice of termination to such Authenticating Agent and the Issuer.

[End of Article VIII]

ARTICLE IX

DEFAULTS AND REMEDIES

Section 9.1 ***Events of Default.*** If any of the following events occur, it is hereby defined and deemed an "Event of Default" under this Indenture:

(a) A failure to pay the principal of or premium, if any, on any Bond when the same becomes due and payable, whether at the stated maturity thereof or on proceedings for redemption including sinking fund redemptions;

(b) A failure to pay any installment of Interest when the same becomes due and payable;

(c) A failure by the City to observe and perform any covenant, condition, agreement or provision (other than as described in subsections (a) and (b) of this Section) contained in the Bonds or in this Indenture on the part of the City to be observed or performed, which failure continues for a period of 30 days after written notice, specifying such failure and requesting that it be remedied, has been given to the City by the Trustee, which may give such notice in its discretion and must give such notice at the written request of Owners of not less than 25% of the principal amount of the Bonds, unless the Trustee, or the Trustee and Owners of a principal amount of Bonds not less than the principal amount of Bonds the Owners of which requested such notice, as the case may be, agrees in writing to an extension of such period prior to its expiration; and

(d) A bankruptcy, insolvency or reorganization proceeding or similar litigation is instituted by the City, or a receiver, custodian or similar officer is appointed for the City or any of its property, and such proceedings or appointments are not vacated or fully stayed within 90 days after the institution or occurrence thereof.

Further events which will constitute "Events of Default" hereunder may be set forth in a Series Indenture.

Section 9.2 ***Remedies on Default.***

(a) On the occurrence and continuance of an Event of Default, the Trustee may, or if required by written direction of a majority of the registered Owners of the Bonds, must, declare the Bonds to be immediately due and payable, whereupon they will, without further action, become due and payable, anything in this Indenture or in the Bonds to the contrary notwithstanding.

(b) The provisions of the preceding paragraph are subject to the condition that if, after the principal of any of the Bonds has been so declared to be due and payable, and before any judgment or decree for the payment of the moneys due has been obtained or entered as hereinafter provided, the City causes to be deposited with the Trustee a sum sufficient to pay all matured installments of the principal of and interest on all Bonds which will have become due otherwise than by reason of such declaration (with interest on such overdue installments of interest, at the rate per annum borne by the respective Bonds) and such amount as is sufficient to cover reasonable compensation and reimbursement of expenses payable to the Trustee, and all Events of Default hereunder other than nonpayment of the principal of the Bonds which have become due by said declaration have been remedied, then, in every such case, such Event of Default will be deemed waived and such declaration and its consequences rescinded and annulled, and the Trustee will promptly give written notice of such waiver, rescission or annulment to the City and will give notice thereof by

Mail to all Owners; but no such waiver, rescission and annulment will extend to or affect any subsequent Event of Default or impair any right or remedy consequent thereon.

(c) On the occurrence and continuance of any Event of Default, the Trustee in its discretion may, and on the written direction of registered owners of not less than a majority in principal amount of the Bonds and receipt of indemnity to its satisfaction, must, in its own name and as the trustee of an express trust:

1. ~~(i)~~by mandamus, or other suit, action or proceeding at law or in equity, enforce all rights of the Owners, and require the City to carry out any agreements with or for the benefit of the Owners and to perform its duties under this Indenture;

2. ~~(ii)~~take whatever action at law or in equity may appear necessary or desirable to enforce its rights against the City.

(d) On the occurrence and continuance of any Event of Default, the Trustee may, or if required by a majority of the registered Owners of the Bonds or the provisions of Section 6.6, must, take possession of any moneys in the Revenue Fund, the Water Operations Fund, the Water Major Capital Improvements Fund and the Surplus Account and administer the application thereof.

No right or remedy is intended to be exclusive of any other rights or remedies, but each and every such right or remedy will be cumulative and in addition to any other remedy given hereunder or now or hereafter existing at law or in equity or by statute. If any Event of Default has occurred and if requested in writing by the Owners of a majority in aggregate principal amount of Bonds and indemnified as herein provided, the Trustee will be obligated to exercise such one or more of the rights and powers conferred by this Section as the Trustee, being advised by counsel, deems most expedient in the interests of the Owners. When the Trustee incurs costs or expenses (including legal fees, costs and expenses) or renders services after the occurrence of an Event of Default, such costs and expenses and the compensation for such services are intended to constitute expenses of administration under any federal or state bankruptcy, insolvency, arrangement, moratorium, reorganization or other debtor relief law.

Section 9.3 ***Priority of Payments After Default.***

(a) If, on the happening and continuance of any Event of Default, the funds held by the Trustee are insufficient for the payment of the principal or Redemption Price then due of and interest then due on the Bonds, such funds (other than funds held for the payment of particular Bonds which have theretofore become due at maturity or by redemption) and any other amounts received or collected by the Trustee acting pursuant to this Indenture, after making provision for the payment of any expenses necessary in the opinion of the Trustee to protect the interest of the Owners and for the payment of the charges and expenses and liabilities incurred and advances made by the Trustee in the performance of its duties under this Indenture, will be applied, subject to Section 9.11, as follows and no payments will be made with respect to Subordinate Indebtedness, General Obligation Indebtedness or Other Indebtedness:

(1) Unless the principal of all of the Bonds has become or has been declared due and payable:

FIRST: To the payment to the persons entitled thereto of all installments of interest then due in the order of the maturity of such installments, and, if the amounts available are not sufficient to pay in full any installment, then to the payment

thereof ratably, according to the amounts due on such installment, to the persons entitled thereto, without any discrimination or preference;

SECOND: To the payment to the persons entitled thereto of the unpaid principal or Redemption Price of any Bonds which have become due and, if the amounts available are not sufficient to pay in full all the Bonds due, then to the payment thereof ratably, according to the amounts of principal or Redemption Price due on such date, to the persons entitled thereto, without any discrimination or preference; and

THIRD: To be held for the payment to the persons entitled thereto, as the same become due, of the principal or Redemption Price of and interest on the Bonds which thereafter become due and, if the amounts available are not sufficient to pay in full all the Bonds due on any date, together with such interest, payment will be made ratably according to the amount of principal due on such date to the persons entitled thereto, without any discrimination or preference.

(2) If the principal of all of the Bonds has become or has been declared due and payable, to the payment of the principal and interest then due and unpaid on the Bonds without preference or priority of principal over interest or of interest over principal, or of any installment of interest over any other installment of interest, or of any Bond over any other Bond, ratably, according to the amounts due respectively for principal and interest, to the persons entitled thereto without any discrimination or preference except as to any difference in the respective rates of interest specified in the Bonds.

(b) Whenever moneys are to be applied by the Trustee pursuant to the provisions of this Section, such moneys will be applied by the Trustee at such times, and from time to time, as the Trustee in its sole discretion determines, having due regard to the amount of moneys available for such application and the likelihood of additional money becoming available for such application in the future. The setting aside of such moneys in trust for the proper purpose, will constitute proper application by the Trustee, and the Trustee will incur no liability whatsoever to the City, to any Owner or to any other person for any delay in applying such moneys, so long as the Trustee acts with reasonable diligence, having due regard for the circumstances, and ultimately applies the same in accordance with such provisions of this Indenture. Whenever the Trustee will exercise discretion in applying such moneys, it will fix the date (which must be an Interest Payment Date unless the Trustee deems another date more suitable) on which such application is to be made. The Trustee will not be required to make payment to any Owner unless its Bond is presented to the Trustee for appropriate endorsement or for cancellation if fully paid.

Section 9.4 ***Termination of Proceedings.*** If any proceedings taken by the Trustee on account of any Event of Default have been discontinued or abandoned for any reason, the City, the Trustee and the Owners will be restored to their former positions and rights hereunder, respectively, and all rights, remedies, powers, and duties of the Trustee will continue as though no such proceeding had been taken.

Section 9.5 ***Owners' Right to Direct Proceedings.*** Anything in this Indenture to the contrary notwithstanding, the Owners of a majority in aggregate principal amount of the Bonds will have the right, at any time, to the extent permitted by law, by instruments in writing executed and delivered to the Trustee, to direct the time, method and place of conducting all proceedings to be taken in connection with the enforcement of the terms and conditions of this Indenture, or for the appointment of a receiver, and any other proceedings hereunder; provided that such direction may not be otherwise than in accordance with

the provisions of this Indenture. The Trustee will not be required to act on any direction given to it pursuant to this Section until the indemnity described in Section 8.2 is furnished to it by such Owners.

Section 9.6 ***Limitation on Rights of Owners.***

(A) No Owner will have any right to institute any suit, action, mandamus or other proceeding in equity or at law hereunder, for the protection or enforcement of any right under this Indenture unless such Owner has given to the Trustee written notice of the Event of Default or breach of duty on account of which such suit, action or proceeding is to be taken, and unless the Owners of not less than 25% in principal amount of the Bonds have made written request of the Trustee after the right to exercise such powers or right of action, as the case may be, has accrued, and has afforded the Trustee a reasonable opportunity either to proceed to exercise the powers herein granted or granted under the law or to institute such action, suit or proceeding in its name and unless, also, there has been offered to the Trustee reasonable indemnity against the costs, expenses and liabilities to be incurred therein or thereby, and the Trustee has refused or neglected to comply with such request within a reasonable time. Such notification, request and offer of indemnity are hereby declared in every such case, at the option of the Trustee, to be conditions precedent to the execution of the powers under this Indenture or for any other remedy hereunder or by law. It is understood and intended that no one or more Owners will have any right in any manner whatever by his or their action to affect, disturb or prejudice the security of this Indenture, or to enforce any right hereunder or under law with respect to the Bonds or this Indenture, except in the manner herein provided, and that all proceedings at law or in equity must be instituted, had and maintained in the manner herein provided and for the benefit of all Owners. Nothing contained in this Article will affect or impair the right of any Owner to enforce the payment of the principal of and interest on its Bonds at the time and place expressed in said Bond.

(B) Each Owner by its acceptance of a Bond will be deemed to have agreed that any court in its discretion may require, in any suit for the enforcement of any right or remedy under this Indenture or any Series Indenture or in any suit against the Trustee for any action taken or omitted by it as Trustee, the filing by any party litigant in such suit of an undertaking to pay the reasonable costs of such suit, and that such court may in its discretion assess reasonable costs, including reasonable pre-trial, trial and appellate attorneys' fees, against any party litigant in any such suit, having due regard to the merits and good faith of the claims or defenses made by such party litigant. The provisions of this paragraph will not apply to any suit instituted by the Trustee, to any suit instituted by Owners of at least 25% in principal amount of the Bonds, or to any suit instituted by any Owner for the enforcement of the payment of any Bond on or after the respective due date thereof expressed in such Bond.

Section 9.7 ***Possession of Bonds by Trustee Not Required.*** All rights of action under this Indenture or under any of the Bonds enforceable by the Trustee may be enforced by it without the possession of any of the Bonds or the production thereof at the trial or other proceeding relative thereto, and any such suit, action or proceeding instituted by the Trustee will be brought in its name for the benefit of all the Owners of such Bonds, subject to the provisions of this Indenture.

Section 9.8 ***Remedies Not Exclusive.*** No remedy herein conferred on or reserved to the Trustee or to the Owners is intended to be exclusive of any other remedy or remedies, and each and every such remedy will be cumulative and will be in addition to any other remedy given hereunder or now or hereafter existing at law or in equity or by statute.

Section 9.9 ***No Waiver of Default.*** No delay or omission of the Trustee or of any Owner to exercise any right or power will be construed to be a waiver of any such default or any acquiescence therein and every power and remedy given by this Indenture to the Trustee and any Owner, respectively, may be exercised from time to time and as often as may be deemed expedient.

Section 9.10 ***Notice of Event of Default.*** The Trustee will give to the Owners and the North Carolina Local Government Commission notice of each Event of Default hereunder known to the Trustee within 90 days after receipt by a responsible trust officer of actual knowledge of the occurrence thereof, unless such Event of Default has been remedied or cured before the giving of such notice; provided that, except in the case of default in the payment of the principal or Redemption Price of or interest on any of the Bonds, or in the making of any payment required to be made into the Debt Service Fund, notice will be given immediately after its occurrence. Each such notice of an Event of Default will be given by the Trustee by mailing written notice thereof (i) to all Owners appearing on the registration books maintained by the Registrar and (ii) to such other persons as is required by law.

Section 9.11 ***Subordination of Claims for Interest.*** No claim for interest appertaining to any of the Bonds which in any way at or after maturity has been transferred or pledged separate and apart from the Bond to which it appertains will, unless accompanied by such Bond, be entitled, in case of an Event of Default hereunder, to any benefit by or from this Indenture, except after the prior payment in full of the principal of all of the Bonds then due and of all claims for interest then due not so transferred or pledged.

[End of Article IX]

ARTICLE X

DEFEASANCE

If the City pays or causes to be paid or is deemed to have paid to the Owner of any Bond the principal of and interest due and payable, and thereafter to become due and payable on such Bond, or any portion of such Bond in any integral multiple of the Authorized Denomination thereof, such Bond or portion thereof will cease to be entitled to any lien, benefit or security under this Indenture. If the City pays or causes to be paid the principal of, premium, if any, and interest due and payable on all Outstanding Bonds, pays or causes to be paid all other sums payable by the City, including all fees, expenses and other amounts payable to the Trustee and any Paying Agent and all amounts owing to the provider of a Qualified Reserve Fund Substitute, then the right, title and interest of the Trustee in and to the Trust Estate will thereupon cease, terminate and become void.

Any Bond will be deemed to be paid within the meaning of this Article and for all purposes of this Indenture when (a) payment of the principal of such Bond plus interest thereon to the due date thereof (whether such due date is by reason of maturity or upon redemption as provided herein) either (i) has been made or caused to be made in accordance with the terms thereof, or (ii) has been provided for by irrevocably depositing with the Trustee in trust and irrevocably set aside exclusively for such payment, (1) moneys, sufficient to make such payment or (2) non-callable Federal Securities maturing as to principal and interest in such amount and at such time as will insure the availability of sufficient moneys to make such payment, and (b) all necessary and proper fees, compensation and expenses of the Trustee and any Paying Agent pertaining to the Bonds with respect to which such deposit is made have been paid or the payment thereof provided for to the satisfaction of the Trustee. At such times as a Bond is deemed to be paid hereunder, as aforesaid, such Bond will no longer be secured by or entitled to the benefits of this Indenture, except for the purposes of any such payment from such moneys or Federal Securities.

Notwithstanding the foregoing paragraph, no deposit under clause (a)(ii) of the immediately preceding paragraph will be deemed a payment of such Bonds as aforesaid until (a) proper notice of redemption of such Bonds has been previously given in accordance with the applicable Series Indenture, or if said Bonds are not to be redeemed within the next 35 days, until the City has given the Trustee, in form satisfactory to the Trustee, irrevocable instructions to notify, as soon as practicable, the Owners of such Bonds in accordance with the applicable Series Indenture, that the deposit required by (a)(ii) above has been made with the Trustee and that said Bonds are deemed to have been paid in accordance with this Article and stating the maturity or redemption date on which moneys are to be available for the payment of the principal of said Bonds plus interest thereon to the due date thereof, or (b) the maturity of such Bonds.

[End of Article X]

ARTICLE XI

MISCELLANEOUS

Section 11.1 ***Evidence of Signature of Owners and Ownership of Bonds.*** Any request, consent or other instrument which this Indenture may require or permit to be signed and executed by the Owners may be in one or more instruments of similar tenor, and will be signed or executed by such Owners in person or by their attorneys appointed in writing. Proof of the execution of any such instrument or of an instrument appointing any such attorney, or the ownership of Bonds will be sufficient (except as otherwise herein expressly provided) if made in the following manner, but the Trustee may, nevertheless, in its discretion require further or other proof in cases where it deems the same desirable:

(a) The fact and date of the execution by any Owner or its attorney of such instrument may be proved by the bond of any officer authorized to take acknowledgments in the jurisdiction in which he or she purports to act that the person signing such request or other instrument acknowledged to him or her the execution thereof, or by an affidavit of a witness of such execution, duly sworn to before a notary public.

(b) The ownership of the Bonds will be proved by the registration books kept under the provisions of Section 3.3.

Any request or consent of the registered Owner of any Bond will bind all future Owners of such Bond in respect of any thing done or suffered to be done by the City or the Trustee in accordance therewith.

Section 11.2 ***Parties Interested Herein.*** Nothing in this Indenture expressed or implied is intended or will be construed to confer on, or to give to any person other than the City, the Trustee and the Owners, any right, remedy or claim under or by reason of this Indenture or any covenant, condition or stipulation hereof; and all the covenants, stipulations, promises and agreements in this Indenture contained by and on behalf of the City or the Trustee will be for the sole and exclusive benefit of the City, the Trustee and the Owners.

Section 11.3 ***Titles, Headings, Captions, Etc.*** The titles, captions and headings of the articles, sections and subdivisions of this Indenture have been inserted for convenience of reference only and will in no way modify or restrict any of the terms or provisions hereof.

Section 11.4 ***Severability.*** If any provision of this Indenture is held invalid or unenforceable by any court of competent jurisdiction, such holding will not invalidate or render unenforceable any other provision hereof.

Section 11.5 ***Governing Law.*** This Indenture will be governed and construed in accordance with the laws of the State, without regard to conflict of law principles.

Section 11.6 ***Execution in Counterparts; Electronic Signatures.*** This Indenture and each Series Indenture may be executed in ~~several~~ any number of counterparts, by manual, facsimile, digital, electronic or .pdf file signatures, each of which will be deemed an original ~~and~~ , but all of which taken together will constitute ~~but~~ one and the same instrument. An executed copy of this Indenture and each Series Indenture delivered by facsimile, email, or other electronic means will be deemed to have the same legal effect as delivery of a manual signed copy of this Indenture and each Series Indenture. This Indenture, each Series Indenture and related documents may be sent and stored by electronic means.

Section 11.7 ***Notices.*** All notices, certificates or other communications will be sufficiently given and will be deemed given when delivered or mailed by certified or registered mail, postage prepaid, or when sent by ~~facsimile, as follows~~electronic mail, as follows (unless the sender has actual knowledge that the applicable address has changed in which case sending it to such address is acceptable): if to the

City, to the City of Asheville, North Carolina, P.O. Box 7148, Asheville, North Carolina 28802, Facsimile: 828-259-5619, Attention: Finance Director; if to the North Carolina Local Government Commission, ~~Local Government Commission, Deputy Director, Albemarle Building, 325 North Salisbury Street~~3200 Atlantic Avenue, Raleigh, North Carolina ~~27603-1385, Facsimile: 919-807-2377~~27604, Attention: ~~Deputy Director~~Secretary; if to the Trustee, to The Bank of New York Mellon Trust Company, N.A., ~~10161 Centurion Parkway~~4655 Salisbury Road, Suite 300, Jacksonville, Florida 32256~~, Facsimile: 904-645-1972,~~ Attention: Corporate Trust ~~Division; if any Series of the Bonds are rated by Moody's, then to Moody's Investors Service, 99 Church Street, New York, New York 10003, Facsimile: 212-553-0412; and if any Series of the Bonds are rated by S&P, then to Standard & Poor's, a Division of The McGraw-Hill Companies, Inc., 55 Water Street, New York, New York 10041, Facsimile: 212-438-2130~~ Carolinas Unit. The City and the Trustee, may, by written notice, designate any further or different addresses to which subsequent notices, certificates or other communications will be sent.

The Trustee will have the right to accept and act upon instructions, including funds transfer instructions ("*Instructions*") given pursuant to this Indenture and delivered using Electronic Means; provided, however, that the City will provide to the Trustee an incumbency certificate listing officers with the authority to provide such Instructions ("*Authorized Officers*") and containing specimen signatures of such Authorized Officers, which incumbency certificate will be amended by the City whenever a person is to be added or deleted from the listing. The City understands and agrees that the Trustee cannot determine the identity of the actual sender of such Instructions and that the Trustee will conclusively presume that directions sent through the appropriate Electronic Means that purport to have been sent by an Authorized Officer listed on the incumbency certificate provided to the Trustee have been sent by such Authorized Officer. The City will be responsible for ensuring that only Authorized Officers transmit such Instructions to the Trustee and that the City and all Authorized Officers are solely responsible to safeguard the use and confidentiality of applicable user and authorization codes, passwords and/or authentication keys upon receipt by the City. The Trustee will not be liable for any losses, costs or expenses arising directly or indirectly from the Trustee's reliance upon and compliance with such Instructions notwithstanding such directions conflict or are inconsistent with a subsequent written instruction. The City agrees: (i) to assume all risks arising out of the use of Electronic Means to submit Instructions to the Trustee, including without limitation the risk of the Trustee acting on unauthorized Instructions, and the risk of interception and misuse by third parties; (ii) that it is fully informed of the protections and risks associated with the various methods of transmitting Instructions to the Trustee and that there may be more secure methods of transmitting Instructions than the method(s) selected by the City; (iii) that the security procedures (if any) to be followed in connection with its transmission of Instructions provide to it a commercially reasonable degree of protection in light of its particular needs and circumstances; and (iv) to notify the Trustee immediately upon learning of any compromise or unauthorized use of the security procedures.

Section 11.8 ***Payments Due on Holidays.*** If the date for making any payment or the last day for performance of any act or the exercising of any right, as provided in this Indenture, is not a Business Day, such payment may be made or act performed or right exercised on the next day not a Business Day with the same force and effect as if done on the nominal date provided in this Indenture.

Section 11.9 ***No Recourse Against Members, Officers or Employees of City or LGC.*** No recourse under, or on, any statement, obligation, covenant, or agreement contained in this Indenture, or in any Bond hereby secured, or in any document or certification whatsoever, or under any judgment obtained against the City or the LGC or by the enforcement of any assessment or by any legal or equitable proceeding by virtue of any constitution or statute or otherwise or under any circumstances, shall be had against any member, officer or employee, as such, of the City or the LGC, either directly or through the City for the payment for or to, the City or the LGC or any receiver of either of them, or for, or to, any Owner or otherwise, of any sum that may be due and unpaid on any such Bond. Any and all personal liability of every nature, whether at common law or in equity or by statute or by constitution or otherwise, of any such member, officer or employee, as such, to respond by reason of any act or omission on his or her part or otherwise, for the payment for, or to, the City or the LGC or any receiver of either of them, or for, or to,

any Owner of any sum that may remain due and unpaid on the Bonds hereby secured or any of them, is hereby expressly waived and released as an express condition of, and in consideration for, the execution of this Indenture and the issuance of the Bonds.

Section 11.10 ***Indenture Effective.*** This Indenture is intended to amend and restate the General Trust Indenture dated as of December 1, 2005 (the *"Prior Indenture"*) related to the Bonds. The amendments to the Prior Indenture are deemed to be a Supplemental Indenture under the Prior Indenture. This Indenture shall be deemed to take effect on the date of receipt of the required consent of the Owners of the Bonds, as permitted in the Prior Indenture and as certified by the Trustee. After the effective date of this Indenture, any Series Indenture or other documents entered into before the effective date of this Indenture that make reference to Sections, Articles or otherwise in the Prior Indenture will be read to mean the corresponding provisions of this Indenture as the context requires regardless of any particular reference.

IN WITNESS WHEREOF, the City and the Trustee have caused this Indenture to be executed in their respective names as of the date first above written.

CITY OF ASHEVILLE, NORTH CAROLINA

[SEAL]

Attest: By _____

~~Gary Jackson~~
Debra Campbell
City Manager

By _____
Magdalen Burleson
City Clerk

[Signatures Continued on the Following Page]

[Counterpart Signature Page to the General Trust Indenture]

THE BANK OF NEW YORK MELLON TRUST ~~company~~COMPANY, N.A.
as Trustee

By: _____

~~Janet Ricardo~~
~~Assistant Vice President~~

Name:
Title:

APPENDIX D

THE NORTH CAROLINA LOCAL GOVERNMENT COMMISSION

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APPENDIX D

THE NORTH CAROLINA LOCAL GOVERNMENT COMMISSION

The Local Government Commission (the *"Commission"*) is composed of nine members: the State Treasurer, the Secretary of State, the State Auditor, the Secretary of Revenue and five others by appointment (three by the Governor, one by the General Assembly upon recommendation of the President Pro Tempore of the Senate and one by the General Assembly upon recommendation of the Speaker of the House of Representatives). The State Treasurer serves as Chairman and selects the Secretary of the Commission, who heads the administrative staff serving the Commission.

A major function of the Commission is the approval, sale and delivery of substantially all North Carolina local government bonds and notes. A second key function is monitoring certain fiscal and accounting standards prescribed for units of local government by The Local Government Budget and Fiscal Control Act. In addition, the Commission furnishes, upon request, on-site assistance to units of local government concerning existing financial and accounting systems as well as aid in establishing new systems. Further, educational programs and materials are provided for local officials concerning finance and cash management.

Before any unit of local government can incur bonded indebtedness, the proposed bond issue must be approved by the Commission. In determining whether to give such approval the Commission may consider, among other things, the unit's debt management procedures and policies, its compliance with The Local Government Budget and Fiscal Control Act and its ability to service the proposed debt. All general obligation issues are customarily sold on the basis of formal sealed bids submitted at the Commission's offices in Raleigh and are subsequently delivered to the successful bidder by the Commission. The Commission maintains records for all units of local government of principal and interest payments coming due on bonded indebtedness in the current and future years and monitors the payment by the units of local government of debt service through a system of monthly reports.

As a part of its role in assisting and monitoring the fiscal programs of units of local government, the Commission attempts to ensure that the units of local government follow generally accepted accounting principles, systems and practices. The Commission's staff also counsels the units of local government in treasury and cash management, budget preparation and investment policies and procedures. Educational programs, in the form of seminars or classes, are also provided by the Commission in order to accomplish these tasks. The monitoring of the financial systems of units of local government is accomplished through the examination and analysis of the annual audited financial statements and other required reports. The Local Government Budget and Fiscal Control Act requires each unit of local government to have its accounts audited annually by a certified public accountant or by an accountant certified by the Commission as qualified to audit local government accounts. A written contract must be submitted to the Secretary of the Commission for his approval prior to the commencement of the audit.

The Commission has the statutory authority to impound the books and records of any unit of local government and assume full control of all its financial affairs (a) when the unit defaults on any debt service payment or, in the opinion of the Commission, will default on a future debt service payment if the financial policies and practices of the unit are not improved or (b) when the unit persists, after notice and warning from the Commission, in willfully or negligently failing or refusing to comply with the provisions of The Local Government Finance Act. When the Commission takes action under this authority, the Commission is vested with all of the powers of the governing board of the unit of local government as to the levy of taxes, expenditure of money, adoption of budgets and all other financial powers conferred upon such governing board by law.

In addition, if a unit of local government fails to pay any installment of principal or interest on its outstanding debt on or before its due date and remains in default for 90 days, the Commission may take such action as it deems advisable to investigate the unit's fiscal affairs, consult with its governing board and negotiate with its creditors in order to assist the unit in working out a plan for refinancing, adjusting or compromising such debt. When a plan is developed that the Commission finds to be fair and equitable and reasonably within the ability of the unit of local government to meet, the Commission will enter an order finding that the plan is fair, equitable and within the ability of the unit to meet and will advise the unit to take the necessary steps to implement such plan. If the governing board of the unit declines or refuses to do so within 90 days after receiving the Commission's advice, the Commission may enter an order directing the unit to implement such plan and may apply for a court order to enforce such order. When a refinancing plan has been put into effect, the Commission has the authority (a) to require any periodic financial reports on the unit's financial affairs that the Secretary deems necessary and (b) to approve or reject the unit's annual budget ordinance. The governing board of the unit of local government must also obtain the approval of the Secretary of the Commission before adopting any annual budget ordinance. The power and authority granted to the Commission as described in this paragraph will continue with respect to a defaulting unit of local government until the Commission is satisfied that the unit has performed or will perform the duties required of it in the refinancing plan and until agreements made with the unit's creditors have been performed in accordance with such plan.

APPENDIX E

PROPOSED FORM OF OPINION OF BOND COUNSEL

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APPENDIX E

PROPOSED FORM OF OPINION OF BOND COUNSEL

[Letterhead of Parker Poe Adams & Bernstein LLP]

September ___, 2021

City of Asheville, North Carolina
Asheville, North Carolina

The Bank of New York Mellon Trust Company, N.A.
Jacksonville, Florida

$38,125,000
City of Asheville, North Carolina
Water System Revenue Refunding Bonds, Series 2021

Ladies and Gentlemen:

We have acted as bond counsel in connection with the issuance and delivery by the City of Asheville, North Carolina (the *"City"*) of $38,125,000 aggregate principal amount of its Water System Revenue Refunding Bonds, Series 2021 (the *"2021 Bonds"*). The City is a municipal corporation of the State of North Carolina (the *"State"*) and is empowered to issue the 2021 Bonds pursuant to The State and Local Government Revenue Bond Act, General Statutes of North Carolina Section 159-80 *et seq.*, as amended (the *"Act"*), subject to the approval of the North Carolina Local Government Commission.

The 2021 Bonds are issuable only as fully registered bonds and will be numbered, will bear interest payable at the rates and at the times, and will be subject to redemption, all as provided in the General Trust Indenture dated as of December 1, 2005 (the *"General Indenture"*), between the City and The Bank of New York Mellon Trust Company, N.A., as trustee (the *"Trustee"*), as amended, and the provisions of Series Indenture, Number 5 dated as of June 1, 2021 (the *"Series Indenture"*) between the City and the Trustee.

The 2021 Bonds are being issued (1) to refund the City's Water System Revenue Bond Anticipation Note, Series 2018, the proceeds of which were used to finance the costs of extensions, additions and capital improvements to, or the acquisition, renewal or replacement of capital assets of, or purchasing and installing new equipment for the water system owned by the City, and (2) to pay the costs of issuing the 2021 Bonds. In connection with the issuance of the 2021 Bonds, we have examined the following: (a) the Act; (b) executed copies of the General Indenture and the Series Indenture and (c) such other laws, documents, instruments, proceedings and opinions as we have deemed relevant in rendering this opinion. We have also examined a specimen 2021 Bond.

From such examination, we are of the opinion that, under existing law:

1. The City is a municipal corporation of the State. Pursuant to the Act, the City is empowered to issue the 2021 Bonds for the purposes set forth in the General Indenture and to execute, deliver and perform its obligations under the General Indenture and the Series Indenture.

2. The General Indenture and the Series Indenture have been duly authorized, executed and delivered by the City, and, assuming due authorization and execution by the Trustee, are valid, binding and enforceable obligations, respectively, of the City. All right, title and interest of the City in and to the Trust Estate (as defined in the General Indenture) have been validly pledged and assigned to the Trustee, and the General Indenture creates a valid security interest in the Trust Estate.

3. The 2021 Bonds have been duly authorized, executed and issued in accordance with applicable law, including the Act, and represent valid, binding and enforceable special obligations of the City. The 2021 Bonds are entitled to the benefits and security of the General Indenture and the Series Indenture for the payment thereof in accordance with the terms of the General Indenture and the Series Indenture.

4. The principal of and interest on the 2021 Bonds are special obligations payable by the City solely from the sources described in the General Indenture and the Series Indenture. The principal of and interest on the 2021 Bonds are not payable from the general funds of the City, nor do they constitute a legal or equitable pledge, charge, lien or encumbrance upon any of its property or upon any of its income, receipts or revenues, except the funds which are pledged under the General Indenture and the Series Indenture. Neither the credit nor the taxing power of the State or the City are pledged for the payment of the principal of or interest on the 2021 Bonds, and no owner of the 2021 Bonds has the right to compel the exercise of the taxing power by the State or the City or the forfeiture of any of its property in connection with any default thereon.

5. Interest on the 2021 Bonds is excludable from gross income for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax. The opinion set forth in the preceding sentence is subject to the condition that the City complies with all requirements of the Internal Revenue Code of 1986, as amended, that must be satisfied subsequent to the issuance of the 2021 Bonds in order that the interest on the 2021 Bonds be, or continue to be, excludable from gross income for federal income tax purposes. The City has covenanted to comply with all such requirements. Failure to comply with certain of such requirements may cause the interest on the 2021 Bonds to be included in gross income for federal income tax purposes retroactively to the date of issuance of the 2021 Bonds. We express no opinion regarding other federal tax consequences arising with respect to the 2021 Bonds.

6. Interest on the 2021 Bonds is exempt from all State income taxation.

The rights of the owners of the 2021 Bonds and the enforceability of the 2021 Bonds, the General Indenture and the Series Indenture may be limited by bankruptcy, insolvency, fraudulent conveyance, reorganization, moratorium, liquidation, readjustment of debt and other similar laws affecting creditors' rights and remedies generally, and by general principles of equity, whether such principles are considered in a proceeding at law or in equity.

Our services as Bond Counsel in connection with the issuance of the 2021 Bonds have been limited to rendering the opinions expressed above based on our review of such proceedings and documents as we deem necessary to approve the validity of the 2021 Bonds and the tax status of interest thereon. In rendering the foregoing opinions, we have assumed the accuracy and truthfulness of all public records and of all certifications, documents, opinions and other proceedings examined by us that have been executed or certified by public officials acting within the scope of their official capacities and have not verified the accuracy or truthfulness thereof. We have also assumed the genuineness of the signatures appearing upon such public records and certifications, documents, opinions and other proceedings.

We have not been engaged or undertaken to review the accuracy, completeness or sufficiency of the Preliminary Official Statement or the Official Statement (collectively, the "*Official Statement*"), or any other offering material relating to the 2021 Bonds, and we express no opinion relating thereto (excepting only the matters set forth as our opinion in the Official Statement and the section entitled **"TAX TREATMENT"**) or as to the financial resources of the City, or the ability of the City to make the payments required under the General Indenture or the Series Indenture, that may have been relied on by anyone in making the decision to purchase the 2021 Bonds.

Respectfully submitted,

PARKER POE ADAMS & BERNSTEIN LLP

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APPENDIX F

BOOK-ENTRY-ONLY SYSTEM

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APPENDIX F

BOOK-ENTRY SYSTEM

Beneficial ownership interests in the 2021 Bonds will be available only in book-entry form. Beneficial owners of the 2021 Bonds (the "Beneficial Owners") will not receive physical certificates representing their interests in the 2021 Bonds purchased. So long as DTC or its nominee is the registered owner of the 2021 Bonds, references in this Official Statement to the Owners of the 2021 Bonds shall mean DTC or its nominee and shall not mean the Beneficial Owners. The Indenture contains provisions applicable to periods when DTC or its nominee is not the registered owner.

The following description of DTC, of procedures and record keeping on beneficial ownership interests in the 2021 Bonds, payment of interest and other payments with respect to the 2021 Bonds to DTC participants or to Beneficial Owners, confirmation and transfer of beneficial ownership interests in the 2021 Bonds and of other transactions by and between DTC, DTC Participants and Beneficial Owners is based on information furnished by DTC.

DTC will act as securities depository for the 2021 Bonds. The 2021 Bonds will be registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered certificate in the aggregate principal amount of each maturity of the 2021 Bonds will be deposited with DTC. So long as Cede & Co. is the registered owner of the 2021 Bonds, as DTC's Partnership nominee, reference herein to the Owners or registered owners of the 2021 Bonds shall mean Cede & Co. and shall not mean the beneficial owners of the 2021 Bonds.

DTC, the world's largest depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934, as amended. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments from over 100 countries that DTC's participants ("*Direct Participants*") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("*DTCC*"). DTCC, in turn, is owned by a number of Direct Participants of DTC and Members of the National Securities Clearing Corporation, Fixed Income Clearing Corporation and Emerging Markets Clearing Corporation as well as by the New York Stock Exchange, Inc., the American Stock Exchange LLC, and the National Association of Securities Dealers, Inc. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (the "*Indirect Participants*" and collectively with the Direct Participants, the "*Participants*"). DTC has Standard & Poor's rating of AA+. The DTC rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of 2021 Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the 2021 Bonds on DTC's records. The ownership interest of each actual purchaser of the 2021 Bonds (the "*Beneficial Owner*") is in turn to be recorded on the Direct and Indirect

Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the 2021 Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in 2021 Bonds, except in the event that use of the book-entry system for the 2021 Bonds is discontinued.

To facilitate subsequent transfers, all 2021 Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such name as may be requested by an authorized representative of DTC. The deposit of 2021 Bonds with DTC and their registration in the name of Cede & Co. or such other nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the 2021 Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such 2021 Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of the 2021 Bonds may wish to take certain steps to augment transmission to them of notices of significant events with respect to the 2021 Bonds, such as prepayments, defaults and proposed amendments to the security documents. For example, Beneficial Owners of the 2021 Bonds may wish to ascertain that the nominee holding the 2021 Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the 2021 Bonds within a maturity are being prepaid, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in the 2021 Bonds to be prepaid.

Neither DTC nor Cede & Co. (nor such other DTC nominee) will consent or vote with respect to the 2021 Bonds unless authorized by a Direct Participant in accordance with DTC's procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the Trustee as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting and voting rights to those Direct Participants to whose accounts the 2021 Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Principal, premium, if any, and interest payments with respect to the 2021 Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Trustee, on the payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participants and not of DTC (nor its nominee), the Trustee or the City, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal, premium, if any, and interest to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the Trustee's responsibility, disbursement of such payments to Direct Participants is DTC's responsibility, and disbursement of such

payments to the Beneficial Owners shall be the responsibility of Direct and Indirect Participants. The City cannot and does not give assurance that Direct and Indirect Participants will promptly transfer payments to Beneficial Owners.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources the City and the Underwriter believe to be reliable, but the City and the Underwriter take no responsibility for the accuracy thereof.

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CITY OF ASHEVILLE

NORTH CAROLINA